



**United Nations**

# **Financial report and audited financial statements**

**for the year ended 31 December 2025**

**and**

## **Report of the Board of Auditors**

**Volume I  
United Nations**

**General Assembly  
Official Records  
Eighty-first Session  
Supplement No. 5**





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**for the year ended 31 December 2025**

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## **Report of the Board of Auditors**

**Volume I**  
**United Nations**



United Nations • New York, 2026

*Note*

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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## Letters of transmittal

### **Letter dated 31 March 2026 from the Secretary-General addressed to the Chair of the Board of Auditors**

In accordance with regulation 6.2 of the Financial Regulations and Rules of the United Nations, I have the honour to submit herewith the financial statements of the United Nations, volume I, for the year ended 31 December 2025, which I hereby approve. The financial statements have been completed and certified by the Controller as correct in all material respects.

Copies of these financial statements are also being transmitted to the Advisory Committee on Administrative and Budgetary Questions.

*(Signed)* António **Guterres**

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**Letter dated 22 July 2026 from the Chair of the Board of Auditors  
addressed to the President of the General Assembly**

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the United Nations (volume I) for the year ended 31 December 2025.

*(Signed)* **Amélie de Montchalin**  
First President of the French Cour des comptes  
Chair of the Board of Auditors

## Chapter I

### **Report of the Board of Auditors on the financial statements: audit opinion**

#### **Opinion**

We have audited the financial statements of the operations of the United Nations as reported in volume I, which comprise the statement of financial position (statement I) as at 31 December 2025, and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the operations of the United Nations as reported in volume I as at 31 December 2025 and its financial performance and cash flows for the year then ended in accordance with the International Public Sector Accounting Standards (IPSAS).

#### **Basis for opinion**

We conducted our audit in accordance with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Our responsibilities under those standards are described in the section below entitled “Auditor’s responsibilities for the audit of the financial statements”. We are independent of the United Nations, in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### **Information other than the financial statements and auditor’s report thereon**

The Secretary-General is responsible for the other information, which comprises the financial report for the period ended 31 December 2025, contained in chapter IV below, but does not include the financial statements and our auditor’s report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

## **Responsibilities of management and those charged with governance for the financial statements**

The Secretary-General is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as the Secretary-General determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Secretary-General is responsible for assessing the ability of the operations of the United Nations as reported in volume I to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going-concern basis of accounting unless the Secretary-General intends either to liquidate the operations of the United Nations as reported in volume I or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the operations of the United Nations as reported in volume I.

## **Auditor's responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control;
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the operations of the United Nations as reported in volume I;
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Secretary-General;
- (d) Draw conclusions on the appropriateness of the Secretary-General's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt upon the ability of the operations of the United Nations as reported in volume I to continue as a going concern. If we conclude that a material

uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the operations of the United Nations as reported in volume I to cease to continue as a going concern;

(e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

### **Report on other legal and regulatory requirements**

Furthermore, in our opinion, the transactions of the operations of the United Nations as reported in volume I that have come to our notice or that we have tested as part of our audit have, in all significant respects, been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of the operations of the United Nations as reported in volume I.

*(Signed)* **Amélie de Montchalin**

First President of the French Cour des comptes  
Chair of the Board of Auditors

*(Signed)* **Hou Kai**

Auditor General of the People's Republic of China  
(Lead Auditor)

*(Signed)* **Vital do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

22 July 2026

## Chapter II

### Long-form report of the Board of Auditors

#### *Summary*

##### **Scope of the report**

The Board of Auditors has audited the financial statements and reviewed the operations of the United Nations as reported in volume I for the year ended 31 December 2025. The audit was carried out on site at headquarters in New York, the offices at Geneva, Vienna and Nairobi, and other entities, including selected special political missions, between March and May 2026.

In addition to the audit of the financial statements, the Board focused on financial and budget management, asset management, human resources management, supply chain management, management reform, management of resident coordinator system, peace and security affairs, global communications, humanitarian affairs, information and communications technology. Lastly, the Board followed up on the recommendations set out in its previous reports to assess how they had been implemented.

##### **Audit opinion**

In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of the operations of the United Nations as reported in volume I as at 31 December 2025 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

##### **Overall conclusion**

The Board did not identify material irregularities in accounts and records that might affect the fair presentation of the financial statements of the operations of the United Nations as reported in volume I for the year 2025.

The overall key ratios on the financial position of the United Nations as reported in volume I as at 31 December 2025 remained sound, while the financial performance was characterized by ongoing funding challenges which led to persistent financial constraints, especially for the regular budget and related funds. Consequently, approximately 90.10 per cent of the regular budget was used in 2025, leaving a substantial underexpenditure of approximately \$383.09 million.

The Board recognizes that improvements have been made in response to previous recommendations on cost-recovery services, humanitarian trust fund management, monitoring of delegation of authority and the implementation of the United Nations Sustainable Development Group efficiency road map while continued efforts are needed to further strengthen these processes.

Based on new findings, the Board also identified areas for improvement in construction project management, position management, special approval by the electronic Special Approval Committee and performance security management, management of the Peacebuilding Fund, the implementation of multilingual mandates, oversight and utilization in information and communications technology (ICT) infrastructure and cloud services, as well as tax equalization fund management.

## Financial overview

Total revenue for the year 2025 amounted to \$7.47 billion, representing a decrease of \$0.26 billion (3.4 per cent) compared with 2024 when the revenue amounted to \$7.73 billion. Total expenses amounted to \$7.59 billion, representing a decrease of \$0.18 billion (2.3 per cent) compared with 2024 when they amounted to \$7.76 billion. As a result, the Organization reported a deficit of \$0.12 billion compared with the deficit of \$0.03 billion in 2024.

As at 31 December 2025, total assets amounted to \$12.94 billion, representing an increase of \$1.05 billion (8.8 per cent) compared with 2024. Total liabilities amounted to \$9.10 billion, representing an increase of \$1.29 billion (16.6 per cent). Net assets stood at \$3.84 billion, representing a decrease of \$0.25 billion (6.0 per cent) compared with 2024.

## Key findings

### Financial and budget management

#### *Liquidity and budget management*

The overall financial position remained sound, but the regular budget and related funds faced persistent liquidity challenges, with the cash ratio dropping sharply to 0.05 at the end of 2025, representing an 83.9 per cent decrease from the ratio of 0.31 at the end of 2024. A dynamic analysis of cash flows revealed significant cash shortages in 8 out of 12 months, attributable mainly to the failure of Member States to pay assessed contributions in full and in a timely manner. The gross assessed contributions receivable totalled \$1.592 billion as at 31 December 2025, an increase of 103 per cent compared with 31 December 2024. Out of \$1.592 billion assessed contributions receivable as at 31 December 2025, one Member State had an amount due of \$1.495 billion (compared with \$668.2 million as at 31 December 2024), accounting for 94 per cent of the total outstanding amount. To address the shortfall, the Administration borrowed a total of \$487.6 million from the Working Capital Fund and the Special Account. Notwithstanding various measures implemented to address contributions in arrears, no substantive improvement was observed, with 151 Member States paying in full by year-end, one fewer than in 2024.

To mitigate the impact of the liquidity crisis, the Administration set a financial ceiling of approximately 80 per cent of the approved budget for all entities, yet the overall allotment rate was 91.33 per cent by year-end, due to non-discretionary spending. Allotment rates varied significantly across entities, ranging from 75 to 192.5 per cent. Certain entities reported that spending restrictions had affected their mandate delivery, resulting in reduced, postponed or cancelled activities.

The Board identified opportunities for further cost optimization in certain entities. For example, the leased area of the UNSMIL headquarters compound remained unchanged from 2018 to 2025, notwithstanding the lower minimum space requirement indicated in the Mission's own submission to the Headquarters Committee on Contracts. The Mission explained that the retention of the leased space was driven by mandatory security requirements and the absence of viable alternative premises to meet its operational needs.

*Persistently high level of cumulative fund balance from cost-recovery services*

As at 31 December 2025, the cumulative fund balance (net assets, adjusted for committed items) of the cost-recovery fund (10RCR) totalled \$423.52 million, comprising \$405.65 million from 10RCR and \$17.87 million from 10ICT, remaining broadly stable compared with the recalculated 2024 balance of \$424.71 million. United Nations Headquarters had the largest portion (\$237.53 million).

*Legacy balance clean-up and finalization of amounts to be returned to Member States still in progress*

Of the \$198.07 million legacy balance from the Integrated Management Information System conversion, \$138.55 million (70 per cent) has been identified and distributed across fund centres within the cost-recovery fund to offset corresponding expenses or cover the staff liabilities reserve; \$12.73 million (6 per cent) has been identified as interest revenue embedded within the legacy fund balances from the OJA legacy fund used to account for services (medical, security and mail) provided by United Nations Headquarters to external agencies and some Secretariat entities in New York; \$3.45 million (2 per cent) under other legacy funds was expected to be appropriately cleared. The remaining balance amounting to \$43.34 million (22 per cent) under OJA and JUA (a Special Account for Information Technology and Telecommunications Services Costs at Headquarters) was expected to be returned to Member States. The Administration indicated that the final amount was pending the actuarial study of the staff liabilities.

*Further clarification needed for allocation options for 10RCR investment revenue*

From 2020 to 2025, 10RCR investment revenue totalled \$71.61 million against expenses of only \$8.28 million, resulting in an accumulated surplus of \$63.33 million. A further \$12.73 million in interest revenue related to the OJA legacy fund balance was identified during the legacy balance clean-up exercise. Both streams are centrally held and managed at Headquarters, yet no allocation mechanism has been established for their use. The Administration indicated that pursuant to the request of the General Assembly in its resolution [79/245](#), the Secretary-General had addressed the use of the generated interest revenues in his report on cost recovery ([A/80/369](#)), which was considered by the Fifth Committee at the eightieth session of the Assembly and deferred for further consideration by the Assembly at the first part of its resumed eighty-first session. The Administration also indicated that the surplus was required to support central operational requirements of cost recovery. The Board is of the view that the Administration should keep the level of the surplus under review pending the decision of the Assembly.

**Asset management***Major construction projects were approved at a high level of aggregation without indicative costs for major work packages*

Based on its review of the office blocks A–J project and the conference facilities project at the United Nations Office at Nairobi, the Board noted that the construction budgets were approved at a high level of aggregation, without indicative costs for major work packages within each component. A lower-level budget breakdown would enhance clarity as to whether scope evolution during implementation fell within the approved envelope or required additional General Assembly authorization, as well as in the assignment of responsibility for cross-project work packages.

## **Human resources management**

### *Long-standing differences between operational and budgetary position titles/grades*

The Board noted long-standing differences between operational and budgetary position data. A total of 550 positions across 44 entities had operational titles that differed from the corresponding budgetary titles, of which 313 had remained inconsistent for more than four years during the period under review. Such differences indicated that budget submissions may not reliably reflect the actual functions and operational activities of the positions concerned.

### *Funding constraints affected the inclusion of vacant posts in the managed reassignment programme, resulting in declined reassignments*

The Board noted that the successful matching rate under the managed reassignment programme declined to 43 per cent in 2025, significantly below the rates recorded in previous years. The decline was attributable to the limited inclusion of vacant posts at the P-2 level owing to funding constraints and the net reduction in posts for the young professionals programme. These factors narrowed reassignment opportunities for young professionals and may weaken the contribution of the young professionals programme to staff mobility.

### *Slow progress in the implementation of Staff Selection 2.0 and limited ability to fill vacant posts may affect the achievement of equitable geographical distribution targets*

The Board noted that the slow implementation of Staff Selection 2.0, the limited ability of the Organization to fill vacant posts owing to the liquidity situation and unresolved data governance weaknesses continued to constrain progress towards equitable geographical distribution. Although the need for reform was identified in 2022 by the end of 2025 the programme remained largely at the design and pilot stage, with key institutional and system changes pending, while the Board noted that such changes were scheduled to take place throughout 2026 and the first half of 2027. Fragmented data ownership, inconsistent definitions and limited integration between Umoja and Inspira weakened recruitment analytics. Compounded by the liquidity situation, progress in reducing the number and gaps of underrepresented and unrepresented Member States therefore remained limited.

## **Supply chain management**

### *Weaknesses in the justification and risk mitigation measures for contract awards through special approvals by the electronic Special Approval Committee*

The Board reviewed the valid United Nations system contracts and valid contracts of the United Nations Office at Nairobi as at the end of 2025, sampled system contracts awarded between 2023 and 2025 with contract value exceeding \$500,000 and noted the following: (a) two system contracts, with a total target value of \$50.19 million and released value of \$6.66 million, were awarded to vendors that did not meet the level 2 qualification criteria; (b) four vendors, with a total contract target value of \$34.37 million and released value of \$9.71 million, were reviewed by the Headquarters Committee on Contracts before being registered at the required level on an exceptional basis due to urgency, although approval by the electronic Special Approval Committee was obtained prior to contract award; and (c) the special approval by the electronic Special Approval Committee for one contract at the United Nations Office at Nairobi, with a total target value of \$0.52 million, was obtained after the contract was awarded.

*Weaknesses in the administration of performance securities*

The Board analysed the performance securities required under contracts that were active as at the end of 2025 and established by the Procurement Division of the Department of Operational Support. The Board noted that 5 of the 31 performance securities reviewed did not cover the full contract period and involved contracts with an aggregate target value of \$18.19 million. However, the Administration noted that the Organization's exposure to contractual performance risk does not increase, provided that the services or goods are delivered while the performance security remains in place, which was the case here. Similar issues were noted for 21 contracts administered by the United Nations Office at Nairobi that had the expiry dates of the performance securities earlier than the contract expiry dates with a total amount of \$77.51 million and the released value of \$71.54 million as at 31 December 2025, and 10 contracts, with a total value of \$10.40 million and released value of \$0.55 million had no performance securities, reflecting pending submission by contractors. Meanwhile, the standard operating procedure governing the administration of performance securities and developed by the Administration remains in draft form, as its scope has evolved over time and its content will be informed by the results of an ongoing pilot project on the transmission of performance securities through the Society for Worldwide Interbank Financial Telecommunication (SWIFT).

*Need to update the information and communications technologies professional services category strategy and improve their solicitation processes*

Changes in the context and rapid market developments require a thorough review of the strategy for the ICT professional services, a category with a substantial and growing procurement value (\$145 million in 2025 compared with \$117 million in 2024). The review of the ICT professional services strategy and associated key performance indicators is ongoing. While some structural issues have already been addressed, including efforts to mitigate vendor dependency, many others still require the Secretariat's attention and should be addressed as part of the category strategy under development. The lead times observed for ICT procurements sourced through competitive bidding in the sample are considered long (12 months on average), due to several factors, including technical complexity, staff resource constraints and deficiencies in timely planning. While the Board did not find evidence of waivers issued outside the applicable regulations and rules, a significant proportion of the reviewed ICT contracts (27 per cent) were awarded through competition waivers under financial rules 105.16 (a) (iii) and 105.17.

**Management of the resident coordinator system***Delays in the implementation of the United Nations Sustainable Development Group efficiency road map*

The Board noted that several specific deliverables under the four pillars of the United Nations Sustainable Development Group efficiency road map 2022–2024 were not achieved by the end of 2024. For instance, only 4 common back offices had been launched against the target of 50; 58 projects were initiated out of which 18 common premises projects were completed, with a total of 66 projects identified for ongoing support; and only 16 priority global services had been endorsed. Delays still existed in the implementation of the efficiency road map for 2025–2028, particularly for common back offices in that no new common back offices were established in 2025 against the 2025 target; namely, the establishment of eight common back offices, enrolment of 75 per cent of entities in common back offices arrangements and utilization of services by 75 per cent of participating entities. These delays may limit the timely realization of expected efficiency gains and cost savings across the United Nations development system.

## **Management of peace and security affairs**

### *Delays in the utilization of the assessed contributions for the Peacebuilding Fund*

The Board noted delays in the management and utilization of the \$50 million assessed contribution approved by the General Assembly for the Peacebuilding Fund in 2025. By the end of 2025, only 10 projects across four of the five envisaged countries had been approved, with a combined budget of approximately \$32.35 million. Overall, \$6 million had been transferred from the Peacebuilding Account to the Peacebuilding Fund in December 2025 in accordance with actual cash forecasting requirements allowing more effective liquidity management, only 4 of those 10 projects had commenced implementation, and \$5.58 million, or 11.15 per cent of the annual allocation or 95 per cent of the available cash, had been transferred to recipient organizations within a week of receipt of funds by the Multi-Partner Trust Fund Office.

## **Management of global communications**

### *Delays in the implementation of multilingual mandates*

The Board noted that the Department of Global Communications' 2025 deliverables on multilingual coverage showed mixed results. The Department met the performance metric related to the United Nations Web TV platform in all six official languages. However, it did not meet the targets for meetings coverage and press releases. Regarding the multilingual management of websites, of the 739 United Nations websites in the Unite Apps registry, 634 failed to comply with the multilingual standards, accounting for 86 per cent. Of the 28 websites directly managed by the Department, 15 did not deploy all six official languages. In terms of the implementation of multilingualism by the United Nations information centres, they produced and translated 1,991 information materials into 27 non-official languages in 2025, in addition to the other five official languages (excluding Chinese).

## **Management of humanitarian affairs**

### *Continuous improvement needed in the management of the cash balance for humanitarian trust funds and the corresponding interest income*

The Board reviewed the management of humanitarian trust fund (32DDN) cash balances and noted that only 30 per cent of the \$94.01 million of outdated country-based pooled funds commitments from 2024 was cleared, with the total balance increasing to \$134.9 million by the end of 2025. Furthermore, the operational cash reserve for the Office for the Coordination of Humanitarian Affairs rose to \$239.8 million as at 31 December 2025, exceeding the assessed level of \$180 million by 33 per cent due to the increased interest income and lack of definite guidelines on operational cash reserve and interest income, which resulted in significant amount of operating reserve level and the low utilization of the fund.

### *Strengthening needed in the preventive and accountability measures for fraud cases involving implementing partners*

The Board noted that the cumulative financial loss resulting from fraud cases involving implementing partners of the country-based pooled funds amounted to \$14.79 million for the period from 2015 to 2025. As at 31 December 2025, \$8.87 million had been written off with the approval of the Controller, while only \$4.27 million (29 per cent) had been recovered, leaving an outstanding balance of \$1.65 million subject to ongoing recovery efforts. For the six confirmed fraud cases sampled in 2025 with financial losses totalling \$172,766.86, only 38 per cent had

been refunded, with all involved partners exceeding the 30-day statutory deadline. Furthermore, the Board identified deficiencies in accountability measures, specifically that settlement letters did not explicitly prohibit partners from using the logos of the United Nations, the Office for the Coordination of Humanitarian Affairs or country-based pooled funds, and many implicated partners were not flagged on the United Nations Partner Portal, as these cases predate the Portal.

### **Information and communications technology**

#### *Opportunities to improve the review and approval requirements for major information and communications technology investments*

The Board found that the approval processes for ICT projects and contracts were not effectively aligned and the relevant terms of reference do not clearly define what constitutes an “ICT project”, “initiative” or “contractual action” that would require review by the ICT Steering Committee or the Project Review Committee. As a result, this creates ambiguity as to whether all projects or only strategic projects are covered, whether all funding sources (including extrabudgetary funds) are included, and whether the underlying projects reflected in contracts (renewals, extensions and material changes) also require review. Furthermore, the coverage criteria of the existing ICT strategy implementation tracking system were unclear, and many projects already initiated were either not recorded in the system or were subject only to retrospective review, undermining the ex ante risk prevention function of the governance bodies.

#### *Insufficient central oversight and low resource utilization in both information and communications technology infrastructure and cloud services*

Regarding data centres, the average storage utilization rate of United Nations data centres was only 46.33 per cent across all 102 data centres and 52.28 per cent across the 43 Secretariat volume I data centres according to the survey conducted by the Office of Information and Communications Technology. The Office lacked a complete asset inventory and operating cost data and consolidation, as end-user devices and local infrastructure is not centrally managed. Regarding cloud resources, total public cloud expenditure from 2021 to 2025 amounted to \$18.44 million, yet the average central processing unit utilization of virtual machines was only 6.57 and 4.29 per cent for the two public cloud platforms, with over 40 per cent of virtual machines running below 2 per cent of utilization. Workstation migration was repeatedly delayed due to resource prioritization challenges across the Secretariat.

### **Other matters for attention**

#### *Allocation of Tax Equalization Fund credits not backed by paid assessed contributions*

The Tax Equalization Fund recognizes staff assessment as revenue in accordance with the approved scales of assessment, regardless of whether the underlying assessed contributions have actually been received. During 2024–2025, approximately \$143 million of the regular budget Tax Equalization Fund credits to Member States was not backed by paid assessed contributions. The Board further noted that Tax Equalization Fund revenue for the same period totalled \$1,021.64 million (comprising \$648.17 million from the regular budget, \$356.47 million from peacekeeping operations, \$12 million from the International Residual Mechanism for Criminal Tribunals and \$5 million from investment revenue), of which an estimated \$211.97 million attributable to one Member State was not supported by paid assessed contributions. While the Board does not question the appropriateness of the mechanism under the existing regulatory framework, it noted that Tax Equalization Fund credits continued to be extended to, and applied by, a

Member State with significant outstanding contributions, including \$34.63 million applied in February 2026 to offset its outstanding assessed contributions, while the related tax reimbursements were paid in cash from the Organization's pooled resources. This may further strain the Organization's liquidity position.

*Current review of the operation of the three lines of defence model is an opportunity to translate institutional accountability into personal accountability*

The Board reviewed selected aspects of the three lines of defence model within the Secretariat and noted the need to further clarify first- and second-line roles. The Board also noted that the ongoing review, currently focused on human resources and asset management pursuant to General Assembly resolution 79/257. In the Board's view, the review – which draws upon oversight body findings, case studies and monitoring results – is an important step towards confirming and improving the controls under assessment. The review could usefully be broadened to other high-risk areas, subject to legislative guidance and the availability of resources. In addition, where opportunities to improve key controls and their assignment to control owners are identified, the Administration should also explore opportunities to translate institutional accountability into managerial responsibilities and performance expectations.

### **Main recommendations**

The Board has made 38 new recommendations on the basis of its audit. The main recommendations are that the Administration:

#### *Financial and budget management*

(a) **Develop a dedicated dashboard for cost-recovery services accessible to Member States and legislative bodies, to keep them promptly updated on cost-recovery revenues, expenses, cumulative fund balances and other relevant information to enhance transparency in cost-recovery management;**

#### *Asset management*

(b) **Enhance the budget presentation for major construction projects by providing more details of the cost plans and major work packages in the annual progress reports;**

#### *Human resources management*

(c) **In coordination with relevant stakeholders and entities, conduct a comprehensive review of all established and temporary posts under the regular budget with differences between operational and budgetary data over more than one year to ensure that budgetary submissions accurately reflect the actual functions and grades of the respective positions;**

(d) **Establish a simplified policy framework covering the full life cycle of the young professionals programme, including recruitment, onboarding, managed reassignment, mobility and career development, with clear roles and responsibilities, monitoring indicators and accountability arrangements;**

(e) **Strengthen centralized coordination and oversight of P-2 post resources across entities and continue to prioritize the inclusion of eligible vacant posts in the managed reassignment programme;**

(f) Accelerate the implementation of Staff Selection 2.0 by enhancing the related information system capabilities, in order to support a more data-driven recruitment process;

*Supply chain management*

(g) Strengthen controls to ensure that special approvals are granted only on an exceptional and justified basis, and issue guidance on enhanced documentation requirements and risk mitigation measures as part of the vendor special approval process for contract awards;

(h) Promptly implement the proposed corrective actions and continue strengthening its internal control framework to ensure adequate administration of the performance securities;

(i) Finalize the revised strategy in the category of ICT professional services, including notably an assessment of the risk of dependency on a single supplier, and the definition and consolidation of technical requirements;

(j) Review the causes of delays in the solicitation processes relevant to ICT professional services, with a view to establishing solicitation timelines that consider resource availability and enable the execution of procurement activities closely to projected timelines;

*Management of the resident coordinator system*

(k) In its capacity as secretariat to the United Nations Sustainable Development Group Business Innovation Group, establish and operationalize a standardized annual reporting mechanism to inform the Business Innovation Group and related task teams. The report should consolidate progress, implementation challenges and identified risks related to the efficiency road map and be based on inputs provided by participating entities and United Nations country teams;

*Management of peace and security affairs*

(l) Expedite establishment of projects financed by the assessed contributions to the Peacebuilding Fund in a timely and efficient manner;

*Management of global communications*

(m) Develop a more structured approach to the implementation of multilingual mandates, including by prioritizing high-impact content, continuous use of artificial intelligence and other translation technologies with human oversight and quality assurance and aligning staffing and workflow arrangements with the objective of achieving parity among the six official languages;

*Management of humanitarian affairs*

(n) Finalize and approve the guidance on utilizing and managing the accumulated interest income of the 32DDN fund after a comprehensive analysis, to ensure a reasonable level for the operating reserve;

*Information and communications technology*

(o) Clearly define the categories of ICT projects and initiatives that are subject to review by the ICT Steering Committee or Project Review Committee;

(p) **Prepare standard operating procedures for the Project Review Committee to outline the process and requirements for entities submitting items to the Project Review Committee for review, clearly outlining the submission requirements, including supporting materials, thresholds, timelines and funding sources;**

(q) **Remind entities to strengthen the oversight of new data centre-related ICT acquisitions to ensure that such investments are justified and consistent with the objectives of the data centre consolidation strategy;**

(r) **Strengthen its coordination with Secretariat entities in developing a Secretariat-wide road map for the migrating of workstation identity management from on-premises Active Directory to cloud-based Azure Active Directory, supported by effective tracking, monitoring and escalation mechanisms;**

(s) **Intensify the efforts to raise awareness of the importance of improving cloud services utilization and continue working with entities to optimize the use of cloud resources across the Organization.**

#### **Follow-up on previous recommendations**

The Board acknowledges the significant improvement in implementation of previous recommendations. As at 31 December 2025, of the 137 outstanding recommendations for the year ended 31 December 2024, 94 (69 per cent) had been implemented, 37 (27 per cent) were under implementation and 6 (4 per cent) had been overtaken by events. The Board noted that 51 (37 per cent) of 137 outstanding recommendations were issued in its previous report, which was endorsed by the Assembly as of 31 December 2025. The Board was informed that certain recommendations required more time to be implemented than originally planned due to their complexity or changes in priorities in response to new mandates or external events.

**Key facts**

|                        |                           |
|------------------------|---------------------------|
| <b>\$7.47 billion</b>  | Total revenue             |
| <b>\$7.59 billion</b>  | Total expenses            |
| <b>\$0.12 billion</b>  | Deficit                   |
| <b>\$12.94 billion</b> | Assets                    |
| <b>\$9.10 billion</b>  | Liabilities               |
| <b>\$3.84 billion</b>  | Total net assets          |
| <b>18,458</b>          | Number of staff employees |

**A. Mandate, scope and methodology**

1. The United Nations, founded in 1945, provides the main forum for its 193 Member States to meet and take collective measures through its principal organs: the General Assembly, the Security Council, the Economic and Social Council, the Trusteeship Council, the International Court of Justice and the Secretariat. Under the Charter of the United Nations, the Organization can take action on a wide range of vital and complex issues. The Organization comprises Headquarters in New York made up of multiple departments and offices, as well as entities and offices away from Headquarters and projects across the globe.

2. The Board of Auditors audited the financial statements and reviewed the operations of the United Nations as reported in volume I for the year ended 31 December 2025 in accordance with General Assembly resolution 74 (I) of 7 December 1946. The audit was conducted in conformity with article VII of the Financial Regulations and Rules of the United Nations and the annex thereto, as well as with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. The latter require that the Board comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

3. The audit was conducted primarily to enable the Board to form an opinion as to whether the financial statements present fairly the financial position of the United Nations as reported in volume I as at 31 December 2025 and the results and cash flows for the financial period in accordance with IPSAS. This included an assessment of whether the expenditure recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether revenue and expenses had been properly classified and recorded in accordance with the Financial Regulations and Rules of the United Nations. The audit included a general review of financial systems and internal controls and an examination of the accounting records and other supporting evidence to the extent considered necessary to form an opinion on the financial statements.

4. The Board also reviewed the operations of the United Nations as reported in volume I under regulation 7.5 of the Financial Regulations and Rules of the United Nations. This entitles the Board to make observations with respect to the efficiency of the financial procedures, the accounting system and the internal financial controls and, in general, the administration and management of the United Nations as reported in volume I. During the present audit, the Board focused on financial and budget management, asset management, human resources management, supply chain

management, management reform, management of the resident coordinator system, peace and security affairs, global communications and humanitarian affairs, as well as information and communications technology. The General Assembly has also requested the Board to follow up on previous recommendations and to report thereon accordingly. Those matters are addressed in the relevant sections of the present report and the details of the results are included in the annexes to the present report.

5. The audit was carried out on site at United Nations Headquarters in New York, the offices at Geneva, Vienna and Nairobi, and other entities, including selected special political missions, between March and May 2026. The Board cooperated with the Office of Internal Oversight Services in order to avoid unnecessary duplication and determine the extent to which the Board could rely on the work of the Office.

6. The present report covers matters that, in the opinion of the Board, should be brought to the attention of the General Assembly. The Board's observations and conclusions were communicated to the Administration and their views have been appropriately reflected in the report.

## **B. Findings and recommendations**

### **1. Follow-up on previous recommendations**

7. In its resolution [80/231](#), the General Assembly requested the Secretary-General and the executive heads of the funds and programmes of the United Nations to ensure full implementation of the recommendations of the Board of Auditors in a prompt and timely manner.

8. Of 137 outstanding recommendations, 94 (69 per cent) had been implemented, 37 (27 per cent) were under implementation and 6 (4 per cent) had been overtaken by events. (see annex I). The status of implementation of recommendations by report is shown in table II.1. Furthermore, of the 137 outstanding recommendations, 51 were issued in the previous report ([A/80/5 \(Vol. I\)](#)) and endorsed by the General Assembly as at 31 December 2025. Of the 51 recommendations, 38 (75 per cent) had been closed as implemented or overtaken by events, either on or ahead of their initially estimated implementation target dates. The Board was informed that significant efforts have been made in closing previous recommendations, including a pilot project led by the Business Transformation and Accountability Division initiated in response to the Board's previous concerns.

9. Of the 137 outstanding recommendations, 39 (28 per cent) were related to finance and budget management, 40 (29 per cent) involved programme and project management, 19 (14 per cent) were about human resources management, 19 (14 per cent) fell under the category of information and communications technology, 12 (9 per cent) were related to asset and investment management and 8 (6 per cent) referred to supply chain management.

Table II.1  
Status of implementation of recommendations

| <i>Audit report year</i> | <i>Report</i>                               | <i>Recommendations pending as at 31 December 2024</i> | <i>Implemented</i> | <i>Under implementation</i> | <i>Not implemented</i> | <i>Overtaken by events</i> | <i>Recommendations pending as at 31 December 2025</i> |
|--------------------------|---------------------------------------------|-------------------------------------------------------|--------------------|-----------------------------|------------------------|----------------------------|-------------------------------------------------------|
| 2015                     | <a href="#">A/71/5 (Vol. I)</a>             | 2                                                     | 2                  | –                           | –                      | –                          | –                                                     |
| 2017                     | <a href="#">A/73/5 (Vol. I)</a>             | 1                                                     | 1                  | –                           | –                      | –                          | –                                                     |
| 2018                     | <a href="#">A/74/5 (Vol. I)<sup>a</sup></a> | 2                                                     | –                  | 2                           | –                      | –                          | 2                                                     |
| 2019                     | <a href="#">A/75/5 (Vol. I)</a>             | 3                                                     | 2                  | 1                           | –                      | –                          | 1                                                     |
| 2020                     | <a href="#">A/76/5 (Vol. I)<sup>a</sup></a> | 7                                                     | 6                  | 1                           | –                      | –                          | 1                                                     |
| 2021                     | <a href="#">A/77/5 (Vol. I)</a>             | 15                                                    | 14                 | 1                           | –                      | –                          | 1                                                     |
| 2022                     | <a href="#">A/78/5 (Vol. I)<sup>a</sup></a> | 16                                                    | 11                 | 5                           | –                      | –                          | 5                                                     |
| 2023                     | <a href="#">A/79/5 (Vol. I)</a>             | 40                                                    | 25                 | 14                          | –                      | 1                          | 14                                                    |
| 2024                     | <a href="#">A/80/5 (Vol. I)</a>             | 51                                                    | 33                 | 13                          | –                      | 5                          | 13                                                    |
| <b>Total</b>             |                                             | <b>137</b>                                            | <b>94</b>          | <b>37</b>                   | <b>–</b>               | <b>6</b>                   | <b>37</b>                                             |

<sup>a</sup> Excludes the recommendations made in the section on the strategic heritage plan of the report of the Board of Auditors for the year ended 31 December 2018 ([A/74/5 \(Vol. I\)](#)), 31 December 2020 ([A/76/5 \(Vol. I\)](#)) and 31 December 2022 ([A/78/5 \(Vol. I\)](#)), which were presented in the reports of the Board of Auditors on the strategic heritage plan ([A/73/157](#), [A/75/135](#), [A/77/94](#) and [A/79/166](#), respectively).

10. Of the 37 pending recommendations, 10 (27 per cent) had been pending for more than three years, 14 (38 per cent) for two years and 13 (35 per cent) for one year. The Board was informed that certain recommendations required more time to be implemented than originally planned due to their complexity, changes in priorities in response to new mandates or external events, or resource constraints. Detailed follow-up to the recommendations issued during the previous years is shown in annex I.

11. As for the long-standing open recommendations, the Board noted that the Administration had revised the target completion date several times and the comments from the Administration had been unchanged. Therefore, the Board is of the view that the Administration should provide operational plans or specific timelines for their implementation.

12. Of the two open recommendations relating to the Umoja system as at 31 December 2022, both (100 per cent) had been implemented (see annex II).

## 2. Financial overview

13. The overall financial position of the United Nations as reported in volume I as at 31 December 2025 remained sound, while the financial performance was characterized by ongoing funding challenges which led to persistent financial constraints, especially for the regular budget and related funds.

### 2.1. Revenue and expenses

14. Total revenue for the financial year 2025 amounted to \$7.47 billion, representing a decrease of \$0.26 billion (3.4 per cent) compared with \$7.73 billion in 2024. The main sources of revenue were assessed contributions amounting to \$3.41 billion and voluntary contributions amounting to \$2.64 billion. The change in revenue was primarily driven by the drop of voluntary contributions, which fell by \$0.56 billion (17.6 per cent), while the assessed contribution remained relatively stable, increasing by \$0.10 billion (3.1 per cent).

15. Total expenses amounted to \$7.59 billion, representing a decrease of \$0.18 billion (2.3 per cent) compared with the previous reporting period. The main expense categories were staff costs amounting to \$3.56 billion, grants and other transfers amounting to \$1.75 billion, which decreased, respectively, by 3.9 and 11.6 per cent compared with 2024.

16. As a result, the Organization reported a deficit of \$0.12 billion compared with the \$0.03 billion deficit in 2024.

## **2.2. Assets and liabilities**

17. As at 31 December 2025, total assets amounted to \$12.94 billion, representing an increase of \$1.05 billion (8.8 per cent) compared with 2024 which was mainly driven by the increase of \$0.8 billion in assessed contributions receivable and \$0.24 billion in property, plant and equipment.

18. The main components of assets consisted of investments totalling \$5.59 billion, property and equipment totalling \$3.34 billion, assessed contributions receivable amounting to \$1.31 billion and voluntary contributions receivable amounting to \$1.50 billion.

19. Total liabilities amounted to \$9.10 billion, representing an increase of \$1.29 billion (16.6 per cent) compared with 2024, which was mainly driven by the increase of \$0.45 billion in employee benefits liabilities and the recognition of lease liabilities of \$0.33 billion upon the initial application of IPSAS 43: Leases.

20. Net assets amounted to \$3.84 billion, reflecting a negative movement of approximately \$0.25 billion (6.0 per cent) compared with the previous reporting period. The change was mainly attributable to actuarial losses on employee benefits liabilities (\$0.14 billion) and the deficit for the year (\$0.12 billion).

## **2.3. Ratio analysis**

21. An analysis of key financial ratios provides further insight into the Organization's liquidity and overall financial position.

22. The main financial ratios (see table II.2 below) show stability in 2025 as compared with 2024.

23. The current ratio indicates the Organization's ability to meet its short-term obligations using its current assets. The ratio stood at 2.89 as at 31 December 2025, compared with 3.48 in 2024.

24. The cash ratio, which measures the most conservative level of liquidity by comparing cash and investments with current liabilities, stood at 1.83, indicating limited immediate liquidity.

25. The quick ratio, which measures the ability to convert assets rapidly into liquidity to meet short-term commitments, stood at 2.81 compared with 3.37 in 2024.

26. The solvency ratio, which measures the Organization's long-term financial stability by comparing total assets with total liabilities, stood at 1.42, indicating an adequate financial position.

27. Overall, these ratios indicate that the Organization maintains its ability to meet both short-term and long-term obligations.

Table II.2  
Ratios analysis for the United Nations as reported in volume I

| Financial ratio                                                              | 31 December<br>2025 | 31 December<br>2024 | 31 December<br>2023 | 31 December<br>2022 | 31 December<br>2021 |
|------------------------------------------------------------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|
| <b>Solvency ratio<sup>a</sup></b>                                            |                     |                     |                     |                     |                     |
| (asset/liabilities)                                                          | 1.42                | 1.52                | 1.56                | 1.68                | 1.43                |
| <b>Current ratio<sup>b</sup></b>                                             |                     |                     |                     |                     |                     |
| (current assets/current liabilities)                                         | 2.89                | 3.48                | 3.52                | 3.28                | 3.81                |
| <b>Cash ratio<sup>c</sup></b>                                                |                     |                     |                     |                     |                     |
| (cash + investments/current liabilities)                                     | 1.83                | 2.49                | 2.36                | 2.31                | 2.69                |
| <b>Quick ratio<sup>d</sup></b>                                               |                     |                     |                     |                     |                     |
| (cash + investments + short-term accounts<br>receivable/current liabilities) | 2.81                | 3.37                | 3.37                | 3.05                | 3.44                |

Source: Analysis by the Board of Auditors of United Nations operations as reported in volume I financial statements.

<sup>a</sup> A high ratio (generally at least 1) indicates an entity's ability to meet its overall obligations.

<sup>b</sup> A high ratio (generally at least 1) indicates an entity's ability to pay off its current liabilities.

<sup>c</sup> The cash ratio indicates an entity's liquidity. It measures the coverage of liabilities by cash, cash equivalents and invested funds available.

<sup>d</sup> The quick ratio indicates the potential ability to convert quickly assets into liquidities to face its current commitments. The higher is the ratio, the higher is the liquid current position.

## 2.4. Budgetary aspects

28. As reflected in the Financial Performance Report for 2025 ([A/81/78](#)) the total appropriations for 2025 approved by the General Assembly, by its resolutions [79/259 A–C](#), [79/258 B](#), were \$3.81 billion, the approved assessed budget totalled \$3.87 billion, taking into account the commitment authority with assessment for \$53 million approved by the General Assembly to support the funding of the resident coordinator system.

29. The regular budget expenditure recorded under the expenditure sections of the programme budget for 2025 amounted to \$3.48 billion, which was \$0.38 billion, or 9.9 per cent, less than the approved assessed budget.

## 3. Financial and budget management

### 3.1. Liquidity and budget management

30. In its resolution [80/242](#), the General Assembly urged all Member States to fulfil their financial obligations as set out in the Charter of the United Nations on time, in full and without conditions.

31. The Board analysed the financial situation of United Nations operations as reported in volume I by fund group and noted that, for regular budget and related funds, the quick ratio and current ratio had been approximately 1 in the past three years. The cash ratio was extremely weak, standing at 0.11, 0.31 and 0.05 at the end of 2023, 2024 and 2025, respectively, indicating a liquidity challenge, as shown in table II.3.

Table II.3  
Ratio analysis for the regular budget and related funds

| <i>Financial ratio</i>                                                            | <i>31 December 2025</i> | <i>31 December 2024</i> | <i>31 December 2023</i> |
|-----------------------------------------------------------------------------------|-------------------------|-------------------------|-------------------------|
| <b>Cash ratio<sup>a</sup></b>                                                     |                         |                         |                         |
| Cash plus short-term investments:<br>current liabilities                          | 0.05                    | 0.31                    | 0.11                    |
| <b>Quick ratio<sup>b</sup></b>                                                    |                         |                         |                         |
| Cash plus short-term investments plus<br>accounts receivable: current liabilities | 0.95                    | 0.90                    | 1.09                    |
| <b>Current ratio<sup>c</sup></b>                                                  |                         |                         |                         |
| Current assets: current liabilities                                               | 1.00                    | 0.99                    | 1.22                    |
| <b>Solvency ratio<sup>d</sup></b>                                                 |                         |                         |                         |
| Total assets: total liabilities                                                   | 1.11                    | 1.34                    | 1.49                    |

*Source:* Data provided by the Administration.

<sup>a</sup> The cash ratio indicates an entity's liquidity. It measures the coverage of liabilities by cash, cash equivalents and invested funds available.

<sup>b</sup> The quick ratio indicates the potential ability to convert quickly assets into liquidities to face its current commitments. The higher is the ratio, the higher is the liquid current position.

<sup>c</sup> A high ratio (generally at least 1) indicates an entity's ability to pay off its current liabilities.

<sup>d</sup> A high ratio (generally at least 1) indicates an entity's ability to meet its overall obligations.

32. The Board conducted a dynamic analysis of monthly cash inflows and outflows for the regular budget in 2025 and noted that cash outflows exceeded inflows in 8 of 12 months, with only January, February, April and September recording net inflows, and a net cash outflow of \$260 million for the year as a whole, as shown in table II.4. The Administration stated that, as assessed contributions are due and payable in full within 30 days of the Secretary-General's communication, inflows are naturally concentrated in certain months and monthly shortfalls partly reflect the timing of receipts. Nevertheless, the analysis showed that cash inflows declined sharply as the year progressed and were insufficient to cover outflows for the year as a whole.

Table II.4  
Monthly analysis of cash flows for the 10UNA fund in 2025

(Millions of United States dollars)

| <i>Month</i> | <i>Cash flow in</i> | <i>Cash flow out</i> | <i>Net cash flow<br/>in/(out)</i> | <i>Net cash flow<br/>in/(out) in 2024</i> |
|--------------|---------------------|----------------------|-----------------------------------|-------------------------------------------|
| January      | 670                 | 247                  | 423                               | 595                                       |
| February     | 699                 | 321                  | 378                               | 537                                       |
| March        | 51                  | 225                  | (174)                             | (201)                                     |
| April        | 358                 | 231                  | 127                               | 419                                       |
| May          | 52                  | 234                  | (182)                             | (185)                                     |
| June         | 10                  | 223                  | (213)                             | (128)                                     |
| July         | 69                  | 241                  | (172)                             | (231)                                     |
| August       | 15                  | 220                  | (205)                             | (216)                                     |
| September    | 419                 | 212                  | 207                               | (189)                                     |
| October      | 215                 | 258                  | (43)                              | (390)                                     |

| <i>Month</i> | <i>Cash flow in</i> | <i>Cash flow out</i> | <i>Net cash flow in/(out)</i> | <i>Net cash flow in/(out) in 2024</i> |
|--------------|---------------------|----------------------|-------------------------------|---------------------------------------|
| November     | 36                  | 270                  | (234)                         | 62                                    |
| December     | 129                 | 301                  | (172)                         | 197                                   |
| <b>Total</b> | <b>2 723</b>        | <b>2 983</b>         | <b>(260)</b>                  | <b>270</b>                            |

Source: Data provided by the Administration.

33. The Board reviewed the processing of payments of assessments in recent years and noted that the percentage of outstanding contributions of the amounts receivable had remained consistently high at the end of 2023, 2024 and 2025, standing at 26.42, 22.36 and 24.62 per cent, respectively, as shown in table II.5.

Table II.5

**Trend in outstanding assessed contributions**

(Millions of United States dollars)

| <i>Year</i> | <i>Contributions receivable from Member States</i> | <i>Contributions outstanding at year-end (non-cumulative)</i> | <i>Percentage of outstanding amount to current year receivable</i> |
|-------------|----------------------------------------------------|---------------------------------------------------------------|--------------------------------------------------------------------|
| 2023        | 2 990                                              | 790                                                           | 26.42                                                              |
| 2024        | 3 220                                              | 720                                                           | 22.36                                                              |
| 2025        | 3 496                                              | 861                                                           | 24.62                                                              |

Source: Data provided by the Administration.

34. The Board also conducted a trend and ageing analysis of the assessed contributions receivable over the past three years from 2023 to 2025 and noted that the assessed contributions receivable totalled \$1.592 billion as at 31 December 2025, an increase of 103 per cent compared with 31 December 2024 as shown in table II.6. Out of \$1.592 billion assessed contributions receivable as at 31 December 2025, one Member State had an amount due of \$1.495 billion (compared with \$674 million as at 31 December 2024), accounting for 94 per cent of the total outstanding amount.

Table II.6

**Assessed contributions receivable**

(Millions of United States dollars)

| <i>Year</i> | <i>Amount outstanding for less than one year</i> | <i>Amount outstanding for less than two years</i> | <i>Amount outstanding for more than two years</i> | <i>Total</i> |
|-------------|--------------------------------------------------|---------------------------------------------------|---------------------------------------------------|--------------|
| 2023        | 582.3                                            | 50.7                                              | 250.0                                             | 883.0        |
| 2024        | 506.0                                            | 24.4                                              | 254.2                                             | 784.6        |
| 2025        | 643.0                                            | 679.2                                             | 270.2                                             | 1 592.4      |

Source: Data provided by the Administration (note 31 of the volume I 2025 financial statements).

35. As provided for in regulation 4.2 of the Financial Regulations and Rules of the United Nations, the Working Capital Fund was established by the United Nations to manage liquidity issues for the regular budget. The United Nations Special Account was established in 1965 pursuant to General Assembly resolution [2053 A \(XX\)](#) and is also used by the Administration to manage liquidity issues for the regular budget. The Organization's regular budget cash shortfalls are covered first by borrowing from the Working Capital Fund and then from the Special Account. The borrowed amount

reached \$487.6 million at the end of 2025, with \$249.4 million and \$238.2 million, respectively, from the Working Capital Fund and the Special Account. The Board was informed that the loans from the Special Account had been returned in January 2026 and that the loan from the Working Capital Fund had been returned in February 2026.

Table II.7

**Trend analysis of cross-borrowing by regular budget from the Working Capital Fund and the United Nations Special Account at the end of 2024 and 2025**

(Millions of United States dollars)

| <i>Funding source</i>          | <i>2024</i> | <i>2025</i>  |
|--------------------------------|-------------|--------------|
| Working Capital Fund           | 250         | 249.4        |
| United Nations Special Account | —           | 238.2        |
| <b>Total</b>                   | <b>250</b>  | <b>487.6</b> |

*Source:* Data provided by the Administration.

*Collection of assessed contributions*

36. The Administration has taken measures to address the arrears in assessed contributions, including updating the status of outstanding contributions daily and making it available to Member States through an online portal, issuing reminder letters, communication from the Secretary-General informing Member States of the Organization's deteriorating financial situation and conducting briefings on the liquidity situation, among other methods.

37. Notwithstanding the measures implemented, the total amount of outstanding assessed contributions remains persistently high and no substantive improvement has been observed in the financial situation and continued liquidity challenges. As at the end of 2025, 151 Member States had paid their dues in full for the regular budget, a decrease of 1 Member State compared with 152 at the end of 2024. The assessed contributions receivable totalled \$1.592 billion as at 31 December 2025, an increase of 103 per cent compared with 31 December 2024. Out of \$1.592 billion assessed contributions receivable as at 31 December 2025, one Member State had an amount due of \$1.495 billion (compared with \$674 million as at 31 December 2024), accounting for 94 per cent of the total outstanding amount

*Spending restrictions and cash conservations*

38. In response to the liquidity challenges, the Controller's office issued several inter-office memorandums on managing the 2025 regular budget liquidity crisis to departments, offices and special political missions. The allotments for each department, office or special political mission were restricted to an amount lower than the approved budget as stated in the Controller's memorandum dated 24 February 2025. Furthermore, the financial ceiling for each entity was reduced to approximately 80 per cent of the approved budget as stated in the Controller's memorandum dated 4 March 2025.

39. The Board reviewed the authorized allotments as a percentage of approved budgets by budget section and noted that the overall allotment rate for all entities was 91.33 per cent by the end of 2025, which was 11.33 percentage higher than the targeted 80 per cent ceiling.

40. Further analysis revealed that the authorized allotments varied significantly across entities, ranging from 75 per cent to 192.5 per cent of approved budgets. The

Administration indicated that the increased allotment was attributable to an exceptional technical measure implemented to enable the recording and approval of accruals for early separation packages during the closing period. Actual expenditures remained within the approved budget and did not exceed the approved appropriation.

41. Among them, 26 entities recorded allotment rates below the overall average of 91.33 per cent, while 3 entities exceeded it, as shown in table II.8 The disparities were more pronounced for non-post resources, where allotment rates ranged from 29 per cent to 214 per cent of appropriations by the end of 2025, as shown in table II.9.

Table II.8

**Percentage of allotment to approved budget (lowest five and highest three entities/functional areas)**

(Thousands of United States dollars)

| <i>Entity/functional area</i>                                                                                                           | <i>Approved budget</i> | <i>Allotment</i> | <i>Percentage of allotment to approved budget</i> |
|-----------------------------------------------------------------------------------------------------------------------------------------|------------------------|------------------|---------------------------------------------------|
| Construction                                                                                                                            | 88 021                 | 66,249           | 75.26                                             |
| Office of the United Nations High Commissioner for Human Rights                                                                         | 258 224                | 191 551          | 74.18                                             |
| Office of the High Representative for the Least Developed Countries, Landlocked Developing Countries and Small Island Developing States | 11 185                 | 8 953            | 80.05                                             |
| Department for General Assembly and Conference Management                                                                               | 401 022                | 324 241          | 80.85                                             |
| Department of Economic and Social Affairs                                                                                               | 106 597                | 86 448           | 81.10                                             |
| Special expenses                                                                                                                        | 97 259                 | 103 232          | 106.14                                            |
| Overall policymaking, direction, coordination <sup>a</sup>                                                                              | 98 946                 | 137 424          | 138.89                                            |
| Department of Management Strategy, Policy and Compliance                                                                                | 68 359                 | 131 575          | 192.48                                            |

Source: Data extracted from Umoja Analytics.

<sup>a</sup> The allotment includes \$53 million approved by Member States as a commitment authority with assessment in support of the resident coordinator system pursuant to General Assembly resolution 79/258, which required a corresponding allotment while not being included in the appropriation. Excluding the allotment for the resident coordinator system, the percentage of allotment to approved budget is 71.33 per cent.

Table II.9

**Percentage of non-post allotment to approved budget by the end of 31 December 2025 (lowest five and highest three internal entities/functional areas)**

(Thousands of United States dollars)

| <i>Entity/functional area</i>                    | <i>Approved budget</i> | <i>Allotment</i> | <i>Percentage of allotment to approved budget</i> |
|--------------------------------------------------|------------------------|------------------|---------------------------------------------------|
| United Nations Environment Programme             | 2 243                  | 644              | 28.70                                             |
| Department of Economic and Social Affairs        | 16 404                 | 4 855            | 29.59                                             |
| United Nations Human Settlements Programme       | 1 585                  | 534              | 33.71                                             |
| United Nations Office on Drugs and Crime         | 4 170                  | 1 661            | 39.83                                             |
| Economic Commission for Europe                   | 2 104                  | 798              | 37.93                                             |
| Special expenses                                 | 97 258                 | 103 232          | 106.14                                            |
| Department of Safety and Security                | 42 013                 | 46 037           | 109.58                                            |
| Overall policymaking, direction and coordination | 42 263                 | 89 481           | 211.72                                            |

Source: Data extracted from Umoja Analytics.

42. The Administration explained that the allotment levels were determined based on each entity's 2024 actual spending patterns and the composition of its post and non-post resources, rather than a mechanical application of the 80 per cent ceiling. As the mix of post and non-post resources, as well as discretionary and non-discretionary resources varied significantly across departments, the spending plan allocations were calibrated accordingly. For instance, entities with the majority of resources committed to costs associated with posts would face salary payment defaults if allotments were reduced to 80 per cent, whereas entities with large non-post budgets, such as construction, had greater flexibility to defer spending under liquidity constraints.

43. For entities requiring additional non-post allotments beyond the financial ceiling, the Controller's office established a case-by-case review process. Entities submitted requests to budget officers in the Programme Planning and Budget Division or the Field Operations Finance Division, accompanied by supporting documentation, including spending plans and justifications for the necessity of the expenditure. Budget officers assessed the requests and forwarded recommendations to the Controller, who made the final determination on additional non-post budget allotments.

44. The Board noted that certain entities with relatively low allotment rates indicated that the spending restrictions had affected their mandate delivery to varying degrees. The Department of Economic and Social Affairs indicated that, with a non-post allotment rate of 29.59 per cent, it was unable to engage experts to support some of its mandated activities, resulting in reduced, postponed or cancelled meetings. The Department for General Assembly and Conference Management similarly reported that a low contractual services allotment rate of 64.56 per cent had contributed to a backlog of 223 verbatim records and a reduction in weekly meetings with interpretation services. The Administration explained that priority was given to post and other non-discretionary costs, with non-post allotments capped at lower levels to compensate; in the case of the Department of Economic and Social Affairs, 90.5 per cent of its post allotment was released, resulting in an overall allotment rate of 81.1 per cent.

*Opportunities for cost efficiency under financial constraints*

45. Despite the liquidity crisis and financial constraints, the Board identified opportunities for further cost optimization in certain entities. For example, since July 2013, the United Nations Support Mission in Libya (UNSMIL) has leased the Oea village compound from D Company as its headquarters, with a cumulative contract value of \$133.62 million over four contract periods through 2025, of which \$117.76 million constituted rental payments. From 2016 to 2017, when only a minimal rotational presence was maintained at the compound, total disbursements were in line with the terms of the contract for the entire compound. UNSMIL stated that this arrangement was necessary to ensure immediate operational readiness in a volatile security environment and to support the planned phased return of the Mission.

46. From 2018 to 2025, the leased area of the compound remained unchanged at approximately 142,287 square metres. The Board noted that, in its own submission to the Headquarters Committee on Contracts in connection with the 2022 contract renewal, UNSMIL had indicated a minimum headquarters space requirement of 100,000 square metres, approximately 42,000 square metres below the leased area. As recorded in the minutes of the Headquarters Committee on Contracts dated 9 December 2025, the overall utilization rate of the compound was 54 per cent at the time of the 2025 lease renewal.

47. UNSMIL stated that, during the period under review (2016–2025), the Mission operated under exceptional operational and security conditions. Following the Mission's evacuation from Libya, the headquarters compound remained critical to preserving operational readiness and supporting the phased return to Libya. Throughout successive lease renewal cycles, market assessments and requests for expressions of interest confirmed the absence of viable alternative premises in Tripoli meeting United Nations operational and security requirements. The lease renewals were undertaken through established United Nations governance and procurement processes, including review by the Headquarters Committee on Contracts. These circumstances formed the basis of the Mission's decision to maintain the lease of the headquarters compound. Furthermore, when the security situation did not permit physical access, it was not operationally feasible for the Mission to remove critical assets and communications infrastructure housed within the compound. UNSMIL further stated that, from October 2018 to June 2023, the Mission faced shortages of both accommodation and office space, with accommodation units used as offices and United Nations country team agencies hosted within the compound under the Mission's security arrangements. The security buffer zone constituted a mandatory requirement under the minimum operating security standards and was therefore unavailable for accommodation or office use. During the 2025 renewal negotiations, the Mission secured an overall discount of 18 per cent across key contract components, including lease, maintenance, cleaning and catering, as well as a 28 per cent reduction in laundry service costs, effective from mid-August 2025.

48. The Board acknowledged the cost reductions achieved and the operational and security constraints described by the Mission. The Board is nevertheless of the view that the difference between the leased area and the minimum space requirement indicated in the Mission's own subsequent revised submission, together with the utilization rate recorded by the Headquarters Committee on Contracts and the projected decline in staffing levels, warrants a systematic reassessment of the Mission's space requirements at the next contract renewal.

49. The Board also noted examples of expenditures of a discretionary or representational nature that continued to be incurred during the period under review. In 2025, the United Nations Assistance Mission in Afghanistan (UNAMA) incurred expenditures totalling \$31,000 on individual contractors providing catering and household support services for the Special Representative of the Secretary-General. Such arrangements had been in place since 2014, involving three individual contractors at a cumulative cost of \$366,035, funded entirely from regular budget resources. UNAMA stated that essential, specialized catering and hospitality services remained necessary for official representational duties. In addition, from 2023 to 2025, the United Nations Assistance Mission for Iraq (UNAMI) incurred expenditures totalling \$32,524 on staffing and supplies for a programme for feeding stray cats within its premises, partially funded from regular budget resources. UNAMI stated that the cats had formed part of the existing fauna of the compound since its handover in July 2011, and that the programme had been assessed and approved by the Head of Entity under the delegated authority framework ([ST/SGB/2019/2](#)) as an operational necessity within the Mission's duty of care and facility management responsibilities.

50. The Board is of the view that, in the context of the prevailing liquidity constraints, expenditures of a discretionary and representational nature warrant periodic review at the entity level to ensure that they remain justified and are kept to the minimum necessary, as part of the Organization's broader cost-optimization efforts.

### 3.2. Cost recovery services

#### 3.2.1. *Persistently high level of cumulative fund balance from cost-recovery services*

51. In January 2026, the Advisory Committee in its report ([A/80/475](#)) stressed that the steady increase in accumulated surplus from cost-recovery services merited further analysis. In response to this concern, the Board continued its review and noted the following in need of further improvement:

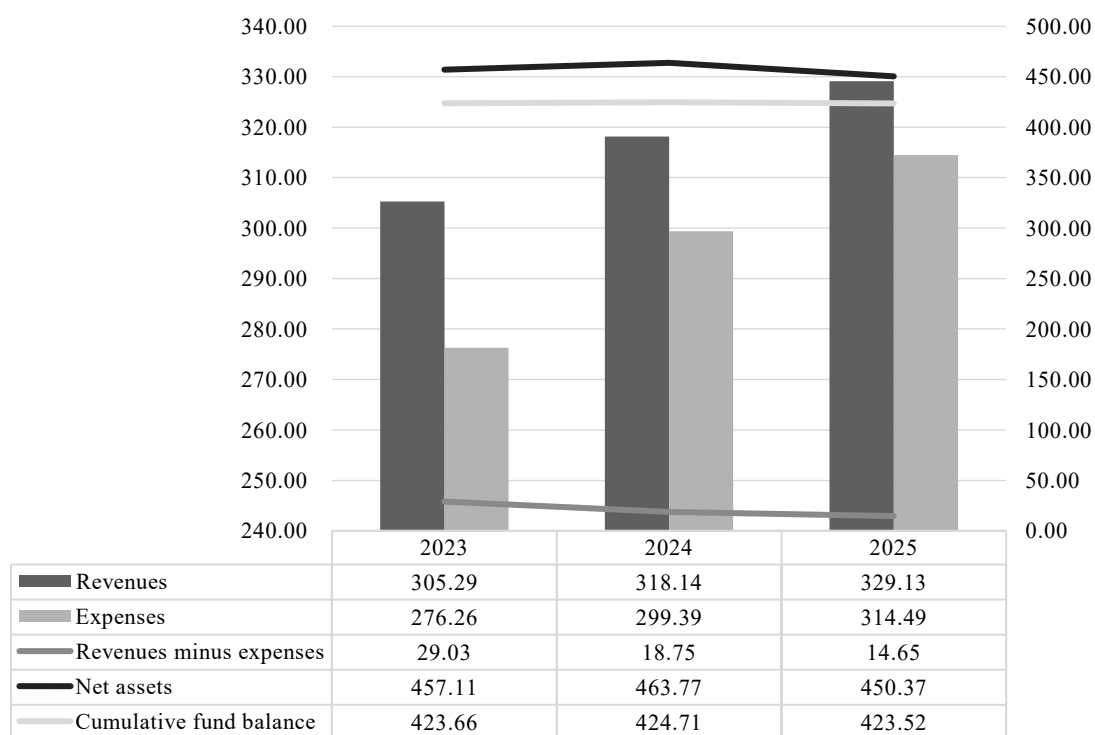
#### Trend analysis of the cost-recovery funds' cumulative fund balance

52. As disclosed in the Board's report ([A/80/5 \(Vol. I\)](#), chap. II, para. 48), the cumulative fund balance of the cost-recovery funds as at 31 December 2024 was \$446.14 million, calculated by excluding property, plant and equipment, inventory and the staff liabilities reserve from net assets. In 2025, the Administration further refined this methodology by additionally deducting open commitments to present a more accurate picture of the funds available for use, with monitoring incorporated into the new models and dashboard. Applying this updated methodology, the restated balance as at the end of 2024 was \$424.71 million (after deducting open commitments of \$21.43 million). As at 31 December 2025, the cumulative fund balance stood at \$423.52 million, comprising \$405.65 million from the 10RCR fund and \$17.87 million from the 10ICT fund,<sup>1</sup> remaining broadly stable compared with the restated 2024 balance (a decrease of \$1.19 million).

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<sup>1</sup> 10ICT fund: cost-recovery fund separated out from 10RCR to independently account for cost-recovery services provided by the Office of Information and Communications Technology on 1 January 2025.

Figure II.I  
**Structural analysis of cost-recovery funds by fiscal year<sup>2</sup>**  
 (Millions of United States dollars)



Source: Data provided by the Administration.

*Structural analysis of the cumulative fund balance and reserve ratio of cost-recovery funds*

53. Through a structural analysis of business areas (i.e. entities), the Board noted that United Nations Headquarters had the largest portion of the balance of cost-recovery funds (\$237.53 million as at 31 December 2025) in the past three years, ranging from 51 to 56 per cent in each of those years. Other top entities with a significant amount of cost-recovery cumulative fund balances as at 31 December 2025 included the United Nations Office at Nairobi (\$59.69 million, or 14 per cent), the United Nations Office at Geneva (\$39.82 million, or 9 per cent), the United Nations Economic and Social Commission for Asia and the Pacific, including United Nations Headquarters entity funds (\$24.91 million, or 6 per cent) and the United Nations Assistance Mission in Afghanistan (\$19.93 million, or 5 per cent). Together, these five entities accounted for 90 per cent of the total balance.

54. The Board also conducted a trend analysis of the cost-recovery funds (10RCR and 10ICT) reserve ratio (i.e. year-end cumulative fund balance divided by average annual expenses of the past three years) and noted that the reserve ratio had persistently exceeded the policy ceiling of 1. In 2025, the reserve ratio stood at 1.43, with significant variations across entities, ranging from 0.32 to 2.05, as detailed in table II.10.

<sup>2</sup> The cumulative fund balance as at the end of 2023 and 2024 is restated by additionally deducting open commitments to present a more accurate picture of the funds available for use.

Table II.10  
Reserve ratio by fiscal year

(Millions of United States dollars)

| Entity                                                                              | 2023                    |               | 2024                    |               | 2025                    |               |
|-------------------------------------------------------------------------------------|-------------------------|---------------|-------------------------|---------------|-------------------------|---------------|
|                                                                                     | Cumulative fund balance | Reserve ratio | Cumulative fund balance | Reserve ratio | Cumulative fund balance | Reserve ratio |
| United Nations Headquarters                                                         | 214.59                  | 1.69          | 236.53                  | 1.96          | 237.53                  | 1.85          |
| United Nations Office at Nairobi                                                    | 57.20                   | 1.81          | 59.55                   | 1.71          | 59.69                   | 1.58          |
| United Nations Office at Geneva                                                     | 53.86                   | 0.96          | 43.70                   | 0.73          | 39.82                   | 0.61          |
| ESCAP, including United Nations Headquarters entity funds                           | 25.00                   | 2.77          | 23.75                   | 2.37          | 24.91                   | 2.02          |
| UNAMA                                                                               | 23.90                   | 1.55          | 23.03                   | 1.25          | 19.93                   | 0.93          |
| UNAMI                                                                               | 17.48                   | 1.48          | 17.12                   | 1.52          | 18.69                   | 2.05          |
| United Nations Office at Vienna, including United Nations Headquarters entity funds | 16.44                   | 2.07          | 14.32                   | 1.66          | 16.34                   | 1.54          |
| ESCWA                                                                               | 1.50                    | 0.27          | 1.62                    | 0.32          | 2.60                    | 0.67          |
| ECLAC                                                                               | 1.81                    | 1.05          | 2.60                    | 1.51          | 2.02                    | 1.00          |
| UNSMIL                                                                              | 5.70                    | 1.01          | 0.97                    | 0.20          | 0.31                    | 0.94          |
| Others                                                                              | 6.18                    | 0.67          | 1.51                    | 0.28          | 1.68                    | 0.32          |
| <b>Total cumulative fund balance</b>                                                | <b>423.66</b>           | <b>1.50</b>   | <b>424.71</b>           | <b>1.51</b>   | <b>423.52</b>           | <b>1.43</b>   |

Source: Data provided by the Administration.

Abbreviations: ECLAC, Economic Commission for Latin America and the Caribbean; ESCAP, Economic and Social Commission for Asia and the Pacific; ESCWA, Economic and Social Commission for Western Asia; UNAMA, United Nations Assistance Mission in Afghanistan; UNAMI, United Nations Assistance Mission for Iraq; UNSMIL, United Nations Support Mission in Libya.

55. The Board is of the view that, considering the persistently high level of cumulative fund balance from cost-recovery services and the consistent concerns expressed by legislative bodies, enhanced transparency in cost recovery management would enable better oversight and informed decision-making by legislative bodies.

**56. The Board recommends that the Administration develop a dedicated dashboard for cost-recovery services accessible to Member States and legislative bodies, to keep them promptly updated on cost-recovery revenues, expenses, cumulative fund balances and other relevant information to enhance transparency in cost-recovery management.**

57. The Administration accepted the recommendation.

### 3.2.2. Legacy balance clean-up and finalization of amounts to be returned to Member States still in progress

58. In its previous audit (A/78/5 (Vol. I), chap. II, paras. 127–133), the Board highlighted that \$198.07 million of the legacy accumulated surplus under the legacy Office of Programme Planning, Budget and Accounts had been built up before the roll-out of Umoja, as the previous Integrated Management Information System did not have the granularity for relevant revenue and expenses that Umoja had, which led to the legacy accumulated surplus. In January 2026, the Advisory Committee in its report (A/80/475) stressed that remaining legacy balances should be concluded expeditiously. In its previous report (A/80/5 (Vol. I), chap. II, para. 52), the Board highlighted that the Administration indicated that analysis on the remaining legacy

accumulated balance was ongoing and expected to be completed in the fourth quarter of 2025.

59. As indicated in the report of the Secretary-General on cost recovery (A/80/369) submitted in September 2025, as requested by the General Assembly in its resolution 79/245, a sum of \$43.5 million from legacy fund balances was in the final stages of review as part of the clean-up exercise. The Board followed up on the status of the legacy balance clean-up and noted that the \$198.07 million legacy balance was mainly composed of three legacy funds: SAN, OJA and JUA.<sup>3</sup> As at April 2026, \$132.41 million (67 per cent) has been identified and distributed across fund centres within the cost-recovery fund to offset corresponding expenses; \$6.14 million (3 per cent) has been allocated to cover the staff liabilities reserve; and \$12.73 million (6 per cent) has been identified as interest revenue embedded within the legacy fund balances from OJA. A total amount of \$43.34 million (22 per cent) remained under OJA and JUA which was expected to be returned to Member States. The Administration indicated that the final amount is pending the actuarial study of the staff liabilities reserve. The remaining amount of \$3.45 million (2 per cent) under other legacy funds mostly contains transactions related to recovery of costs for staff loaned to other United Nations entities on a reimbursable basis and after-service health insurance from agencies, funds and programmes, which is expected to be transitioned out of the cost-recovery funds.

60. While recognizing the efforts undertaken by the Administration in cleaning up the legacy surplus, the clearance of the remaining balances had taken longer than anticipated, as the analysis was expected to be completed in the fourth quarter of 2025, but remained outstanding as at April 2026.

61. Considering that the clean-up of the remaining legacy balances is in its final stage, the Board will continue to follow up on this matter and will not issue a recommendation in this regard at this stage.

### 3.2.3. *Further clarification needed for allocation options of 10RCR investment revenue*

62. In its previous audits (A/79/5 (Vol. I), chap. II, paras. 62–67, A/80/5 (Vol. I), chap. II, paras. 54–60), the Board highlighted the issue of the absence of an allocation mechanism of 10RCR investment revenue. In its resolution 79/245 (para. 14), the General Assembly requested the Secretary-General to expedite the review of the surplus and propose options for allocating interest revenues. In January 2026, the Advisory Committee on Administrative and Budgetary Questions indicated in its report (A/80/475) that while noting that the use of this interest revenue had been disclosed in the cost-recovery policy and guidelines, the Advisory Committee noted that in his report, the Secretary-General did not present options to the General Assembly for the allocation of generated interest revenue as the Assembly had requested in its resolution 79/245.

63. The Board continued its review in this regard and noted that the 10RCR investment surplus continued to grow significantly. In 2025, 10RCR investment revenue reached \$19.96 million while related expenses were only \$3.28 million, resulting in an annual surplus of \$16.68 million and bringing the accumulated 10RCR investment surplus to \$63.33 million by year-end, as shown in table II.11 below. Of the \$16.68 million annual surplus in 2025, \$1.74 million was in fact interest earned

<sup>3</sup> SAN: multi-year special account for insurance recovery and expenditure relating to damage of aftermath of storm Sandy; OJA: legacy fund used to account for services (medical, security and mail) provided by United Nations Headquarters to external agencies and some Secretariat entities in New York; and JUA: Special Account for Information Technology and Telecommunications Services Costs at Headquarters.

on three other funds and posted to 10RCR. Given that these three funds are classified as “unallocated”, which draw on multiple funding sources and serve management purposes, the Board considers that the basis for allocating the related interest revenue in full to 10RCR merits further explanation. In addition, \$12.73 million of interest revenue embedded within the OJA legacy fund balance was identified during the legacy balance clean-up exercise. Together with the \$63.33 million above, both streams of interest-related balances are centrally held and managed at Headquarters.

Table II.11

**Revenues, expenses and surplus of 10RCR investment revenue, 2020–2025**

(Millions of United States dollars)

| <i>Year</i>    | <i>2020</i> | <i>2021</i> | <i>2022</i> | <i>2023</i> | <i>2024</i> | <i>2025</i> | <i>Total</i> |
|----------------|-------------|-------------|-------------|-------------|-------------|-------------|--------------|
| Revenue        | 2.98        | 1.79        | 8.52        | 16.15       | 22.21       | 19.96       | 71.61        |
| Expenses       | 0.30        | 0.47        | 0.88        | 1.50        | 1.85        | 3.28        | 8.28         |
| Annual surplus | 2.68        | 1.32        | 7.64        | 14.65       | 20.36       | 16.68       | 63.33        |

*Source:* Data from Umoja Analytics.

64. The Administration indicated that the surplus was required to support staffing, training and other central operational requirements of cost recovery, which played a critical role in sustaining the cost-recovery framework and providing support to service providers and oversight and legislative bodies, as well as a reserve to fund corporate projects. The Administration further explained that the revenue generated in recent years had been higher due to the size of the fund balance and the interest rate. The Administration also stated that given that it expects to return approximately \$40 million to Member States and that a significant amount will be used for financing DC-2 building renovation costs in advance, with reimbursement to be sought from the landlord, the amount of interest generated will decrease.

65. The Board is of the view that substantial and growing investment surplus may indicate that the Administration should make necessary assessment to justify the current surplus level, and, as requested by the General Assembly in its resolution [79/245](#) (para. 14), propose options to the Assembly for the allocation of these generated interest revenues, thereby improving both the efficiency of fund utilization and the transparency of management.

66. Considering that the Administration is progressing with the related recommendation of the Board ([A/79/5 \(Vol. I\)](#), chap. II, para. 66), the Board will not issue a duplicate recommendation in this regard.

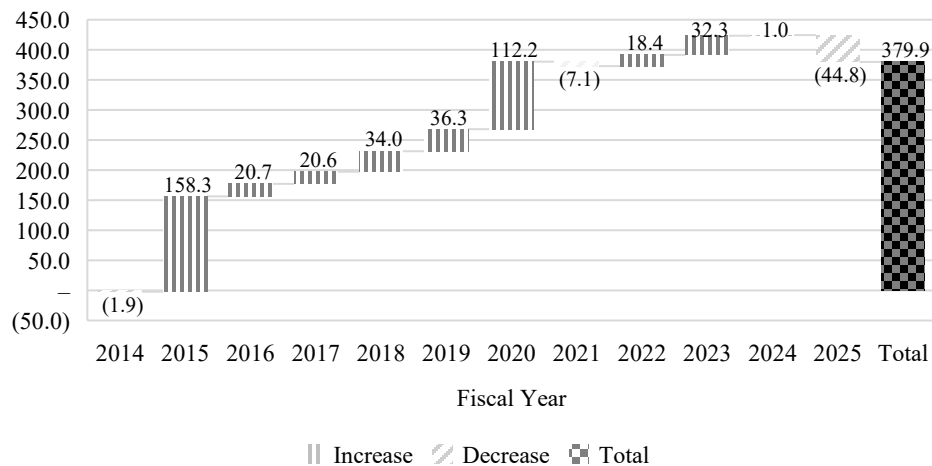
### 3.2.4. *Incomplete disclosure in the Secretary-General's comprehensive report on cost recovery*

67. In its resolution [79/245](#), the General Assembly noted the findings of the Board regarding cost-recovery resources and requested the Secretary-General to submit a comprehensive report on cost recovery, covering all the issues identified, at the main part of the eightieth session of the Assembly.

68. Pursuant to the resolution, the Secretary-General submitted a comprehensive report ([A/80/369](#)) to the Advisory Committee on Administrative and Budgetary Questions in September 2025, disclosing the operational status of the cost-recovery funds as at August 2025. The Board reviewed the report and noted incomplete disclosure of relevant information on cost-recovery management.

69. According to the comprehensive report, the cumulative fund balance of the cost-recovery funds declined for the first time since 2022 as detailed in figure II.II below. The balance decreased by \$44.8 million compared with the year-end of 2024, falling to \$379.86 million as at August 2025.

Figure II.II  
**Cumulative fund balance changes by fiscal year (10RCR)**  
(Millions of United States dollars)



Source: Data from the report of the Secretary-General on cost recovery in the United Nations Secretariat ([A/80/369](#)).

70. However, the Board noted that on 30 June 2025, the Administration transferred \$17.17 million from the 10RCR fund to the 64HOA fund, which was designated for financing DC-2 building renovation costs in advance, with reimbursement to be sought from the landlord. By the end of 2025, open commitments had been established for the transferred fund and no reimbursement had been received.

71. The Administration recorded the transfer of \$17.17 million as a movement in net assets, which had the effect of reducing the reported 10RCR cumulative fund balance by the same amount. The Administration stated that the transfer represented a deliberate allocation of available surplus within the 10RCR fund to finance activities in a separate fund, in line with the approved operational framework for cost-recovery services and that the accounting treatment reflected the substance of the transaction. The Administration also indicated that expenditures pending reimbursement would reduce the cumulative surplus until recovery was realized.

72. The Board noted that, on the basis of the expected recovery of the amount, the cumulative fund balance from cost-recovery services at the end of 2025 would amount to \$440.69 million, representing a 4 per cent increase from the balance from the end of 2024. The Board further noted that neither the transfer nor its expected recovery was disclosed in the Secretary-General’s comprehensive report. Without expressing a view on the accounting treatment applied, the Board is of the view that disclosure of the transfer, its purpose and its expected recovery would provide legislative bodies with a more complete picture of the cost-recovery fund’s resource utilization and of the amounts expected to flow back to the fund.

73. In addition, while the report of the Secretary-General stated that the cumulative fund balance was disclosed “as at August 2025”, the underlying data was extracted

from the cost-recovery dashboard as at 22 August 2025, rather than as at 31 August 2025. The Administration explained that the figures would have continued to change until the closure of the financial period and that the intention was to provide the most up-to-date information available at the time of report preparation. As confirmed by the Administration, transactions recorded between 22 and 31 August 2025 were not captured, resulting in the reported balance being \$7.64 million lower than the balance as at 31 August 2025. The Board is of the view that disclosing the actual data extraction date would remove ambiguity regarding the reporting period and enhance the precision of the disclosed figures.

### 3.3. Programme support funds management

74. In its previous report ([A/80/5 \(Vol. I\)](#), chap. II, paras. 77–96), the Board recommended that the Administration add the net asset balance, including the required target reserve balance, of the category 62 funds in the current internal control dashboard to further enhance the monitoring of the management of extrabudgetary resources, which was implemented. The Advisory Committee on Administrative and Budgetary Questions concurred with the Board and stressed the need for more transparency on the management and use of reserves ([A/80/485](#), paras. 30–32), and the General Assembly, in its resolution [80/231](#), endorsed the recommendations of the Board and the Advisory Committee and reiterated its request to the Secretary-General to ensure their full implementation. In view of the continued attention given by the legislative bodies to this matter, the Board followed up on the management of programme support cost reserves.

75. The Board noted that the updated administrative instruction, which the Board had previously recommended ([A/78/5 \(Vol. I\)](#), chap. II, para. 191), remained pending. In the interim, to mitigate the risk of cross-subsidy of extrabudgetary operations by the assessed resources, the Administration issued new programme support cost guidelines in April 2025. The guidelines provide a tiered approach of three distinct reserve components to address operational, contingent and corporate short- and long-term liabilities. The operating reserve is set at a minimum of 20 per cent of the estimated annual programme support cost revenue and it is recommended to maintain a contingent reserve of up to 12 months of estimated annual expenditures.

76. As at 31 December 2025, the 53 programme support cost funds reported in volume I held net assets of \$309.58 million, of which \$127.87 million was attributed to the corporate programme support cost fund (62RPS) managed by the Department of Management Strategy, Policy and Compliance. After deducting \$30.22 million withheld for other offices as indicated by the Administration, the net assets of 62RPS amounted to \$97.65 million which is below the minimum reserve of \$253.7 million estimated by the Administration under the April 2025 guidelines. The Administration stated that the reserve level was not commensurate with extrabudgetary operations in the order of \$3 billion annually. The Administration highlighted that the corporate fund was of a different nature, intended also to provide for the share of extrabudgetary activities in large-scale capital initiatives, restructuring costs and financial risks associated with underfunded liabilities and that the majority of the \$253.7 million was designated for future capital projects, estimated on the basis of past expenditure on cross-cutting capital projects such as Umoja.

77. The Board is of the view that the appropriate level of, and justification for, the corporate reserve, remains to be formally established, and expects this to be addressed in the updated administrative instruction. The net assets of the 52 programme support cost funds of implementing entities amounted to \$181.71 million, with reserve levels remaining uneven across entities, particularly large extrabudgetary entities, which exhibit shortfalls when measured against the new guidelines. Considering that the

implementation of the Board's previous recommendation (A/78/5 (Vol. I), chap. II, para. 191) remains in progress, the Board will not issue a new recommendation and will continue to follow up in that context.

### 3.4. Cash and investment management

78. The General Assembly, in its resolution 79/245, invited the Secretary-General to examine, in the context of the performance report, the amount and use of interest generated by existing funds and mechanisms within the Secretariat, disaggregated by funding stream, including but not limited to the cost-recovery funds, and to report thereon to the Assembly, and also requested the Advisory Committee on Administrative and Budgetary Questions to request the Board to keep matters related to accrued interest under review and report thereon in its future reports.

79. The United Nations operates a centralized treasury function that manages the cash resources of participating entities through a cash pooling arrangement. Under this framework, available cash balances from participating entities are consolidated and managed through investments in financial instruments with operational liquidity maintained by the treasury-managed house bank accounts. Funds held within the cash pools are invested in accordance with the United Nations Investment Management Guidelines, with the following objectives, in order of priority: first, to preserve capital; second, to maintain sufficient liquidity to meet operational requirements; and third, to generate market-based returns within acceptable risk parameters.

80. Pertaining to volume I, as at 31 December 2025, the investment portfolios, comprising the main pool, the euro pool and the United Nations Staff Mutual Insurance Society against Sickness and Accident, had a total market value of \$6,289.2 million, of which the main pool accounted for \$5,954.5 million (94.68 per cent), the euro pool for \$18.4 million (0.29 per cent) and the United Nations Staff Mutual Insurance Society against Sickness and Accident for \$316.3 million (5.03 per cent).

81. As at 31 December 2025, the main pool comprised 518 pool participants (funds), including 243 funds reported in volume I and 275 funds from other entities.<sup>4</sup> The rate of return for 2025 was 4.40 per cent, exceeding the benchmark of 4.06 per cent (the average three-month United States Treasury bill rate). This was the first outperformance since the sharp rise in the policy interest rates in the United States of America beginning in 2022. The outperformance was mainly attributable to the continued contribution of higher-yielding investments acquired prior to the shift by the country's Federal Reserve to an interest rate easing cycle in late 2024.

82. As a general principle, the revenue of the main pool is distributed to all participants based on their daily proportionate share of holdings in the cash pool.

83. Of the total realized revenue generated by the main pool in 2025, the portion distributed to the funds reported in volume I amounted to \$277.93 million. In addition, the euro pool and the United Nations Staff Mutual Insurance Society against Sickness and Accident have the same single pool participant, which falls within the scope of volume I. Accordingly, the realized revenue of these two pools in 2025, amounting to the equivalent of \$6.39 million in total, was transferred directly to the participant

<sup>4</sup> Other participating entities include the International Residual Mechanism for Criminal Tribunals, the International Trade Centre, the secretariat to the Convention to Combat Desertification, the United Nations Environment Programme, the secretariat to the United Nations Framework Convention on Climate Change, the United Nations Human Settlements Programme, the United Nations Office on Drugs and Crime, United Nations University, the United Nations Relief and Works Agency for Palestine Refugees in the Near East and United Nations peacekeeping operations, as reported in volume II.

without the need for apportionment. Taken together, the total realized revenue attributable to volume I fund groups in 2025 amounted to \$284.32 million, as set out in table II.12 below.

Table II.12

**Realized revenue of fund groups of United Nations operations as reported in volume I for 2025**

(Millions of United States dollars)

| <i>Fund group</i>                          | <i>Realized revenue</i> |
|--------------------------------------------|-------------------------|
| Regular budget and related                 | 36.91                   |
| Common support                             | 34.37                   |
| Trust funds                                | 141.32                  |
| Long-term employee benefits                | 28.20                   |
| Insurance and workers' compensation        | 35.70                   |
| Capital assets and capital investment plan | 3.87                    |
| Other                                      | 3.95                    |
| <b>Total</b>                               | <b>284.32</b>           |

*Source:* Based on data from the Finance Division of the Office of Programme Planning, Finance and Budget.

### 3.5. Employee benefits liabilities

84. As disclosed in note 18 to the financial statements of the operations of the United Nations as reported in volume I, the defined end-of-service liabilities amounted to \$5.99 billion as at 31 December 2025, which comprised \$5.35 billion (89.4 per cent) for after-service health insurance, \$0.38 billion (6.3 per cent) for repatriation benefits and \$0.26 billion (4.3 per cent) for unused annual leave. The measurement of these obligations was based on the actuarial valuation report prepared by an external actuary in 2025. Defined benefits liabilities under the regular budget are unfunded, with their costs budgeted and provided using a pay-as-you-go approach. Liabilities under extrabudgetary resources are funded in part with two reserve funds totalling \$684.50 million, representing 51.5 per cent of the accrued liabilities; \$784.2 million of estimated future liabilities are unfunded.

#### *Policy review of reserves for end-of-service liabilities funded by extrabudgetary resources*

85. In its previous audit (A/79/5 (Vol. I), chap. II, paras. 188–193), the Board highlighted that the accrual rates for after-service health insurance and repatriation benefits under extrabudgetary resources stood at 6 per cent and 8 per cent, respectively. While the accrued liabilities for repatriation benefits are funded, no reserve had been set up for annual leave. The Board recommended that the Administration conduct a comprehensive review of the current policy and management framework governing reserves for end-of-service liabilities under extrabudgetary resources.

86. The Board followed up on this issue and noted that as at 31 December 2025, the accrued liabilities for after-service health insurance, repatriation benefits and annual leave under extrabudgetary resources amounted to a total of \$1,329 million (\$1,118 million, \$123 million and \$88.5 million, respectively), out of which only \$684.5 million are funded. As the surplus in the repatriation benefits reserve cannot offset shortfalls in other benefit types, \$784.2 million of estimated future liabilities remained unfunded. The accrual rate for after-service health insurance under

extrabudgetary resources increased from 6 to 9 per cent effective from 1 January 2025. As at 31 December 2025, the accumulated after-service health insurance reserve totalled \$422 million, representing an increase of \$101 million from 2024 and \$171 million from 2023. Consequently, the funding ratio of the liability increased by 12.1 percentage points, rising from 25.7 per cent in 2023 to 37.8 per cent in 2025. Yet, as at 31 December 2025, \$695.7 million of estimated after-service health insurance liability were unfunded. The accrual rate for repatriation benefits under extrabudgetary resources remained unchanged at 8 per cent. As at 31 December 2025, the accumulated reserve for repatriation benefits totalled \$262 million, with an increase in the funding rate from 186.5 per cent in 2023 to 213.7 per cent in 2025. As at 31 December 2025, no reserve had been established for annual leave and \$88.5 million of estimated annual leave liability remained unfunded, representing an increase of \$11.5 million in the funding shortfall compared with 2024.

87. The Administration stated that, given the significant underfunding of the estimated total liabilities and to minimize the risk of future cross-subsidization by the assessed resources, repatriation benefits should not be assessed in isolation. It is therefore undertaking a comprehensive review of end-of-service liabilities across the Secretariat's extrabudgetary entities – including after-service health insurance, repatriation grant, travel and shipment upon separation, termination indemnities and unused annual leave – and has contracted independent actuaries to review the funding methodology and accrual rates with a view to ensuring that all such liabilities are appropriately measured and funded.

88. Considering that the Administration is progressing with the related recommendation of the Board ([A/79/5 \(Vol. I\)](#), chap. II, para. 192), the Board will not issue a duplicate recommendation in this regard.

*Lack of dedicated investment strategy for reserves for end-of-service liabilities*

89. In 2023, the Board reiterated its previous recommendation that the Administration accelerate the finalization of investment guidelines for reserves for end-of-service liabilities, with a view to better aligning assets with corresponding liabilities ([A/79/5 \(Vol. I\)](#), chap. II, paras. 194–201).

90. The Board followed up on this matter and noted that, as at 31 December 2025, the reserves for after-service health insurance and repatriation benefits under extrabudgetary resources amounted to \$422 million and \$262 million, respectively, representing a total increase of \$132 million from the total balance of \$552 million as at 31 December 2024. Nevertheless, these funds were still pooled and invested through the main cash pool by the end of 2025.

91. In 2025, the estimated durations for after-service health insurance and repatriation benefit liabilities were 19 years and 7 years, respectively. In contrast, the approved investment horizon of the main cash pool ranged from 0.6 to 1.0 year, resulting in a severe maturity mismatch between assets and liabilities.

92. Also, according to the 2025 actuarial valuation report, the discount rates applied to after-service health insurance and repatriation benefit liabilities were 4.88 per cent and 5.17 per cent, respectively. However, the actual rate of return on the main cash pool in 2025 stood at 4.40 per cent. The Administration stated that in 2024 the rate of return of the main cash pool had been higher than the discount rate used. In the long run, the absence of an investment approach that is appropriately aligned with a longer-term, more diversified portfolio may limit the Organization's ability to capture potential long-term economic gains and could contribute to challenges in meeting future accrued liabilities.

93. The Administration indicated that, following the completion of a strategic asset allocation study by actuarial consultants, it has finalized the update to its Investment Guidelines to incorporate asset classes suitable for longer-term reserves. These updated guidelines are currently progressing through the internal approval process and are expected to be signed by the Controller. As at 30 April 2026, the guidelines have not yet entered into force.

94. The Board encouraged the Administration to expedite the approval process.

#### **4. Asset management**

95. As disclosed in note 14 to the financial statements, the net book value of property, plant and equipment of the operations of the United Nations as reported in volume I totalled \$3.34 billion as at 31 December 2025, representing a 7.7 per cent increase compared with the 2024 balance of \$3.10 billion. The largest portion of property, plant and equipment comprised land and buildings, which totalled \$2.83 billion, or 84.7 per cent of the total property, plant and equipment.

##### **4.1. Oversight on asset disposals**

###### *4.1.1. Lack of supporting documentation for selected disposal method*

96. According to rule 105.23 of the Financial Regulations and Rules of the United Nations and the policy interpretation and guidance for the disposal of property, property, plant and equipment, inventories and intangible assets of the United Nations that are declared surplus, unserviceable or obsolete following a recommendation by a review body shall be disposed of, transferred or sold after competitive bidding. Financial rule 105.23 provides five alternatives to sale by competitive bidding when recommended by a review body and outlines the criteria for the applicability of each alternative. The policy interpretation and guidance indicates that the application of any of the five alternatives requires a supporting analysis that details the basis and justification for the selected alternative.

97. The Board noted that, during the period from 2020 to 2025, the Secretariat disposed of 4,769 capitalized assets,<sup>5</sup> with an acquisition value of \$168.7 million and a net book value of \$7.4 million, as well as 78,317 items of used non-capitalized equipment with an original acquisition cost of \$93.2 million, noting that a large proportion of capitalized property were at or beyond their useful lives. Of these, 4,312 capitalized assets, with an average age of 11.5 years, and 70,113 old non-capitalized items were categorized as surplus, unserviceable or obsolete and were therefore required to be assessed for disposal through sale by competitive bidding as the preferred disposal method under financial rule 105.23, unless one of the five alternatives prescribed therein was duly justified through an appropriate supporting analysis. In fact, 1,212 capitalized assets (28.1 per cent by number, or 27.9 per cent by net book value) and 8,440 items of non-capitalized equipment (12.0 per cent by number) within this category were disposed of through sale, while the remainder were disposed of through alternative methods. The Administration stated that a large proportion of these items were at or beyond their useful lives, with potentially limited or negligible resale value, and that the use of alternative methods might therefore have been appropriate where items were obsolete, technologically outdated or unlikely to yield meaningful proceeds if sold; however, this information was not readily available for the Board's review.

<sup>5</sup> Excluding real estate-related Asset Classes 120, 140, 150, 160 and 7xx, leased assets, write-offs from administrative error, scheduled replacements, warranty replacements, transfers to other United Nations entities and items purchased for end-beneficiaries.

98. On the basis of sampling, the Board reviewed 192 assets (5 vehicles with an average age of 13.5 years, 181 networking and videoconferencing equipment items with an average age of 13.1 years, and 6 X-ray screening equipment items with an average age of 6.2 years) and 7,503 equipment items (7,439 laptops, computers, printers, televisions and scanners with an average age of 7.5 years and 64 medical equipment items with an average age of 6 years) not disposed of through sale, and noted that 6,078 of them (78.99 per cent) did not have the detailed documented analysis and justification for the disposal method required by the policy guidance. For example, between 2020 and 2025, the Secretariat disposed of batches of videoconferencing equipment, network switches and bulk information technology equipment for which the attachments uploaded in the Umoja system consisted only of disposal approval forms (indicating obsolescence) and asset lists, without adequate supporting documentation indicating the actual condition or potential resale value of the assets or explaining why sale by competitive bidding was not pursued (including whether the costs of technical assessment or competitive bidding would exceed the expected returns).

99. The Administration explained that the five exceptions to disposal by competitive bidding provided for under financial rule 105.23 were all permissible and were to be applied based on the specific circumstances of each case, noting that certain assets were subject to disposal restrictions or security considerations that might preclude sale. The Administration further indicated that the disposal of electronic equipment was carried out in accordance with the terms of reference of the e-waste recycling contract (PD/C0014/18), and that, for certain categories of aged or obsolete equipment, the costs associated with preparing items for sale, which might include specialist assessment, data sanitization and handling, might outweigh potential sales proceeds and would not be an efficient use of resources.

100. The Board is concerned that such a large volume of assets and equipment items was disposed of through alternative methods without the documented supporting analysis required to demonstrate that sale was not feasible or appropriate. This does not comply with the policy guidance and the potential returnable income from these disposals therefore cannot be assessed.

**101. The Board recommends that the Administration remind entities of the need to follow the policy guidance and to strengthen the quality and consistency of supporting analysis and documentation for disposal decisions, while ensuring that the approach remains practical and cost-effective.**

102. The Administration accepted the recommendation.

#### *4.1.2. Real estate assets donated prior to appropriate approval*

103. Pursuant to paragraph 6 of section III (Property Management) of the Delegation of Authority from the Secretary-General to heads of entity, the disposal of land and fixed buildings must in all cases be submitted to the Headquarters Property Survey Board for review and approved by the Under-Secretary-General for Management Strategy, Policy and Compliance, regardless of depreciated value. Paragraph 12 of section III further indicates that Heads of Entity must avoid ex post facto cases. Where such cases occur, they must be reported to the Headquarters Property Survey Board within 30 calendar days of occurrence.

104. As at 31 December 2025, the real estate portfolio for UNAMI comprised 64 fixed buildings and land parcels with a historical acquisition cost of \$57.58 million and a net book value of \$47.77 million, all recorded as donated to two Member States.

105. On the basis of sampling, the Board reviewed 41 real estate, infrastructure and leasehold improvements assets with a net book value of \$38.71 million (acquisition

value: \$46.09 million) and noted that they were disposed in ex post facto manner. Of these, 40 had handover certificates signed with the local government, while the handover certificate for the remaining asset could not be located in Umoja. Of the 40 assets with handover certificates, 8 were reported to the Headquarters Property Survey Board more than 30 days after the transfer date, in contravention of the 30-calendar-day reporting requirement. In addition, for 34 of the 40 assets, the requisite approval was obtained more than 30 days after the transfer date, while the remaining 6 received approval within 30 days. For example, UNAMI transferred seven assets (acquisition value: \$1.97 million; net book value: \$1.61 million) constituting the office facilities of the United Nations Investigative Team to Promote Accountability for Crimes Committed by Daesh/ISIL to one Member State on 1 October 2024, but did not obtain the requisite approval until 17 November 2025, 412 days after the transfer date. UNAMI stated that, as at the end of April 2026, all real estate cases requiring the written advice of the Headquarters Property Survey Board had been submitted, with several cases still under review.

106. The Board is concerned that disposal of a significant amount of real estate, infrastructure and leasehold improvements assets in an ex post facto manner may expose the Mission to risks of non-compliance of established disposal procedures.

**107. The Board recommends that the Administration remind special political missions of the need to comply with approval requirements for the disposal process, with particular attention to real estate assets and, where an ex post facto case occurs, to document the specific reasons for its occurrence.**

108. The Administration accepted the recommendation.

## **4.2. Management of construction projects and related funds**

### *4.2.1. Major construction projects were approved at a high level of aggregation without indicative costs for major work packages*

109. The General Assembly, in its resolution [79/257](#), requested the Secretary-General to continue his efforts to achieve transparency and improve the accuracy, comprehensiveness and analysability of the budgetary data, refine the presentation of the proposed programme budget, and provide complete, clear, comparable and transparent financial data to the General Assembly. According to regulation 2.10 of the Financial Regulations and Rules of the United Nations ([ST/SGB/2013/4](#)), no decision involving a change in the programme budget approved by the General Assembly shall be taken without a report of the Secretary-General on the programme budget implications.

110. The Board reviewed the office blocks A–J replacement project and the project for addressing the deteriorating conditions and limited capacity of the conference services facilities at the United Nations Office at Nairobi, and noted that the programme budget presentation of these construction projects could be enhanced to strengthen General Assembly oversight.

111. For the office blocks A–J project, the construction costs approved by the General Assembly under section 33 were presented at a high level of three components (namely early works (\$10.85 million), flexible workplace strategies (\$17.44 million) and new office block (\$24.32 million)), without indicative cost for major construction activities within each component. Similarly, for the conference services facilities project, the maximum overall cost was approved by the General Assembly in its resolution [78/253](#). The report of the Secretary-General on addressing the deteriorating conditions and limited capacity of the conference services facilities at the United Nations Office at Nairobi ([A/77/367](#) and [A/77/367/Corr.1](#)) presented the project scope with broad descriptions of construction scale, expected occupancy and major building

components, while the budget provided aggregated totals (e.g. option B listed a subtotal of \$151 million for construction costs) without specifying allocations for individual construction components.

112. The Board is of the view that a lower-level budget breakdown would enhance clarity as to whether scope evolution during implementation fell within the approved envelope or required additional General Assembly authorization. For example, the original approval for the office blocks A–J project included plans for the relocation of the Joint Medical Service facilities; however, the implementation approach evolved over time. The 2018 approval ([A/73/344](#), para. 54) envisioned housing medical facilities within the repurposed publishing building along with other operational functions. However, the progress report in 2025 ([A/80/202](#), para. 29) indicated that a separate Joint Medical Service building would be constructed.

113. The Administration explained that the Joint Medical Service relocation requirement was embedded in the early works component, and that the final location and design details were dependent on coordination with the conference services facilities project to ensure integration with the conference area design.

114. The Board also noted cases where a lower-level budget breakdown would have enhanced clarity in the assignment of responsibility for cross-project work packages. For instance, the United Nations Office at Nairobi, as the project owner, implemented both the office blocks A–J project and the conference services facilities project at the Gigiri compound. The office blocks A–J project progress report ([A/76/330](#), para. 13) states that the current sites of office blocks A–J will be reclaimed and will revert to a prime environmental park with potential exhibition areas. Meanwhile, the conference services facilities project progress report ([A/77/367](#), paras. 78–80) also states that particular emphasis has been placed on the demolition of the existing office buildings in order to take advantage of the resulting areas for development as future infrastructure in the exhibition park, and that the early works phase is directly linked to the implementation strategy for the office blocks A–J project. These demolition-related costs were included in the construction costs (section 33) of the conference services facilities project as presented in the report of the Secretary-General on addressing the deteriorating conditions and limited capacity of the conference services facilities at the United Nations Office at Nairobi ([A/78/382](#)).

115. The Administration explained that following the revised site plan in the report of the Secretary-General for the office blocks A–J project ([A/76/330](#)), both projects had reached agreement on co-financing of the expanded scope of the demolition of office blocks A–I: the total demolition cost was \$536,021, of which the office blocks A–J project would contribute \$187,300 (35 per cent) and the conference services facilities project would contribute \$348,721 (65 per cent). The Administration further stated that the Project Executive had ensured coordination between the two projects, with no overlap in responsibility for the office blocks A–J site.

116. The Board is of the view that a lower-level budget breakdown in the reports of the Secretary-General would have enhanced clarity about the budget and responsibility assignment for the demolition. While the conference services facilities project did not explicitly include the demolition of blocks A–I at the time of approval, the Secretary-General's report highlighted the necessity of demolition works, and in practice the conference services facilities project undertook part of the demolition costs. A more detailed presentation would have enhanced the ability to determine whether a specific component fell within the approved budget, or whether there were duplications or missing project components. Enhanced granularity in cost planning would facilitate the General Assembly's assessment.

117. **The Board recommends that the Administration enhance the budget presentation for major construction projects by providing more details of the cost plans and major work packages in the annual progress reports.**

118. The Administration accepted the recommendation.

4.2.2. *Insufficient clarity in the guidance on the management and use of contingency provisions for construction projects*

119. The guidelines for the management of construction projects of the Organization (Volume 2), in paragraph 9.6.3.5, provides that contingency allowances should only be used to mitigate financial obstacles arising from the realization of potential risk events and not be used to cover for cost variances created by changes in scope as well as to absorb cost variances in other components of the project costs.

120. The Board reviewed the management and use of the contingency provisions for the office blocks A–J project and the conference services facilities project and noted that out of the \$5.45 million allocated contingency provisions for the office blocks A–J project, \$5.23 million had been utilized as at 31 December 2025 to mainly cover increased fit-out costs for the new buildings, costs to maximize solar photovoltaic energy generation and installing security and safety systems, as well as additional basement spaces. In addition, as explained in the Secretary-General's report for 2025 (A/80/202), \$440,600 of the utilization is earmarked to cover the costs of the residual project team in 2026. The conference services facilities project was allocated \$1.92 million as contingency provisions with no drawdown as at 31 December 2025.

121. The Administration explained that through the progress reports of the Secretary-General, the General Assembly and its Committees (Advisory Committee on Administrative and Budgetary Questions and Fifth Committee) were regularly updated and informed about all aspects of the project, including the use of contingency provisions. Although the maximum overall cost of the project remains unchanged, there have been changes in the costs of some components following design developments, and the resulting overall increase in construction costs and professional services was met through the use of the escalation and contingency provisions.

122. The Board is concerned that expenditures such as increased fit-out costs and project management team costs may be charged to contingency provisions without formalized procedures.

123. **The Board recommends that the Administration, during its forthcoming revision of the guidelines for the management of construction projects, further clarify the specific scope, approval processes, oversight mechanisms and reporting requirements for contingency provisions, to enhance clarity and ensure that such provisions are used for costs that align with the purposes of the contingency provisions.**

124. The Administration accepted the recommendation.

4.2.3. *Enhancements needed in the methodology for calculating escalation allowances*

125. The guidelines for the management of construction projects, in paragraph 9.6.3.2, provides that risks arising from fluctuations in inflation should be mitigated by establishing a cost escalation allowance. The escalation factor should be determined by taking into consideration various economic indicators, such as the construction cost index, consumer price index, etc. Therefore, major construction projects may establish escalation allowances according to the inflation rate of the country where the project is implemented.

126. The Board reviewed the management and utilization of the escalation allowance for the office blocks A–J project and the conference services facilities project, and noted that \$6.95 million and \$36.65 million were provided respectively as escalation allowance mainly based on the average inflation rate in Kenya. Both projects were implemented in Kenya, while contracts were prepared and paid in United States dollars.

127. By the end of June 2024, the \$6.95 million of the office blocks A–J project escalation allowances had been fully drawn down, of which \$5.13 million (or 73.8 per cent) was actually utilized to cover the extra cost stemming from approved adjustments within the scope of the project.

128. The Administration explained that the Secretary-General clearly and transparently reported the necessity to utilize the escalation allowance, primarily attributable to the flexible workplace strategies component, as well as to a portion of the increased fit-out costs related to the new building component.

129. The Board is of the view that the current Guidelines do not provide an adequate methodology for calculating escalation allowances for projects contracted in United States dollars but implemented in local-currency areas. In addition, the Guidelines do not define the permissible scope of utilization. Further refinement of the Guidelines in these aspects would enhance transparency and the management of cost escalation allowance.

**130. The Board recommends that the Administration, in the process of revising the guidelines for the management of construction projects, strengthen the existing provisions on escalation allowances in order to accurately reflect the escalation risk borne by the United Nations.**

**131. The Board further recommends that the Administration clarify the permissible uses of escalation allowances and establish procedures for tracking their uses.**

132. The Administration accepted the recommendations.

*4.2.4. Progress of the conference services facilities project later than the schedule approved by the General Assembly*

133. The General Assembly, in its resolutions [79/258](#), [78/253](#), [77/263](#) and [76/246](#), has emphasized the importance of governance, effective oversight, transparency and accountability in the management of multi-year major construction projects to ensure that project objectives are achieved within the approved budget and schedule.

134. In December 2023, the General Assembly, in its resolution [78/253](#), approved the scope, construction timeline, and the total cost of \$266 million for the conference services facilities project at the United Nations Office at Nairobi, defining three phases for the project: planning and design, construction and finalization.

135. The Board reviewed the schedule execution and noted that the planning and design phase, along with phase 1 of the construction had experienced postponements compared with the schedule approved by the General Assembly. At the planning and design phase, the “design and documentation” component, originally scheduled for completion in March 2025, was postponed to May 2026 (a 14-month postponement); the “procurement of early works” component was postponed from March to August 2025 (a five-month postponement); and the “procurement of construction” component was postponed from January 2026 to November 2027 (a 22-month postponement). In the construction phase: the “early works” component was rescheduled from January to August 2026 (a seven-month postponement), and the “phase 1: new buildings” component was rescheduled from July 2027 to October 2028 (a 15-month

postponement). As disclosed in the report of the Secretary-General (A/80/281), these postponements were attributed to changes in both the design and construction phasing strategies.

136. The Administration explained that the schedule adjustment was a deliberate, risk-informed management decision to refine the project implementation strategy. The Administration also asserted that this strategic adjustment did not delay the commencement of construction, will not affect the final completion date and will not generate additional project costs. The project's overall completion remains on schedule for September 2030.

137. The Board acknowledges that the schedule adjustment was a strategic decision. However, the Board is concerned that these early-stage postponements, such as the 22-month delay in construction procurement, may limit the scope for flexibility in the project's later stages and increase the risk of the project's final delivery on time and within the approved budget.

**138. The Board recommends that the Administration provide an updated schedule in the next report of the Secretary-General on the conference services facilities project to seek the approval from the General Assembly of the revised schedule.**

139. The Administration accepted the recommendation.

## **5. Human resources management**

140. In implementing the decisions of the General Assembly related to the revised estimates for the proposed programme budget for 2026, the Secretariat makes every effort to implement the reductions in the staffing table while preserving the Organization's core human resources strategic objectives, including equitable geographical representation, gender diversity, youth inclusion, disability inclusion and workforce rejuvenation. In his remarks to the General Assembly on 15 October 2025, the Secretary-General emphasized that entities should make every effort to uphold those principles and that restructuring or downsizing should not compromise geographical representation or the rejuvenation of the workforce.

141. These objectives have also been repeatedly emphasized by legislative and advisory bodies. In its report on the proposed programme budget for 2026 (A/80/7), the Advisory Committee on Administrative and Budgetary Questions underlined the need to close gaps in geographical representation and to intensify efforts to recruit from unrepresented and underrepresented Member States.

142. Achieving these objectives requires stringent and effective human resources management, especially in relation to planning, position management and selection. In this regard, accurate position data is necessary to ensure that budgetary submissions reflect actual staffing needs and functions. The prudent use of temporary appointments, fixed-term appointments with service limitation and the employment of retired staff is important to ensure that short-term arrangements do not become long-term substitutes for regular workforce planning. At the same time, the managed reassignment programme and the young professionals programme are key mechanisms for supporting geographical diversity, mobility and workforce rejuvenation, while Staff Selection 2.0 is intended to address systemic and structural weaknesses in the recruitment process and to support a more objective, merit-based and data-driven selection system.

143. Against this background, the Board reviewed selected human resources management areas that are critical to the achievement of the Organization's workforce planning objectives. The review covered: (a) consistency between operational and

budgetary position data; (b) the management of temporary appointments and fixed-term appointments with service limitation; (c) the retention and re-employment of retired staff; (d) the effectiveness of the managed reassignment programme in supporting the young professionals programme; and (e) progress in the implementation of Staff Selection 2.0 and its contribution to equitable geographical distribution, which revealed the areas for improvement described below.

#### **5.1. Long-standing differences between operational and budgetary position titles and grades**

144. Umoja serves as the central enterprise resource planning system of the Secretariat. Each position record in Umoja contains, among other data elements, a budgetary position title and an operational position title. These two distinct fields exist to allow adjustments to the budgetary title, as differences between the operational position title and the budgetary title result from operational requirements. Consistency between these fields is important to ensure the reliability of staffing information used for budget preparation, resource allocation and human resources management.

145. The Board analysed position master data extracted from Umoja for the period from 2021 to 2025 and noted long-standing differences between budgetary and operational position data across a number of Secretariat entities. These differences related primarily to differences in position titles and grades.

146. Regarding position titles, the Board identified 550 regular budget positions (excluding general temporary assistance positions) across 44 entities for which the operational title differed from the corresponding budgetary title. Of these, 313 positions had remained inconsistent for more than four years. Such long-standing differences indicate that budget submissions may not accurately reflect the actual functions and operational activities of the positions concerned. For example, one position was presented in the budget documents as a “G-5 Information Systems Assistant”, whereas the corresponding operational record consistently showed a “G-6 Human Resources Assistant” during the same period.

147. The Board is of the view that long-standing differences between operational and budgetary position data that are persistent could indicate possible weaknesses in controls over the management of position master data. As a result, budget documentation submitted to legislative bodies may not provide a complete and accurate representation of the Secretariat’s staffing capacity, which may affect the reliability and transparency of staffing information and potentially affect resource allocation decisions.

**148. The Board recommends that the Administration, in coordination with relevant stakeholders and entities, conduct a comprehensive review of all established and temporary posts under the regular budget with differences between operational and budgetary data over a period of more than one year to ensure that budgetary submissions accurately reflect the actual functions and grades of the respective positions.**

149. The Administration accepted the recommendation.

#### **5.2. Improvement needed in the management of temporary appointments and fixed-term appointments with service limitation**

150. Temporary appointments are intended to meet short-term staffing requirements arising from urgent, time-bound or peak workload needs without creating an expectation of continuing employment. Fixed-term appointments with service limitation are intended for specific and finite functions and do not carry an

expectation of renewal. In the context of the UN80 Initiative, under which the Secretariat plans to abolish 2,568 posts in 2026, the memorandum of 2 June 2025 of the Under-Secretary-General for Management Strategy, Policy and Compliance required that renewals beyond current expiration dates be carefully reviewed. Based on Secretariat personnel data as at the end of December 2025, the Board reviewed the use and renewal of temporary appointments and fixed-term appointments with service limitation in the Secretariat and noted that:

(a) After the issuance of the memorandum of 2 June 2025 of the Under-Secretary-General for Management Strategy, Policy and Compliance, 1,085 temporary appointments had expired, of which 958, or 88.3 per cent, were renewed. During the same period, 349 fixed-term appointments with service limitation had expired, of which 254, or 72.8 per cent, were renewed;

(b) Among the renewed contracts, 477 temporary appointments had cumulative appointment durations exceeding 729 days.

151. The Board is of the view that the high renewal rates of temporary appointments may indicate that the requirement for careful review has not been consistently applied. In addition, the repeated renewal of temporary appointments over extended periods has resulted in de facto long-term staffing arrangements, which is not fully aligned with the intended purpose of such appointments to address short-term operational needs.

**152. The Board recommends that the Administration issue additional guidance reminding entities of the need to review the renewal of appointments carefully in the current context, so as to ensure that all contract renewals undergo prudent review and are supported by sufficient justifications, particularly in the context of workforce restructuring and financial constraints.**

153. The Administration accepted the recommendation.

### **5.3. Improvement needed in the management of the employment of retired staff**

154. In accordance with the Staff Regulations and Rules of the United Nations and relevant downsizing policy guidelines, staff members should not be retained in active service beyond the mandatory age of separation of 65, except in exceptional cases. The retention or re-employment of retired staff should be justified by short-term, time-bound and specialized operational needs.

155. The Board analysed Secretariat personnel data as at 31 December 2025 and identified 241 (or 0.7 per cent) out of 32,950 staff members aged 65 years or above, excluding staff at the Assistant Secretary-General and Under-Secretary-General levels, who remained in active service. Of these, 130 were staff members retained beyond the mandatory age of separation. In terms of age distribution, 151 staff members were between 65 and 70 years of age, 62 between the ages of 71 and 75, 23 between the ages of 76 and 80, and 5 over the age of 80. The oldest staff member in active service was 85 years old.

156. The Board is of the view that the continued retention or re-employment of staff members beyond the mandatory age of separation over extended periods may not be fully aligned with the principles governing the engagement of retirees, as set out in administrative issuances such as the administrative instruction on retention in service beyond the mandatory age of separation and employment of retirees ([ST/AI/2003/8](#), [ST/AI/2003/8/Amend.1](#) and [ST/AI/2003/8/Amend.2](#)) and OHR/PG/2023/1. Without proper monitoring thereof, the continued use of such arrangements may affect workforce rejuvenation, talent management and succession planning.

157. The Board considers that the Administration should remind heads of entities of the need to ensure that any retention beyond the mandatory age of separation, or re-employment of retired staff members, is fully justified, documented and monitored in accordance with the applicable regulatory and policy framework, including relevant General Assembly resolutions, the Staff Regulations and Rules of the United Nations, administrative instruction [ST/AI/2003/8](#), [ST/AI/2003/8/Amend.1](#) and [ST/AI/2003/8/Amend.2](#), and OHR/PG/2023/1. The Board would like to draw the attention of management to the need for consistent implementation and strengthened oversight of the existing framework, in support of the Organization's workforce rejuvenation and succession planning objectives under the UN80 Initiative.

**5.4. Funding constraints had an impact on the inclusion of vacant posts in the managed reassignment programme, resulting in declined reassignments**

158. According to the administrative instruction on the young professionals programme ([ST/AI/2012/2/Rev.1](#) and [ST/AI/2012/2/Rev.1/Amend.1](#)), the young professionals programme examinations are open to individuals not more than 32 years of age and are intended to improve the geographical representation of unrepresented and underrepresented Member States and support the continued rejuvenation of the Secretariat. The managed reassignment programme is designed to support Professional staff at the P-2 level recruited through the national competitive examination, the General Service to Professional category examination or the young professionals programme by providing orientation, training, mobility and career support during their first five years of service, thereby facilitating their adjustment, accelerating learning and supporting their effective performance as international civil servants.

159. The Board reviewed the implementation of the managed reassignment programme in 2025 and noted that the successful matching rate was significantly lower than that in previous years. In 2025, 61 young professionals participated in the programme and 80 posts were included in the compendium. Of those posts, only 19 were vacant, representing 23.8 per cent, compared with 57.9 per cent, 71.4 per cent and 43.8 per cent, respectively, in 2022, 2023 and 2024. Ultimately, only 26 of the 61 participating staff members were successfully reassigned, representing a matching rate of 43 per cent, compared with 78 per cent in 2024, 75 per cent in 2023 and 91 per cent in 2022. The Board's review identified the factors described below as contributing to the reduced effectiveness of the Programme.

*5.4.1. Insufficient policy coherence between the young professionals programme and the managed reassignment programme*

160. The Board noted that the policy framework for the young professionals programme had been issued through administrative instruction [ST/AI/2012/2/Rev.1](#) and [ST/AI/2012/2/Rev.1/Amend.1](#), while the policy framework for the managed reassignment programme had been issued through the administrative instruction on the managed reassignment programme for staff in the Professional category at the P-2 level recruited through the national competitive examination, the General Service to Professional category examination or the Young Professionals Programme ([ST/AI/2001/7/Rev.2](#)). While not identifying any issues regarding the existing policies, the Board is of the view that the Organization will benefit from a simplified policy framework covering the full life cycle of young professionals. In this regard, the Office of Human Resources has already identified those policies in its workplan for policy simplification.

5.4.2. *Insufficient inclusion of vacant posts in the managed reassignment programme due to budgetary constraints*

161. The Board noted that the Administration had identified 75 vacant posts at the P-2 level in the Secretariat that were potentially available for reassignment at the launch of the 2025 managed reassignment programme, which covered posts at the P-2 level only. However, only 19 of those posts had ultimately been included in the Programme, while the remaining 56 posts, or 75 per cent, had not been made available by entities owing to resource constraints caused by the liquidity crisis. That had significantly reduced the number of vacant posts available for matching and constrained the effectiveness of the reassignment exercise.

5.4.3. *Occupation of young professionals programme posts by non-programme staff reduced reassignment resources*

162. The Board noted that when the managed reassignment programme was launched in 2025, there were 582 young professionals programme posts in the Secretariat, of which 31 (or 5 per cent) were temporarily occupied by non-young professionals programme staff. That reduced the pool of posts available for young professionals and further limited reassignment opportunities for programme participants.

5.4.4. *Net reduction of young professionals programme posts constrained the implementation space for the managed reassignment programme*

163. In accordance with General Assembly resolution [80/242](#), 80 young professionals programme posts were abolished as at 31 December 2025. In addition, two such posts were cancelled owing to the closure of UNAMI. During the same period, nine young professionals programme posts were added through reclassification, comprising seven posts, and establishment, comprising two posts. Overall, the number of young professionals programme posts decreased from 582 in April 2025 to 509 in April 2026, representing a net reduction of 73 posts, or approximately 12.5 per cent. The contraction of post capacity at the P-2 level further limited the post space available for young professionals and constrained the operation of the managed reassignment programme.

164. The Board is of the view that the low successful matching rate under the managed reassignment programme may adversely affect the reassignment and placement of young professionals. If not addressed, this may reduce the effectiveness of the young professionals programme and limit its contribution to the Organization's objectives of improving geographical representation, promoting mobility and advancing workforce rejuvenation.

**165. The Board recommends that the Administration establish a simplified policy framework covering the full life cycle of the young professionals programme, including recruitment, onboarding, managed reassignment, mobility and career development, with clear roles and responsibilities, monitoring indicators and accountability arrangements.**

**166. The Board also recommends that the Administration strengthen centralized coordination and oversight of P-2 post resources across entities and continue to prioritize the inclusion of eligible vacant posts in the managed reassignment programme.**

167. The Administration accepted the recommendations.

**5.5. Slow progress in the implementation of Staff Selection 2.0 and limited ability to fill vacant posts may affect the achievement of equitable geographical distribution targets**

168. In 2022, the Secretary-General indicated that the shortcomings of the current recruitment process were systemic and structural in nature and decided to launch the Staff Selection 2.0 programme, as presented in the report on ways forward in the implementation of human resources management reforms for the period 2023–2026 (A/77/590). In 2023, the Advisory Committee on Administrative and Budgetary Questions recognized the merits of the programme (A/77/728) and the General Assembly recognized the Secretary-General's intent to update the staff selection system, including through Staff Selection 2.0, in accordance with Articles 97 and 101 of the Charter of the United Nations (resolution 77/278).

169. The Board reviewed the progress made in the implementation of Staff Selection 2.0 and noted that implementation had been slower than originally envisaged. The Board also noted that unresolved data governance constraints, coupled with the inability to fill vacant regular budget posts owing to the liquidity crisis, might impede the Secretariat's progress towards achieving its equitable geographical distribution targets.

*5.5.1. Slow progress in the implementation of the Staff Selection 2.0 programme*

170. By the end of 2025, the Administration had developed a detailed and time-bound implementation plan and timetable for Staff Selection 2.0 and established the necessary governance and programme management arrangements. However, in terms of substantive implementation, the programme remained largely at the review, design and prototyping stage. Progress had been made in developing job profile frameworks, defining skills categories, designing elements of a skills-based application and assessment process, developing recruitment metrics and prototyping monitoring tools. Key system changes, operational models and assessment tools had not yet been fully deployed.

171. Most outputs are still at the conceptual, framework or pilot stage. Full implementation is largely deferred until 2026 and remains dependent on resource availability, technical sequencing and procurement timelines. The proposed centre of excellence is intended to serve as a key institutional component of Staff Selection 2.0 by professionalizing strategic talent acquisition, setting global standards and supporting data-driven decision-making across the Secretariat. However, the centre of excellence remains at the concept and design stage, and related budgetary requirements are expected to be proposed only in the 2027 budget. This creates a risk that the institutional capacity as indicated above needed to sustain the reform will not be available in time to support timely implementation.

*5.5.2. Data governance constraints impeding the progress of Staff Selection 2.0*

172. The Board was also informed that data were a foundational element of Staff Selection 2.0. Reliable data were essential for monitoring fairness, efficiency and diversity throughout the recruitment process and for supporting the data-driven decision-making expected from the future centre of excellence.

173. The Board noted, however, that recruitment data were managed through a fragmented chain of responsibility. No single office had clear authority over data standards, definitions, methodologies and reporting parameters. The Board also noted that the Secretariat lacked a clearly accountable function for recruitment analytics. In addition, Umoja and Inspira operated as parallel systems: staff records and demographic information were maintained in Umoja, while recruitment data were

maintained in Inspira. The lack of integration made cross-system analysis difficult, hindered practices such as blind screening and prevented the establishment of a single view linking applicants, candidates and staff members.

174. The Board is of the view that fragmented data ownership, inconsistent definitions and limited system integration may affect the ability of Staff Selection 2.0 to operationalize a skills-based recruitment model, a validated assessment framework and recruitment analytics. Unless these data governance issues are addressed, the programme may not be able to provide the evidence base needed to support merit-based selection, monitor bias and track progress towards equitable geographical distribution. The Board notes that the Administration is developing an improved recruitment module on the management dashboard which may address some of the risks set out above. The Board will return to this matter in its next audit.

### 5.5.3. *Slow progress towards equitable geographical distribution targets*

175. In the report on ways forward in the implementation of human resources management reforms for the period 2023–2026, the Secretary-General aimed to bring all Member States within desirable geographical representation ranges by 2030. The Board reviewed geographical post distribution in 2025 and noted that 24 Member States were underrepresented and 19 were unrepresented. For some Member States, the gaps between current staffing levels and the lower limits of the desirable ranges had not narrowed. For the five most affected Member States, the gaps had widened or remained largely unchanged between 2023 and 2025.

Table II.13

**Evolution of the gap between current staffing levels and the lower limits of the desirable ranges, 2023–2025**

| Country | Gap between current staff and lower limit |      |      |
|---------|-------------------------------------------|------|------|
|         | 2023                                      | 2024 | 2025 |
| 1       | 171                                       | 258  | 351  |
| 2       | 26                                        | 113  | 109  |
| 3       | 86                                        | 122  | 99   |
| 4       | 23                                        | 31   | 33   |
| 5       | 7                                         | 8    | 7    |

176. The Board is of the view that slow implementation of Staff Selection 2.0, together with limited ability to fill vacant posts due to the liquidity situation and unresolved data governance constraints, may affect the Secretariat's ability to achieve the 2030 target for equitable geographical distribution.

**177. The Board recommends that the Administration accelerate the implementation of Staff Selection 2.0 by enhancing the related information system capabilities, in order to support a more data-driven recruitment process.**

178. The Administration accepted the recommendation.

## 6. Supply chain management

### 6.1. Weaknesses in the justification and risk mitigation measures for contract awards through special approval by the electronic Special Approval Committee

179. According to the United Nations Procurement Manual, vendors must be registered in the United Nations Global Marketplace at level 2 for contract awards

exceeding \$500,000. When a vendor is recommended for a contract award but its registration status does not meet the applicable registration requirements, the Procurement Division submits a request for special registration approval to the electronic Special Approval Committee. The Manual also states that, where a procurement action requires review by the Headquarters Committee on Contracts, procurement officials shall ensure that the recommended vendor is registered at the required level prior to submission.

180. As at 31 December 2025, the Procurement Division administered 326 active system contracts, of which 255 had a contract value exceeding \$500,000. Among these, the Board reviewed a sample of 44 contracts awarded between 2023 and 2025 and noted that:

(a) Two system contracts, with a total contract value of \$50.19 million and a released value of \$6.66 million, had no record of special approval by the electronic Special Approval Committee;

(b) Four vendors, associated with contracts having a total contract value of \$34.37 million and a released value of \$9.71 million, were not registered at the required level prior to review by the Headquarters Committee on Contracts, although approval by the electronic Special Approval Committee was obtained prior to contract award.

181. The Board also reviewed the contracts and special approval documents provided by the United Nations Office at Nairobi and noted that the approval by the electronic Special Approval Committee for one contract, with a total target value of \$0.52 million, had been obtained after the contract was awarded. The Board was informed that the registration of company A at level 2 had first been submitted to the vendor registration committee and that the vendor had been requested to upload the required supporting documentation. A special approval had subsequently been granted ex post facto through the electronic Special Approval Committee in connection with a contract amendment, which had established the vendor's level 2 eligibility in relation to the original agreement.

182. The Board is of the view that special approvals should be granted only in exceptional circumstances for eligible vendors and obtained prior to contract award. The Board further emphasizes the importance of ensuring that contracts awarded through special approvals are supported by appropriate justification and that approval procedures comply with the United Nations Procurement Manual.

**183. The Board recommends that the Administration strengthen controls to ensure that special approvals are granted only on an exceptional and justified basis, and issue guidance on enhanced documentation requirements and risk mitigation measures as part of the vendor special approval process for contract awards.**

184. The Administration accepted the recommendation.

## **6.2. Opportunities to strengthen the administration of performance securities**

185. The United Nations Procurement Manual provides that performance securities may be requested by the United Nations from selected vendors in order to mitigate the risk of vendor non-performance and breach of contractual obligations.

186. The Board analysed the list of active performance securities as at 31 December 2025 provided by the Department of Operational Support and noted that 5 of the 31 performance securities had expiry dates that were earlier than the corresponding contract end dates. Those contracts involved a total target value of \$18.19 million and a released value of \$7.06 million.

187. The Board also reviewed the performance securities relating to nine active contracts under the office blocks A–J project and the conference facilities project of the United Nations Office at Nairobi, with a total contract value of \$95.12 million, and noted that four contracts, with a total contract value of \$53.19 million and a released value of \$51.80 million as at 31 December 2025, had performance securities with expiry dates earlier than the corresponding contract expiry dates. The Board further noted that 17 other United Nations Office at Nairobi contracts, with a total contract value of \$24.32 million and a released value of \$19.74 million, had performance securities with validity periods that expired earlier than the corresponding amended contract expiry dates. In addition, 10 of the Office’s contracts, with a total contract value of \$10.40 million and a released value of \$0.55 million, had been recorded under a “performance security required” status, indicating that the required performance securities had not yet been submitted by the contractors.

188. The Board is of the view that performance securities that do not cover the full contract period may reduce the effectiveness of such instruments in the event of vendor non-performance, should the services and/or goods be provided by the contractor outside the validity period of the performance security.

189. The Administration explained that, as long as a performance security remained valid, the risk of non-performance was mitigated. Procurement Division case officers continuously engaged with contractors, who in turn coordinated with their respective financial institutions, to ensure the timely extension of performance securities. As part of the performance security verification checklist implemented in early 2026, procurement officials were now required to confirm that the validity period of a performance security fully aligned with the duration of the related contract prior to acceptance of the security instrument. The Division had developed a centralized SharePoint-based tracker to capture key information relating to the administration of performance securities, including the identification of securities requiring extension and other related contractual actions. The Administration further explained that corrective action was being taken in respect of all United Nations Office at Nairobi contracts for which gaps in the administration of performance securities had been identified.

190. The Board further noted that the Procurement Division had been developing a detailed standard operating procedure for the administration of performance securities since 2023. The Board was informed that the standard operating procedure remained in draft form and required additional resources, as well as closer coordination with the Treasury and the Department of Management Strategy, Policy and Compliance, as its scope had evolved over time and its content would be informed by the results of an ongoing pilot project on the transmission of performance securities via the Society for Worldwide Interbank Financial Telecommunication (SWIFT) before it could be finalized. The Board would like to encourage the Administration to expedite the finalization of the standard operating procedure.

**191. The Board recommends that the United Nations Office at Nairobi promptly implement the proposed corrective actions and continue strengthening its internal control framework to ensure adequate administration of the performance securities.**

192. The Administration accepted the recommendation.

### **6.3. Need to update the strategy in the information and communications technology professional services category and improve solicitation processes**

193. ICT professional services meet all the criteria to be considered as a core category. Notably, based on the purchase orders recorded in Umoja, the annual procurement value of this category has been higher than \$100 million since at least 2021, out of a total procurement value of \$2.8 billion, and is continually growing. The category is divided into four subcategories: information technology architecture and design, information technology development, information technology support and cybersecurity services.

194. Given the rapid and decisive changes in this sector, such as the emergence of artificial intelligence, a new category strategy is crucial. The Board noted that the preexisting category strategy, which dated back to 2021, was outdated, due to new service requirements and the expansion of new technologies, such as artificial intelligence. Although the need for a reviewed strategy had been recognized, and some progress had been made, notably by drafting a workplan and identifying strategic objectives for the reviewed strategy, it was still insufficient and needed further implementation:

(a) Vendor lock-in, as a major risk, had been identified. Two system contracts, which had been established in 2005 and 2009 to provide staffing support in this area, were terminated at the end of 2023, after unsuccessful attempts to end them and several amendments extending their durations and modifying their attached not-to-exceed values. That had resulted in their initial not-to-exceed values increasing more than more than eightfold and sixfold, respectively;

(b) Adequate definition of technical requirements was key in such a technical field. If such requirements were not stringent enough, they could lead to difficulties during the performance of the contract. If, on the contrary, they were unnecessarily strict, they might needlessly reduce competition, delay contract signature and lead to higher prices. In its report No. 2023/046, OIOS noted that the Secretariat often overspecified technical conditions;

(c) In order to consolidate the needs across the Secretariat, Headquarters, especially the Office of Information and Communications Technology, which led the category strategy, needed to ensure that the needs of all entities and offices were taken into consideration. A technical conference had been held in 2025 to address that issue, but such consolidation work required continued effort. Consolidation of requirements must also include a balance between economies of scale, which could materialize only if the Organization was able to aggregate the largest possible quantities to be purchased, and the need to tap local markets;

(d) There was a need for stronger category monitoring. The previous 2021 category strategy had defined seven key performance indicators to monitor its efficiency, but no evidence of the proper monitoring of these indicators was demonstrated.

**195. The Board recommends that the Administration finalize the revised strategy in the category of ICT professional services, notably by including an assessment of the risk of dependency on a single supplier, and the definition and consolidation of technical requirements.**

196. The Administration accepted the recommendation.

197. According to procurement governance, the tendering procedure follows a two-stage evaluation process. The first stage involves assessing the compliance of the technical proposals with the technical criteria. Only those proposals found to be technically compliant are considered during the financial evaluation phase. Upon completion of both stages, a final ranking of bidders is established based on the best value for money assessment.

198. The Board examined all 22 contracts awarded by the Procurement Division in the ICT professional services category between 2021 and 2025 and noted that, out of the 123 responses received for the 22 contracts reviewed, 62 had been deemed to be technically compliant. In half of the tenders, two or fewer technically compliant responses had been identified. That created a further reduction in the level of competition.

199. The average time between the beginning of the procurement process and the signature of the contract was 12 months. For 3 of the 22 contracts, it was more than 20 months. In six cases, it was four months or less. As a result of long lead times in the procurement process for ICT professional services, some existing contracts had to be extended. The latter occurred in eight cases, representing 36 per cent of the sample. Such extensions were time-consuming for the Administration and delayed the implementation of new contracts.

**200. The Board recommends that the Administration review the causes of delays in the solicitation processes relevant to ICT professional services, with a view to establishing solicitation timelines that consider resource availability and enable the execution of procurement activities close to projected timelines.**

201. The Administration accepted the recommendation.

#### **6.4. Enhancement of recording of procurement decisions needed**

202. According to the United Nations Procurement Manual, formal methods of solicitation must be used for the procurement of goods or services exceeding \$150,000 in value. Contract modification refers to the management of changes arising after contract execution, typically involving variations in prices or requirements that were not originally anticipated. Where a material change is made to a contract and the revised not-to-exceed value exceeds \$1,500,000, the modification shall be submitted to the Headquarters Committee on Contracts for review. According to the delegation of authority framework for procurement, amendments to contracts previously reviewed by the Committee follow a distinct approval pathway, where cumulative not-to-exceed value increases below 100 per cent of the originally approved value do not require review by the Committee.

203. According to the construction plan approved by the General Assembly in its resolution [76/246 A](#), the total budget for the office blocks A–J project at the United Nations Office at Nairobi was \$66.26 million, of which \$14.17 million was initially allocated to the 15 flexible workspace components. This allocation was subsequently increased to \$18.89 million in 2025 pursuant to General Assembly resolution [79/258 A](#).

204. The Board reviewed the procurement process for the office blocks A–J project and noted that the procurement for the first three office blocks (P, Q and V) had been completed in February 2022. In August 2022, a public tender had been conducted for the flexible workspace requirements relating to eight office blocks (M, N, R, S, T, U, W and X) and contract A had been awarded to company C with a total value of \$11.26 million. However, the remaining flexible workspace requirements, including those relating to the new office facility blocks and the loft conversions in blocks R and S, which had not been included in the original solicitation, had subsequently been awarded to company C through three amendments to contract A approved by the Director of the Division of Administrative Services of the United Nations Office at Nairobi between 2023 and 2025, without the use of formal solicitation. The value of contract A, which had expired in February 2026, had increased to \$16.16 million, with total expenditure reaching the same amount. The three amendments related to

additions to the scope of contract A and increased its value by \$4.9 million (43.5 per cent) compared with the original contract.

205. The Administration explained that the amendments had been processed in accordance with the contract amendment framework and the delegation of procurement authority in effect at the time. The amendments had preserved the original pricing and contractual terms while avoiding potential cost escalation, schedule delays and delivery risks associated with retendering. The Administration further explained that the works relating to the new office facility had consisted of interior office renovations that were substantially similar to those covered under the original contract, with the same priced bill-of-quantity items. In addition, due diligence had been performed to confirm that the use of contract amendments was the most appropriate option under the applicable framework.

206. The Board is of the view that the works relating to the new office facility blocks and loft conversions constituted a distinct procurement requirement. Accordingly, these requirements should have been subject to a competitive procurement process. While acknowledging the practical considerations cited by the Administration, including potential cost escalation, schedule delays and delivery risks associated with retendering, the Board considers that the Administration should more clearly distinguish between new procurement actions, contract amendments and material changes, and ensure that the basis for such determinations is appropriately documented to demonstrate compliance with the applicable rules and regulations.

**207. The Board recommends that, for large procurement actions, the Administration further strengthen procurement record management to clearly distinguish between new procurement actions, contract amendments and assessments of material changes, so that the rationale for the procurement approach and contract amendment adopted is clearly documented and compliance with the United Nations Procurement Manual and the delegation of procurement authority framework can be readily demonstrated.**

208. The Administration accepted the recommendation.

#### **6.5. Low levels of utilization observed in certain system contracts**

209. The United Nations Procurement Manual provides that the suitability of a long-term agreement should be considered during the development of category management strategies and incorporated into procurement planning. As such agreements are established for extended periods and require both upfront and ongoing resources and expertise to establish and manage effectively, the decision to create a long-term agreement should be supported by a business case.

210. The Board reviewed 326 system contracts in force as at 31 December 2025 and noted that 152 contracts, representing 46.63 per cent of the total, had utilization rates below 50 per cent. Those contracts had a total target value of \$1.33 billion and a released value of \$193.83 million.

211. The Board further noted that, among the 80 contracts with target values above \$10 million, 31 contracts, representing 38.75 per cent, had utilization rates below 50 per cent, with an average utilization rate of 14.42 per cent.

212. The Board also noted that 41 contracts, including 14 newly awarded in the second half of 2025, had utilization rates at or close to zero (not exceeding 1 per cent), with a total target value of \$246 million. As at 31 December 2025, more than half of the contract term had elapsed for 14 contracts, with a total target value of \$104 million, that had either never been used or had utilization rates close to zero.

213. The Administration explained that the establishment of a system contract did not represent a commitment to procure a minimum quantity of goods or services, and that low or unrecorded utilization might result from changes in operational requirements, mission-specific circumstances or broader factors such as financial constraints. The Administration also indicated that contract extensions for system contracts with low utilization might remain operationally or commercially appropriate depending on the nature and criticality of goods or services, the availability of replacement procurement and technical or commercial feasibility.

214. While recognizing that the utilization of system contracts is affected by changing operational requirements and shifting priorities based on available funding, the Board is of the view that strengthening demand planning and improving the quality of demand data provided by client entities could support the establishment and extension of contracts that better meet operational needs.

**215. The Board recommends that the Administration update its planning guidance to require demand analysis prior to the establishment or extension of system contracts and a review of contract utilization prior to renewal or extension.**

216. The Administration accepted the recommendation.

#### **6.6. Use of an on-call contract for phase 1 of the DC2 renovation project**

217. The Board noted that the DC2 renovation project had officially commenced on 1 January 2025. The Department of Operational Support had utilized an existing contract with company S for the provision of on-call general construction and administration services at Headquarters to undertake the construction work under phase 1 of the DC2 renovation project, covering four floors with approximately 55,000 square feet (each floor ranging from 10,000 to 13,000 square feet). The total estimated cost of phase 1 was \$13.6 million. As at 31 December 2025, \$12.69 million had been internally committed or obligated under the on-call contract for that project.

218. The Board also noted that company S had been awarded the on-call contract through a competitive solicitation conducted following the expiry of the previous contract with the same company in October 2023. During the Headquarters Committee on Contracts review of the solicitation in November 2023, the Department of Operational Support had informed the Committee that it had considered the possibility of using the contract for limited “seeding” or “start-up” work on one or two floors of the DC2 renovation project in the event of delays in the procurement and award of a separate interior construction contract. In December 2023, the Department had entered into the on-call contract with company S to cover individual projects ranging from a few hundred square feet to large projects of up to 100,000 square feet.

219. The Administration explained that, due to extended lease negotiations with the United Nations Development Corporation and the requirement to vacate the Albano and FF buildings at their respective lease termination dates in 2027, the DC2 renovation project schedule had had to be expedited to meet the above dates. As such, a decision had been taken to commence phase 1 by utilizing the existing on-call contract, including revising the scope of phase 1 from one or two floors to four floors. The Administration further explained that phase 1 works fell well within the 100,000 square feet “large project size”, which aligned with the scope of the existing contract with company S. The company had completed several projects at Headquarters with satisfactory performance. In parallel, a procurement solicitation exercise for the provision of interior construction services was under way for the remaining phases of the project as of the end of April 2026.

**220. The Board recommends that the Administration complete the ongoing tendering process of the DC2 renovation project in a timely manner.**

221. The Administration accepted the recommendation.

## **7. Management reform**

222. The General Assembly, in its resolutions [70/255](#) and [79/245](#) A, welcomed the establishment of risk management and accountability framework tools in the United Nations, stressed the importance of embedding and promoting a culture of accountability at all levels and reiterated that increased delegated authority should be accompanied by enhanced transparency and accountability for programme and financial performance. In this context, the Board continued its review of the delegation of authority monitoring framework, with a particular focus on the design and risk relevance of key performance indicators.

223. The Board had, in previous audit reports ([A/78/5 \(Vol. I\)](#) and [A/79/5 \(Vol. I\)](#)), raised concerns about the relevance of certain key performance indicators to decision-making under the delegation of authority framework. The Board notes that progress has been made, evidenced through the implementation of the Board's previous recommendations in this area, in particular the need for targeted analysis and follow-up, which has been achieved through the Business Transformation and Accountability Division's "response mechanisms". The Administration has also completed a review of whether the current key performance indicators are appropriately focused on monitoring delegated authority, concluding with recommendations as to whether each indicator should be streamlined, reclassified or removed. The Board assessed actions taken, noting the points set out below.

### **7.1 The framework contains certain operationally focused key performance indicators with limited relevance to delegated decision-making**

224. The Board noted the Administration's review of the design, scope and measurement focus of the existing key performance indicators and that some indicators were more operational in nature and should be removed from the delegation of authority monitoring framework. Some indicators, such as "recruitment process", "mandatory learning for all" and "travel expenditure versus appropriation", primarily reflected operational processes, transaction-processing efficiency or financial execution performance and did not directly monitor decision-making relating to the exercise of delegated authority.

225. In this regard, the Board noted the Secretary-General's plans to implement the changes during the upgrade of the management dashboard, drawing on experience gained and feedback received since its implementation.

### **7.2 Monitoring arrangements need to be further simplified, with duplication reduced**

226. The delegation of authority monitoring framework includes some key performance indicators which the Administration's review showed appear in other operational monitoring frameworks that went live after the framework was designed in 2019. For example, the key performance indicators on "cost recovery sustainability" and "programme support cost sustainability" overlap with indicators maintained in the dashboard of the Office of Programme Planning, Finance and Budget, while "prevention of loss of property" and "property write-off" overlapped with indicators included in the Global Asset Management Policy key performance indicator framework.

227. The Board was informed that the Business Transformation and Accountability Division was planning to retire or remove duplicative key performance indicators as part of the broader management dashboard redesign in 2027.

## **8. Management of the resident coordinator system**

228. Since 2018, the United Nations development system has undertaken reforms to advance the implementation of the 2030 Agenda for Sustainable Development, centred on a reinvigorated resident coordinator system with independent and empowered resident coordinators and strengthened United Nations country teams. In addition, member entities of the United Nations Sustainable Development Group endorsed an efficiency road map aimed at promoting cost avoidance and business agility.

229. The Board followed up on previous observations and noted progress made, including efforts to mobilize additional funding and the development of a new efficiency road map for 2025–2028. Notwithstanding this progress, the Board identified areas for further improvement, as set out below.

### **8.1. Annual fundraising target not achieved**

230. In its resolution [72/279](#), the General Assembly emphasized that adequate, predictable and sustainable funding was essential for a coherent and effective resident coordinator system and decided that the system would be funded through three streams: a 1 per cent coordination levy, doubling the existing cost-sharing arrangement and voluntary contributions to a dedicated trust fund. The Advisory Committee on Administrative and Budgetary Questions noted the significant shortfalls in voluntary contributions over the years and expressed the expectation that additional measures would be taken to mobilize resources from both existing and new donors.

231. The Board compared the target and recognized revenue for 2025 and noted that total recognized revenue amounted to \$236.1 million against a target of \$281.8 million, resulting in a funding gap of approximately \$45.7 million. The gap was attributable primarily to voluntary contributions, which amounted to \$57.1 million against a target of \$98.9 million, representing a shortfall of \$41.8 million.

232. The Board also noted a continued year-on-year decline in voluntary contributions, from \$89.6 million in 2023, to \$87.9 million in 2024, to \$57.1 million in 2025, representing a reduction of approximately one third and indicating a significant deterioration in fundraising performance.

233. The Board is of the view that the persistent shortfall in voluntary contributions continues to constrain the predictable and sustainable financing of the resident coordinator system. In this regard, the Board would like to encourage the Administration to continue to diversify the donor base to improve the mobilization of resources.

### **8.2. Means could be explored to better capture the use of the funds made available through the commitment authority**

234. In its resolution [79/258](#) A, the General Assembly authorized the Development Coordination Office to enter into commitments not exceeding \$53 million for the period from 1 January to 31 December 2025 in support of the resident coordinator system. The Assembly also requested the Secretary-General to report on the utilization of the commitment authority and its continuation in the context of his performance and budget reports.

235. The Board noted that the Development Coordination Office had received the full amount of the \$53 million commitment authority in 2025 and that the amount had been fully disbursed as a grant. However, when the Board requested detailed expenditure information, the Office explained that the commitment authority had been pooled with the other three funding streams under the special purpose trust fund and used to finance core mandated coordination activities, including post-related expenditure.

236. The Board is of the view that the Administration could explore means to better capture the use of funds made available through the commitment authority. This would enable the Development Coordination Office to provide the General Assembly with more detailed information on the use of this exceptional funding authority and further enhance transparency and accountability.

### **8.3. Delays in the implementation of the United Nations Sustainable Development Group efficiency road map**

237. In his December 2017 report on repositioning the United Nations development system to deliver on the 2030 Agenda: our promise for dignity, prosperity and peace on a healthy planet ([A/72/684-E/2018/7](#)), the Secretary-General set out a reform vision aimed at improving the coherence, effectiveness and efficiency of United Nations development support. In that report, the Secretary-General also indicated that the proposed reform measures had the potential to generate efficiency gains that could be redirected to development activities.

238. In the explanatory note on preliminary estimates of potential efficiencies arising from the repositioning of the United Nations development system ([A/72/684-E/2018/7](#)), the Secretary-General estimated potential efficiency gains of approximately \$310 million annually by 2022. The initial estimates covered, inter alia, common business operations, common premises, regional and global shared service centres, the new generation of United Nations country teams and the merger of United Nations information centres with resident coordinator offices. These initiatives were to be supported by enabling principles, including costing and pricing methodologies, client satisfaction and mutual recognition.

239. The Board reviewed the implementation of the United Nations Sustainable Development Group efficiency road map and noted that, although reported efficiency gains had exceeded the initial aggregate savings target, common back office-related key pillar-specific deliverables under the road map had not been achieved and implementation delays had continued into the 2025–2028 cycle.

#### *8.3.1. Pillar-specific targets under the efficiency road map for 2022–2024 were not fully achieved*

240. The Board was informed that the United Nations Sustainable Development Group efficiency road map for 2022–2024 had been endorsed in August 2022 and included annual implementation plans informed by lessons learned and evidence gathered from previous years. The revised road map introduced quantified targets and annual objectives for priority areas and extended the implementation timeline for prioritized initiatives through 2024.

241. The Board was informed that Group entities had reported realized efficiency gains of \$596.2 million in 2024, exceeding the initial aggregate savings target of \$310 million. However, several key deliverables under the four pillars had not been achieved by the end of 2024. In particular, only four common back offices had been established, representing 8 per cent of the target of 50; 58 common premises projects had been initiated, of which 18 had been completed, with a total of 66 projects

identified for ongoing support; and only 16 priority global services had been endorsed by the Business Innovations Group and achieved global uptake.

### 8.3.2. *Delays in the implementation of the efficiency road map for 2025–2028 in 2025*

242. The Board was informed that a new efficiency road map for 2025–2028 had been developed to incorporate lessons learned from the previous cycle and to define the next phase of implementation under the four efficiency streams. However, the Board noted delays in the commencement of implementation in 2025, particularly with regard to common back offices. The 2025 targets included the establishment of eight such offices, enrolment of 75 per cent of entities in common back office arrangements and utilization of services by 75 per cent of participating entities. However, no new common back office had been established in 2025, as the year had been devoted to the roll-out of a new United Nations 2.0-compatible common back office methodology known as “self-starters”.

243. The Administration explained that, in 2025, the Business Innovations Group had advanced priority efficiency streams under the road map by transitioning from pilot initiatives to more structured scaling and system-wide approaches, supported by strengthened governance arrangements, enhanced monitoring mechanisms and increased engagement at the country level. The Board is of the view that the slow start of implementation of the 2025–2028 road map, particularly in relation to common back offices, indicates continuing implementation challenges across United Nations entities. These challenges may reflect a gap between the road map methodology and the operational capacity, incentives and coordination arrangements required to deliver efficiency reforms at the country level. If not adequately addressed, such delays may impede the achievement of integrated reform objectives and reduce the likelihood of meeting annual efficiency targets.

**244. The Board recommends that the Administration, in its capacity as secretariat to the United Nations Sustainable Development Group Business Innovations Group, establish and operationalize a standardized annual reporting mechanism to inform the Group and related task teams. The report should consolidate information on progress, implementation challenges and identified risks related to the efficiency road map and be based on inputs provided by participating entities and United Nations country teams.**

245. The Administration accepted the recommendation.

## 9. Management of peace and security affairs

246. In its reports on the proposed programme budgets for 2023, 2024, 2025 and 2026 ([A/77/7](#), [A/78/7](#), [A/79/7](#) and [A/80/7](#), respectively), the Advisory Committee on Administrative and Budgetary Questions raised concerns regarding the peace and security pillar, including mandate delivery, continuous improvement mechanisms and the governance and transparency of the Peacebuilding Fund, among other matters.

247. The Board followed up on these concerns and acknowledged efforts made by the Administration to establish a mechanism for continuous improvement, strengthen reform-related change management and enhance project management within the Peacebuilding Fund. The Board nevertheless identified areas for further improvement, as set out below.

### 9.1. Delays in the utilization of the assessed contributions for the Peacebuilding Fund

248. In its resolution [78/257](#), the General Assembly reaffirmed that the use of assessed contributions should be transparent, requested the Secretary-General to report annually on the implementation, performance, progress and expenditure of

projects funded through assessed contributions and approved assessed contributions of \$50 million per annum under grants and contributions to finance the Peacebuilding Account as from 1 January 2025, subject to the revision of the terms of reference of the Peacebuilding Fund.

249. The Board reviewed the management and utilization of the \$50 million assessed contribution to the Peacebuilding Fund in 2025 and noted delays in the establishment of projects under the assessed contributions to the Fund. The proposed programme budget for 2025 (A/79/6 (Sect. 3)) envisaged allocating the annual assessed contribution of \$50 million across five countries, with specific projects to be determined subsequently. However, by the end of 2025, only 10 projects across four of those countries had been approved, with a combined budget of approximately \$32.35 million, significantly below the annual allocation of \$50 million. Furthermore, \$6 million had been transferred from the Peacebuilding Account to the Peacebuilding Fund in December 2025, while only 4 of the 10 approved projects had commenced implementation, with just \$5.58 million, representing 11.15 per cent of the annual allocation or 95 per cent of the allocations received by the Fund, which had been transferred to recipient organizations within a week of receipt by the Multi-Partner Trust Fund Office. Two subsequent transfers from the Peacebuilding Account to the Peacebuilding Fund had occurred in 2026: \$23.7 million in March and \$4.5 million in April, which, therefore, had not been expended in 2025. The Administration commented that 2025 had been the first year for allocation of assessed contributions, which required the approval of terms of reference, the establishment of administrative procedures and the initiation of programme design, with the result that programmes had been ready for financing at the end of the year, at which point liquidity constraints had also become an issue. Consequently, efforts needed to be made for the timely establishment of projects financed by assessed contributions.

250. The Board is of the view that, to enhance budget implementation efficiency and effectiveness, project preparation should commence concurrently with budget submission.

**251. The Board recommends that the Administration expedite the establishment of projects financed by the assessed contributions to the Peacebuilding Fund in a timely and efficient manner.**

252. The Administration accepted the recommendation.

## **9.2. The annual targets in some performance indicators were not achieved**

253. The Department of Political and Peacebuilding Affairs developed its strategic plan for 2023–2026 and the associated results framework to translate its legislative mandates into strategic priorities. The framework is structured around three goals: preventing and resolving violent conflict and sustaining peace; promoting a more effective multilateral architecture for international peace and security; and building a stronger, more diverse and more effective Department. These goals are further supported by seven strategic objectives, 21 expected outcomes and 52 quantitative performance indicators. The Department establishes annual targets for these indicators and assesses performance against those targets at the end of each reporting year.

254. The Board noted that 13 of the 52 quantitative performance indicators had not achieved their annual targets in 2025. The number of underperforming indicators had been 8 in 2023 and 16 in 2024, indicating that underperformance remained a recurring issue. Furthermore, there had been a failure to achieve the annual targets for four indicators in each year from 2023 to 2025, including indicators relating to the timely nomination of sanctions experts (including the focal point for delisting), cooperation

with regional and subregional organizations, gender-sensitive analysis in departmental analytical products and advisory inputs provided to the General Assembly and the Security Council. This suggests that the issue extends beyond individual indicators or a single reporting period.

255. The Board is of the view that the continuous non-achievement of certain key performance indicators has affected the Department's ability to demonstrate progress in implementing its strategic plan and may indicate that underlying constraints are not being systematically identified and addressed.

**256. The Board recommends that the Administration strengthen monitoring of the repeated non-achievement of certain key performance indicators, conduct analyses of recurring shortfalls and incorporate lessons learned into the development of the strategic plan for 2027 and the associated revised results framework.**

257. The Administration accepted the recommendation.

### **9.3. Delays in the implementation of Peacebuilding Fund projects**

258. The Board reviewed the list of ongoing Peacebuilding Fund projects provided by the Peacebuilding Support Office and noted that, as at 31 December 2025, 13 of the 60 Immediate Response Facility projects and 9 of the 72 Peacebuilding and Recovery Facility projects under implementation had exceeded the stipulated maximum project duration. The total approved budget for these 22 projects amounted to \$70.59 million, against which expenditure of \$47.56 million had been incurred. The most significant delay related to a project launched in September 2019, which had been under implementation for 75 months as of the end of 2025, exceeding the prescribed 24-month duration (as required in the Secretary-General's Peacebuilding Fund guidelines on Peacebuilding Fund funds application and programming) by 51 months.

259. The Board is of the view that prolonged implementation delays may result in strategic misalignment with evolving country contexts, reduce the effectiveness of fund utilization and weaken accountability for project results.

**260. The Board recommends that the Administration conduct a comprehensive review of all overdue projects to identify the causes of delays, assess their continued relevance and viability, and determine appropriate corrective actions.**

261. The Administration accepted the recommendation.

### **9.4. Need for further improvement in roster management**

262. As the lead United Nations entity for good offices, political analysis, mediation, electoral assistance, peacebuilding support and political guidance, the Department of Political and Peacebuilding Affairs maintains rosters of international electoral assistance and mediation support and a pool of experts for the Security Council's subsidiary bodies.

263. The Board noted that there remained scope to improve the geographical diversity of the rosters of international electoral experts and mediation experts:

(a) The United Nations single electoral roster. As at 31 December 2025, the roster comprised 1,369 experts and exhibited an uneven geographical distribution across regions. The roster was heavily concentrated in African, Western European and other States, with 412 experts from African States (accounting for 30.1 per cent of all experts) and 585 experts from Western European and other States (accounting for 42.7 per cent). By contrast, Asia-Pacific States accounted for only 9.1 per cent (125

experts). The geographical representation could be better improved in line with the requirement by the General Assembly in its resolution [76/176](#);

(b) The Standby Team of Senior Mediation Advisers. As at 31 December 2025, the roster comprised 48 experts. African, Western European and other States together accounted for approximately 69 per cent (33 experts) of the roster. The Board further reviewed the geographical distribution of the eight full-time Standby Team advisers deployed during 2025 and noted that actual deployments had been similarly concentrated geographically, with no advisers from Asia–Pacific States or Eastern European States deployed during the year. Of the eight advisers deployed, four were from African States, three from Western European States and one from Latin American and Caribbean States.

264. The global presence and broad mandates of the peace and security pillar could be supported by a geographically diverse and internationally representative pool of experts. Insufficient geographical representation may limit the Organization's ability to draw upon diverse perspectives in the implementation of its mandates and programme activities. In this regard, the Board acknowledged the efforts made by the Administration, including explicitly identifying such regions in official recruitment notices, undertaking targeted outreach activities and engaging with Member States, as well as regional and subregional organizations, to solicit qualified candidates, and would like to encourage more proactive measures to be taken to further improve geographical representation, with particular attention paid to underrepresented regions.

## **10. Management of global communications**

265. The Department of Global Communications is responsible for communicating the ideals and work of the United Nations to global audiences, building support for the purposes and principles of the Charter and promoting multilingualism as a core value of the Organization. In its report on the proposed programme budget for 2026 ([A/80/7](#)), the Advisory Committee on Administrative and Budgetary Questions raised issues relating to resources for public information and communications activities, staffing locations, United Nations information centres, the use of technological tools, and websites and social media accounts.

266. The Board acknowledges the efforts made by the Administration to deliver its mandate, which conducted an independent and impartial review, especially under financial constraints. Nevertheless, it identified shortcomings in the implementation of multilingual mandates, the allocation of resources across the network of United Nations information centres, and the approval, review and rationalization of United Nations websites, as set out below.

### **10.1. Delays in the implementation of multilingual mandates**

267. In the proposed programme budget for 2025 ([A/79/6 \(Sect. 28\)](#)), the Department identified the coverage of United Nations meetings, the issuance of press releases and the dissemination of daily multimedia content in the six official languages as planned deliverables.

268. The Board noted that, in 2025, the Meetings Coverage Section had issued press releases for General Assembly plenary meetings only in English and French, with 75 press releases produced in each language. For the Security Council, it had issued 236 press releases in English and 241 in French.

269. The Board reviewed multimedia content and noted that, as at 20 April 2026, webpages such as those related to maps and geoservices, UNifeed and the United

Nations Photo digital asset management system were available only in English, while those related to noon briefings and careers were available only in English and French.

270. In its resolution 73/346, the General Assembly reaffirmed the need to achieve full parity among the six official languages across all United Nations websites. The Board reviewed the multilingual coverage of 739 United Nations websites approved by the Department and noted that 634 websites, representing 86 per cent of the total, did not comply with multilingual standards. Of the 28 websites directly managed by the Department, 15 (or 54 per cent) did not provide content in all six official languages. Of the 37 websites granted multilingual waivers by the Department, 7 had expired waivers but still did not provide content in all six official languages, while 3 had no recorded waiver validity period and remained non-compliant more than six months after approval.

271. In the same resolution, the General Assembly emphasized the importance of using all official languages and ensuring their full and equitable treatment in all activities of the Department. The Board analysed language usage across the network of United Nations information centres and noted that, in 2025, the centres had produced and translated 1,991 information products into 27 non-official languages, in addition to the other official languages of the United Nations (excluding Chinese).

272. The Administration explained that the financial ceiling for 2025, equivalent to 82.6 per cent of the approved budget, together with the liquidity situation and the hiring freeze, had significantly affected multilingual activities. As a result, 20 general temporary assistance positions supporting meetings coverage and press releases in the other four official languages, as well as four new webcasting posts approved to support multilingual webcasting of Human Rights Council meetings, had not been filled. The Administration further explained that it had identified the responsible offices for websites that did not comply with multilingual standards in order to support follow-up actions on compliance. It had also continued to test artificial intelligence-assisted workflows, including machine translation tools. However, those tools continued to require substantial human review owing to quality concerns. In addition, the Administration indicated that the General Assembly had approved the creation of additional posts to support meetings coverage and press releases in Arabic, Chinese, Russian and Spanish in the 2024 budget but that the hiring freeze and liquidity crisis in mid-2024 had prevented the Department from carrying on the recruitment exercise.

273. The Board is of the view that the gap between mandated multilingual deliverables and actual language coverage affects the principle of equal treatment of the six official languages and limits access to United Nations information for diverse audiences. While resource constraints remain a significant factor, inadequate implementation of multilingual mandates is a long-standing issue and not solely attributable to 2025 resource availability. They also highlight the need for the Department to make more effective use of technology and workflow redesign in a controlled and quality-assured manner.

**274. The Board recommends that the Administration develop a more structured approach to the implementation of multilingual mandates, including by prioritizing high-impact content and the continuous use of artificial intelligence and other translation technologies with human oversight and quality assurance, and aligning staffing and workflow arrangements with the objective of achieving parity among the six official languages.**

275. The Administration accepted the recommendation.

## 10.2. Need for further rationalization of resource allocation across the network of United Nations information centres

276. In its resolution 78/80 A-B, the General Assembly stressed the importance of rationalizing the network of United Nations information centres, including through the redeployment of resources where necessary, and emphasized that the Department of Global Communications should continue to review the allocation of staff and financial resources to centres in developing countries, taking into account the specific needs of least developed countries. In its resolution 80/242, the Assembly requested the Secretary-General to complete the independent and impartial review of the Department by the end of 2026, without further delay and within existing resources, with a view to achieving greater efficiency gains.

277. In 1982, the General Assembly, in its resolution 38/82, approved the recommendations of the Committee on Information and set certain parameters for the establishment of new information centres as follows: “In countries where the size, population, the state of media and non-governmental and other organizations, or the role being played by their Governments in United Nations affairs warrant it, separate United Nations information centres should be established, as and when resources become available.”

278. The Department relies on a network of 60 field offices, comprising United Nations information centres, United Nations offices and United Nations information services, to communicate information about the work of the United Nations at the regional and country levels and to advance the Organization’s global communications priorities. In 2025, the network had an approved regular budget of \$27.91 million and 265 posts.

279. The Board reviewed the progress of the independent and impartial review, together with the allocation of resources and service coverage across the network, and noted that service coverage was not fully aligned with the emphasis of the General Assembly on strengthening the capacity of information centres in developing countries and giving due attention to least developed countries. Although the network covered 66 per cent of developing countries and 61 per cent of least developed countries overall, coverage varied considerably across regions. For example, service in the Americas region covered 79 per cent of developing countries, whereas in Asia and the Pacific it covered only 51 per cent. Coverage of least developed countries in the Arab States region was 50 per cent.

280. The Board further noted that, within the Asia and the Pacific Region, there were 37 developing countries with a combined population of 4.23 billion, including 9 least developed countries with a total population of 328 million. However, in 2025, the region had been allocated \$3.8 million, representing 14 per cent of the network budget, and 49 posts, representing 18 per cent of regular budget posts. The Board acknowledges that population size is not the sole determinant of resource requirements and that historical, operational and functional considerations may also influence resource allocations. Nevertheless, potential audience reach is a relevant consideration for a global communications network and should be appropriately reflected in resource allocation decisions.

281. The Board also noted that the independent review had completed a preliminary analysis of organizational structure and resource distribution, which had identified significant disparities in staffing levels and workload across locations. The preliminary findings indicated that a standardized workload measurement model, which took into consideration the variety of country contexts in which information centres operated, would be necessary to accurately capture workload and support the further rationalization of resources.

282. The Administration explained that the current configuration of the network reflected a historical evolution shaped by membership growth and the decisions of Member States. It further stated that resource allocations in 2025 had been based on allotments under the financial ceiling and had been constrained by liquidity considerations, with priority given to non-discretionary requirements and the maintenance of operational continuity.

283. The Board is of the view that, while historical and operational considerations should be taken into account, the current configuration and allocation of resources do not fully reflect present communication needs, regional coverage gaps, workload levels and potential audience reach. The absence of a standardized workload measurement model limits the Department's ability to demonstrate that resources are allocated in an efficient, equitable and evidence-based manner.

**284. The Board recommends that the Administration complete the independent and impartial review of the Department without further delay and rationalize the network of United Nations information centres on the basis of objective evidence, taking into account mandates, the needs of developing countries and least developed countries, countries' population size, potential audience reach, workload, host-country support and communication priorities, including through the redeployment of resources where appropriate.**

### **10.3. Inadequate discharge of responsibilities for website approval and review**

285. Under administrative instruction [ST/AI/2022/2](#) on United Nations website publishing, the Department of Global Communications is responsible for approving the use of the "un.org" domain by author entities and any exceptions to the use of non-"un.org" domain names. The Department is also responsible for establishing governance standards and guidelines for United Nations websites. The Board compared the portfolio of websites maintained and approved by the Department with the Office of Information and Communications Technology registry maintained in Unite Apps and identified 58 websites for which no approval records were available, comprising 34 websites under the un.org domain and 24 non-un.org websites established after the issuance of administrative instruction [ST/AI/2022/2](#). The Board also identified 17 un.org websites that were neither recorded in the registry nor included in the Department's approved website portfolio. The Administration explained that administrative instruction [ST/AI/2022/2](#) contained a provision requiring United Nations entities that had established websites prior to the promulgation of the administrative instruction to register their websites with the Department within two months of its promulgation. The Department did not have sufficient resources to proactively monitor and enforce compliance with established website publishing rules and regulations, and the Office of Information and Communications Technology Unite Apps registry relied on a trust-based self-service model.

286. The Board further reviewed compliance with branding and accessibility requirements among websites approved by the Department and identified procedural gaps in the review and monitoring process. As at 31 December 2025, 285 websites, representing 38.6 per cent of the 739 approved websites, did not comply with United Nations branding standards, while 291 websites, representing 39.4 per cent, did not comply with accessibility standards. For example, the web page entitled "Dag Hammarskjöld – The UN years", launched in 2018 and registered in Unite Apps, complied with neither accessibility nor branding standards.

287. The Department explained that it was not responsible for the content, technical configuration, maintenance, accuracy, copyright compliance, accessibility or multilingual implementation of websites administered by other Secretariat entities

and that it did not control the technical aspects of website domain name creation, as that was administered by the Office of Information and Communications Technology. The Department depended on the Office to ensure that the Department's approval had been granted before the Office created a website domain name. In cases in which that was not adhered to, websites might be created without the knowledge of the Department and hence not captured within its records.

288. The Board is of the view that the Department's responsibilities for website approval and governance oversight are distinct from the operational ownership of individual websites. Incomplete website inventories, the existence of websites established without approval, weaknesses in pre-launch and post-launch review processes, and unclear delineation of responsibilities among relevant entities increase the risk that websites are created, operated or maintained outside established governance arrangements. This may adversely affect compliance with United Nations standards relating to branding, accessibility, multilingualism, security and cost-effectiveness.

**289. The Board recommends that the Administration, subject to the availability of resources, reconcile and maintain a complete inventory of United Nations websites and clarify and communicate the respective responsibilities of relevant entities for compliance review, remediation and follow-up in relation to branding, accessibility, multilingualism and other applicable standards, in order to strengthen end-to-end governance and oversight.**

290. The Administration accepted the recommendation.

## **11. Management of humanitarian affairs**

291. The Office for the Coordination of Humanitarian Affairs is the Secretariat entity responsible for bringing together humanitarian actors to ensure a coherent response to emergencies and for managing country-based pooled funds and the Central Emergency Response Fund. The Office carries out its functions at its headquarters in New York and Geneva, in two global hubs, five regional offices and 27 country offices, and through 22 humanitarian advisory teams and seven liaison offices.

292. The General Assembly, in its resolution [79/140](#), encouraged the United Nations and humanitarian organizations to further advance efficiencies in delivering assistance through reducing management costs and strengthening measures to achieve greater accountability. During 2025, entrenched conflicts and the global climate crisis left 300 million people in need of humanitarian assistance globally. However, due to significant resource shortfalls, only 181 million people could be targeted for aid, as merely 35.1 per cent of the global appeal requirements (\$45.47 billion) had been met. To respond to the concerns regarding resource efficiency and accountability, the Board continued its review of the allocation and utilization of humanitarian funds, as well as monitoring of humanitarian projects and implementing partners, identifying the issues presented below.

### **11.1. Continuous improvement needed in the management of the cash balance for humanitarian trust funds and the corresponding interest income**

293. The Board, in its previous report [A/80/5 \(Vol. I\)](#), noted the untimely clearance of outdated commitments and closed country-based pooled funds, along with the lack of definite guidelines on operating reserve management. The Advisory Committee on Administrative and Budgetary Questions, in its report on the financial reports and audited financial statements, and reports of the Board of Auditors for the period ended 31 December 2024 ([A/80/485](#)), concurred with audit recommendations and trusted that the Board would continue to review the matter and provide an update in its next

report. The General Assembly, in its resolution [80/231](#), endorsed the conclusions and recommendations contained in the report of the Advisory Committee.

294. The humanitarian trust fund (32DDN) is a major funding source of humanitarian aid managed by the Office for the Coordination of Humanitarian Affairs, which accounts for country-based pooled funds, voluntary contributions for mandated activities of the Office, special designated contributions and the operational cash reserve account. The Board continued its review and noted the issues outlined below for further improvement.

*11.1.1. Progress in the clearing of outstanding pending commitments and cash balances of closed country-based pooled funds*

295. The Board noted that, as at 31 December 2025, of the \$94.01 million in outdated commitments at the end of 2024, only \$27.89 million (30 per cent) had been cleared, while outdated pending commitments had increased by \$40.89 million (44 per cent) to reach \$134.9 million. Regarding the \$13.43 million in cash balances from closed country-based pooled funds, old accounts and unassigned refunds identified in the previous audit, \$12.78 million (95 per cent) had been cleared and reallocated by the end of 2025. However, an additional \$3.90 million in unassigned refunds from partners had been identified in 2025.

296. The Office explained that the marginal increase in outdated commitments was due mainly to projects approved in 2024 and 2025 with end dates on or before 31 December 2025. Clearance had been constrained by labour-intensive manual processes, limited Umoja mass clearance functionality and insufficient staff capacity.

297. The Board acknowledged the efforts to close dormant accounts and clear outdated commitments. However, outdated commitments continued to increase compared with 2024. Further strengthening of 32DDN fund management was needed to facilitate the timely clearance of outdated cash balances, optimize fund utilization and support the Office in fulfilling its core mandates.

298. Considering that the Board had issued a recommendation on the above-mentioned matter in its previous report ([A/80/5 \(Vol. I\)](#), para.103), which is under implementation, the Board will therefore not issue a duplicate recommendation in this regard.

*11.1.2. Need for comprehensive guidance on the utilization and management of operating reserve and interest income of the 32DDN fund*

299. The Board was informed that, as of April 2026, the Office for the Coordination of Humanitarian Affairs had drafted operating reserve guidelines that were under review by its senior management. However, the guidelines had not been approved.

300. The Board was also informed that the operational cash reserve, replenished primarily by interest income from 32DDN cash investments, served as a financial loan instrument to fund extrabudgetary activities pending donor contributions, and as a risk management tool to cover liabilities and unforeseen contingencies. As of the end of 2025, the operational cash reserve balance was \$239.80 million, an increase of \$15.87 million (7.09 per cent) from 2024. For 2025, the assessed reserve level was \$180 million, while the actual reserve exceeded that by \$59.80 million (33 per cent). The Board also noted that the methodology applied for the assessment of the operating reserve had remained inconsistent from 2022 to 2025.

301. The Board further noted that the increasing trend and larger holdings of the operating reserve were attributable primarily to increased interest income from the 32DDN fund. In addition, there was no definite guidance on the management of the

operational cash reserve and the utilization and management of the interest income; therefore, the majority of the interest income had been put into the operating reserve. Interest income added to the operating cash reserve was \$3.79 million in 2022, increasing to \$50.32 million in 2023, \$59.21 million in 2024 and \$60.93 million in 2025.

302. The Office explained that interest income from 32DDN investments was market-dependent and fluctuated with United States interest rates. The draft operational cash reserve guidelines stipulated that such interest income was transferred to the operational cash reserve semi-annually, with the Under-Secretary-General for Humanitarian Affairs and Emergency Relief Coordinator and the Budget Committee informed accordingly. Given the increasingly unpredictable global funding environment in early 2025, the Office had revised the operational cash reserve target upwards.

303. The Board is of the view that the inclusion of guidance on the utilization and management of accumulated interest income within the operating reserve guidelines would enable the Office to maintain an appropriate reserve level, thereby enhancing fund efficiency and ensuring that resources were optimally allocated to mandated activities and contingencies.

**304. The Board recommends that the Administration finalize and approve the guidance on utilizing and managing the accumulated interest income of the 32DDN fund after a comprehensive analysis, to ensure a reasonable level for the operating reserve.**

305. The Administration accepted the recommendation.

## **11.2. Strengthening needed in the preventive and accountability measures for fraud cases involving implementing partners**

306. The General Assembly, in its resolution [79/140](#), encouraged the United Nations and humanitarian organizations to strengthen measures to achieve greater accountability by taking further actions to reduce fraud, waste and abuse and identify ways to share incident reports and other information among United Nations agencies. The Advisory Committee on Administrative and Budgetary Questions, in its report on the financial reports and audited financial statements, and reports of the Board of Auditors for the period ended 31 December 2024 ([A/80/485](#)), requested the Secretary-General to ensure that all cases of fraud and presumptive fraud were reported in a transparent and consistent manner, including through the issuance of comprehensive guidance and reporting mechanisms, and trusted that more information on progress achieved would be presented in future reports. The General Assembly, in its resolution [80/231](#) A, endorsed the conclusions and recommendations contained in the report of the Advisory Committee.

307. The Board noted that cumulative financial losses involving implementing partners reached \$14.79 million for the period from 2015 to 2025. Of this total, \$8.87million had been written off with the Controller's approval, while \$4.27 million (29 per cent) had been recovered, leaving an outstanding balance of \$1.65 million subject to ongoing recovery efforts. For six confirmed fraud cases in 2025, only \$66,350 (38 per cent) of the \$172,767 in losses had been refunded as at 30 April 2026, with all involved partners exceeding the 30-day statutory repayment deadline stipulated in the global guidelines for country-based pooled funds.

308. Regarding accountability actions, the Board noted that, for the 18 partners on the 2025 write-off list, 10 had not been flagged and 8 were not present in the United Nations Partner Portal, as those cases predated the Portal, while, for the 19 partners on the 2026 write-off list, 17 had not been flagged and 2 were missing from the portal.

309. The Office explained that extended recovery timelines were inherent to fraud cases in which partners might contest findings or face insolvency. Regarding the United Nations Partner Portal, missing entries involved “legacy partners” from before mandatory registration. Previously raised flags of the 2025 batch were currently invisible due to data migration to the new “partner debarment” module, and the 2026 batch was still undergoing record updates following recent write-off approvals.

310. The Board is of the view that the current preventive measures, namely settlement letters issued by the Office, did not explicitly prohibit the implicated partners from using the logos of the United Nations, the Office or country-based pooled funds and were inadequate, which would allow implementing partners the opportunity to continue using the logos and misleading donors and the public, and have a negative impact on the financial and reputational integrity of the United Nations.

311. The Board was informed that the Administration had updated the settlement letter template to explicitly state that any implementing partner that was suspended or terminated was prohibited from using the logos or emblems of the United Nations, including those of the Office and country-based and regional pooled funds. The migration of data to the new module, managed by the United Nations Partner Portal team, was in progress. The Board will not issue a recommendation in this regard.

**11.3. Lack of sufficient documentation and decision-making processes related to transferring 10 per cent of funds raised through crisis relief funds for country-based pooled funds to a specially designated contributions project**

312. According to the global guidelines for country-based pooled funds, such funds are established by the United Nations Emergency Relief Coordinator when a new emergency occurs or when an existing humanitarian situation deteriorates. Contributions are collected into respective funds to support local humanitarian efforts and priorities set out in coordinated humanitarian response plans or for unforeseen and emerging needs. The guidelines for specially designated contributions clarify that such activities are commonly known in the Office for the Coordination of Humanitarian Affairs as “specially designated contributions” because they are funded from earmarked contributions for specific purposes.

313. The Board reviewed the fiduciary project document agreement on mobilizing voluntary contributions for country-based pooled funds, signed by the United Nations Foundation, the United Nations Fund for International Partnerships and the Office, and noted that the Office had decided to transfer 10 per cent of individual and private sector donations raised through the United Nations Foundation for country-based pooled funds to one specially designated contributions project named “OCHA Integrated Private Sector Unit/OCHA-UNDP Connecting Business Initiative” since 2025, with the approval of the Assistant Secretary-General of the Office in December 2024. In 2025, of the \$4.38 million raised for country-based pooled funds via the United Nations Foundation, \$332,977 was transferred to the Office’s Integrated Private Sector Unit project to be utilized for additional fundraising personnel expenses.

314. The Office explained that those funds were used exclusively to finance fundraising capacity in direct support of country-based pooled funds, a move authorized by its senior management under delegated authority in accordance with Financial Regulations and Rules of the United Nations.

315. The Board is of the view that transferring these funds is inconsistent with the designated purpose stipulated in the legal agreement and the original intent of private donors. According to the agreement, all funds raised via the Crisis Relief website

through the United Nations Foundation should be allocated to country-based pooled funds rather than other specially designated contributions projects.

316. **The Board recommends that the Administration (a) review the documentation and processes related to approval of transfer of funds raised through the Crisis Relief website for country-based pool funds to any other specially designated contributions project from individual and private donations and (b) amend the agreement between the United Nations Foundation and the Office for the Coordination of Humanitarian Affairs to clearly stipulate that a portion of funds raised through the Crisis Relief platform will be used to cover operational and management costs.**

317. **The Board also recommends that the Administration add a disclaimer to the Crisis Relief website to raise awareness among donors of the fact that a portion of donations will be used for operational and overhead costs.**

318. The Administration accepted the recommendations.

## **12. Information and communications technology**

319. In its resolution [78/243](#), the General Assembly requested the Secretary-General to submit a refined ICT strategy, emphasizing the importance of robust governance and oversight arrangements, together with a clear and effective accountability framework, to support the successful implementation of the ICT strategy. In its resolution [80/242](#), the General Assembly further requested the Secretary-General to strengthen the functional reporting relationship between ICT Chiefs of United Nations entities and the Office of Information and Communications Technology.

320. The Board acknowledges the efforts made by the Administration to refine the strategic framework, strengthen the tracking of major project committee reviews and develop an accountability framework. Nevertheless, the Board noted that some governance-related weaknesses persisted, as set out below.

### **12.1. Opportunities to improve the review and approval requirements for major information and communications technology investments**

321. In his report on the status of implementation of the information and communications technology strategy for the United Nations ([A/80/558](#)), the Secretary-General emphasized that effective ICT governance was a critical element in the successful implementation of the ICT strategy. He further stated that the ICT Steering Committee reviewed proposals for new enterprise systems and initiatives with a cost exceeding \$1 million over a four-year period, while the Project Review Committee reviewed proposed ICT initiatives exceeding \$500,000 over a four-year period to ensure alignment with organizational priorities, mitigate duplication and promote the consistent application of policy, standards and enterprise architecture at the outset of new initiatives.

322. In its report on the proposed programme budget for 2023 ([A/77/7/Add.22](#)), the Advisory Committee on Administrative and Budgetary Questions reiterated that, in order to ensure compliance with ICT governance processes, significant ICT investments should not be implemented without approval by the relevant governance mechanism. The Advisory Committee further recommended that projects costing more than \$1 million over a four-year period and reviewed by the ICT Steering Committee should be subject to strengthened quality assurance prior to submission to the Committee. These recommendations were later endorsed by the General Assembly in its resolution [78/243](#).

323. The Board reviewed the implementation of prior review and approval requirements for ICT investments and identified the issues set out below.

*12.1.1. Enhancement needed in the review of information and communications technology projects and initiatives, and the need to clarify and strengthen the roles of the relevant governance committees*

324. The Board reviewed the minutes of all ICT Steering Committee meetings held in 2025 and noted that the Committee had discussed only one project. However, the contract list exported from Procurement BI showed that 23 ICT-related contracts under the ICT business area, each exceeding \$1 million over the relevant four-year period and with a combined value of \$82.71 million, had become effective in 2025. The Board also noted that the cloud services contract originally signed in 2019, with a value of \$84.46 million, had been renewed in December 2025 with an additional value of \$57.04 million to support the transition to the new version. The underlying projects for some of those contracts, which had been reviewed by the relevant procurement review committees when required, might be eligible to be reviewed by the Committee; no evidence was provided that they had undergone that process.

325. The Board further noted that no enterprise project or initiative had been reviewed by the Project Review Committee in 2025, as no meetings had been held that year. Procurement BI data showed that, for 18 ICT-related contracts, each exceeding \$500,000 and with a combined value of \$11.34 million, the underlying projects or initiatives might be eligible to be submitted to the Committee for review and approval.

326. The Board is of the view that a fundamental objective of ICT governance is to ensure that investment decisions and project proposals are subject to review before implementation, thereby reducing the risk of inefficient resource utilization and strategic misalignment. ICT projects and initiatives should ordinarily be initiated only after the necessary governance approvals have been obtained.

327. The Administration stated that the submission of projects and investments to the ICT governance bodies was appropriately governed by their terms of reference and did not include the review of contract renewals, extensions and material contract changes. The Administration explained that there was a distinction between the roles of ICT governance and the procurement process regarding the acquisition of goods and services.

328. Misalignment in the implementation of ICT governance increases the risk of duplication, misalignment with the ICT strategy and enterprise architecture, and insufficient assessment of budgetary and operational implications. Furthermore, contract renewals or extensions for projects previously reviewed by the governance committees, particularly those involving significant changes in scope, cost, technology direction or strategic alignment, may require the resubmission of such project changes to the appropriate ICT governance body to ensure that substantial ICT investments proceed after adequate technical oversight.

*12.1.2. Retrospective governance review and approval under the information and communications technology strategy implementation tracking system*

329. Paragraph 2 of annex I to the report of the Secretary-General on the status of implementation of the ICT strategy (A/80/558) states that the ICT strategy implementation tracking system was established to record ongoing and planned Secretariat ICT projects for the period 2025–2029. The tracker has strengthened governance, identifying projects that will need to go through the established governance and budgetary process for review and approval.

330. The Board acknowledges the Office of Information and Communications Technology's efforts to strengthen ICT governance through the tracking system established at the end of 2025. The tracking system supported the development of forward calendars for the ICT Steering Committee and the Project Review Committee to review and approve the projects included in the tracker. According to the ICT Steering Committee calendar provided by the Office, of the 25 projects that met the threshold for review by that Committee, 7 had already been approved, 3 were on hold and 15 were scheduled to be reviewed by the end of 2026. The Office noted that the Project Review Committee calendar was still in progress to facilitate the review of the 15 projects that met the threshold for review by that Committee. Of the 33 remaining projects to be reviewed, 15 had started in or before 2025, each with an estimated cost of \$500,000 or more, with a combined estimated cost of approximately \$110.35 million. However, those projects were being progressed for review by the ICT Steering Committee and/or the Project Review Committee.

331. The Administration explained that inclusion in the tracker was based on a direct relationship with the objectives and metrics of the ICT strategy, namely strategic ICT projects intended to improve ICT maturity and support the achievement of strategic objectives. The Administration further explained that the purpose of the ICT strategy implementation tracker was not to capture all ICT projects. Other mechanisms existed to capture and govern non-strategic projects and initiatives not included in the tracker. It also indicated that a review plan had been established to ensure that the remaining projects would be reviewed by the ICT Steering Committee by the end of 2026.

332. The Board is of the view that the criteria governing inclusion in the tracker exclude projects not classified as strategic which may nevertheless meet the monetary thresholds established by the ICT Steering Committee and the Project Review Committee and should therefore be subject to the same governance review requirements. In addition, governance reviews conducted after project initiation diminish the effectiveness of governance oversight.

**333. The Board recommends that the Administration clearly define the categories of ICT projects and initiatives that are subject to review by the ICT Steering Committee or the Project Review Committee.**

**334. The Board also recommends that the Administration prepare standard operating procedures for the Project Review Committee to outline the process and requirements for entities submitting items to the Committee for review, clearly outlining the submission requirements, including supporting materials, thresholds, timelines and funding sources.**

335. The Administration accepted the recommendations.

## **12.2. Low utilization of data centre resources**

336. According to section S3 ("One UN IT") of the High-Level Committee on Management Far-Reaching Efficiency Measures: External Communications Package (2025) and the report of the Advisory Committee on Administrative and Budgetary Questions on the status of implementation of the information and communications technology strategy for the United Nations ([A/80/626](#)), the consolidation of data centres was proposed as a means of centralizing ICT infrastructure and services, reducing duplication, lowering costs and improving operational efficiency.

337. In its report, the Advisory Committee further notes that Secretariat-wide information on assets held in small data centres was not available and that the Office of Information and Communications Technology was working to compile a comprehensive inventory of such assets as part of the data centre consolidation initiative.

338. In its resolution [80/242](#), the General Assembly reiterated the need for a holistic vision for the future use of data centres and cloud services across the Organization and invited the Secretary-General to provide information on possible consolidation measures for existing data centres and the potential cost efficiencies available in the proposed programme budget for 2027.

339. According to a data centre survey conducted by the Office of Information and Communications Technology in April 2025, the United Nations operated 102 data centres classified into three tiers, comprising 27 tier-1<sup>6</sup> data centres, 49 tier-2<sup>7</sup> data centres and 26 tier-3<sup>8</sup> data centres. The Board noted that the Office did not maintain a complete and regularly updated inventory of data centres across Secretariat entities. Available information was derived largely from manual surveys and ad hoc responses from entities, with no established mechanism for systematic data collection and periodic updates. The operational and maintenance costs of each data centre had also not been fully and accurately accounted for.

340. The Board reviewed the results of the United Nations data centre survey conducted in April 2025 and noted that the 102 data centres, including 43 Secretariat volume I data centres, operated at relatively low levels of utilization. The average storage utilization rate was 46.33 per cent across all 102 data centres and 52.28 per cent across the 43 Secretariat volume I data centres.

341. The Administration explained that the Office of Information and Communications Technology had initiated a data centre consolidation pilot involving the United Nations Office at Geneva, the Economic Commission for Africa, the United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic and the United Nations Organization Stabilization Mission in the Democratic Republic of the Congo to develop a consolidation model, and that a detailed assessment of selected data centres was under way. Upon completion, the pilot results would be presented to the ICT Steering Committee for consideration of the roll-out of the model to other entities, including the resolution of related funding and governance issues.

342. According to the data centre rationalization pilot, the projected cost for the four pilot entities over the five-year period from 2026 to 2030, including facilities, ICT infrastructure, connectivity, software and licensing, operations and personnel, and power consumption, amounted to \$96.12 million.

343. The Board is of the view that, despite the ongoing consolidation initiative and the known low levels of storage utilization, the Office of Information and Communications Technology lacks complete and reliable cost information for a significant proportion of data centres. This lack of cost information makes it impossible to quantify the financial impact of low storage utilization, thereby limiting informed decision-making on consolidation priorities, workload migration and

<sup>6</sup> Tier 1 is the most basic level of data centre infrastructure, designed to meet the essential needs of a small-scale operation without offering redundancy or failover protection. It features a single path for power and cooling, making it susceptible to planned or unplanned downtime. According to the Uptime Institute, a tier 1 data centre can experience up to 28.8 hours of downtime annually.

<sup>7</sup> Tier 2 is a step up from tier 1, offering some level of redundancy while still having limitations. It generally has a single path for power and cooling with some redundant components like backup power (uninterruptible power supply, generators) and additional cooling capacity, but these components are not fully independent or diverse. Tier 2 data centres are estimated to experience up to 22 hours of downtime annually.

<sup>8</sup> Tier 3 is a highly reliable and resilient facility designed to ensure continuous operation with minimal downtime. It features dual power and cooling paths, along with N+1 redundancy for critical systems, and is designed to eliminate single points of failure. This allows for planned maintenance without interrupting services. A tier 3 data centre provides 99.982 per cent availability, which translates to an estimated downtime of about 1.6 hours per year.

potential savings. The absence of a baseline for current operating costs also reduces the ability to assess the effectiveness of future consolidation efforts.

344. Furthermore, although United Nations Secretariat cloud strategy 2.0 envisages the optimization of data centres through the transition of secondary and tertiary data centres to enterprise data centres or public cloud environments, the Board noted that two entities with tier 1 and tier 2 data centres had procured additional ICT assets for data centre expansion in 2025, with total procurement expenditure of \$1.03 million. The United Nations Verification Mission in Colombia, which operated one tier 1 and one tier 2 data centre with an average storage utilization rate of 61.56 per cent, had procured three servers and seven switches at a total cost of \$140,334. As at 31 December 2025, four of the newly acquired switches, valued at \$22,058, remained recorded as idle assets. Also, the United Nations Mission in South Sudan (UNMISS), which operated equipment and infrastructure required to support its ICT services with a storage utilization rate of 38.08 per cent, had procured 28 servers and 139 switches at a total cost of \$894,462.

345. The Administration explained that the Office of Information and Communications Technology did not oversee all ICT asset acquisitions undertaken by individual entities and was therefore not in a position to validate all information relating to such purchases. It further explained that the equipment procured by the United Nations Verification Mission in Colombia and UNMISS was intended primarily to replace ageing equipment and support migration from VMware to Proxmox hosting environments.

346. The Board understands the procurement needs of the United Nations Verification Mission in Colombia and UNMISS but notes that data centre consolidation is a long-term process during which entities may still invest in capacity that is eventually to be consolidated. Unaligned capacity planning may lead to avoidable expenditure and undermine the UN80 Initiative and ICT strategy objectives of reducing duplication, improving resilience and achieving cost efficiencies.

**347. The Board recommends that the Administration remind entities to strengthen the oversight of new data centre-related ICT acquisitions to ensure that such investments are justified and consistent with the objectives of the data centre consolidation strategy.**

348. The Administration accepted the recommendation.

### **12.3. Slow progress in workstation migration and low utilization of cloud resources**

349. The United Nations cloud strategy, approved on 9 April 2018, established a cloud-first policy. In January 2025, United Nations Secretariat cloud strategy 2.0 was approved, updating the approach from a cloud-first model to a more comprehensive hybrid and cloud-smart strategy. In his report on the information and communications technology strategy (A/77/489), the Secretary-General also identifies cloud adoption as a key element of the ICT strategy.

350. In its resolution 78/243, the General Assembly emphasized that the coherent deployment of information and communications technology across the Organization was critical to the delivery of mandates and required stronger and more unified governance. The Board then reviewed the progress in workstation migration and cloud transformation and noted the shortcomings described below.

#### *12.3.1. Lack of effective central monitoring and delays in workstation migration*

351. On 24 August 2023, the Office of Information and Communications Technology issued directive DOS-2023-0331 requiring all Secretariat-managed workstations to

migrate from the on-premises Active Directory to the cloud-based Azure Active Directory by 30 June 2025 in order to strengthen information security, simplify workstation and device management, facilitate application deployment and improve user experience and performance. The Board noted that the migration had not been completed by the prescribed deadline. A subsequent memorandum issued on 19 November 2025 (DOS-2025-03438) had extended the completion target to the second quarter of 2026.

352. The Board was informed that the Office had not developed a comprehensive Secretariat-wide migration road map and did not maintain a complete inventory of assets subject to migration across Secretariat entities. Migration planning and implementation were managed independently by individual entities, while the Office provided governance, standards and advisory support.

353. The Administration explained that the Office provided technical guidance and established technology requirements for the migration of Secretariat-managed workstations from the on-premises Active Directory to the cloud-based Azure Active Directory. Responsibility for implementation and compliance with the prescribed timelines rests with the heads of individual entities. The Administration further explained that the Office directly managed only the migration of Secretariat-managed workstations at United Nations Headquarters, which was currently expected to be completed in 2027.

354. The Board is of the view that the absence of an effective central mechanism for tracking migration progress across the Secretariat, combined with reliance on individual entities to manage implementation and the lack of formal accountability or escalation measures for delays, may impede the timely achievement of migration objectives.

**355. The Board recommends that the Administration strengthen its coordination with Secretariat entities in developing a Secretariat-wide road map for the migration of workstation identity management from the on-premises Active Directory to the cloud-based Azure Active Directory, supported by effective tracking, monitoring and escalation mechanisms.**

356. The Administration accepted the recommendation.

#### *12.3.2. Low utilization of cloud resources*

357. The Board noted that expenditure on the Organization's two public cloud platforms amounted to approximately \$18.44 million during the period from 2021 to 2025. The expenditure covered computing, storage, database, container, cybersecurity, load-balancing and network services. Despite this investment, the utilization of cloud computing resources remained low. As at 31 March 2026, 347 virtual machines were operating on Platform No.1, with an average central processing unit utilization rate of 6.57 per cent, while 90 virtual machines were operating on Platform No. 2, with an average central processing unit utilization rate of 4.29 per cent. The Board further noted that 150 virtual machines on Platform No. 1 and 39 virtual machines on Platform No. 2 had central processing unit utilization rates below 2 per cent, representing 43.23 per cent and 43.33 per cent, respectively, of all running virtual machines on the two platforms. For example, a virtual machine under the subscription "OICT-TOS-DEV", with a Standard\_F8s\_v2 configuration, recorded a central processing unit utilization rate of only 0.11 per cent in March 2026. This indicated great potential for optimization of subscription and utilization for cost reductions.

358. The Administration explained that the Office of Information and Communications Technology had undertaken significant efforts to improve cloud utilization through targeted communications, outreach activities and direct

consultations with entity focal points, supported by business intelligence reports, utilization metrics and cloud usage dashboards. The Office had also promoted financial governance and cost-conscious practices. Entities were provided with access to monitoring tools and dashboards to facilitate proactive monitoring and data-driven optimization. The Administration further explained that the Office would continue to provide platforms, guidance and advisory support and work with entities to improve the efficiency of cloud resource utilization across the Organization.

359. The Board is of the view that, notwithstanding the Office's efforts to analyse utilization data and disseminate utilization reports to entities, the efficiency of cloud resource utilization remains low. This suggests that reliance on voluntary action by individual entities may not be sufficient to achieve meaningful improvements. Additional central guidance may be required, including the establishment of utilization benchmarks, the implementation of remediation measures for persistently underutilized resources, enhanced review of new cloud subscriptions and greater integration of cloud utilization considerations into resource management processes.

**360. The Board recommends that the Administration intensify efforts to raise awareness of the importance of improving cloud services utilization and continue working with entities to optimize the use of cloud resources across the Organization.**

361. The Administration accepted the recommendation.

#### **12.4. Improvements needed in the Office of Information and Communications Technology's discharge of its central management responsibilities for website and application security**

362. Administrative instruction [ST/AI/2022/2](#) on United Nations website publishing establishes the legal and operational framework governing United Nations websites. It defines the website and applications registry, available through Unite Apps, as the central repository for information on all registered United Nations websites and applications, including information on system details, focal points and compliance with established standards, and designates the Office of Information and Communications Technology as the custodian of the registry. The administrative instruction further assigns the Office responsibility for establishing and maintaining technology standards and mandatory minimum information security requirements for United Nations websites. It also requires website hosting arrangements to comply with those standards and requirements and provides that the Office shall monitor compliance through attestations provided by website-authoring entities and business owners, supplemented by independent assessments.

##### *12.4.1. Insufficient follow-up on the remediation of non-compliant registered websites and applications*

363. The ICT technical procedure on minimum security requirements for public websites of the United Nations, approved by the Chief Information Technology Officer on 15 September 2023, provides that the Office of Information and Communications Technology is responsible for verifying the effective implementation of the minimum security requirements. Where non-compliance presents an operational or reputational risk to the Secretariat, access to the website should be restricted until the required controls have been implemented. The procedure also requires all websites to have an assigned accountable owner and to be registered in Unite Apps, with any partial compliance supported by a documented remediation plan and implementation timeline.

364. The Board noted that, as at 31 March 2026, of the 1,763 websites and applications recorded in Unite Apps with a life-cycle status of production, project, pilot or sunset across United Nations entities, 83 (5 per cent) were non-compliant or only partially compliant with the minimum security requirements (including 53 relating to volume I entities), while 408 (23 per cent) were non-compliant or only partially compliant with cybersecurity compliance requirements (including 323 relating to volume I entities).

365. The Board also noted that the Office had not established mandatory remediation deadlines, escalation procedures or accountability mechanisms to systematically monitor the implementation of corrective actions and associated timelines. As a result, a number of websites and applications remained in a non-compliant status or partially compliant for extended periods.

366. The Administration explained that the minimum security requirements formed part of the ICT project management framework and required systems to undergo security review prior to production deployment and whenever major changes necessitated further security assessment. Responsibility for ensuring and maintaining compliance with ICT requirements, including cybersecurity requirements, rested with system owners, as reflected in the ICT accountability framework. The Administration further explained that the Office issued annual reminders through official communications as part of the self-assessment compliance process.

367. The Board is of the view that the Office's current reliance on annual reminders and self-attestations by system owners, in the absence of mandatory remediation deadlines, escalation procedures and clearly defined accountability arrangements, has not been sufficient to ensure the timely remediation of non-compliant websites and applications. Consequently, a number of systems continue to remain in a non-compliant status for prolonged periods, increasing the Organization's exposure to cybersecurity risks.

368. In addition, the Board noted that some entities had not registered their websites and applications in Unite Apps. As a result, the Office was unable to monitor whether such systems complied with established technology standards and mandatory minimum information security requirements, thereby increasing the risk of cybersecurity incidents. For example, in 2025, a ransomware incident had affected a system operated by the Department of Safety and Security in the Bolivarian Republic of Venezuela, resulting in the exposure of sensitive information, including personal and contact data, and the loss of part of the system data. The system had been developed independently by the Department in that country and had not been registered in Unite Apps. Consequently, the Office had not been able to assess or monitor its compliance status.

369. The Board further noted that the 2025 "hall of fame" report<sup>9</sup> included 17 vulnerability records relating to websites that had not been registered in Unite Apps, of which 7 involved the exposure of sensitive data. Although the Office had remediated the identified vulnerabilities and closed the related records, it had not taken targeted action to ensure that the affected websites were subsequently registered in Unite Apps. As at 31 March 2026, all 17 websites remained unregistered.

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<sup>9</sup> Hall of fame is a part of the responsible disclosure programme, through which the public is encouraged to assist with efforts to improve the protection of ICT resources by disclosing vulnerabilities in the publicly accessible information system of the United Nations. Upon receipt of a vulnerability report from a security researcher, the Office of Information and Communications Technology assesses its security classification, severity and affected resources, and takes timely action to close the issue.

370. The Administration explained that the owners of the affected resources had been notified following receipt of the Board's observations. It further explained that the Office had revised its internal "hall of fame" procedures to require notification of resource owners whenever such findings were identified and to request the implementation of appropriate mitigation measures. The Administration also noted that the Office did not have dedicated resources to perform continuous monitoring of compliance or the implementation of corrective actions.

371. The Board is of the view that insufficient follow-up and limited oversight of both non-compliant registered systems and unregistered websites and applications weaken the effectiveness of the Organization's cybersecurity governance framework. The continued existence of systems that do not comply with technology standards and mandatory minimum security requirements increases the risk of cybersecurity incidents, data exposure and other information security vulnerabilities.

**372. The Board recommends that the Administration require entities to complete and maintain accurate registrations of websites and applications in Unite Apps, including for websites already identified as unregistered.**

**373. The Board also recommends that the Administration establish and communicate remediation deadlines for non-compliant or unregistered websites and applications, supported by clearly defined accountability arrangements for business owners and appropriate follow-up mechanisms to monitor the implementation of corrective actions.**

374. The Administration accepted the recommendations.

*12.4.2. Long-stalled development projects creating risks of accumulated investment and inefficient use of resources*

375. As at 31 March 2026, Unite Apps had recorded 189 websites and applications with a development status, including 149 relating to volume I entities. Of these, 66 had remained in development for more than two years, including 48 relating to volume I entities. In addition, 16 development records, including 14 relating to volume I entities, did not contain either an implementation timeline or a road map, making it difficult to determine their current status and progress.

376. The Board is of the view that projects remaining in development status for prolonged periods without clear implementation timelines may result in resources being committed without corresponding benefits, reduce transparency over project progress and increase the risk of inefficient use of resources.

**377. The Board recommends that the Administration conduct a review of long-stalled development projects and require entities to update, close, suspend or formally justify the continued development status of such projects.**

378. The Administration accepted the recommendation.

### **13. Other matters for attention**

**13.1. *Allocation of tax equalization fund credits not backed by paid assessed contributions***

379. The Tax Equalization Fund as an accounting mechanism was established under the provisions of General Assembly resolution 973 (X) to equalize the net pay of all staff members, irrespective of their national tax obligations. The Fund operationally reports as income staff assessment with respect to staff members financed under the regular budget, assessed peacekeeping operations and the International Residual Mechanism for Criminal Tribunals.

380. The Board acknowledges that the Tax Equalization Fund mechanism is operating as designed and in accordance with the applicable financial regulations and accounting standards. This mechanism is consistently applied across the United Nations system and constitutes an integral component of the established compensation framework.

381. The Administration further explained that, under the Tax Equalization Fund framework, staff assessment was deducted from total payments due to all eligible staff as a notional internal tax. For assessed funds, those amounts were credited to the Fund and subsequently adjusted to reflect the actual tax liabilities incurred by staff members in their respective jurisdictions. Where staff members were subject to national taxation, reimbursement or settlement was effected in a manner that ensured the Member State concerned ultimately bore the associated cost; accordingly, the Administration maintained that payments made from the Fund in respect of national taxation did not constitute cross-subsidization by other Member States, but represented a balancing mechanism to align staff assessment with actual tax obligations consistent with established financial regulations and the principle of tax equalization.

382. This current mechanism was therefore directly linked to the assessed funds and the related assessed contributions. That allocation of Fund credits on the basis of the scale of assessments, regardless of actual payment, also applied to all Member States that had not paid their assessed contributions in full. The Board noted that in 2024 and 2025 approximately \$143 million of the regular budget Fund credits allocated to Member States was not backed by paid contributions.

383. The Board further noted that, during the 2024–2025 period, the Fund had generated revenue of \$1,021.64 million, comprising \$648.17 million from the regular budget, \$356.47 million from peacekeeping operations, \$12 million from the International Residual Mechanism for Criminal Tribunals and \$5 million from investment revenue. The Board noted, however, that an estimated total amount of \$211.97 million of revenue credited to one major contributor during the period was not supported by paid assessed contributions, reflecting the difference between revenue recognized under the Fund and the corresponding cash inflows received from the assessed funds.

384. While the Board does not question the appropriateness of the mechanism under the existing regulatory framework, the Board is of the view that the current allocation mechanism which recognizes Fund revenue regardless of actual payment of assessed contributions may result in a situation in which Fund credits continue to be extended to, and applied by, a Member State with significant outstanding contributions without being backed by corresponding cash receipts, while the related tax reimbursements are paid in cash from the Organization's pooled resources. It further notes that this situation may further strain the liquidity of the Organization. In this regard, the Board further noted that, in February 2026, the aforesaid major contributor used \$34.63 million of the Fund credits to offset its outstanding regular budget assessment for the 2024 fiscal year.

385. Accordingly, the Board's observations are focused on its impact on liquidity arising from the operation of the mechanism and do not constitute a recommendation for changes to the current arrangements, which remain a matter for Member States.

### **13.2. The current review of the operation of the three lines of defence model is an opportunity to translate institutional accountability into personal accountability**

386. The three lines of defence model, defined by the Institute of Internal Auditors and subsequently adopted by United Nations System Chief Executives Board for

Coordination (CEB) at its twenty-eighth session, on 8 October 2014, provides a framework for clarifying responsibilities for risk management and internal control. Under the model, the first line owns and manages risks and implements corrective actions; the second line provides oversight, guidance and support in relation to risk management and internal controls; and the third line provides independent assurance by OIOS.

387. The Board reviewed selected aspects of the operation of the model within the Secretariat and identified two areas for improvement: (a) the roles and responsibilities of the second line of defence could be further detailed; and (b) the ongoing evaluation of the model, initiated pursuant to General Assembly resolution [79/257](#) in the areas of human resources and asset management, could usefully be broadened to other high-risk areas, such as financial and budget management, information and communications technology and supply chain management, subject to legislative guidance, resource availability and clarification of the responsible office or function.

388. The Board noted that the Administration was undertaking work pursuant to General Assembly resolution [79/257](#) to review accountability arrangements of the first and second lines of defence in the areas of human resources and asset management. The Board also noted that the possible expansion of that work to other areas was under consideration by the Fifth Committee in connection with its report on the accounts of the United Nations peacekeeping operations and the report of the Secretary-General on the implementation of the recommendations of the Board concerning the United Nations peacekeeping operations for 2025 ([A/80/633](#)). The Board was further informed that any expansion of the review would require legislative approval, would have financial and resource implications and would require further clarification of the office or function that was best placed to lead such work.

389. The Board does not intend to duplicate or prejudge the ongoing review. However, the Board supports the objective of the review, and any possible expansion, as an opportunity to clarify institutional ownership of key controls more systematically across the Secretariat. The Board further believes that such clarifications will need to be followed by an updating of managerial responsibilities into individual performance expectations for staff operating key controls.

390. Pursuant to General Assembly resolution [64/259](#), the Secretary-General was requested to further strengthen the managerial accountability framework, clearly articulate the linkages between institutional and individual accountability through senior managers' compacts and the performance appraisal system for staff below the Assistant Secretary-General level and establish appropriate accountability mechanisms to address underperformance at all levels.

391. The Board acknowledges that, for certain functions, departments and staff members, relevant responsibilities relating to key controls or functions are already reflected in workplans, functions or individual performance documents. However, such responsibilities may not be consistent across the Secretariat or always be sufficiently specific or measurable, may be expressed in broad terms or may not be consistently assessed during performance evaluation. Without this, it is difficult for managers to hold the relevant officials accountable through existing management and performance mechanisms.

392. The Board is of the view that clearer articulation of control ownership, which is the objective of the ongoing review, could be used as the basis to strengthen and update the linkage between institutional and personal accountability. Where appropriate, the related responsibilities can be cascaded into performance objectives in senior managers' compacts and staff workplans, as already happens in some of the areas the Board reviewed. This good practice would help ensure consistency in how

key controls are not only institutionally assigned but also subject to monitoring and assessment at the performance evaluation stage.

393. Considering that the Administration is reviewing related accountability arrangements pursuant to General Assembly resolution [79/257](#), and that the possible expansion of the review to other areas is under consideration by the Fifth Committee in connection with the report on the accounts of the United Nations peacekeeping operations and the report of the Secretary-General on the implementation of the recommendations of the Board concerning the United Nations peacekeeping operations for 2025 ([A/80/633](#)), the Board will not issue a recommendation at this stage.

394. The Board will continue to follow up on this issue in a future audit, with particular attention paid to whether institutional roles, responsibilities, key controls and control ownership arrangements are clearly defined and appropriately reflected in management and performance accountability mechanisms.

### **13.3. Matters related to the UN80 Initiative**

395. The UN80 Initiative, launched by the Secretary-General in March 2025, is intended to strengthen the United Nations system's ability to deliver mandates in an increasingly complex and resource-constrained environment. It is aimed at addressing long-standing issues, including institutional complexity, fragmentation, duplication, weak alignment between mandates, resources and delivery arrangements, and the need to improve efficiency, transparency, coherence and impact.

396. The Initiative brings various reform efforts under a single framework, structured around three mutually reinforcing workstreams: efficiency and improvement, mandate implementation review, and structural and programmatic realignments. According to the May 2026 progress report of the Secretary-General, it comprised 31 work packages, involving 34 United Nations system leaders, 85 individual actions and 64 United Nations system entities, with some reforms under implementation, some proposals ready or nearing decision pathways, and others requiring further design, consultation and development.

397. The Board noted progress under all three workstreams. Under workstream 1, the revised programme budget for 2026 reflected the first set of concrete efficiency measures for the Secretariat. Under workstream 2, the General Assembly adopted resolution [80/251](#) on mandate creation, implementation and review, and work had begun on mandate registries, digital tools, improved reporting formats, review clauses and stronger results management. Under workstream 3, new delivery models and system-wide enablers were being developed and tested, including the new humanitarian compact, reconfiguration of United Nations country teams, recalibration of the resident coordinator system, shared services, technology and data initiatives, and assessments of potential structural reforms.

398. The measures under workstream 1 that are most directly relevant to the Secretariat include the relocation of functions from higher-cost to lower-cost duty stations, the establishment and expansion of common administrative platforms, the consolidation of payroll processing and other administrative functions, and digital service delivery arrangements. The Secretary-General reported to the General Assembly on 28 May 2026 that, among the advances achieved, 11 teams had been merged into a common administrative platform serving over 6,000 personnel in New York, with five additional duty stations to follow; a digital hub had been launched in Valencia, Spain, to support Secretariat-wide digital service delivery; 10 payroll offices had been consolidated into a single global team; and over 220 Secretariat posts and positions would be relocated from high-cost locations in 2026.

399. The Board recognizes that the workstream 1 measures are intended to reduce costs, streamline operations and improve support for programme delivery. Given their scale and complexity, implementation will require strong governance, risk management, internal controls and accountability. Post abolishments and related mitigation measures, including lateral and global reassignment and any activation of downsizing procedures, should be implemented in accordance with the applicable regulatory framework and established procedures. The placement of affected staff should be managed transparently and consistently so as to mitigate risks to staff rights, business continuity, geographical representation, workforce rejuvenation and mandate delivery.

400. The Board is also of the view that, during implementation, relocation and consolidation measures should be closely monitored to ensure that expected savings and efficiency gains are realized without adversely affecting mandate delivery, business continuity or service quality. In particular, the relocation of functions should be managed with due regard for operational requirements, staff transition, talent retention and the preservation of institutional capacity. The consolidation of common administrative platforms, payroll processing and digital services should be supported by effective change management, clear service standards, performance monitoring, safeguards over system integration and mechanisms to track productivity gains and service improvements.

401. The Board notes that many concrete measures under the UN80 Initiative were approved in the revised programme budget for 2026 or are scheduled for implementation from 2026 onward. While key decisions and preparatory arrangements were relevant to the 2025 financial year under audit, their full implementation, operational impact and expected efficiency gains largely fall outside the current audit. The Board will continue to monitor these measures in future audits, with particular attention paid to compliance with legislative decisions, established policies and due process; achievement and measurement of expected savings and service improvements; and mitigation of risks to mandate delivery, business continuity, workforce planning and staff management.

## **C. Transmission of information by the Secretary-General**

### **1. Write-off of cash, receivables, inventories and property**

402. In accordance with financial regulation 6.5 of the Financial Regulations and Rules of the United Nations, the Secretary-General may, after full investigation, authorize the write-off of losses of assets, including cash, inventories and property, plant and equipment, provided that a statement of all such amounts written off is submitted to the Board with the annual financial statements submitted as required by financial regulation 6.1.

403. The United Nations (volume I) reported that it had formally written off assets of \$64.92 million in 2025 (compared with \$10.12 million in 2024). The write-offs primarily encompassed aged or surplus property, plant and equipment (\$58.35 million), mainly from closed missions; receivables (\$5.37 million); and inventories (\$0.71 million).

### **2. Ex gratia payments**

404. Financial regulation 5.11 of the Financial Regulations and Rules of the United Nations states that the Secretary-General may make such ex gratia payments as are deemed to be necessary in the interest of the Organization, provided that a statement of such payments shall be submitted to the Board with the financial statements.

405. As required by financial regulation 5.11, the Administration reported that there were no ex gratia payments made during the year ended 31 December 2025.

### 3. Cases of fraud and presumptive fraud

406. In accordance with financial regulation 7.11 of the Financial Regulations and Rules of the United Nations and the additional terms of reference thereto, fraud cases are included in the matters that should be reported to the General Assembly by the Board. The Administration defines “fraud” in accordance with the common definition established by CEB (CEB/2017/3). Consistent with the established practice, “presumptive fraud” includes all open cases reported to OIOS, including those with no financial impact and those relating broadly to conduct and discipline. For purposes of financial statement reporting, the Administration reports on cases of fraud or presumptive fraud that occurred during the financial period and that involved either confirmed or potential financial loss to the Organization. International Standard on Auditing 240 and International Standard of Supreme Audit Institutions 1240 stipulate that it is the responsibility of the external auditor to identify risks of material misstatements in the financial statements that may result from fraud, to provide reasonable assurance that financial statements are free from material misstatement due to fraud and to consider its own assessment of fraud risk in defining its audit strategy and its work. More generally, in accordance with International Standard of Supreme Audit Institutions 100, the external auditor should maintain an attitude of professional scepticism and be alert to the possibility of fraud throughout every audit process. However, the external auditor’s role is not to investigate fraud, and the primary responsibility for preventing and detecting fraud rests with the Secretary-General. The assessment of misstatement due to fraud does not guarantee detection of all fraud due to inherent limitations in auditing procedures and the auditor’s scope of responsibilities.

407. For 2025, the Administration reported 12 confirmed fraud cases with a financial loss of \$0.19 million and 58 presumptive fraud cases. The previous year, the Administration reported 11 confirmed fraud cases with a financial loss of \$0.55 million and 125 presumptive fraud cases.

408. The confirmed fraud cases involved implementing partners (6 cases, \$172,766.86) and staff members/non-staff/affiliate personnel (6 cases, \$18,257.93). As at 31 December 2025, 12 cases that had been under investigation were closed and 58 cases remained under investigation by OIOS.

Table II.14

#### Transmission of cases of fraud and presumptive fraud

(Millions of United States dollars)

| <i>Period ended</i> | <i>Fraud</i>           |               | <i>Presumptive fraud</i> |               |
|---------------------|------------------------|---------------|--------------------------|---------------|
|                     | <i>Number of cases</i> | <i>Amount</i> | <i>Number of cases</i>   | <i>Amount</i> |
| 31 December 2025    | 12                     | 0.19          | 58                       | 22.44         |
| 31 December 2024    | 11                     | 0.55          | 125                      | 6.76          |
| 31 December 2023    | 23                     | 0.65          | 95                       | 8.17          |
| 31 December 2022    | 9                      | 0.04          | 99                       | 3.24          |
| 31 December 2021    | 13                     | 0.12          | 79                       | 11.19         |
| 31 December 2020    | 20                     | 0.18          | 91                       | 32.29         |

Source: Data provided by the Administration.

## **D. Acknowledgement**

409. The Board wishes to express its appreciation for the cooperation and assistance extended to its staff by the Secretary-General, OIOS and the Controller, as well as all employees of the field offices.

*(Signed)* **Amélie de Montchalin**

First President of the French Cour des Comptes  
Chair of the Board of Auditors

*(Signed)* **Hou Kai**

Auditor General of the People's Republic of China  
(Lead Auditor)

*(Signed)* **Vital do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

22 July 2026

## Annex I

## Status of implementation of recommendations up to the financial year ended 31 December 2024 (volume I)

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                          | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Board's assessment                                                                                                                                                                                               | Status after verification |                      |                 |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                  | Implemented               | Under implementation | Not implemented | Overtaken by events |
| 1   | 2015              | A/71/5 (Vol. I), chap. II, para. 256 | The Board recommends that the legal framework around the granting of funds to partners should be formally introduced into the Financial Regulations and Rules.                                                                                                                                                       | The recommendation was implemented. With the submission of the report of the Secretary-General on proposed revisions to the Financial Regulations of the United Nations (A/80/367), the Administration addressed the Board's findings and recommendation by introducing a legal framework around the granting of funds to implementing partners. In 2018–2019, the Umoja grantor module, a corporate enterprise resource planning solution for the United Nations Secretariat, was rolled out, ensuring a harmonized approach to engagement with implementing partners and providing tools that streamlined the financial management of such engagement. The Administration also developed a corporate agreement template, cleared by the Office of Legal Affairs, for engagement with non-governmental organizations (NGOs), which has been automated in the Umoja grantor module as a tool for system-generated agreements. | Given that the report of the Secretary-General on proposed revisions to the Financial Regulations of the United Nations (A/80/367) has been submitted, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 2   | 2015              | A/71/5 (Vol. I), chap. II, para. 264 | The Board recommends that the Administration develop a common principles-based framework for the management of partners that specifies the key procedures to be performed by all Secretariat entities. To facilitate the development of the common framework, the Secretariat should conduct an end-to-end review of | The recommendation was implemented. With the submission of the report of the Secretary-General on proposed revisions to the Financial Regulations of the United Nations (A/80/367), the Administration addressed the Board's findings and recommendation by introducing a legal framework around the granting of funds to implementing partners.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Given that the Administration has developed the common principles-based framework for the management of partners, the Board considers the recommendation to be implemented.                                      | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                     | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                                                                                                          | Status after verification |                      |                                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                             | Implemented               | Under implementation | Not implemented Overtaken by events |
|     |                   |                                                       | the project management life cycle, including consultations with key stakeholders and a review of all current practices.                                                                                                                                                                                                                                         | In 2018–2019, the Umoja grantor module, a corporate enterprise resource planning solution for the United Nations Secretariat, was rolled out, ensuring a harmonized approach to engagement with implementing partners and providing tools that streamlined the financial management of such engagement. The Administration also developed a corporate agreement template, cleared by the Office of Legal Affairs for engagement with NGOs, which has been automated in the Umoja grantor module as a tool for system-generated agreements. |                                                                                                                                                                                                                                                                             |                           |                      |                                     |
| 3   | 2017              | <a href="#">A/73/5 (Vol. I)</a> , chap. II, para. 81  | The Board recommends that the United Nations Treasury formalize the participation of different entities in the main cash pool by way of written agreements with them.                                                                                                                                                                                           | The recommendation was implemented. The Administration has established template documentation for the provision of investment management services, which is prepared by the Office of Legal Affairs and has been attached to the related memorandum issued by the General Legal Division. The Administration also identified the entities for which such documentation may be used, as appropriate.                                                                                                                                        | Given that the template documentation for memorandums of understanding and investment management agreements has been established, and the entities for which such documentation may be used have been identified, the Board considers the recommendation to be implemented. | X                         |                      |                                     |
| 4   | 2018              | <a href="#">A/74/5 (Vol. I)</a> , chap. II, para. 132 | The Board recommends that the Administration review the third-party administrator reporting templates for gaps in data quality and standardization and streamline the data elements in the paid claims files to enable authentication of subscribers and expenditure, help identify red flags and carry out correct and comprehensive classification of claims. | The Administration conducts biweekly reviews of claim information submitted by third parties and provides prompt feedback if any issues are identified.                                                                                                                                                                                                                                                                                                                                                                                    | Given that the third-party administrator reporting templates have not yet been formally issued, the Board considers the recommendation to be under implementation.                                                                                                          |                           | X                    |                                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                     | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Board's assessment                                                                                                                                                                                                                                         | Status after verification |                      |                                        |
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| 5   | 2018              | A/74/5 (Vol. I), chap. II, para. 303 | The Board recommends that the Administration upgrade the information technology resources of the Non-Governmental Organizations Branch to ensure efficient and timely processing of new applications for consultative status from NGOs, as well as processing of the increasing number of quadrennial reports. The Department of Economic and Social Affairs should also monitor the initiatives by NGOs that are related to the Sustainable Development Goals. | Progress continues towards upgrading the information technology system supporting the work of the NGO Branch. The consultant company has made progress in addressing issues identified in the new system through successive iterations. However, some issues remain and are currently being addressed to ensure that the software is fully operational and fit for purpose. Continuous engagement with the developer remains a priority. In parallel, supplementary solutions such as Indico are also being explored to support the overall objective. At the same time, progressive maintenance of the existing system continues to support ongoing operations and ensure the efficient and timely processing of applications for consultative status from NGOs and quadrennial reports. The revised target date of December 2026 for the technical delivery of the solution remains unchanged. | Given that progress continues towards upgrading the information technology system supporting the work of the NGO Branch and the December 2026 implementation target date remains valid, the Board considers the recommendation to be under implementation. |                           | X                    |                                        |
| 6   | 2019              | A/75/5 (Vol. I), chap. II, para. 61  | The Board recommends that the Administration carry out a thorough review of cost recovery in the cost-recovery fund (10RCR) to ensure its reasonableness.                                                                                                                                                                                                                                                                                                       | The recommendation was implemented. With the submission of the report of the Secretary-General on cost recovery in the United Nations Secretariat (A/80/369), the Administration addressed the Board's findings and recommendation by providing details of the recommended thorough review of cost recovery carried out.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Given that the report of the Secretary-General on cost recovery in the United Nations Secretariat (A/80/369) has been submitted, the Board considers the recommendation to be implemented.                                                                 | X                         |                      |                                        |
| 7   | 2019              | A/75/5 (Vol. I), chap. II, para. 90  | The Board recommends that the Administration complete the exercise of aligning Umoja objects of expenditure with budget objects of expenditure within a reasonable time frame.                                                                                                                                                                                                                                                                                  | The recommendation was implemented. The Administration's work on the alignment of Umoja objects of expenditure with budget objects of expenditure, the misalignment of which was largely attributable to the use of legacy classifications during the transition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Given that the alignment has been completed, the Board considers the recommendation to be implemented.                                                                                                                                                     | X                         |                      |                                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                       | Status after verification |                      |                 |                     |
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|     |                   |                                      |                                                                                                                                                                           | period, has been completed. In its report (A/75/5 (Vol. I)), the Board had referred to the following: "The Administration stated that the biennial budget for 2018–2019 had been prepared using the old budget system (Integrated Management Information System), which had different commitment items, and that the preparation of the 2020 budget in the business planning and consolidation module using Umoja commitment items had facilitated the further alignment of budgets in 2020. As the Organization gained more experience with budget implementation in Umoja, it was anticipated that, in 2020, there should be fewer related variances resulting from alignment." With the preparation of the proposed programme budget for 2027, the Secretariat is now in its seventh year of preparing and implementing annual budgets. In this context, the misalignment between Umoja objects of expenditure and budget objects of expenditure observed in earlier periods has been resolved. |                                                                                                                                                          |                           |                      |                 |                     |
| 8   | 2019              | A/75/5 (Vol. I), chap. II, para. 420 | The Board recommends that the Administration put in place a mechanism for monitoring the creation and composition of local property survey boards.                        | The review of the relevant administrative instruction has progressed considerably and the document is approaching readiness for submission to the Office of Human Resources. The Administration anticipates completion and submission by August 2026.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Given that the document continues to be under review, the Board considers the recommendation to be under implementation.                                 |                           |                      | X               |                     |
| 9   | 2020              | A/76/5 (Vol. I), chap. II, para. 30  | The Board recommends that the Administration enhance the performance of fund utilization under the cost-recovery fund (10RCR) to contribute to improved mandate delivery. | The recommendation was implemented. With the submission of the report of the Secretary-General on cost recovery in the United Nations Secretariat (A/80/369), the Administration addressed the Board's findings and recommendation by                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Given that the report of the Secretary-General on cost recovery in the United Nations Secretariat (A/80/369) has been submitted, the Board considers the | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                    | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                   | Status after verification |                      |                 |                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                | providing details of the recommended thorough review of cost recovery carried out, including on the financial performance of cost-recovery funds.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | recommendation to be implemented.                                                                                                                                                                                                                                                                                                                                                                                    |                           |                      |                 |                     |
| 10  | 2020              | <a href="#">A/76/5 (Vol. I)</a> , chap. II, para. 107 | The Board recommends that the Administration formalize the procedures for cash management under the “T+3” model, clearly defining responsibilities of cashiers at United Nations Headquarters and local offices, and take action to accelerate the progress of modification of the Umoja cashier business roles and the development of the new payroll process model.                                          | The Administration has drafted the procedures for the cash management function. A monitoring process to ensure that cashiers use their Umoja roles responsibly has been implemented.                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Given that the procedures are currently under review and have not yet been approved and circulated, the Board considers the recommendation to be under implementation.                                                                                                                                                                                                                                               |                           | X                    |                 |                     |
| 11  | 2020              | <a href="#">A/76/5 (Vol. I)</a> , chap. II, para. 147 | The Board recommends that the Administration, in coordination with the third-party administrators, conduct an assessment on the affordability of the Medical Insurance Plan for locally recruited staff and retirees at designated duty stations, by taking into account the current financial situation of the Plan and the increasing cost of health care globally to ensure the sustainability of the Plan. | The recommendation was implemented. The annual review of all health insurance plans conducted by the Health and Life Insurance Committee takes into consideration plan experience, loss ratios, potential benefit changes, reserve balances and premium increase requirements, including the related impact on participant contributions. The Medical Insurance Plan was covered by the review conducted in connection with the renewals effective 1 July 2026. An extract of the presentation to the Committee, including loss-ratio options and the related impact on staff contributions, was provided as supporting documentation. | Given that the Administration, in coordination with the third-party administrators and through the annual review conducted by the Health and Life Insurance Committee, assessed the affordability of the Medical Insurance Plan in connection with the renewals effective 1 July 2026, including premium amounts for locally recruited staff and retirees, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 12  | 2020              | <a href="#">A/76/5 (Vol. I)</a> , chap. II, para. 419 | The Board recommends that the Administration review the policies on rosters, taking into consideration geographical diversity, gender parity and sunset clauses, to ensure rightsizing based on workforce planning forecasts, clarify accountability for maintaining rosters and                                                                                                                               | The recommendation was implemented. The revised administrative instruction on the staff selection system ( <a href="#">ST/AI/2025/2</a> ) was promulgated on 1 August 2025, with an effective date of 1 October 2025. The revised administrative instruction establishes a revised roster management framework, including                                                                                                                                                                                                                                                                                                              | Given that the revised instruction has been issued, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                                                                                                        | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                           | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Board's assessment                                                                                                                                                                                                                                                                            | Status after verification |                      |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                               | Implemented               | Under implementation | Not implemented     |
|     |                   |                                      | formulate guidance for hiring managers on selecting rostered candidates.                                                                                                                                                              | time-bound roster validity, to ensure that rosters are maintained at an appropriate size and aligned with workforce planning needs, while also incorporating gender considerations. The instruction further clarifies accountability for roster administration and provides clear guidance to hiring managers on the use of rostered candidates in the selection process.                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                               |                           |                      | Overtaken by events |
| 13  | 2020              | A/76/5 (Vol. I), chap. II, para. 509 | The Board recommends that the Administration intensify its resource mobilization efforts to ensure adequate, predictable and sustainable funding to support the resident coordinator system.                                          | The recommendation was implemented. The Development Coordination Office has intensified its resource mobilization efforts in line with the recommendation and has demonstrably implemented the recommendation through sustained and expanded outreach, strengthened donor engagement, strategic advocacy and systematic follow-up actions. These actions constitute a clear, measurable enhancement of resource mobilization practices.                                                                                                                                                                                                                                         | Given that the Development Coordination Office has been intensifying its resource mobilization efforts through sustained and expanded outreach, strengthened donor engagement, strategic advocacy and systematic follow-up actions, the Board considers the recommendation to be implemented. | X                         |                      |                     |
| 14  | 2020              | A/76/5 (Vol. I), chap. II, para. 516 | The Board reiterates its recommendation that the Administration expand the donor base to encourage contributions, on a voluntary basis, to the capitalization of the Joint Sustainable Development Goals Fund at the required levels. | The recommendation was implemented. In a tough global funding environment, the Joint Sustainable Development Goals Fund secured \$51.8 million in signed contributions in 2025 by broadening its donor base. Major traditional partners maintained support, while donor diversification increased significantly, including through a first donation from an Arab regional organization and promising private individual giving. A 2026 outreach plan, backed by the prioritization of pooled funds under the UN80 Initiative, is driving resource mobilization. A partners' meeting in December 2025 and targeted donor engagement further strengthened funding commitments and | Given that the Joint Sustainable Development Goals Fund had received approximately \$40 million in deposits and signed contributions by mid-2025 and is realistically projecting a total of \$50–55 million by the end of 2025, the Board considers the recommendation to be implemented.     | X                         |                      |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                   | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                          | Status after verification |                      |                 |                     |
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| 15  | 2020              | <a href="#">A/76/5 (Vol. I)</a> , chap. II, para. 721 | The Board reiterates its recommendation that the Administration clearly define the functions and responsibilities of each division and service within the Office of Information and Communications Technology to avoid duplication and fragmentation within the Office.                                                                       | <p>the predictability of multi-year contributions.</p> <p>The recommendation was implemented. The functions and responsibilities of each division and service are outlined in the Secretary-General's bulletin on the organization of the Office of Information and Communications Technology (<a href="#">ST/SGB/2016/11</a>) and the report of the Secretary-General entitled "Shifting the management paradigm in the United Nations: implementing a new management architecture for improved effectiveness and strengthened accountability (<a href="#">A/72/492/Add.2</a>, paras. 261–274).</p> <p>A review of the functions and responsibilities of each division within the Office is undertaken annually in the context of preparing the proposed programme plan and budget for the Office, which are reviewed by the Committee for Programme and Coordination and the Fifth Committee respectively. The Office's divisions and services prepare annual workplans that are centrally reviewed to ensure that there is no duplication or fragmentation.</p> | Given that the functions and responsibilities of each division have been clearly defined, the Board considers the recommendation to be implemented.                                                                         | X                         |                      |                 |                     |
| 16  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 63  | The Board recommends that the Administration explore the possibility of establishing a productive and economical cost-tracing regime at the service level to ensure that the full cost of each service category can be measured realistically and objectively, with a view to avoiding any excess recovery or insufficient recovery of costs. | The recommendation was implemented through the release of a dashboard to service providers.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Given that the new cost recovery policy guidance has strengthened the cost-tracing regime and the dashboard provides more visibility on cost recovery activities, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                          | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                                                                                                                           | Status after verification |                      |                 |                     |
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| 17  | 2021              | A/77/5 (Vol. I), chap. II, para. 138 | The Board recommends that the Administration provide updated guidance to departments and offices to minimize risks to which the United Nations may be exposed when signing and implementing agreements with donors.                                                                                  | The recommendation was implemented. In 2019 the Organization implemented a new delegation of authority framework, according to which heads of entity were vested with the authority to accept voluntary contributions. In 2022, the Administration issued guidelines on the acceptance of voluntary contributions. These guidelines include key legal, financial, audit and operational principles. Together with the model template contractual instruments and financial report, they provide a robust framework for heads of entity and minimize the key risks when signing agreements with donors. The guidelines are available to all United Nations personnel and are widely circulated and consulted. | Given that the updated guidelines were already under review of senior management in the Office of Programme Planning, Finance and Budget, the Board considers the recommendation to be implemented.                                                                                                                                          | X                         |                      |                 |                     |
| 18  | 2021              | A/77/5 (Vol. I), chap. II, para. 148 | The Board recommends that the Administration appropriately deal with the cash pool balances of the three closed country-based pooled fund accounts, properly consolidate the old country-based pooled fund accounts and assign the refunds in a timely manner.                                       | The recommendation was implemented. The three closed country-based pooled fund accounts, for Indonesia, Haiti and Colombia, have already been cleared. The account for Indonesia was closed in 2022, the Haiti account in 2023 and the Colombia account in 2025.                                                                                                                                                                                                                                                                                                                                                                                                                                             | Given that the three closed country-based pooled fund accounts, for Indonesia, Haiti and Colombia, have already been cleared, the Board considers the recommendation to be implemented.                                                                                                                                                      | X                         |                      |                 |                     |
| 19  | 2021              | A/77/5 (Vol. I), chap. II, para. 178 | The Board recommends that the Administration continue its periodic review of historical purchasing patterns of relevant currencies under the regular budget and extrabudgetary resources and consider expanding the hedging scope for those currencies associated with a high foreign exchange risk. | The recommendation was implemented. The Administration has conducted a periodic review of expenditure by currency and budget source, including with the development of a new reporting tool.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | The hedging proposal submitted annually by the Administration contains statistical analysis conducted on the top five currencies by volume, excluding the United States dollar. Based on statistical data from 2021 to 2025, the Swiss franc and the euro account for approximately 39% and 16% of expenditure respectively, while all other | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                                                                                                                                                                       | Status after verification |                      |                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                              | currencies account for 6% or less. Given that the periodic review is already being conducted, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                                  |                           |                      |                     |
| 20  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 191 | The Board recommends that the Administration establish formal procedures to review the post-trade date increases in the concentration levels, make a decision on the basis of the nature and risk exposure of investment portfolios, and document the decision-making process appropriately. | The Administration has been updating the Investment Management Guidelines to formalize the steps to be taken in the unusual situation where a concentration level increase situation arises.                                                                                                                                                                                                                 | Given that the Investment Management Guidelines are currently under review and have not yet been approved and circulated, the Board considers the recommendation to be under implementation.                                                                                                                                                                                             |                           | X                    |                     |
| 21  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 212 | The Board recommends that the Administration expedite the execution of collective negotiations and the formalization of standardized agreements.                                                                                                                                             | The recommendation was implemented. The contract for the Medical Insurance Plan, which went into effect on 1 April 2024 for a period of five years, was formally signed. The negotiations with Cigna, the third-party administrator, were conducted jointly with the United Nations Development Programme (UNDP) and the United Nations Children's Fund for their organizations' medical insurance plans.    | Given that the Administration expedited collective negotiations, conducted jointly with UNDP and the United Nations Children's Fund, and formalized a standardized agreement with the third-party administrator through the signed contract for the Medical Insurance Plan, effective 1 April 2024 for a period of five years, the Board considers the recommendation to be implemented. | X                         |                      |                     |
| 22  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 272 | The Board recommends that the Administration strengthen monitoring to ensure that all the general temporary assistance positions are used in full compliance with related policies and regulations.                                                                                          | The recommendation was implemented. The revised administrative instruction on administration of appointments ( <a href="#">ST/AI/2025/3</a> ), which covers all types of appointments, was promulgated on 28 October 2025. In addition, the budget guides for 2026 and 2027 both made reference to and provided guidance on the use and conversion of general temporary assistance positions, including that | Given that the administrative instruction on administration of appointments ( <a href="#">ST/AI/2025/3</a> ) was promulgated on 28 October 2025, and that the budget guides for 2026 and 2027 both made reference to and provided guidance on the use and conversion of general temporary assistance                                                                                     | X                         |                      |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                       | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Board's assessment                                                                                                                                   | Status after verification |                      |                 |                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                   | they should be used to meet surge and short-term requirements. The budget guides further indicate that requests for new positions to address temporary requirements for a period of one year or more are expected, to the extent possible, to be reflected as temporary posts rather than general temporary assistance positions.                                                                                                                                                                                                                                                                                                                                                                                    | positions, the Board considers the recommendation to be implemented.                                                                                 |                           |                      |                 |                     |
| 23  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 329 | The Board recommends that the Administration update the policy to address deficiencies in roster-based recruitment and clean up the roster data.                                                                                                                                                                                                                                                                  | The recommendation was implemented. The revised administrative instruction on the staff selection system ( <a href="#">ST/AI/2025/2</a> ) was promulgated on 1 August 2025 with an effective date of 1 October 2025. The revised administrative instruction updates the policy framework governing roster-based recruitment, including through strengthened provisions on roster management and the introduction of time-bound roster validity, which addresses longstanding deficiencies related to outdated and inactive roster entries. The revised policy provides the basis for the systematic discontinuation and clean-up of roster data, ensuring that rosters remain accurate, current and fit for purpose. | Given that the revised instruction has been issued, the Board considers the recommendation to be implemented.                                        | X                         |                      |                 |                     |
| 24  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 358 | The Board recommends that the Administration make the registration and recording of vaccines in Everbridge easier for country teams to overcome the challenges in accounting for all vaccines allocated to them, track the utilization of all deployed vaccines as accurately as possible, and produce a comprehensive report at the conclusion of the United Nations System-wide COVID-19 Vaccination Programme. | The recommendation was implemented. Following stakeholder engagement and consultations, the Office of Supply Chain Management has produced the comprehensive Vaccination Programme report.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Given that the Administration has produced the comprehensive Vaccination Programme report, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                              | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                                                                                                                                                 | Status after verification |                      |                 |
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| 25  | 2021              | A/77/5 (Vol. I), chap. II, para. 426 | The Board recommends that the Administration develop a resident coordinator handbook to provide more guidance to resident coordinators ad interim in delivering the expected results.                                                                                                                                                    | The recommendation was implemented. Based on the Board's findings, the Administration took a pragmatic approach to implementing the recommendation and ensuring that resident coordinators ad interim receive real-time guidance and support in their functions, given the fluidity of the country contexts in which they operate and the amount of changes and updates in United Nations policies and guidance across thematic areas. Resident coordinators ad interim can now avail themselves of the Development Coordination Office SharePoint knowledge management website, which contains all the necessary guidance and is constantly updated. In addition, resident coordinators ad interim systematically receive briefings when taking up their duties, as well as continuous support throughout their tenure, from the relevant regional office, and headquarters, of the Development Coordination Office. The guidance framework created on the basis of the recommendation ensures that resident coordinators ad interim are aware of the results expected of them and where they can find support if required. | Given that the resident coordinators ad interim can now avail themselves of the Development Coordination Office SharePoint knowledge management website, which contains all the necessary guidance and is constantly updated, they are able to obtain more guidance in delivering the expected results. The Board considers this recommendation to be implemented. | X                         |                      |                 |
| 26  | 2021              | A/77/5 (Vol. I), chap. II, para. 552 | The Board recommends that the Administration draw experiences and lessons from the Department for General Assembly and Conference Management and the Department of Safety and Security collaboration and develop guidance on the establishment of information and communications technology (ICT) governance bodies at the entity level. | The recommendation was implemented. Leveraging experiences from the Department for General Assembly and Conference Management and the Department of Safety and Security, two official memos issued in January 2023 (DOS-2023-00083) and November 2024 (DOS-2024-03779) provided guidance on establishing entity-level ICT governance. The guidance led to a marked rise in the number of entities with local ICT governance, from 7 to 24, as                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Given that the ICT governance framework was clearly articulated in the report of the Secretary-General (A/80/558), and that the ICT accountability framework, released in May 2026, sets out the three lines of defence, as well as the roles and responsibilities of entities and the central function, the Board considers this                                  | X                         |                      |                 |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                    | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Board's assessment                                                                                                                                                                                                                                                                                                                  | Status after verification |                      |                 |                     |
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|     |                   |                                                       |                                                                                                                                                                                | documented in the report of the Secretary-General on the status of implementation of the ICT strategy for the United Nations ( <a href="#">A/80/558</a> , para. 12). Further progress will be tracked and reported in subsequent annual reports to the General Assembly on ICT strategy implementation.<br>In supporting evidence, it was confirmed that 8 out of 11 ICT service providers and 18 out of 33 embedded ICT entities (54.5%) have established governance frameworks, with specific entities named in service provider, embedded and supported categories.<br>There has been a strong upward trend in the adoption of local ICT governance, which will be regularly reported to Member States.                                                                                                                                                                                                                                    | recommendation to be implemented.                                                                                                                                                                                                                                                                                                   |                           |                      |                 |                     |
| 27  | 2021              | <a href="#">A/77/5 (Vol. I)</a> , chap. II, para. 560 | The Board recommends that the Administration ensure that an independent monitoring and accountability mechanism is in place to enforce ICT governance, policies and standards. | The recommendation was implemented. The ICT accountability framework was approved at the ICT Steering Committee meeting on 7 May 2026. The framework clearly outlines the responsibilities held centrally by the Chief Information Technology Officer and those of the heads of entities. It showcases ICT in the United Nations Secretariat as a shared responsibility operating under a three lines model: the first line role is performed by heads of entities responsible for managing the ICT controls and resources under their stewardship; the second line is the Chief Information Technology Officer, who sets the strategic direction of ICT in the global Secretariat and provides central leadership for the overall direction of ICT activities, resource management, standards, security, architecture and policies within the Organization; and the third line comprises periodic audits conducted by the Office of Internal | Given that the accountability framework has been reviewed by the ICT Steering Committee and was released in May 2026, and that the overall percentage of entities reviewed during the technical review for the regular budget increased from 71% in 2023 to 90% in 2025, the Board considers this recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                    | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Board's assessment                                                                                                                                                                                                                  | Status after verification |                      |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                                                | Oversight Services. Under the "Monitoring" section of the accountability framework, it is specified that the monitoring of its implementation will leverage established ICT governance, the Organization's statement of internal control assessment managed by the Department of Management Strategy, Policy and Compliance and the reporting elements of the annual reports of the Secretary-General submitted to the General Assembly on ICT strategy implementation.                                                                                                                                                         |                                                                                                                                                                                                                                     |                           |                      |                     |
|     |                   |                                      |                                                                                                                                                                                                                                                                | The Administration, through these actions, has formalized the recommended monitoring and accountability mechanisms.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                     |                           |                      |                     |
| 28  | 2021              | A/77/5 (Vol. I), chap. II, para. 567 | The Board recommends that the Administration amend the existing ICT governance structure to integrate information security, indicating clearly, among others, the ownership of processes, roles and responsibilities of relevant entities and reporting lines. | The recommendation was implemented. The Office of Information and Communications Technology has integrated regular briefings on ICT security and incidents into meetings of the ICT Steering Committee and reestablished the Information Security Board in 2025. The ICT Steering Committee met four times in 2025 and was provided with an update on ICT security on each occasion. The Information Security Board is fully active and fulfilling its mandate. As of August 2025, it had held two quarterly meetings, at which it examined four security threats and made decisions to strengthen the risk management process. | Given that the update on ICT security was included in the minutes of the ICT Steering Committee held on 30 April 2025, the Board considers the recommendation to be implemented.                                                    | X                         |                      |                     |
| 29  | 2021              | A/77/5 (Vol. I), chap. II, para. 568 | The Board recommends that the Administration ensure that all the stakeholders across the Secretariat commit themselves to the implementation of the seven-point information security action plan in an expeditious manner.                                     | The recommendation was implemented. Most items under the seven-point information security action plan have been implemented and transformed into ongoing operational activities. Mechanisms have also been implemented to improve the level of commitment and ongoing implementation through                                                                                                                                                                                                                                                                                                                                    | Given that most items under the seven-point information security action plan have been completed and integrated into regular daily operations, and that supporting mechanisms are also in place to enhance commitment and sustained | X                         |                      |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                           | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Board's assessment                                                                                                                                                                                                                                                               | Status after verification |                      |                                        |
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|     |                   |                                      |                                                                                                                                                                                       | reporting dashboards (applications and public website compliance dashboard; security advisory tracker compliance dashboard; and management dashboard), the senior management compact and internal control statement questionnaire, tools (iNeed service requests on information security) and supporting policy and guidance documents ((a) memorandums: (i) mandatory annual review and self-certification of applications and public information websites; (ii) cybersecurity action plan, use of supported versions of software, and installation of security updates on all United Nations Secretariat systems; and (iii) request to accelerate the progress of migration to Microsoft Entra AD; (b) ICT security policy: technical procedure for security incident response; and (c) guidelines on reporting security incidents). | implementation through compliance dashboards, senior management compacts and questionnaires, dedicated service tools, and relevant memorandums, ICT security policies and security incident reporting guidelines, the Board considers this recommendation to be implemented.     |                           |                      |                                        |
| 30  | 2021              | A/77/5 (Vol. I), chap. II, para. 599 | The Board recommends that the Administration ensure that ICT assets are properly recorded in Umoja for greater visibility and reliability to ensure improved monitoring and controls. | The recommendation was implemented.<br>The Office of Information and Communications Technology at United Nations Headquarters works continuously with the Global Asset Management Policy Service and the Property Management and Inventory Control Unit to resolve Umoja record discrepancies. As the central equipment disposal hub at Headquarters, the Office receives returned assets, updates Umoja records and marks items as "Write off in process" (WRPR) for accurate tracking. Eligible equipment for donation is set to "idle" status with a notification reference; the remaining                                                                                                                                                                                                                                          | Given that the Office of Information and Communications Technology actively updates records for equipment for disposal and marks items in Umoja with "Write off in process" (WRPR) status to ensure accurate tracking, the Board considers the recommendation to be implemented. | X                         |                      |                                        |

| No. | Audit report year | Report reference                                     | Recommendation of the Board                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Board's assessment                                                                                                                                                                                  | Status after verification |                      |                 |                     |
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|     |                   |                                                      |                                                                                                                                                                                                                                                           | <p>written-off assets are promptly disposed of and transferred to the staging area of the Property Management and Inventory Control Unit.</p> <p>The Office of Information and Communications Technology is committed to strengthening inventory record monitoring. The latest ICT asset report for authorization groups T00/T01, issued on 30 October 2025, confirms that there were no discrepancies. A new “Office responsible” field has also been added to clearly identify equipment maintained by the Office.</p> <p>Through this regular ongoing process – with proper Umoja recording, monitoring and discrepancy resolution – the recommendation is considered implemented.</p>                                                         |                                                                                                                                                                                                     |                           |                      |                 |                     |
| 31  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 63 | The Board recommends that the Administration ensure that the special political missions conduct a comprehensive analysis of the root causes for the significant variances between actual vehicle and computing devices holdings and standard allocations. | <p>The recommendation was implemented. Mandated security protocols directly influence both fleet size and composition. Mandated geographical dispersion requires additional vehicles to support sustained operations. Missions also paused new acquisitions to maximize use of existing assets. Fleet holdings across all special political missions continue to be reviewed and adjusted every year.</p> <p>Variances in computing device inventories at special political missions compared with standard allocations similarly arise from operational realities. Life cycle management of laptop inventories is actively maintained. The average proportion of idle equipment decreased significantly by 12 percentage points. The chapeau</p> | Given that an analysis of the root causes of variances has been completed and the average proportion of idle equipment has been reduced, the Board considers this recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                                            | Recommendation of the Board                                                                                                                                                                                            | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Board's assessment                                                                                                                                                                                                                                                                                                                                                         | Status after verification |                         |                                              |
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| 32  | 2022                    | <a href="#">A/78/5 (Vol. I)</a> ,<br>chap. II,<br>para. 191 | The Board recommends that the Administration expedite its review and revision of the administrative instruction on programme support accounts to ensure the effective utilization of the programme support cost funds. | <p>report on the budget for special political missions each year continues to include a dedicated section on the holdings of vehicle and computing devices of missions.</p> <p>On 7 April 2025, the Administration issued new comprehensive guidelines on the management of programme support costs to ensure accountable and effective utilization in full compliance with the Financial Regulations and Rules of the United Nations.</p> <p>In addition, the Administration drafted a revised administrative instruction on programme support costs to replace the administrative instruction on programme support accounts (<a href="#">ST/AI/286</a>). The new administrative instruction is based on the new guidelines and covers the higher-level governing principles of all the details that are included in the guidelines.</p> <p>The draft administrative instruction was submitted to the Office of Human Resources, and the formal consultation process with all heads of entity across the Secretariat was concluded. The formal review process with the Office of Legal Affairs, the Office of Human Resources, the Executive Office of the Secretary-General and the Office of the Under-Secretary-General of Management Strategy, Policy and Compliance is expected to be finalized in 2026.</p> <p>Unlike the guidelines, which are very detailed, covering numerous financial management and operational aspects, the administrative instruction format is at a principle-based level. Considering that the guidelines on the management</p> | Given that administrative instructions are high-level regulatory documents promulgated by the Under-Secretary-General of Management Strategy, Policy and Compliance under General Assembly resolutions, whereas guidelines are only internal operational supplements lower in the regulatory hierarchy, the Board considers the recommendation to be under implementation. |                           | X                       |                                              |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                                                                                                                                      | Status after verification |                      |                 |                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                                                    | of programme support costs already provide a comprehensive and detailed framework for the management of such costs, addressing all the concerns and operational and financial risks highlighted by the Board, and given that the new administrative instruction derives from and is based on the guidelines, the Administration considers the recommendation as fully implemented. |                                                                                                                                                                                                                                                                                                                                                                         |                           |                      |                 |                     |
| 33  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 199 | The Board recommends that the Administration clearly define the meaning of each set of limits in the United Nations Investment Management Guidelines to avoid different interpretations, and amend the related Asset and Investment Manager compliance rules accordingly.                                          | The Administration has been updating the Investment Management Guidelines, which clarify the language on this point to facilitate clear interpretation of the rules without any ambiguity.                                                                                                                                                                                         | Given that the Investment Management Guidelines are currently under review and have not yet been approved and circulated, the Board considers the recommendation to be under implementation.                                                                                                                                                                            |                           |                      | X               |                     |
| 34  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 207 | The Board recommends that the Administration clarify the credit rating rules in the investment guidelines to ensure that the actual investment practice is consistent with the rules.                                                                                                                              | The Administration has been updating the investment guidelines to ensure consistent references to the minimum credit rating criteria.                                                                                                                                                                                                                                              | Given that the investment guidelines are currently under review and have not yet been approved and circulated, the Board considers the recommendation to be under implementation.                                                                                                                                                                                       |                           |                      | X               |                     |
| 35  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 223 | The Board recommends that the Administration establish an institutional mechanism for the United Nations Medical Insurance Plan management to periodically review the performance of the Plan, propose premium rates adjustments and closely monitor the reserve balance of the Plan to ensure its sustainability. | The recommendation was implemented. The review of the United Nations Medical Insurance Plan was added to the work of the Health and Life Insurance Committee, starting with the review for the annual renewals effective 1 July 2026.                                                                                                                                              | Given that the Administration has established an institutional mechanism for the management of the United Nations Medical Insurance Plan by adding it to the recurring review conducted by the Health and Life Insurance Committee, which periodically reviews plan performance, premium rate adjustments and reserve balances, starting with the review for the annual | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                          | Administration's response                                                                                                                                                                                                                                                                                              | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Status after verification |                      |                     |
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| 36  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 229 | The Board recommends that the Administration closely monitor the reserve balances of the health insurance plans and take appropriate actions in due course, to ensure the reserve remains within a reasonable range.                                                                                 | The recommendation was implemented. The annual review of all health insurance plans conducted by the Health and Life Insurance Committee takes into consideration the reserve balance of each plan. When reserves fall below four months of claims or exceed eight months, premium increases are adjusted accordingly. | renewals effective 1 July 2026, the Board considers the recommendation to be implemented.<br><br>Given that the Administration closely monitors the reserve balances of the health insurance plans against a range of four to eight months of claims through the annual review conducted by the Health and Life Insurance Committee, and adjusts premiums accordingly to keep the reserves within a reasonable range, the Board considers the recommendation to be implemented. | X                         |                      |                     |
| 37  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 241 | The Board recommends that Administration expedite the reconciliation process of accounts receivable to ensure the visibility of actual outstanding amounts and continue to urge relevant agencies and entities to pay their share of contributions to the health insurance funds in a timely manner. | The recommendation was implemented. The Administration has conducted a systematic review of outstanding and unmatched items and identified the underlying causes. The Administration has reconciled and cleared the open balances of \$24 million from the United Nations Joint Staff Pension Fund.                    | Given that the Administration has conducted a systematic review of outstanding items, and reconciled and cleared the open balances of \$24 million from the United Nations Joint Staff Pension Fund, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                  | X                         |                      |                     |
| 38  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 293 | The Board recommends that the Administration closely monitor the project implementation progress, assess and manage the schedule risk in a timely manner and take remedial measures to speed up construction of the new building.                                                                    | The recommendation was implemented. As this recommendation relates specifically to progress in the construction of the new office buildings, which were substantially completed in April 2025 with the issue of the requisite substantial completion certificate, this recommendation should be closed.                | Given that the construction of the new office buildings has been substantially completed, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                                                                                                                             | X                         |                      |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Board's assessment                                                                                                                                                 | Status after verification |                      |                 |                     |
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| 39  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 339 | The Board recommends that the Administration conduct a thorough workforce review of the ICT staffing support service and avoid overreliance on third-party contract personnel.               | The recommendation was implemented. The reported contractors-to-staff ratio reported in December 2025 is 59% contractors to 41% staff. Industry standards suggest a ratio of 55% contractors to 45% staff. It is expected that the Office of Information and Communications Technology will not consistently meet the industry standard but that the numbers will hover around these ratios within a practical margin of error. In the current liquidity situation, the maintenance of a slightly higher proportion of contractual staff is a sound strategy as increases or decreases in contractual staffing can be expedited, giving greater flexibility when managing limited resources.                   | Given that the review has been conducted, the Board considers this recommendation to be implemented.                                                               | X                         |                      |                 |                     |
| 40  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 364 | The Board recommends that the Administration review the policy on special post allowance to ensure that it is only applicable to exceptional cases.                                          | The revision of the administrative instruction on special post allowance is ongoing. The consultation process with management and staff representatives was concluded in 2025. The post-consultation review of the revised draft administrative instruction is ongoing and will be followed by the usual legal review. The delay in implementation is consistent with the Secretary-General's road map, as set out in his report on ways forward in the implementation of human resources management reforms for the period 2023–2026 ( <a href="#">A/77/590</a> ), and the multiple competing policy priorities set in 2025 and foreseen for 2026, in view of the limited staff capacity and human resources. | Given that the revision of the administrative instruction on special post allowance is ongoing, the Board considers the recommendation to be under implementation. |                           | X                    |                 |                     |
| 41  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 431 | The Board recommends that the Administration, at the level of the Headquarters Committee on Contracts, issue an annual report based on its reviews, focusing on key areas of improvement and | The recommendation was implemented. Based on the Board's findings and in the context of the advisory role of the Headquarters Committee on Contracts, the Administration took a risk-based                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Although an annual report was not issued pursuant to the recommendation, the Board acknowledges that there has been a change in context and that actual            | X                         |                      |                 |                     |

| No. | Audit report year | Report reference | Recommendation of the Board                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                     | Status after verification |                      |                 |                     |
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|     |                   |                  | good practices that should be shared widely. | approach and established procedures for ongoing feedback from the Committee to relevant United Nations offices. For example, the Chair of the Committee has monthly meetings with the Assistant Secretary-General for Supply Chain Management and the Director of the Procurement Division concerning areas that require attention. When warranted, the Chair of the Headquarters Committee on Contracts proposes revisions to the Procurement Manual to address any shortfalls observed and to share good practices among procurement practitioners in the United Nations Secretariat. In addition, heads of entities receive copies of minutes of meetings of the Headquarters Committee on Contracts for cases submitted, containing the Committee's advice as well as any other recommendations that may have emerged from cases reviewed. The Chair of the Committee participates in the formulation of amendments to the Procurement Manual and in the procurement delegation of authority, and attends conferences of chief procurement officers and similar forums, to ensure that compliance aspects are duly taken into account and proactively shared. The Administration also wishes to advise, with reference to the Board's specific finding that some procurement officers were seeking and obtaining an exemption to competitive bidding prior to conducting a solicitation while others first conducted a solicitation exercise and then requested an exemption through the | progress has been evidenced through the documents provided by the Administration. Therefore, the Board considers the recommendation to be implemented. |                           |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                     | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Board's assessment                                                                                                                                                               | Status after verification |                         |                    |                        |
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|     |                         |                                      |                                                                                                                                                                                                                                                                                 | process of vetting and approving the recommendation for an award, that such inconsistent practices have been addressed. In particular, the delegation of procurement authority matrix was updated in 2023 to streamline the process by allowing the justification for informal methods of solicitation under financial rule 105.16 (a) (x) to be combined with the statement of award when seeking approval of award, and the Procurement Manual was amended in 2024 to clarify that contract amendments governed by financial rule 105.13 are not to be construed as exceptions to formal methods of solicitation and therefore do not require a waiver of competitive bidding. |                                                                                                                                                                                  |                           |                         |                    |                        |
| 42  | 2022                    | A/78/5 (Vol. I), chap. II, para. 455 | The Board recommends that the Administration expedite the review and release of the delegation of authority policy framework and put in place a more agile process to update the delegation of authority policy framework in response to changes to the wider policy framework. | The recommendation was implemented. The Administration requests closure of this recommendation as implemented. Several of the issues noted in the Board's report have been addressed since the recommendation was issued. For example, arrangements are in place regarding the exercise of authority by officers-in-charge, and in entities at the start-up and closure of operations. As documented in the evidence, such arrangements were operationalized in the most agile way possible by leveraging existing delegation of authority portal functionalities.                                                                                                               | Given that several of the issues noted in the Board's report have been addressed since the recommendation was issued, the Board considers the recommendation to be implemented.  | X                         |                         |                    |                        |
| 43  | 2022                    | A/78/5 (Vol. I), chap. II, para. 486 | The Board recommends that the Administration take measures to ensure adequate liquidity to finance operational requirements in the short-term, including ensuring measures for the timely recovery of outstanding                                                               | The recommendation was implemented. The Board's recommendation required the Administration to: (i) ensure adequate short-term liquidity, (ii) strengthen recovery of receivables, and                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Given that the Development Coordination Office has carried out this recommendation by actively engaging with the United Nations General Assembly in order to seek a \$53 million | X                         |                         |                    |                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                 | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                                                  | Status after verification |                      |                 |                     |
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|     |                   |                                      | receivables, and formulate a comprehensive scenario analysis which covers short-, medium- and long-term plans to address the potential liquidity challenge.                 | (iii) establish comprehensive scenario analysis.<br>The Administration has fully implemented all three components, with measures in place, operational and yielding demonstrable results that were provided to the Board.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | commitment authority for 2026 and 2027, and developed a comprehensive template of outstanding receivables, comprehensive cash-flow projection and scenario analysis, the Board considers the recommendation to be implemented.                                      |                           |                      |                 |                     |
| 44  | 2022              | A/78/5 (Vol. I), chap. II, para. 496 | The Board recommends that the Administration ensure recruitment on as wide a geographical basis as possible of resident coordinators and resident coordinator pool members. | The recommendation was implemented. The Development Coordination Office has taken all reasonable and appropriate measures within its mandate. As demonstrated in the data provided, there have been clear and sustained improvements in geographical diversity, reflecting the effectiveness of these measures.<br>At the same time, it is important to underline that the resident coordinator selection process draws from a candidate pool largely sourced from the United Nations system. As such, the geographical composition is inherently influenced by systemic factors upstream, including the broader distribution of senior-level United Nations personnel across regions. These structural constraints are beyond the Office's direct control.<br>Given that the Development Coordination Office has demonstrably implemented targeted outreach and has expanded dissemination and proactive talent management measures to address geographical diversity, and that no gaps in actions have been identified, the Administration considers the recommendation fully implemented. | Given the continuous expansion of regional representation in the recruitment of resident coordinators and the fact that, as of February 2026, 117 resident coordinators came from 61 different countries, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Board's assessment                                                                                                                                                                                                                                      | Status after verification |                      |                     |
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| 45  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 514 | The Board recommends that the Administration ensure that the accountability structure and coordination mechanism under the United Nations Sustainable Development Group is fully functional with regard to the implementation of the development reform initiatives.                                                                                                                                                                                                                                    | The Development Coordination Office is currently leading a process of reconfiguring the guidance and processes relating to the United Nations Sustainable Development Cooperation Framework, in response to the system-wide evaluation of a new generation of United Nations country teams. As a result of these various interlinked processes, the drafting of a new management and accountability framework is currently on hold until later in 2026. Pending clarity on the way ahead with respect to reform of the development system, accountability structures and coordination mechanisms will be revised under the review of the management and accountability framework to ensure full alignment with the vision of the Secretary-General and guidance from Member States. | Given that the comprehensive review of the management and accountability framework is currently being undertaken, the Board considers the recommendation to be under implementation.                                                                    |                           | X                    |                     |
| 46  | 2022              | <a href="#">A/78/5 (Vol. I)</a> , chap. II, para. 588 | The Board recommends that the Administration clarify the balance between the Office of Information and Communications Technology's central control and the entities' operational freedom in the procurement and management of ICT assets as part of the proposed information and communication technology accountability framework, and that the Office of Information and Communications Technology should also establish standards and assessment methods when designating entities as ICT certified. | The recommendation was implemented. As the ICT technical expert, the Office of Information and Communications Technology provides operational support to entities and fully fulfils its roles in ICT asset management and procurement as shown in the relevant 2023–2026 documents. Heads of entity hold delegated procurement authority, operationalized by the Office of Supply Chain Management through the list of strategic goods and services and category management framework. The framework defines central procurement rules, value thresholds, and local ICT procurement requiring mandatory technical advice from the Office of Information and Communications Technology. The Office offers technical standards and                                                    | Given that the list of strategic goods and services has been provided, and the forthcoming accountability framework defines the roles and responsibilities of central and local authorities, the Board considers this recommendation to be implemented. | X                         |                      |                     |

| No. | Audit report year | Report reference                                     | Recommendation of the Board                                                                                                                                                                                                                             | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                    | Status after verification |                      |                 |                     |
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|     |                   |                                                      |                                                                                                                                                                                                                                                         | <p>expertise for ICT procurement and category management, without taking over direct procurement duties for individual entity mandates.</p> <p>For asset management, heads of entity have delegated authority supported by the Global Asset Management Policy Service of the Department of Management Strategy, Policy and Compliance. The ICT global asset management dashboard delivers consolidated enterprise-wide asset visibility, boosting transparency while keeping day-to-day asset ownership and lifecycle management with individual entities.</p> <p>The Office sets standard device ratios in ICT budget guidelines, adopting a baseline of one user to one computing device. Any deviation must be operationally justified, offset by savings and approved by the head of entity. Entities are validating dashboard asset records to fix errors and duplicates, with leadership confirming data accuracy.</p> <p>The arrangement balances the Office's central standard oversight and entities' operational autonomy in ICT procurement and asset management, ensuring consistent application of ICT standards.</p> |                                                                                                                                                                                                                                                       |                           |                      |                 |                     |
| 47  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 34 | The Board recommends that the Administration expedite the audits of implementing partners and financial closure processes of projects to ensure timely refunds and project closure with a view to improving the efficient utilization of funds thereof. | The recommendation was implemented. A total of 985 projects funded under the allocations for 2024 and prior years are currently undergoing audit within the humanitarian financing units, with varying timelines, in line with the newly established general audit long-term agreements. The completion of audits is an ongoing process and is linked to each project's end date. The                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Given that the Office for the Coordination of Humanitarian Affairs will continue to conduct internal follow-ups to ensure the timely completion of audits, and based on the information from the One Grant Management System, the Board considers the | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                    | Recommendation of the Board                                                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Board's assessment                                                                                                                                                                      | Status after verification |                      |                                        |
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| 48  | 2023              | A/79/5 (Vol. I), chap. II, para. 43 | The Board recommends that the Administration collaborate with relevant departments/entities to strengthen the internal control related to advances to staff and expedite the collection of overdue staff advances.                                                                        | Office for the Coordination of Humanitarian Affairs will continue to conduct internal follow-ups to ensure the timely completion of audits within nine months of project closure.<br><br>The recommendation was implemented. All advances issued through payroll are automatically recovered through payroll in Umoja. The outstanding staff advances were mainly older conversion items from the legacy system for payroll and travel. The Payroll and Accounts Payable Section took action on all outstanding staff advances and undertook a significant process to clear them. Additional information/action is pending from various entities to clear the remaining open items. The entities can consider writing off the open items under the relevant delegation of authority.<br><br>The internal control dashboard, updated monthly, is available to all entities to enable them to monitor the status of staff advances. The team responsible for payroll and travel transaction processing reviews the dashboard open items related to the advances and closely works with the relevant entities to clear them. | recommendation to be implemented.<br><br>Given that all advances issued through payroll are automatically recovered in Umoja, the Board considers the recommendation to be implemented. | X                         |                      |                                        |
| 49  | 2023              | A/79/5 (Vol. I), chap. II, para. 60 | The Board recommends that the Administration continue to monitor the relevant reserve levels, ensure the overall 10RCR fund balance is maintained at an appropriate level in accordance with the relevant policies and guidelines, and utilize the fund more efficiently and effectively. | The recommendation was implemented with the launch of the cost recovery dashboard in July 2025, as a result of which fund balances are now easily visible for monitoring.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Given that the cost recovery dashboard has been launched, the Board considers the recommendation to be implemented.                                                                     | X                         |                      |                                        |

| No. | Audit report year | Report reference                    | Recommendation of the Board                                                                                                                                                                                                                       | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                                                                   | Status after verification |                      |                 |
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| 50  | 2023              | A/79/5 (Vol. I), chap. II, para. 66 | The Board recommends that the Administration update the policy guidance to disclose to the various business owners how the investment revenue of the 10RCR fund will be used.                                                                     | The Administration has updated the policy guidance and disclosed the use of investment revenue. The information is included in paragraph 60 of the cost-recovery policy and guidelines available on the Knowledge Gateway.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Given that the disclosure mechanism has not yet been established and the Administration has not proposed allocation options as requested by the General Assembly, the Board considers the recommendation to be under implementation. |                           | X                    |                 |
| 51  | 2023              | A/79/5 (Vol. I), chap. II, para. 75 | The Board recommends that the Administration comply with relevant cost-recovery guidelines to charge for only necessary and reasonable costs in the future.                                                                                       | The recommendation was implemented. United Nations Support Mission in Libya (UNSMIL) rates have been reviewed and approved in Umoja. In addition, the 2025 cost plan developed by UNSMIL was submitted and approved in February 2025.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Given that the UNSMIL cost recovery rates and 2025 cost plan have been reviewed and approved, the Board considers the recommendation to be implemented.                                                                              | X                         |                      |                 |
| 52  | 2023              | A/79/5 (Vol. I), chap. II, para. 85 | The Board recommends that the Administration conduct a comprehensive cost analysis of the services provided to calculate the updated total cost of ownership and to align the relevant cost recovery with the appropriate and reasonable charges. | The recommendation was implemented. The Office of Information and Communications Technology has undertaken a structured and data-driven review of its services, cost of ownership and cost recovery methodology. A critical preliminary activity involved the definition and categorization of core ICT services, clearly delineated based on their function, scope and the resources required for their delivery. Service bundles were developed to reflect the distinct needs and usage patterns of different user populations, namely United Nations Headquarters, field missions and others (non-field/away from Headquarters). The pricing model took into account the distinction between regular budget and support account assessed resources, allowing identification of the remaining funding gap to be addressed through cost recovery revenue. | Given that the new related pricing model is now in place, the Board considers the recommendation to be implemented.                                                                                                                  | X                         |                      |                 |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                          | Status after verification |                      |                 |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                                           | <p>In line with the cost-recovery policy and guidelines issued by the Office of Programme Planning, Finance and Budget, the cost recovery rates were calculated to reflect only the recoverable portion of each ICT service or bundle. Rates were derived by dividing the total recoverable cost of each service by the number of Microsoft 365 users confirmed at the time of rate development. This approach ensures a fair, transparent and user-centric distribution of costs across the relevant populations, improving the accuracy of cost attribution.</p> <p>The rates have been operationalized with the setup of the activity codes in Umoja to allow the Office of Information and Communications Technology to exercise cost recovery. The activity codes are approved by the Office of Programme Planning, Finance and Budget, which constitutes its endorsement of the services and related pricing model now in place.</p> |                                                                                                                                                                                             |                           |                      |                 |                     |
| 53  | 2023              | A/79/5 (Vol. I), chap. II, para. 98  | The Board recommends that the Administration review the use of the 10RCR fund for after-service health insurance and other staff related transactions to determine if they are relevant to 10RCR and cost recovery.                                       | This recommendation is still under implementation.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Given that the Administration is still in the process of reviewing those transactions, the Board considers the recommendation to be under implementation.                                   |                           | X                    |                 |                     |
| 54  | 2023              | A/79/5 (Vol. I), chap. II, para. 127 | The Board recommends that the Administration develop a clear policy guide on spendable rental income and specify the purpose, standards and methodology for calculation of the retention of spendable revenue, as well as its usage, scope and oversight. | The Administration convened a working group in 2025 to collect and review the different rental practices in the major entities. While the original target was to finalize the policy guidance by the end of 2025, this process has required more time, due to additional tasks and competing priorities in the second half of 2025. The Administration is currently reviewing a first draft of the guidance                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Given that the Administration is still in the process of reviewing the different rental practices in the major entities, the Board considers the recommendation to be under implementation. |                           | X                    |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Status after verification |                      |                 |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                            | and aims to complete the document by the end of June 2026.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                           |                      |                 |                     |
| 55  | 2023              | A/79/5 (Vol. I), chap. II, para. 153 | The Board also recommends that the Administration use an appropriate way to disclose the budget implementation for the two projects, including the extended retention of commitments, to increase information transparency.                | <p>The recommendation was implemented.</p> <p>In annex V of the supplementary information to the proposed programme budget for 2026, under section 33, Construction, alteration, improvement and major maintenance (A/80/6 (Sect. 33)), detailed information is provided on the implementation of the water tank replacement project and the exit ramp project. The General Assembly exit ramp project was completed in December 2024, while the water tank replacement project was completed in May 2025.</p> <p>Further detailed data by budget section and object of expenditure will also be made available in the Budget Information Pilot tool.</p> | Given that the information on the budget implementation for the two projects was included in the proposed programme budget for 2026, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                                                                                                                                                                                                 | X                         |                      |                 |                     |
| 56  | 2023              | A/79/5 (Vol. I), chap. II, para. 180 | The Board recommends that the Administration formalize the criteria for selecting investment counterparties, in addition to the existing criteria, to enhance transparency and ensure that the decision-making process is well documented. | The Administration has been updating the Investment Management Guidelines to formalize the requirement that banks maintain a minimum shareholder equity threshold.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Given that the procedures are currently under review and have not yet been approved and circulated, the Board considers the recommendation to be under implementation. In addition, the audit report refers to two aspects of the criteria for selecting investment counterparties. The first is the requirement for counterparties to be approved counterparties. The second concerns the process for selecting a counterparty for a specific transaction, which involves obtaining quotations from at least three counterparties and executing the trade on the basis of the best quotation. |                           | X                    |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                                                         | Status after verification |                      |                 |                     |
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| 57  | 2023              | A/79/5 (Vol. I), chap. II, para. 185 | The Board recommends that the Administration review and update the relevant policy documents to better clarify the credit rating criteria for foreign currency exchange counterparties.                                                                                                                      | The recommendation was implemented. The Administration has updated and approved the United Nations foreign exchange policy and the United Nations foreign currency hedging and budget rate-setting guidelines to implement the Board's recommendation. The three issues identified by the Board have been addressed: (a) the minimum rating requirements for forward transaction counterparties have been aligned with those for overall foreign exchange counterparties at A-, A3; (b) the previous wording that might have been taken to imply a priority among credit rating agencies has been removed and counterparties are now required to meet the minimum rating requirements from at least two credit rating agencies; and (c) the hedging guidelines now refer to all three credit rating agencies, consistent with the foreign exchange policy. | Both processes should be properly documented.<br><br>Given that all the issues identified by the Board have been addressed in the updated and approved policies, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 58  | 2023              | A/79/5 (Vol. I), chap. II, para. 192 | The Board recommends that the Administration conduct a comprehensive review of the current policy and management of the reserve for end-of-service liabilities under extrabudgetary resources, including reserve accrual and adjustment methods, to ensure that funding is maintained at a reasonable level. | The Administration has drafted guidelines for end-of-service liabilities, which are currently under management review. In addition, an actuary will be contracted to develop a financial estimate for the funding of both the repatriation grant and annual leave.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Given that the proposed policy has not been formally formulated, the Board considers the recommendation to be under implementation.                                                                                        |                           | X                    |                 |                     |
| 59  | 2023              | A/79/5 (Vol. I), chap. II, para. 200 | The Board recommends that the Administration expedite the process of formalizing the investment guidelines for end-of-service liability reserves (including after-service health insurance) and                                                                                                              | The update to the investment guidelines to include the asset classes appropriate for the investment of longer-term reserves (including after-service health insurance) has been finalized. This update is going through                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Given that the investment guidelines have not been formally approved, the Board considers the recommendation to be under implementation.                                                                                   |                           | X                    |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Status after verification |                      |                 |                     |
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| 60  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 207 | engage with the asset management entity to better align assets with respective liabilities.<br><br>The Board recommends that the Administration expedite the completion of the review of the additional considerations deemed necessary to determine and implement the application of updated distribution rates to allocate after-service health insurance expenditures between the regular budget, the budgets for peacekeeping operations and extrabudgetary resources. | the approval process and will be signed by the Assistant Secretary-General, Controller.<br><br>The analysis, including the review of actuarially developed input, was completed with the updated apportionment rates utilized in the preparation of the regular budget proposal for 2026.                                                                                                                                                                                                                                                                                                   | The Board noted the completion of the analysis and the incorporation of the updated apportionment rates into the budget proposal for 2026. In the 2025 financial year under audit, however, the incorporation of updated rates into the 2026 budget falls within a subsequent financial period. The Board will therefore assess the status of implementation of this recommendation in the context of its audit of the 2026 financial statements and considers the recommendation to be under implementation. |                           | X                    |                 |                     |
| 61  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 218 | The Board recommends that the Administration conduct comprehensive reviews of equipment records to ensure the accuracy of data in Umoja and take proactive measures to avoid the potential waste of assets.                                                                                                                                                                                                                                                                | The recommendation was implemented. The Administration has strengthened the property management control framework by institutionalizing enhanced data quality oversight. This includes the development of a dedicated data quality key performance indicator designed to assess entities' performance in reviewing, resolving and maintaining accurate property records. The introduction of this indicator directly responds to the data inconsistency issues identified by the Board and embeds data quality monitoring as a permanent component of the performance management framework. | Given that the Administration has improved the data oversight framework and established relevant key performance indicators, the Board considers the recommendation to be implemented.                                                                                                                                                                                                                                                                                                                        | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Board's assessment                                                                                                                                                                                                                                                                                                                             | Status after verification |                      |                 |                     |
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| 62  | 2023              | A/79/5 (Vol. I), chap. II, para. 228 | The Board recommends that the Administration improve the monitoring of equipment status and the clean-up of data in Umoja, to ensure the effectiveness and efficiency of computing devices management.                                                                                                                       | The recommendation was implemented. The Administration has reinforced Organization-wide property management practices through the annual issuance of strategic property management guidance aligned with oversight and governing body requirements, enhancements to monitoring tools and dashboards, the introduction of mechanisms to improve visibility of surplus property and facilitate redeployment, and the conduct of targeted health checks to identify and address specific weaknesses at entity level. | Given that the Administration has reinforced Organization-wide property management practices and there has been a general downward trend in the number of equipment records with idle status, the Board considers the recommendation to be implemented.                                                                                        | X                         |                      |                 |                     |
| 63  | 2023              | A/79/5 (Vol. I), chap. II, para. 245 | The Board recommends that the Administration continue to integrate duplicative system functionalities and data into the further development of new systems under the newly signed service-level agreement with the Office of Information and Communications Technology, thereby enhancing management efficiency and quality. | The recommendation was implemented. The service-level agreement between the Office of Administration of Justice and the Office of Information and Communications Technology resulted in new advanced search capabilities, the introduction of a new "orders" content type, and the establishment of application programming interfaces, including enhancements.                                                                                                                                                   | Given that the service-level agreement between the Office of Administration of Justice and the Office of Information and Communications Technology has resulted in upgraded advanced search functions, a new "orders" content type and enhanced application programming interfaces, the Board considers this recommendation to be implemented. | X                         |                      |                 |                     |
| 64  | 2023              | A/79/5 (Vol. I), chap. II, para. 274 | The Board recommends that the Administration ensure a timely recruitment process for geographical posts and ensure that appointments from unrepresented or underrepresented countries are in line with relevant targets.                                                                                                     | The recommendation was implemented. While noting that the ongoing hiring freeze materially limited recruitment activity across the United Nations Secretariat, including for geographical posts, the Administration introduced an enhanced recruitment timeline report within the management dashboard in December 2025. The report provides entities with improved transparency across key stages of the recruitment cycle and the time elapsed at each stage.                                                   | Given that targeted outreach activities were carried out to attract candidates from unrepresented and underrepresented Member States, the Board considers the recommendation to be implemented.                                                                                                                                                | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                     | Status after verification |                      |                 |                     |
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| 65  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 278 | The Board recommends that the Administration review the incumbency of geographical posts temporarily occupied by staff without geographical status and make the necessary system changes. | <p>In addition, the Administration continues to issue monthly broadcast communications to all entities to reiterate due diligence requirements applicable to selection processes, including those related to geographical distribution, and continues to conduct targeted outreach activities to attract candidates from unrepresented and underrepresented Member States, including through purposeful partnerships and engagement initiatives with Member States, aimed at strengthening applicant pipelines when recruitment conditions permit.</p> <p>The recommendation was implemented through changes to the regulatory framework and the Administration therefore requests closure. The Under-Secretary-General for Management Strategy, Policy and Compliance issued a revised administrative instruction on the administration of appointments (<a href="#">ST/AI/2025/3</a>), effective 1 November 2025, which introduced substantive regulatory changes directly addressing the issue raised by the Board.</p> <p>In particular, the revised administrative instruction consolidates and harmonizes previously fragmented provisions governing the use of liens, clarifying that liens are exceptional and time-bound arrangements and introducing transitional measures to prevent their indefinite extension. By strengthening the regulatory framework on lien management, the instruction limits the prolonged temporary encumbrance of geographical posts by staff members without geographical status and addresses the underlying conditions that enabled such situations to persist.</p> | Given that the Under-Secretary-General for Management Strategy, Policy and Compliance has issued a revised administrative instruction on the administration of appointments, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                      | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Board's assessment                                                                                                                                   | Status after verification |                      |                 |                     |
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| 66  | 2023              | A/79/5 (Vol. I), chap. II, para. 323 | The Board recommends that the Administration develop a strategy to increase the number of potential vendors in the engineering, design and construction category that are interested in working with the United Nations.                                                                                                         | These regulatory changes constitute the review and corrective action envisaged by the recommendation.<br><br>The recommendation was implemented. The Administration has developed a strategy to increase the number of potential vendors in the engineering, design and construction category that are interested in working with the United Nations, as well as providing supporting evidence for the pilot that was conducted earlier in 2025 in support of a construction project at the United Nations Office at Nairobi to demonstrate the recommended approach.          | As the strategy has been documented, the Board considers the recommendation to be implemented.                                                       | X                         |                      |                 |                     |
| 67  | 2023              | A/79/5 (Vol. I), chap. II, para. 330 | The Board recommends that the Administration take steps to more accurately forecast the estimated value of a contract as an additional element in the effective assessment of the reasonableness of quoted prices during the financial evaluation for the engineering, design and construction category.                         | The recommendation was implemented. The Administration will ensure that all estimates used for a solicitation exercise are based on a final design, which will lead to a more accurate estimate. However, it should be noted that providing precise cost estimates, especially for large construction projects, has proven to be very challenging given the complexities and unplanned changes that frequently arise during the implementation phase of such projects. The project to vacate the Falchi Building lease provides a good illustration of the estimation process. | The Board acknowledges the progress made in the estimation process through the example provided, and considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 68  | 2023              | A/79/5 (Vol. I), chap. II, para. 338 | The Board recommends that the Administration ensure that there is a guideline indicating clearly who should take responsibility to follow up, track and report on the referred cases, which should contain guidance on actions to be taken in a timely manner on those cases referred by the United Nations Dispute Tribunal/the | The guidelines are presently under review with key stakeholders.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Given that the guidelines are presently under review with key stakeholders, the Board considers the recommendation to be under implementation.       |                           | X                    |                 |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Administration's response                                                                        | Board's assessment                                                                                                                                                             | Status after verification |                      |                                        |
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|     |                   |                                                       | United Nations Appeals Tribunal for possible action to enforce accountability.                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                  |                                                                                                                                                                                |                           |                      |                                        |
| 69  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 343 | The Board recommends that, subject to the legal framework, the Administration better track recoveries that were identified in the recommendations of the Office of Internal Oversight Services.                                                                                                                                                                                                                                                                                                                           | The draft standard operating procedure is presently under internal review with key stakeholders. | Given that the draft standard operating procedure is presently under internal review with key stakeholders, the Board considers the recommendation to be under implementation. |                           | X                    |                                        |
| 70  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 349 | The Board recommends that the Administration develop clear guidelines to provide more clarity on the criteria adopted to determine, in the context of management evaluation reviews, whether and how managers who have made inappropriate decisions warrant possible actions to enforce accountability.                                                                                                                                                                                                                   | The draft standard operating procedure is presently under internal review with key stakeholders. | Given that the relevant standard operating procedures are under review, the Board considers the recommendation to be under implementation.                                     |                           | X                    |                                        |
| 71  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 354 | The Board recommends that the Administration establish guidelines or standard operating procedures for determining the cost-effectiveness of further action to ascertain the amount of losses, and, subject to the applicable legal framework: (a) for recovering financial losses resulting from established misconduct; and (b) for ensuring that financial losses identified by the Office of Internal Oversight Services or through other investigative processes are duly recovered to the greatest extent possible. | The draft standard operating procedure is presently under internal review with key stakeholders. | Given that the relevant standard operating procedures are under review, the Board considers the recommendation to be under implementation.                                     |                           | X                    |                                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Board's assessment                                                                                                                                                                                  | Status after verification |                      |                 |                     |
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| 72  | 2023              | A/79/5 (Vol. I), chap. II, para. 366 | The Board recommends that the Administration review its existing processes under the current legal framework in cases where the Organization has suffered a financial loss due to possible gross negligence, to enforce accountability, where appropriate                                                                                                                                                    | The draft standard operating procedure is presently under internal review with key stakeholders.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Given that no further supporting documents have been provided, the Board considers the recommendation to be under implementation.                                                                   |                           | X                    |                 |                     |
| 73  | 2023              | A/79/5 (Vol. I), chap. II, para. 370 | The Board recommends that the Administration continue efforts to strengthen the accountability framework for delegation of authority by enhancing the analytical approach to identify systemic issues hampering the improvement of entities' performance against targets, and make concrete recommendations to entities involved on how to improve their performance against the key performance indicators. | The recommendation was implemented. The delegation of authority monitoring framework was redesigned to implement the requirements of this recommendation. The Business Transformation and Accountability Division routinely develops new monitoring tests and analytical procedures in response to emerging risks and risk events as part of its standard approach to continuous improvement. For example, in 2025, the Division prioritized the monitoring of low-value acquisitions (see detailed information and evidence provided below in response to the recommendation contained in para. 346 of the Board's 2024 audit report (A/80/5 (Vol. I))), use of funds commitments and delegation of authority to separated and affiliate personnel. The Administration has documented the monitoring tests and analytical procedures in a standard operating procedure, which is a live document subject to continuous improvement. | Given that the delegation of authority monitoring framework has been redesigned, the Board considers the recommendation to be implemented.                                                          | X                         |                      |                 |                     |
| 74  | 2023              | A/79/5 (Vol. I), chap. II, para. 380 | The Board recommends that the Administration address the high concentration of geographical representation in the resident coordinator/humanitarian coordinator talent pipeline by attracting and nurturing more                                                                                                                                                                                             | The recommendation was implemented. As demonstrated in the data provided, there have been clear and sustained improvements in geographical diversity, reflecting the effectiveness of measures taken. The talent pipeline currently has 46 countries represented across its members, as opposed to the                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Compared with 31 March 2024, when the talent pipeline had 143 members, 67 of whom were concentrated in 9 countries, there are currently, out of 80 talent pipeline members, representatives from 46 | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Status after verification |                         |                    |
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|     |                         |                                      | personnel from programme countries.                                                                                                                                                                                                       | concentration of talent pipeline members within 9 countries at the time of the report.<br>Given that no gaps in actions have been identified and based on the aforementioned facts, the Administration considers the recommendation fully implemented.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | countries, indicating a significant improvement in regional representation. The Board therefore considers the recommendation to be implemented.                                                                                                                                                                                                                                                                                                                          |                           |                         |                    |
| 75  | 2023                    | A/79/5 (Vol. I), chap. II, para. 392 | The Board recommends that the Administration engage with the United Nations Sustainable Development Group governance to draw attention to and address the gaps in the implementation of the efficiency gains road map in a timely manner. | The recommendation was implemented. In its capacity as the secretariat of the Business Innovations Group of the United Nations Sustainable Development Group, the Development Coordination Office has supported the Business Innovations Group in its efforts to implement the efficiency gains road map for the period from 2025 to 2028, which was adopted in April 2025. Some of the new tools to draw attention to and address gaps in the implementation of the efficiency gains road map include the global shared services dashboard and the common back office reporting methodology, which are being integrated into UN-Info to provide a unified platform for tracking global shared services and common back office progress alongside the business operations strategy and common premises efficiency workstreams. The Development Coordination Office has also supported the Business Innovations Group in its new "self-starter" common back office approach, empowering resident coordinators to lead local implementation while aligning these efforts with the UN80 Initiative and the milestones of the related work package 14 (unified services road map). Through the formulation of the inter-agency mutual recognition task force and joint collaboration between the common | Given that the efficiency road map for the period from 2025 to 2028 was adopted in April 2025, new tools such as the global shared services dashboard and the common back office reporting methodology have been introduced to identify and address implementation gaps in the efficiency gains road map, and these tools are also aimed at ensuring system-wide collaboration and scaling of shared services, the Board considers the recommendation to be implemented. | X                         |                         |                    |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                 | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                       | Status after verification |                      |                     |
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| 76  | 2023              | A/79/5 (Vol. I), chap. II, para. 401 | The Board recommends that the Administration work with the United Nations Sustainable Development Group to strengthen the Group's coordination levy operational guidance to ensure the completeness and accuracy of the contributions subject to levy and that adequate information related to the collection of levies and earmarked contributions is obtained from Group member entities. | <p>premises and common back office streams, the Development Coordination Office has continued to engage with the United Nations Sustainable Development Group governance to address gaps in implementation and ensure system-wide collaboration and scaling of shared services.</p> <p>The recommendation was implemented. The Administration strengthened coordination levy operational guidance and established robust, institutionalized mechanisms to ensure the completeness and accuracy of contributions subject to levy, as well as the systematic collection of relevant information from United Nations Sustainable Development Group entities. In particular, the Development Coordination Office has formalized a comprehensive, standardized reporting framework capturing cumulative levy receivables across all entities since 2019. This framework is fully integrated into the levy management system and ensures consistent, transparent and complete data. These measures have resulted in measurable improvements, including a sustained decline in receivables and a reduction in the aging of outstanding balances.</p> <p>On this basis, and given that strengthened operational guidance and controls are fully in place and demonstrably effective, the Administration considers the recommendation implemented.</p> | Given that Development Coordination Office accounts receivable continue to decline, with most outstanding balances aged less than six months, and that the Office has also developed a comprehensive template to update the cumulative accounts receivable situation on a monthly basis, and strengthen monitoring and follow-up arrangements, the Board considers the recommendation to be implemented. | X                         |                      |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                      | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Status after verification |                      |                                        |
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| 77  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 410 | The Board reiterates its recommendation that the Administration closely monitor the ongoing recruitment process of resident coordinators to ensure that the posts of resident coordinator and the key posts at resident coordinator offices are filled in an expeditious manner. | The recommendation was implemented. As at 9 February 2026, only one resident coordinator position was vacant out of a total of 130 positions, of which 117 (90%) were encumbered and the remaining 12 were covered by resident coordinators ad interim, resulting in a resident coordinator vacancy rate of only 10%. Among the 12 resident coordinator positions covered by resident coordinators ad interim, 8 new resident coordinators had already been selected and were undergoing the normal deployment process, resulting in only 4 positions at the pre-selection stage. The average time between the date of advertisement of a resident coordinator post and the Secretary-General's selection decision is 115 days. The aforementioned data demonstrate that the Administration closely monitors the ongoing recruitment process of resident coordinators to ensure that posts are filled in an expeditious manner. | Given that there were 12 vacancies at the end of 2025, there was a significant decrease in the vacancy rate for 2025 compared with previous years. Among the 12 resident coordinator positions covered by resident coordinators ad interim, 8 new resident coordinators had already been selected and were undergoing the normal deployment process, resulting in only 4 positions at the pre-selection stage. The Board considers the recommendation to be implemented. | X                         |                      |                                        |
| 78  | 2023              | <a href="#">A/79/5 (Vol. I)</a> , chap. II, para. 411 | The Board recommends that the Administration strengthen measures for reducing the early turnover of resident coordinators to ensure the effective performance of the resident coordinator system.                                                                                | The recommendation was implemented. The Administration notes that the instances referred to as "early turnover" are addressed in the Organization's established regulatory framework, specifically the administrative instruction on resident coordinator selection ( <a href="#">ST/AI/2022/1</a> ). As such, these instances fall within the scope of approved norms, and the Administration's actions are in full compliance with the provisions of <a href="#">ST/AI/2022/01</a> .                                                                                                                                                                                                                                                                                                                                                                                                                                          | The early turnover of resident coordinators was reduced in 2025. Among the 130 established resident coordinator positions, there were 9 resident coordinators whose appointment or term was shortened due to reassignment, retirement or other factors. The Board therefore considers the recommendation to be implemented.                                                                                                                                              | X                         |                      |                                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                             | Administration's response                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                                                                     | Status after verification |                      |                 |                     |
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| 79  | 2023              | A/79/5 (Vol. I), chap. II, para. 461 | The Board recommends that the Administration enhance oversight of the management of funds especially regarding the use of a separate interest-bearing bank account, where available, accounting separately for the project expenditures, and inform the third-party auditors of the funds of \$7.83 million and take follow-up actions.                 | The system check is still under development in the One Grant Management System. Due to multiple ongoing priorities and limited resources, this recommendation is expected to be implemented by the end of 2026.                                                                                                                                                                                                    | Given that this recommendation is expected to be implemented by the end of 2026, the Board considers the recommendation to be under implementation.                                                                                                                                                    |                           | X                    |                 |                     |
| 80  | 2023              | A/79/5 (Vol. I), chap. II, para. 469 | The Board recommends that the Administration continue to verify the eligibility of all project expenditures through third-party audit firms following completion of the projects, especially with regard to the eligibility of the above-mentioned non-project overhead costs, in accordance with the global guidelines for country-based pooled funds. | Third-party audits to verify the eligibility of relevant project expenditures are an ongoing process. With regard to the five Sudan Humanitarian Fund projects under this recommendation, they have been included in the first round of the 2026 audit plan.                                                                                                                                                       | Given that the audit for the five SHF projects under this recommendation has not been conducted, the Board considers the recommendation to be under implementation.                                                                                                                                    |                           | X                    |                 |                     |
| 81  | 2023              | A/79/5 (Vol. I), chap. II, para. 477 | The Board recommends that the Administration expand actions to hold accountable partners that do not refund losses due to fraud by strengthening arrangements for sharing information with other United Nations agencies about those partners.                                                                                                          | The recommendation was implemented. The Office for the Coordination of Humanitarian Affairs has already begun sharing information with other United Nations agencies, through the United Nations Partner Portal, about partners that have committed misconduct and failed to return the identified losses. This is being done by raising the appropriate flags to alert other United Nations users of these cases. | Given that the Administration has already begun sharing information with other United Nations agencies, through the United Nations Partner Portal, about partners that have committed misconduct and failed to return the identified losses, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 82  | 2023              | A/79/5 (Vol. I), chap. II, para. 484 | The Board recommends that the Administration review and update the guidance on the sharing of fraud case-related information to provide clear minimum criteria for identifying recipients to ensure the security of sensitive information of the Organization, while recognizing that discretion may be                                                 | The recommendation was implemented. As previously reported, the Office for the Coordination of Humanitarian Affairs has updated its guidance on the sharing of fraud-related information in response to the Board's recommendation. The revised guidance note sets out clear minimum criteria for identifying appropriate recipients and includes measures to                                                      | Given that the Office for the Coordination of Humanitarian Affairs has updated its guidance on the sharing of fraud-related information, the Board considers the recommendation to be implemented.                                                                                                     | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Board's assessment                                                                                                                         | Status after verification |                      |                                        |
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|     |                   |                                      | required in certain cases to include additional recipients.                                                                                                                                                                                                                                                                                               | ensure the confidentiality and proper handling of all information shared. Furthermore, every notification sent to donors includes an explicit confidentiality statement, and each communication is clearly labelled as confidential and not for further distribution without the Office's prior consent. These measures are now fully implemented.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                            |                           |                      |                                        |
| 83  | 2023              | A/79/5 (Vol. I), chap. II, para. 501 | The Board also recommends that the Administration ensure that all United Nations Secretariat entities submit ICT projects with a cost of over \$1 million (over a four-year period) to the ICT Steering Committee for approval.                                                                                                                           | The recommendation was overtaken by events.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Given that the Board is making updated recommendations in the current report, this recommendation is considered to be overtaken by events. |                           |                      | X                                      |
| 84  | 2023              | A/79/5 (Vol. I), chap. II, para. 507 | The Board recommends that the Administration ensure that the Office of Information and Communications Technology, in coordination with the Procurement Division and end-user entities, follows up with the contractors to ensure that the discounts for information and communications technology contracts are collected in full and in a timely manner. | The recommendation was implemented. All discounts have been settled, and systems and procedures have been put in place to ensure that discounts for ICT contracts are collected in full and in a timely manner. The Office of Information and Communications Technology, in coordination with the Procurement Division and the Office of Programme Planning, Finance and Budget, has strengthened contract management as it relates to the application and monitoring of contractual discounts. The Office of Information and Communications Technology, with support from the Office of Programme Planning, Finance and Budget, conducted and completed review exercises on selected contracts where the vendor had failed to recognize and apply applicable rates. Under the previous contract PD/C0028/05 with vendor A, the Organization recovered \$2 million in unapplied discounts. Similarly, under contract PD/C0125/20 | Given the actions taken by the Administration in this regard, the Board considers the recommendation to be implemented.                    | X                         |                      |                                        |

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| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                   | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Board's assessment                                                                                                                             | Implemented               | Under implementation | Not implemented | Overtaken by events |
|     |                   |                                      |                                                                                                                                                                                                                                                                                                                                                                                                               | with vendor B, the Organization recovered \$54,323. As an additional control measure, the Office of Information and Communications Technology and vendor B worked together to publish a notification of applicable discounts on the landing page where United Nations requisitioners place orders. Furthermore, the Office of Information and Communications Technology, in its periodic contract management meetings with vendors, discusses the contractual discounts available to the United Nations.                                                                                                                                                                                                                                                                                             |                                                                                                                                                |                           |                      |                 |                     |
| 85  | 2023              | A/79/5 (Vol. I), chap. II, para. 518 | The Board recommends that the Administration ensure that the Office of Information and Communications Technology, together with respective entities, updates the cloud strategy in a timely manner to align it with the latest information and communications technology landscape and business requirements, enhances public cloud resource utilization and implements cost-saving measures, as appropriate. | The recommendation was implemented. The Office of Information and Communications Technology has finalized, approved and promulgated United Nations Secretariat cloud strategy 2.0, addressing cloud adoption optimization, cost-efficiency and governance. The Office has issued guidance to Secretariat entities on cloud resource optimization measures (e.g., rightsizing or removing inactive resources) to reduce waste. While cloud utilization lies with entity business owners (due to dynamic workloads), the Office has enhanced oversight by means of entity-accessible utilization dashboards and technical support for “Unite Cloud”. With the strategy disseminated, governance/optimization measures in place and ongoing entity engagement, the Office confirms full implementation. | Given that United Nations Secretariat cloud strategy 2.0 has been finalized, the Board considers the recommendation to be implemented.         | X                         |                      |                 |                     |
| 86  | 2023              | A/79/5 (Vol. I), chap. II, para. 531 | The Board recommends that the Administration clearly define the scope of ICT security, including key central and local roles and responsibilities in the ICT accountability framework as part of the ICT governance structure,                                                                                                                                                                                | The recommendation was implemented. The ICT accountability framework was approved at the ICT Steering Committee meeting on 7 May 2026. Section 3 of the endorsed ICT accountability framework lays out the specific roles and responsibilities held                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Given that the accountability framework has been reviewed by the ICT Steering Committee and was released in May 2026, the Board considers this | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference | Recommendation of the Board                    | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Board's assessment                | Status after verification |                         |                    |                        |
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|     |                         |                  | and ensure that they are properly implemented. | centrally by the Chief Information Technology Officer and section 4 sets out the responsibilities of heads of entities. These include the roles and responsibilities for ICT security. Annex 1 of the ICT accountability framework provides a further breakdown of roles and responsibilities for ICT security based on the ICT entity type, as follows:<br>Central services of the Office of Information and Communications Technology: develop, maintain and promulgate ICT security policies, standards, awareness and operational resilience frameworks; perform security assessments; report security incidents; support and coordinate responses to incidents as appropriate; coordinate ICT security-specific activities across the Secretariat; provide guidance on ICT security matters.<br>ICT service provider entities: implement ICT security requirements and perform ICT security operations including implementing and maintaining approved controls, in line with promulgated policies and standards; report and respond to incidents as applicable; maintain an ICT focal point function.<br>ICT embedded entities: implement ICT security requirements and perform ICT security operations including implementing and maintaining approved controls, in line with promulgated policies and standards; report and respond to incidents as applicable; maintain an ICT focal point function.<br>ICT supported entities: adhere to ICT security operational requirements in line with promulgated policies and | recommendation to be implemented. |                           |                         |                    |                        |

| No. | Audit report year | Report reference                                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                              | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Board's assessment                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Status after verification |                      |                 |                     |
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|     |                   |                                                      |                                                                                                                                                                                                                                                                                                                                          | standards and report incidents as applicable; ensure that an ICT security focal point assumes responsibility.<br>The endorsed ICT accountability framework defines the scope of ICT security, including key central and local roles and responsibilities, as part of the ICT governance structure, which will also come under the monitoring of the framework outlined in the document.                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                           |                      |                 |                     |
| 87  | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 12 | The Board recommends that the Administration review all recommendations for which target implementation dates have changed and report on the reasons and action that will be taken in the next report of the Secretary-General on the status of implementation of the Board's recommendations.                                           | The recommendation was implemented. The Administration requested the relevant United Nations entities to provide updates outlining the reasons for delays and the corresponding action being taken to expedite the implementation of outstanding Board recommendations, and the information has been presented in the most recent report of the Secretary-General on the status of implementation of the Board's recommendations ( <a href="#">A/80/353</a> ).                            | Given that the Administration requested the relevant United Nations entities to provide updates outlining the reasons for delays and the corresponding action being taken to expedite the implementation of outstanding Board recommendations, and the information has been presented in the most recent report of the Secretary-General on the status of implementation of the Board's recommendations, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 88  | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 33 | The Board recommends that the Administration carry out a pilot study, to the extent possible, within funds available and implement the mandate of multilingualism by concentrating on the most critical deliverables to ensure that its mandate for creating comprehensive communication outputs in multiple languages can be fulfilled. | The recommendation was implemented. During the high-level week of the General Assembly in September 2025, the News and Media Division of the Department of Global Communications piloted the use of an artificial intelligence machine translation tool to provide summaries of every speaker who spoke in the General Assembly Hall during high-level week in all six official languages. The pilot involved use of the DeepL application. Every translation generated by the artificial | Given that similar new recommendations have been made in this year's final audit, the Board considers this recommendation to be overtaken by events.                                                                                                                                                                                                                                                                                                               |                           |                      |                 | X                   |

| No. | Audit<br>report<br>year | Report reference                    | Recommendation of the Board                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Board's assessment                                                                                                                                                         | Status after verification |                         |                    |                        |
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|     |                         |                                     |                                                                                                                                                                                                                                    | intelligence tool was checked and verified by staff prior to publication on the General Assembly general debate website. This pilot was successfully carried out within existing resources. The News and Media Division is continuing to test new production workflows using artificial intelligence technology, including artificial intelligence machine translation tools. In particular, it is extending the testing of the DeepL application that was used in September 2025. Each use case involving artificial intelligence machine translation requires checking and verification by staff of the translated outputs. Lessons learned so far indicate that the process of checking and verifying the outputs can be time-consuming and requires staff who are fluent in both the source language and the target language. In this respect, the use of artificial intelligence machine translation tools does not diminish the need for language-skilled staff but does offer the opportunity to generate more language outputs, assuming the relevant staff resources remain part of the Department's staff roster. |                                                                                                                                                                            |                           |                         |                    |                        |
| 89  | 2024                    | A/80/5 (Vol. I), chap. II, para. 38 | The Board recommends that the Administration formalize a process of allocation of priorities at the United Nations Office at Vienna, in consultation with its services chiefs, to address the United Nations liquidity challenges. | Since 2023, the United Nations Office at Vienna has been experiencing liquidity constraints related to regular budget funding. In response, it has developed a structured process for prioritizing allocations. The process involves ongoing monitoring and adjustment of priorities in response to changes in the financial situation and updates from the substantive offices, the Executive Director and the Office of the Controller. Although a prioritization process is currently in place, it is in the                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Given that the prioritization process is in the process of being formalized and documented accordingly, the Board considers the recommendation to be under implementation. |                           | X                       |                    |                        |

| No. | Audit report year | Report reference                    | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                            | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Board's assessment                                                                                                                                                                                              | Status after verification |                      |                                        |
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| 90  | 2024              | A/80/5 (Vol. I), chap. II, para. 44 | The Board recommends that the Administration strengthen its organizational resilience at the United Nations Office at Geneva by launching a comprehensive structural review aimed at identifying critical positions and strategic functions, prioritizing essential tasks in a context of constrained resources and anticipating the management of numerous upcoming staff departures. | process of being formalized and documented accordingly.<br><br>The United Nations Office at Geneva continues its work on this topic while preparing for the start of implementation of the Common Administrative Platform in Geneva, expected to start in 2027 in a limited number of entities. This exercise is complicated by the ongoing UN80 Initiative, which may result in additional global consolidation of transactional services. Within this evolving environment, the United Nations Office at Geneva continues to identify the core staffing required for roles within the Common Administrative Platform in Geneva, for location-specific operations, such as building management, and for support to the Department of Management Strategy, Policy and Compliance, including Treasury services. | Given that work on the UN80 Initiative is ongoing, the Board considers the recommendation to be under implementation.                                                                                           |                           | X                    |                                        |
| 91  | 2024              | A/80/5 (Vol. I), chap. II, para. 64 | The Board recommends that the United Nations Assistance Mission for Iraq (UNAMI) follow the instructions from United Nations Headquarters, prepare an action plan and expedite the clean-up process for the cumulative fund balance in the cost-recovery fund during the transition and liquidation process.                                                                           | The recommendation was implemented. The Mission finalized its clean-up arrangements by 31 December 2025.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Given that the clean-up arrangements have been finished, the Board considers the recommendation to be implemented.                                                                                              | X                         |                      |                                        |
| 92  | 2024              | A/80/5 (Vol. I), chap. II, para. 75 | The Board recommends that the Administration ensure that the Office of Information and Communications Technology expedites the new review of the full category of services and continues to enhance oversight to match revenue against expenses at the service or functional level, as                                                                                                 | The recommendation was implemented. The Office of Information and Communications Technology has undertaken a structured and data-driven review of its services, costs and cost-recovery methodology in consultation with the Office of Programme Planning, Finance and Budget. Service bundles based on the                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Given that the new ICT service rates, developed and approved in coordination with the Office of Programme Planning, Finance and Budget, are in place, the Board considers the recommendation to be implemented. | X                         |                      |                                        |

| No. | Audit report year | Report reference                    | Recommendation of the Board                                                                                                                                                                                      | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Board's assessment                                                                                                          | Status after verification |                      |                 |                     |
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|     |                   |                                     | appropriate, to ensure that the full cost of each category can be measured realistically and objectively.                                                                                                        | <p>distinct needs and usage patterns of different user populations, namely United Nations Headquarters, field missions and others (non-field/away from Headquarters), have been developed. The approved rates for these service bundles have been operationalized with the set-up of the activity codes in Umoja to allow the Office of Information and Communications Technology to exercise cost recovery.</p> <p>The pricing model took into account the distinction between regular budget and support account assessed resources, allowing identification of the remaining funding gap to be addressed through cost recovery revenue. Additionally, the pricing model was designed to capture the underlying cost elements of ICT function under each service provider. Following the development and approval of ICT service rates in coordination with the Office of Programme Planning, Finance and Budget, an annual update of these rates will be performed to ensure alignment with evolving operational requirements and costs. This process will be supported by continuous monitoring of service consumption patterns, client base dynamics, underlying costs and cost recovery performance, including uncollected revenue. These insights will inform future rate revisions and help the financial sustainability of the Office.</p> |                                                                                                                             |                           |                      |                 |                     |
| 93  | 2024              | A/80/5 (Vol. I), chap. II, para. 95 | The Board recommends that the Administration add the net asset balance, including the required target reserve balance, of the category 62 funds in the current internal control dashboard to further enhance the | The recommendation was implemented. The revision of the programme support costs management dashboard, including the incorporation of the required reserve level, has been completed.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Given that the net asset balance has been added in the dashboard, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                   | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                                               | Status after verification |                      |                 |                     |
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|     |                   |                                      | monitoring of the management of extrabudgetary resources.                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                  |                           |                      |                 |                     |
| 94  | 2024              | A/80/5 (Vol. I), chap. II, para. 103 | The Board recommends that the Administration expedite the clearing of outstanding pending commitments and cash balances of closed country-based pooled funds to improve the performance of the funds.                                                                                                                                                         | All except 1 of the 13 dormant accounts were cleared and closed in 2025. As for the remaining account, the donor has already been contacted to clear the commitment. The Office for the Coordination of Humanitarian Affairs expects this matter to be fully resolved by December 2026.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Given that an outstanding pending commitment remains uncleared, the Board considers the recommendation to be under implementation.                                                                                                                                               |                           | X                    |                 |                     |
| 95  | 2024              | A/80/5 (Vol. I), chap. II, para. 110 | The Board recommends that the Administration formulate definite operating reserve guidelines for trust funds and enhance the management of operating reserves accordingly.                                                                                                                                                                                    | The recommendation was implemented. The Office for the Coordination of Humanitarian Affairs has developed operating cash reserve guidelines, which are undergoing review by senior managers. The Office will provide the Board with the approved guidelines during the ongoing final audit.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Given that a new comprehensive recommendation has been issued during this year's audit, the Board considers the recommendation to be overtaken by events.                                                                                                                        |                           |                      |                 | X                   |
| 96  | 2024              | A/80/5 (Vol. I), chap. II, para. 133 | The Board recommends that the Administration strengthen its role and capacity to provide guidance on construction projects of special political missions and expedite the development of appropriate thresholds, criteria and evaluation methods for construction projects that would be subject to the review of the Global Asset Management Policy Service. | The recommendation was implemented. The budget guide for special political missions for 2027 (which was issued in February 2026) included guidance for the missions on projects requiring review by the Global Asset Management Policy Service. A project with a cost above \$10 million and a duration of 2–5 years will be subject to the Service's review and guidance. The Service will provide targeted guidance to missions with large-scale multi-year projects that are currently at either the planning or the implementation stage. Special political missions are requested to contact the Service if they have such construction projects under implementation or to be proposed in the upcoming budget period. Required resources for this oversight and support function will be charged to the construction project | Given that the Administration has issued the budget guide for special political missions for 2027, in which thresholds for review of construction projects by the Global Asset Management Policy Service were defined, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                           | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                                                                                                 | Status after verification |                      |                 |                     |
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| 97  | 2024              | A/80/5 (Vol. I), chap. II, para. 142 | The Board recommends that the Administration issue guidance on the preparation of multi-year construction project budget proposals to related entities to ensure that project implementation schedules are duly considered when requesting new budget appropriations. | concerned, as is the case with the capital construction projects.<br><br>The recommendation was implemented. Budget proposals for ongoing and recently completed major multi-year construction projects already adequately consider actual implementation timelines with realistic fund requests. Updated information about the project's implementation status, including information on updated timelines, budget forecasts and scope, is regularly provided to the General Assembly in the form of progress reports. To meet the latest information needs of the General Assembly and its related committees, the format and content of these reports is regularly reviewed by the Administration and, before the drafting of progress reports is begun each year, the project teams are provided with updated report templates and related instructions on how to prepare the updated progress information. This is done through inter-office memorandums sent out by the Global Asset Management Policy Service to the implementing entity for each major multi-year construction project. The latest such memorandums were sent out in April 2025 and February 2026. | Given that the Administration has aligned multi-year construction budget proposals with actual timelines and provided updated templates and guidance through the Global Asset Management Policy Service, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                  | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Board's assessment                                                                                                                                                                                                                                                                                                                            | Status after verification |                      |                 |                     |
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| 98  | 2024              | A/80/5 (Vol. I), chap. II, para. 143 | The Board also recommends that the Administration further review the open fund balances under the construction fund (64CFA) related to completed projects and take appropriate action to clear the balances. | The recommendation was implemented. A review of the cash balances recorded under S100 (United Nations Headquarters) was conducted, and the cash balances were found to have been converted against the wrong business area. Cash balances and open items in the fund were further reduced in 2025 and an initial return of unspent balances related to construction completed at the Economic Commission for Latin America and the Caribbean was made. Further returns are expected after the completion of activities at the Economic Commission for Africa and the Economic and Social Commission for Asia and the Pacific, and the office blocks A–J replacement project at the United Nations Office at Nairobi. | Given that the Administration has reviewed and corrected the misallocated 64CFA construction fund cash balances in Umoja, reduced outstanding items and returned unspent balances related to construction completed at the Economic Commission for Latin America and the Caribbean, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 99  | 2024              | A/80/5 (Vol. I), chap. II, para. 152 | The Board recommends that the United Nations Integrated Office in Haiti (BINUH) reassess vehicle requirements in the light of operational demands in future.                                                 | As noted in the Board's report, vehicle requirements are routinely assessed based on future demand of BINUH, which is subject to change due to the mission's evolving mandate and operational environment. As soon as possible, a BINUH Vehicle Establishment Committee will be convened to review and determine the actual needs of the mission based on newly mandated tasks pursuant to Security Council resolution 2814 (2026) and allotment ratios. All assets above the allotment limit will then either be transferred to other United Nations entities or written off.                                                                                                                                       | Given that BINUH will convene the Vehicle Establishment Committee to reassess vehicle requirements in line with its updated mandate and allotment ratios, and plans to transfer or write off surplus assets, the Board considers the recommendation to be under implementation.                                                               |                           | X                    |                 |                     |

| No. | Audit<br>report<br>year | Report reference                           | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Board's assessment                                                                                                                                                                                                                                | Status after verification |                         |                    |                        |
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| 100 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 167 | The Board recommends that the Administration establish a lessons learned exchange process, with an emphasis on cost and schedule management, to help project owners to improve future project management by drawing from experiences in the cases examined by the Board.                                                                                                                                                                           | The recommendation was implemented. The lessons for the recently completed projects at the Economic Commission for Africa, the Economic Commission for Latin America and the Caribbean and the Economic and Social Commission for Asia and the Pacific were already captured and shared across the project implementing entities through an inter-office memorandum in November 2025. This is a regularly recurring process, ensuring that no lessons are missed.                                                                                                                                                                                                    | Given that lessons learned from major construction projects are regularly shared through the Global Asset Management Policy Service and that an exchange process has been put in place, the Board considers the recommendation to be implemented. | X                         |                         |                    |                        |
| 101 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 178 | The Board recommends that the Administration, in order to bring the project to successful completion, strengthen its project management and monitoring mechanisms and ensure strict adherence to all contractual conditions, including ensuring that the necessary approvals and permits are obtained and documented prior to the release of relevant payments.                                                                                    | The recommendation is overtaken by events. The activities pertaining to the 2025 World Exposition have concluded and the Department of Global Communications will take the lessons learned, including those identified by the Board, into consideration when planning for the 2030 World Exposition.                                                                                                                                                                                                                                                                                                                                                                 | Given that the Expo 2025 project in Osaka, Japan, has been completed, the Board considers the recommendation to be overtaken by events.                                                                                                           |                           |                         |                    | X                      |
| 102 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 189 | The Board recommends that, during the liquidation process, UNAMI, with appropriate guidance from Headquarters, remain committed to a structured and effective asset disposal process, incorporating lessons learned from the liquidation of the United Nations Investigative Team to Promote Accountability for Crimes Committed by Da'esh/Islamic State in Iraq and the Levant to ensure optimal utilization and prevent unnecessary stockpiling. | UNAMI confirms that, from the commencement through to the completion of the Mission's liquidation, it has remained in close and continuous coordination with United Nations Headquarters and the United Nations Global Service Centre. The Mission has incorporated relevant lessons learned from the liquidation of the United Nations Investigative Team to Promote Accountability for Crimes Committed by Da'esh/Islamic State in Iraq and the Levant, including early identification and categorization of surplus assets, structured disposal sequencing, strengthened documentation and audit trail controls, and measures to prevent unnecessary stockpiling. | Given that UNAMI is nearing the completion of its liquidation process, the Board considers that the recommendation has been overtaken by events.                                                                                                  |                           |                         |                    | X                      |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                              | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Board's assessment                                                                                                                                                                                                                                                                                                 | Status after verification |                      |                                        |
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| 103 | 2024              | A/80/5 (Vol. I), chap. II, para. 197 | The Board recommends that UNAMI finalize the preliminary asset disposal plan to ensure that all assets of UNAMI are included.                                                                                                                            | UNAMI confirms that the preliminary asset disposal plan has been completed for all UNAMI assets.                                                                                                                                                                                                                                                                                                                                                                               | Given that UNAMI is nearing the completion of its liquidation process, the Board considers that the recommendation has been overtaken by events.                                                                                                                                                                   |                           |                      | X                                      |
| 104 | 2024              | A/80/5 (Vol. I), chap. II, para. 205 | The Board recommends that UNAMI monitor and review the outstanding purchase orders before the end of its transition and drawdown in accordance with the field entity closure guide in order to ensure that all obligations conclude with the mandate.    | The recommendation was implemented. The Acquisition Planning and Requisitioning Unit, in close coordination with the Procurement Section and the Chief Finance and Budget Officer, ensured that all material purchase requirements for 2025 were thoroughly reviewed and processed strictly at the minimum levels necessary. All acquisitions were aligned with the Mission's drawdown and liquidation timeline to avoid any unnecessary financial obligations being incurred. | Given that the Administration ensured that all material purchase requirements for 2025 were thoroughly reviewed and processed strictly at the minimum levels necessary, the Board considers the recommendation to be implemented.                                                                                  | X                         |                      |                                        |
| 105 | 2024              | A/80/5 (Vol. I), chap. II, para. 220 | The Board recommends the Administration prioritize the implementation of the staff selection 2.0 programme by formulating the detailed implementation plans and timelines with a view to addressing the shortcomings in the current recruitment process. | The recommendation was implemented. Detailed and time-bound implementation plans and timelines for the staff selection 2.0 programme have been developed, and the necessary governance and programme management arrangements have been established to support execution. The planning phase required to enable implementation has therefore been completed.                                                                                                                    | Given that detailed and time-bound implementation plans and governance arrangements for the staff selection 2.0 programme are in place, and the planning phase has therefore been completed, the Board considers the recommendation to be implemented.                                                             | X                         |                      |                                        |
| 106 | 2024              | A/80/5 (Vol. I), chap. II, para. 221 | The Board also recommends that the Administration take proactive measures targeting those entities that do not fulfil the established targets in order to improve the representation of those underrepresented and unrepresented countries.              | The recommendation was implemented. The Office of Human Resources has taken proactive measures to directly engage those entities that do not meet established targets. In this regard, the Assistant Secretary-General for Human Resources formally communicated with all heads of entities (email dated 14 August 2025) to highlight entity-level accountability for selection decisions, draw attention to gaps in representation                                            | Given that the Office of Human Resources has taken proactive measures to directly engage those entities that do not meet established targets and formally communicated with all heads of entities (email dated 14 August 2025) to highlight entity-level accountability for selection decisions, draw attention to | X                         |                      |                                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                      | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                                                                                                                                     | Status after verification |                      |                 |                     |
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| 107 | 2024              | A/80/5 (Vol. I), chap. II, para. 234 | The Board recommends the Administration finalize the forthcoming policy provisions on the management of liens, indicating clearly the definitions, types, conditions, applicability, and duration, among others, in order to ensure clarity, consistency and compliance.         | from unrepresented and underrepresented Member States and encourage corrective action. This engagement is complemented by targeted outreach and the implementation of initiatives such as talent pipeline programmes to support entities with persistent challenges in improving geographical representation.<br><br>The recommendation was implemented. The newly promulgated administrative instruction on administration of appointments (ST/AI/2025/3), dated 9 October 2025, served to establish a consolidated and comprehensive framework for lien management, including clear definitions, conditions, applicability and duration. By serving to codify these provisions in a single, authoritative instruction applicable across the Secretariat, the policy ensures clarity, consistency and compliance. The Office of Human Resources also issued a policy guideline on lien management (OHR/PG/2026/2) to further clarify the policy provisions to ensure consistency. | gaps in representation from unrepresented and underrepresented Member States and encourage corrective action, the Board considers the recommendation to be implemented.<br><br>Given that the administrative instruction on administration of appointments (ST/AI/2025/3) was promulgated on 9 October 2025, the Board considers the recommendation to be implemented. |                           | X                    |                 |                     |
| 108 | 2024              | A/80/5 (Vol. I), chap. II, para. 248 | The Board recommends that entities with UNDP-administered staff develop their transition plans by 30 June 2026, as envisioned by the Administration, duly taking into consideration all the potential financial implications and the availability of the funding in this regard. | The Office for the Coordination of Humanitarian Affairs is undergoing a major restructuring and reduction in its workforce globally given funding constraints. As a result, this recommendation was put on hold and will be revisited after the completion of the exercise, which is also impacting locally-recruited personnel administered by UNDP. Upon completion of the exercise, the Office will develop a working plan, in liaison with the Office of Human Resources, for the integration of the remaining                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Given that the Office for the Coordination of Humanitarian Affairs is undergoing a large restructuring and reduction in its workforce globally given the funding constraints, the Board considers the recommendation to be under implementation.                                                                                                                       |                           |                      | X               |                     |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                           | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Board's assessment                                                                                                                                                                                              | Status after verification |                      |                 |                     |
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|     |                   |                                                       |                                                                                                                                                                                                                                                                                                                                       | <p>UNDP-administered staff into the Secretariat. A phased regional approach to the implementation of the plan will be taken to minimize disruption to the ongoing operations of the Office for the Coordination of Humanitarian Affairs.</p> <p>The Office of the United Nations High Commissioner for Human Rights has established a transition plan and will commence implementation once approved. Registering incumbent staff in the Umoja enterprise resource planning platform, through the transition from UNDP to Secretariat-administered contracts, is fundamental to operationalizing the General Assembly-endorsed regionalization strategy for the Office.</p> |                                                                                                                                                                                                                 |                           |                      |                 |                     |
| 109 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 256 | The Board recommends that the Administration refine the relevant Umoja modules to ensure that all attendance records and information relating to telecommuting within or outside duty station are duly recorded therein and that enhanced tools are implemented to analyse and report on the telecommuting of staff with more detail. | The Administration continues to work on the development and implementation of a system-wide flexible working arrangements module for the administration of all types of flexible working arrangements defined in the relevant Secretary-General's bulletin ( <a href="#">ST/SGB/2019/3</a> ), including telecommuting within and from outside the duty station. Clarifications have been provided to the vendor on specific scenarios which are under final stages of development and testing by SAP. Implementation of the solution is on track; however, the timing for release is dependent on the outcome of internal testing of the solution.                          | Given that the Administration continues to work on the development and implementation of a system-wide flexible working arrangements module, the Board considers the recommendation to be under implementation. |                           |                      | X               |                     |
| 110 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 262 | The Board recommends that Administration remind entities to comply with the policy and guidance on telecommuting.                                                                                                                                                                                                                     | The recommendation was implemented.<br>In accordance with United Nations policy, as set out in the Secretary-General's bulletin ( <a href="#">ST/SGB/2019/3</a> ) and                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Given that the Administration has put in place implementation measures, complemented by the issuance of the Office of                                                                                           | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference | Recommendation of the Board | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Board's assessment                                                                                                                                                                             | Status after verification |                         |                    |                        |
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|     |                         |                  |                             | <p>the information circular (ST/IC/2019/15) on flexible working arrangements, regular telecommuting within the duty station is limited to a maximum of three days weekly. Exceptions beyond this maximum are allowed only for compelling personal reasons and operational needs, requiring written managerial approval, and do not affect staff benefits. The Office of Human Resources policy guideline (OHR/PG/2024/7) further clarifies the criteria for exceptions and the roles of managers, executive offices and human resources offices.</p> <p>The Office of Human Resources has repeatedly emphasized to entities that telecommuting for more than three days is non-routine and needs full justification, authorization and documentation. Entities must record arrangements in Umoja and conduct regular reviews to ensure consistent policy implementation.</p> <p>The Administration analysed Umoja attendance data to identify cases of excess telecommuting. Such instances are minimal, mostly time-bound and justified by personal or operational needs, therefore complying with the exception rules.</p> <p>With the issuance of the Office of Human Resources policy guideline and ongoing Umoja-based monitoring and compliance reminders, the Administration has fully addressed the Board's recommendation.</p> | Human Resources policy guideline (OHR/PG/2024/7), as well as the monitoring of telecommuting patterns through Umoja attendance data, the Board considers the recommendation to be implemented. |                           |                         |                    |                        |

| No. | Audit<br>report<br>year | Report reference                                            | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                    | Status after verification |                         |                    |                        |
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| 111 | 2024                    | <a href="#">A/80/5 (Vol. I)</a> ,<br>chap. II,<br>para. 271 | The Board recommends that the Administration draw lessons from the lease renewal and renovation project of DC-2, work out more detailed plans, including a time frame, and closely monitor the implementation of the DC-2 renovation project, to ensure that the timely vacating of the Albano and FF Buildings is aimed at achieving the envisaged rental savings.                                                                                                                       | The recommendation was implemented. The Administration has drawn lessons from the lease renewal and renovation project of DC-2 and has developed a revised construction timeline, which was compressed and restructured using an overlapping phased approach to expedite the implementation of the project. The new timeline allows construction to proceed more efficiently while still producing the required floor availability in time for the staff moves.                                                                                                                                                                                                                                                                                    | Given that the project team has developed a revised construction timeline and the implementation of the DC-2 renovation project has been closely monitored, the Board considers the recommendation to be implemented. | X                         |                         |                    |                        |
| 112 | 2024                    | <a href="#">A/80/5 (Vol. I)</a> ,<br>chap. II,<br>para. 274 | The Board recommends that the Administration issue guidance to ensure that the pre-appointment vetting procedure of senior leadership is enhanced by ensuring that newly appointed senior staff members have implemented the relevant recommendations from the Ethics Office upon assuming their United Nations duties and that the implementation of relevant recommendations should be verified by the Executive Office implementing the contract of the appointed senior staff member. | The recommendation was implemented. The Executive Office of the Secretary-General shared with the audit team a memorandum dated 26 November 2025 from the Chef de Cabinet to all heads of entity, including executive heads of United Nations funds and programmes, launching a new procedure under which the executive office/local human resources administration of each entity would be responsible for following up with regard to the senior appointment and confirming to the Ethics Office and the Executive Office of the Secretary-General that the recommendation of the Ethics Office on conflict of interest has been implemented by the appointed senior staff member. This procedure is effective as of the date of the memorandum. | Given that the proper procedure has been launched, the Board considers the recommendation to be implemented.                                                                                                          | X                         |                         |                    |                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                      | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Board's assessment                                                                                                                                                                                                                                       | Status after verification |                      |                                        |
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| 113 | 2024              | A/80/5 (Vol. I), chap. II, para. 284 | The Board recommends that the Administration enhance Organization-wide guidance on trip cancellations and modifications and the recovery of costs, where applicable.                                             | The recommendation was implemented. The guidance note on amendment and cancellation of travel requests and recovery of costs has been published on the Human Resources Services Division knowledge management platform.                                                                                                                                                                                                                                                                                                                                                                                                                                       | Given that the guidance note on amendment and cancellation of travel requests and recovery of costs has been published on the Human Resources Services Division knowledge management platform, the Board considers the recommendation to be implemented. | X                         |                      |                                        |
| 114 | 2024              | A/80/5 (Vol. I), chap. II, para. 291 | The Board recommends that the Administration remind all entities to expedite the clearance of overdue travel expense reports in Umoja to ensure the accurate and timely recording of travel-related expenditure. | The recommendation was implemented. The Human Resources Services Division, in collaboration with the Travel and Transportation Section and the Payroll and Accounts Payable Section of the Department of Operational Support, has developed guidance informing entities that it is mandatory for all travel requests to have corresponding expense reports. Furthermore, the Administration has identified all open travel requests that do not have corresponding expense reports and has shared this information with all entities so that they can review the open requests and proceed with closing them by submitting the corresponding expense reports. | Given that the new guidance has been issued, the Board considers the recommendation to be implemented.                                                                                                                                                   | X                         |                      |                                        |
| 115 | 2024              | A/80/5 (Vol. I), chap. II, para. 292 | The Board recommends that the Administration address system deficiencies to ensure that advances for cancelled trips are accurately recorded and fully recovered, where applicable.                              | The Administration has made progress in identifying system deficiencies to ensure that advances for cancelled trips are accurately recorded and fully recovered, where applicable. However, given the volume of trips and extensive backlog involved, the Administration requires more time to implement the recommendation and is revising the target date to 31 December 2026.                                                                                                                                                                                                                                                                              | Given that the Administration has made progress in identifying system deficiencies, while further time is still required to fully implement the recommendation, the Board considers the recommendation to be under implementation.                       |                           | X                    |                                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Board's assessment                                                                                                                                              | Status after verification |                      |                 |
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| 116 | 2024              | A/80/5 (Vol. I), chap. II, para. 299 | The Board recommends that the Administration formulate an amendment to information circular ST/IC/2019/16 to provide updated guidance on the arrangement of travel outside the Umoja travel module.                                                                                                                                                                                                                                | The recommendation was implemented. Travel arrangements processed outside the Umoja travel module occur only in limited and exceptional circumstances and are necessary to meet operational requirements. These cases are already subject to existing financial and administrative controls, including based on the mutual recognition principle signed by the Secretary-General and other executive heads. Additional guidance on the utilization of fund commitments in Umoja was issued on 31 October 2025.                                                                                                              | Given that guidelines on the utilization of fund commitments in Umoja were issued on 31 October 2025, the Board considers the recommendation to be implemented. | X                         |                      |                 |
| 117 | 2024              | A/80/5 (Vol. I), chap. II, para. 312 | The Board recommends that the Administration assess the strategic initiatives within the professional services category by prioritizing, validating and refining them, as needed, while discontinuing those with low potential for success, and, specifically, when assessing the effectiveness of guidelines for roster use and secondary competition in audit services, evaluate their impact on the Organization's expenditure. | The Administration will continue to review and update the strategies as necessary, based on evolving business needs. An updated timeline with target dates for the remaining strategies is currently being prepared. Regarding secondary bidding, the Administration closely monitors both the process and the Organization's expenditure. Under the latest roster arrangement contracts, one secondary bidding exercise was conducted and the unit rates in the awarded task order were lower than the original contract unit rates. This indicates that the results of conducting secondary bidding are proving positive. | Given that work is continuing, the Board considers the recommendation to be under implementation.                                                               |                           | X                    |                 |
| 118 | 2024              | A/80/5 (Vol. I), chap. II, para. 322 | The Board recommends that the Administration encourage vendors who have been invited, but declined, to participate in solicitations to provide feedback on the reasons for declining to participate.                                                                                                                                                                                                                               | The recommendation was implemented. Procurement officials have been reminded to include in all future submissions to the Headquarters Committee on Contracts and/or case presentations a dedicated section outlining the efforts made to obtain feedback from non-responding vendors. In the meantime, feedback collection continues to be conducted                                                                                                                                                                                                                                                                        | Given the evidence provided, the Board considers the recommendation to be implemented.                                                                          | X                         |                      |                 |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                           | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Board's assessment                                                                                                                                                                                              | Status after verification |                      |                 |                     |
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|     |                   |                                      |                                                                                                                                                                                                                                                                                                                                                                                                                       | through the Ariba e-tendering platform, either by bidders proactively indicating their reasons for not submitting a bid when declining participation, or by direct follow-up by procurement officials through messaging in Ariba.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                 |                           |                      |                 |                     |
| 119 | 2024              | A/80/5 (Vol. I), chap. II, para. 331 | The Board recommends that the Administration provide guidance to end users encouraging them to use hybrid vehicles, where possible, and strengthen discussions with suppliers of hybrid vehicles and conduct targeted outreach activities prior to the solicitation process, with the aim of increasing vendor participation and assessing market readiness to meet technical and geographical coverage requirements. | The recommendation was implemented. The Office of Supply Chain Management has included guidance on the use of hybrid electric vehicles, as part of its annually issued business guidance. This was distributed to heads of departments, offices, regional commissions, offices away from Headquarters and field missions in July 2025. This guidance was also shared by email with supply chain and service delivery staff and disseminated during integrated business planning meetings. In particular, the vehicle fleet category strategy is referred to in paragraphs 203 and 204 of the Office of Supply Chain Management business guidance for supply chain planning for the 2026/27 budget period for peacekeeping operations and the 2027 budget period for the regular budget. | Given that actions have been taken in providing guidance to end users, strengthening vendor engagement and conducting targeted market outreach, the Board considers the recommendation to be implemented.       | X                         |                      |                 |                     |
| 120 | 2024              | A/80/5 (Vol. I), chap. II, para. 340 | The Board recommends that the Administration draw lessons from previous experience in relation to not-to-exceed amount management and put in place a system to ensure that the not-to-exceed amount is duly considered during lease extensions.                                                                                                                                                                       | The recommendation was implemented. As part of the DC-2 lease negotiations, the Administration engaged a real estate broker who developed detailed projections of the lease obligations for the current 15-year term. The not-to-exceed amount was established in line with those projections.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Given that the not-to-exceed amount for the current 15-year term DC-2 lease was established in line with a real estate broker's detailed projections, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 121 | 2024              | A/80/5 (Vol. I), chap. II, para. 346 | The Board recommends that the Administration strengthen efforts to monitor the improper use of low-value acquisitions and blanket                                                                                                                                                                                                                                                                                     | The recommendation was implemented. The Business Transformation and Accountability Division enhanced quarterly monitoring and adopted a                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Given that the Business Transformation and Accountability Division strengthened its regular                                                                                                                     | X                         |                      |                 |                     |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                                                                                                                                                                            | Status after verification |                      |                 |                     |
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|     |                   |                                      | purchase orders by closely following up on and adopting a more targeted approach in the pilot response mechanisms in order to reduce the improper use thereof.                                                                                     | <p>risk-based mechanism to tackle cases of irregular low-value acquisitions. Based on 2023–2025 data analysis, it targeted seven high-risk entities accounting for 70% of improper usage of low-value acquisitions.</p> <p>The Business Transformation and Accountability Division engaged with those entities directly, supplying data, templates and tracking tools to low-value acquisition focal points for evidence-based follow-up, policy clarification and corrective action. It also released a low-value acquisitions monitoring guide on the Knowledge Gateway to support all entities.</p> <p>Combined monitoring and targeted interventions delivered clear improvements: cases of improper low-value acquisitions dropped by 55% in the first quarter of 2026 versus the fourth quarter of 2025. Improper use of blanket purchase orders remained minimal, with no cases in the final three quarters of 2025 and only two in the first quarter of 2026. Relevant operational lessons have been documented to strengthen delegation of authority oversight.</p> | quarterly monitoring by implementing in parallel a risk-based response mechanism to address the identified issues, and that initial results demonstrate measurable progress resulting from the combined effect of regular quarterly monitoring and the targeted response mechanism, the Board considers the recommendation to be implemented. |                           |                      |                 |                     |
| 122 | 2024              | A/80/5 (Vol. I), chap. II, para. 351 | The Board recommends that the Administration enhance the Case Management Tracking System to ensure accurate data capture to enable the formalization of the timely assessment of prohibited conduct key performance indicator as soon as possible. | The recommendation was implemented. The Administration enhanced the Case Management Tracking System with a new data field called “Date of decision for no investigation”. Together with existing data fields capturing steps related to reports of alleged prohibited conduct where an investigation takes place, the new data field makes it possible to measure the overall timeliness of assessments and subsequent decisions by heads of entity regarding whether or                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Given that the Administration has enhanced the functionality of the Case Management Tracking System and established a quality assurance framework to ensure data accuracy for the formalized key performance indicator, the Board considers the                                                                                               | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                            | Status after verification |                         |                    |                        |
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|     |                         |                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | not to initiate an investigation within three months of receipt of the report from the Office of Internal Oversight Services, as provided in section 5.5 (e) of the Secretary-General's bulletin on addressing discrimination, harassment, including sexual harassment, and abuse of authority (ST/SGB/2019/8). In addition, conduct and discipline teams across all entities were briefed in September/October 2025 on how to use and update Case Management Tracking System data fields, and a data maintenance exercise was subsequently carried out to achieve data accuracy, with clear guidance provided to entities on data accuracy continuity. A quality assurance procedure was also established to this effect. | recommendation to be implemented.                                                                                                                             |                           |                         |                    |                        |
| 123 | 2024                    | A/80/5 (Vol. I), chap. II, para. 367 | The Board recommends that the Administration review the integration of United Nations information centres, as requested by the General Assembly, with a view to establishing a sustained and structured mechanism for the Development Coordination Office and the Department of Global Communications, clarify the line of reporting and command, align strategic and programmatic planning and ensure that mandates, programmes and activities are developed in order to accommodate the mandates of both offices to fully reap the envisaged benefits of the development reform. | The Department of Global Communications confirms that the review is currently being conducted within existing resources, in line with the mandate provided by the General Assembly.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Given that the review of integration of United Nations information centres is in progress, the Board considers the recommendation to be under implementation. |                           |                         | X                  |                        |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Board's assessment                                                                                                                                                                                                                                                                                                                                                      | Status after verification |                      |                 |                     |
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| 124 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 375 | The Board recommends that the Administration provide guidance on the assessment framework to clarify the measurement standards and methods to objectively assess and differentiate performance ratings in order to implement the new resident coordinator performance management and appraisal system in a consistent and transparent manner.                                                                                                                                                                                                                                                                                                                                                                                                     | The recommendation was implemented. The Administration has finalized guidance on the assessment framework to clarify the measurement standards and methods to objectively assess and differentiate performance ratings in order to implement the new resident coordinator performance management and appraisal system in a consistent and transparent manner, and has shared such guidance with resident coordinators and all those involved in the performance management and appraisal system.                                                   | Given that the measurement standards and methods to objectively assess and differentiate performance ratings (i.e., exceeds, successfully meets, partially meets and does not meet performance expectations) in the new resident coordinator performance management and appraisal system have been clarified, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 125 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 384 | The Board recommends the Administration ensure that the Office of the High Representative for the Least Developed Countries, Landlocked Developing Countries and Small Island Developing States, together with the Department of Economic and Social Affairs, conduct a comprehensive review of operational responsibilities to clarify roles, strengthen director-level communication, share work programmes and enhance collaboration with relevant entities, including the Development Coordination Office, with the aim of eliminating duplication, providing clear guidance to Member States on each entity's role and fostering coherent, efficient support for small island developing States through structured inter-office cooperation. | The recommendation was implemented. The Office continues to coordinate with the Department of Economic and Social Affairs at the level of directors and other senior managers with a view to enhancing collaboration, eliminating duplication and fostering coherent support to small island developing States. Coordination has focused on shared responsibilities in respect of the interim secretariat of the multidimensional vulnerability index and in relation to coordination on the Small Island Developing States Partnership Framework. | Given that measures have been taken to actively coordinate with the Department of Economic and Social Affairs at the level of directors and other senior managers to enhance collaboration, eliminate duplication of work and foster coherent support for small island developing States, the Board considers the recommendation to be implemented.                     | X                         |                      |                 |                     |
| 126 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 392 | The Board recommends that the Administration review the potential outside activities of experts of sanctions committees to ensure that prior approval is                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | The recommendation was implemented. The Department of Political and Peacebuilding Affairs completed its review of 17 cases of potential outside activities identified                                                                                                                                                                                                                                                                                                                                                                              | In line with the Board's recommendation, the Administration has reviewed the 17 cases of potential outside activities, further                                                                                                                                                                                                                                          | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference | Recommendation of the Board                                                                         | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                              | Status after verification |                         |                    |                        |
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|     |                         |                  | sought and follow up on the 17 cases of potential conflict of interest and take appropriate action. | <p>by the Board in September 2025. The Security Council Affairs Division of the Department of Political and Peacebuilding Affairs consulted relevant experts, verified their explanations via open-source information and sought further clarification as needed.</p> <p>The review confirmed that two individuals were not experts on sanctions panels; the remaining 15 experts all properly disclosed external activities to the United Nations in advance, with no unreported outside work, unauthorized payments or conflicts of interest identified.</p> <p>In coordination with the Ethics Office, the Executive Office of the Department of Political and Peacebuilding Affairs and the Department of Peace Operations, and the Department of Operational Support, the Security Council Affairs Division assessed and strengthened its oversight and compliance frameworks. It enhanced pre-selection conflict-of-interest screening and ongoing monitoring of experts' external activities.</p> <p>Beyond mandatory signed declarations under the Secretary-General's bulletin on regulations governing the status, basic rights and duties of officials other than Secretariat officials, and experts on mission (<a href="#">ST/SGB/2002/9</a>), experts are required to disclose outside activities for internal review and clearance and attend Ethics Office induction briefings, and are subject to mid-term open-source checks.</p> <p>The Department of Political and Peacebuilding Affairs will roll out improved training on external</p> | strengthened its monitoring of experts' external activities and revised the draft guidance on the management of experts' outside activities. We consider this recommendation to be implemented. |                           |                         |                    |                        |

| No. | Audit<br>report<br>year | Report reference                     | Recommendation of the Board                                                                                                                                       | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Board's assessment                                                                                          | Status after verification |                         |                        |
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|     |                         |                                      |                                                                                                                                                                   | engagement obligations and conflict-of-interest rules. In December 2025, it also used the annual inter-panel workshop in New York to remind all sanctions experts of mandatory disclosure and prior approval requirements, with this obligation repeatedly reinforced during regular panel visits to New York.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                             |                           |                         | Overtaken<br>by events |
| 127 | 2024                    | A/80/5 (Vol. I), chap. II, para. 397 | The Board recommends that the Administration intensify its efforts to ensure that expert panels are proposed to relevant sanctions committees in a timely manner. | <p>The recommendation was implemented. The Security Council Affairs Division of the Department of Political and Peacebuilding Affairs has strengthened the recruitment of expert panels by starting the process three months before the adoption of sanctions renewal resolutions. It expanded outreach to Member States through briefings, virtual sessions and bilateral engagement (2024–2026), including dedicated events for Asian and Pacific and African States.</p> <p>A pool of experts was established (application link: <a href="https://careers.un.org/jobSearchDescription/191928?language=en">https://careers.un.org/jobSearchDescription/191928?language=en</a>) as a candidate repository, supported by an annual note verbale to all Member States. The Security Council Affairs Division also engaged with the senior women's talent pipeline and joined the 2025 Impact pool virtual career fair for senior women, attracting new candidates to the pool of experts.</p> <p>Despite these efforts, the recruitment of qualified experts within two weeks – while ensuring gender and geographical balance – remains difficult, as mandates and the required expertise continue to evolve.</p> | Given the measures put in place by the Administration, the Board considers this recommendation implemented. | X                         |                         |                        |

| No. | Audit<br>report<br>year | Report reference                           | Recommendation of the Board                                                                                                                                                                                                                                                                                | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Board's assessment                                                                                                                                                                                               | Status after verification |                         |                                              |
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|     |                         |                                            |                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                  | Implemented               | Under<br>implementation | Not<br>implemented<br>Overtaken<br>by events |
| 128 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 403 | The Board recommends that the Administration work with the Multi-Partner Trust Fund Office, as the administrative agent of the Peacebuilding Fund, to expedite the financial closure processes to better utilize the Peacebuilding Fund balance.                                                           | The Peacebuilding Fund and the Multi-Partner Trust Fund Office have made significant progress on this recommendation and continue to do so. The Fund continued its follow-up with project recipients on closure issues, in coordination with the Peacebuilding Contact Group, in April and August 2025. This enabled the resolution of several issues in projects for which financial closure was pending. As a result of the Fund's coordinated actions with the Multi-Partner Trust Fund Office, 107 projects were financially closed in 2025, compared with 4 in 2024 and 42 in 2023. The Peacebuilding Fund and the Multi-Partner Trust Fund Office are continuing to follow up on this matter; another follow-up was conducted with recipients in February 2026. | Given that work is in process to expedite the financial closure processes for Peacebuilding Fund projects in relation to interest generated, the Board considers this recommendation to be under implementation. |                           | X                       |                                              |
| 129 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 408 | The Board recommends that the Administration work with the Multi-Partner Trust Fund Office to review its guideline on interest in order to improve the mechanism on monitoring the interest earned by non-United Nations recipient organizations with an aim of collecting the interest, where applicable. | The Administration has followed up with the Multi-Partner Trust Fund Office to identify mechanisms to monitor the interest earned by non-United Nations recipient organizations. The Multi-Partner Trust Fund Office will reach out to non-United Nations recipient organizations to request information on interest accrued. Through this enquiry, it also seeks to determine whether each organization's internal interest policy permits it to retain interest.                                                                                                                                                                                                                                                                                                    | Given that follow-up with non-United Nations recipient organizations in relation to interest generated is in process, the Board considers this recommendation to be under implementation.                        |                           | X                       |                                              |
| 130 | 2024                    | A/80/5 (Vol. I),<br>chap. II,<br>para. 418 | The Board recommends that the Administration take additional preventive measures against partners implicated in fraud, indicating to organizations that had their contracts suspended or terminated because of fraud that they are prohibited from using the Office for the Coordination of                | The recommendation was implemented. The global partner visibility guidelines (annex 15) have been revised to explicitly prohibit any organization that has had its contract suspended or terminated from using the Office for the Coordination of Humanitarian Affairs logo.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Given that the global guidelines (annex 15) have been revised, the Board considers the recommendation to be implemented.                                                                                         | X                         |                         |                                              |

| No. | Audit report year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                                                              | Administration's response                                                                                                                                                                                                                                                                                                                                  | Board's assessment                                                                                                                                                                                                                                               | Status after verification |                      |                 |                     |
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|     |                   |                                                       | Humanitarian Affairs and country-based pooled funds logos.                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                  |                           |                      |                 |                     |
| 131 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 424 | The Board recommends that the Administration establish a process requiring partners to declare the availability of separate interest-bearing bank accounts when submitting project proposals in order to improve the reporting and reimbursement of interest income.                     | This recommendation is linked to paragraph 461 of the Board's 2023 audit report ( <a href="#">A/79/5 (Vol. I)</a> ). The system check is still under development in the One Grant Management System. Due to multiple ongoing priorities and limited resources, this recommendation is expected to be implemented by the end of 2026.                       | Given that this recommendation is expected to be implemented by the end of 2026, the Board considers the recommendation to be under implementation.                                                                                                              |                           | X                    |                 |                     |
| 132 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 431 | The Board recommends that the Administration strengthen project proposals by specifying the funding sources for related project outputs.                                                                                                                                                 | The recommendation was implemented. The Office for the Coordination of Humanitarian Affairs at Headquarters has consulted with the humanitarian financing units of the country-based and regional pooled funds and issued guidance to ensure that funding sources for joint projects and interventions are clearly reflected in project proposals.         | Given that the Office for the Coordination of Humanitarian Affairs has issued guidance to ensure that funding sources for joint projects and interventions are clearly reflected in project proposals, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |
| 133 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 440 | The Board recommends that the Administration strengthen the consolidation of demand requirements for enterprise ICT services across all Secretariat entities.                                                                                                                            | The Administration is continuing the development of the demand management framework for ICT demand throughout the Secretariat. A draft version has been completed and is currently under review with the relevant Office of Information and Communications Technology pillars. The Administration remains on track to finalize this work by December 2026. | Given that the Administration is continuing the development of the demand management framework for ICT demand throughout the Secretariat, the Board considers the recommendation to be under implementation.                                                     |                           | X                    |                 |                     |
| 134 | 2024              | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 441 | The Board also recommends that the Administration have the High-Level Committee on Management foster deeper coordination and collaboration among the United Nations organizations in all matters related to ICT, including through shared procurement, in order to realize cost savings. | The recommendation was implemented. The Office of Information and Communications Technology has engaged the High-Level Committee on Management to strengthen ICT-related coordination and collaboration across United Nations organizations. The Chief Information Technology Officer co-                                                                  | Given that the work of the Digital and Technology Network is available, the Board considers the recommendation to be implemented.                                                                                                                                | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                                      | Recommendation of the Board                                                                                                                                                                                                                            | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Board's assessment                                                                                                                                                                                                    | Status after verification |                         |                    |                        |
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|     |                         |                                                       |                                                                                                                                                                                                                                                        | <p>chairs the High-Level Committee on Management Digital and Technology Network, which has advanced system-wide research, coordination and standard-setting in priority areas, including minimum cybersecurity requirements, digital accessibility, generative artificial intelligence guidance and International Computing Centre review. These efforts streamline processes and support cost savings through common United Nations approaches.</p> <p>Progress is also driven by the UN80 Initiative, with the Office of Information and Communications Technology leading the integrated ICT procurement and shared services track. The Office is developing a unified ICT procurement and shared services catalogue and the “OneIT” initiative to streamline system-wide ICT operations, including the consolidation of data centres, websites, services and infrastructure. Collective bargaining delivers better terms, pricing, cost savings and service quality.</p> <p>Significant progress in inter-organization coordination is evidenced by these initiatives and in the minutes of meetings of the Digital and Technology Network of the High-level Committee on Management over the past 12 months.</p> |                                                                                                                                                                                                                       |                           |                         |                    |                        |
| 135 | 2024                    | <a href="#">A/80/5 (Vol. I)</a> , chap. II, para. 449 | The Board recommends that the Administration conduct a comprehensive assessment of the dependency on a single vendor for ICT contracts with a high value and assess the feasibility of adopting an exit strategy to mitigate operational risks to best | The recommendation was implemented. The Office of Information and Communications Technology conducted a comprehensive single-vendor dependency assessment covering over 10 high-value ICT contracts under the                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Given that a comprehensive assessment of single-vendor dependency across more than 10 high-value ICT contracts has been completed and corresponding mitigation measures and risk-treatment plans have been documented | X                         |                         |                    |                        |

| No. | Audit report year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                         | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Board's assessment                                                                                                                                                    | Status after verification |                      |                 |                     |
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|     |                   |                                      | protect the interest of the Organization.                                                                                                                                                                                           | <p>United Nations enterprise risk management framework.</p> <p>Assessed contracts met three objective criteria: contract duration of 10 years or longer; value at or above the Headquarters Committee on Contracts review threshold of \$1.5 million; and strategic importance as enterprise-wide ICT services critical to Secretariat operations. Each contract was reviewed for single-vendor dependency risks, with mitigation measures and risk treatment plans documented.</p> <p>Vendor lock-in and dependency risks are actively mitigated via technical diversification (e.g., VMware-to-Proxmox migration), enhanced contractual exit/transition clauses and regular market scanning for alternative suppliers. Clear exit strategies and contingency pathways with execution triggers and transition timelines are in place for all critical ICT vendors.</p> <p>Detailed contract-level analysis, mitigation actions and risk ownership are compiled in the vendor-dependency risk register. The Office of Information and Communications Technology will maintain annual updates and reviews ahead of major contract renewals to align with operational risks and market changes.</p> | for each contract, the Board considers the recommendation to be implemented.                                                                                          |                           |                      |                 |                     |
| 136 | 2024              | A/80/5 (Vol. I), chap. II, para. 461 | The Board recommends that the Administration work on a detailed implementation plan, clarify resource estimation, develop an outreach component and conduct a review of efficiency initiatives for the refined ICT strategy in line | The recommendation was implemented. In the report of the Secretary-General on the status of implementation of the information and communications technology strategy for the United Nations (A/80/558), an implementation plan is detailed in                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Given that an implementation plan is detailed in the report of the Secretary-General on the status of implementation of the information and communications technology | X                         |                      |                 |                     |

| No. | Audit<br>report<br>year | Report reference                     | Recommendation of the Board                                                                                                                                                                                                                                                                            | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Board's assessment                                                                                                                                                                                                                                                              | Status after verification |                         |                                              |
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|     |                         |                                      | with General Assembly resolutions.                                                                                                                                                                                                                                                                     | annex I and efficiency initiatives are reviewed (paras. 16, 37, 42 and 62, and table 7).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | strategy for the United Nations (A/80/558), and that the Department of Operational Support is conducting activities to promote awareness of human resources and vendor opportunities, the Board considers this recommendation to be implemented.                                |                           |                         |                                              |
| 137 | 2024                    | A/80/5 (Vol. I), chap. II, para. 466 | The Board recommends that the Administration include, in all future submissions to the Headquarters Committee on Contract for extensions of ICT contracts with a long duration (i.e., exceeding five years), an analysis of the potential advantages and disadvantages of such a long-term commitment. | <p>The recommendation was implemented. In response to the Board's recommendation in paragraph 449 of its 2024 audit report (A/80/5 (Vol. I)), the Office of Information and Communications Technology has completed a United Nations enterprise risk management-based vendor dependency assessment of all high-value ICT contracts, covering financial, operational, dependency and strategic risks, with formal mitigation and risk treatment plans documented.</p> <p>Where feasible, vendor lock-in and dependency risks are managed through technology diversification, contractual exit clauses and regular market benchmarking. Clear exit strategies and contingency arrangements have been established for all critical vendors. The workbook provided to the Board details procurement decision-making for high-value single-vendor contracts.</p> <p>The Office of Information and Communications Technology has also assessed single-vendor risks for high-value and long-tenure ICT contracts, working collaboratively with contract managers and category leads to</p> | Given that a comprehensive assessment of single-vendor dependency across more than 10 high-value ICT contracts has been completed and the requirement has been broken down into five separate solicitation exercises, the Board considers the recommendation to be implemented. | X                         |                         |                                              |

| No.        | Audit report year | Report reference | Recommendation of the Board | Administration's response                                                                                                                                                                                                                                                                                                             | Board's assessment | Status after verification |                      |                 |                     |   |
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|            |                   |                  |                             |                                                                                                                                                                                                                                                                                                                                       |                    | Implemented               | Under implementation | Not implemented | Overtaken by events |   |
|            |                   |                  |                             | determine risk levels and corresponding treatment plans.<br>For the server, network and storage contract requirement, the Office has coordinated closely with the Procurement Division. The requirement has been split into five stand-alone solicitations, with ongoing work between Procurement Division buyers and requisitioners. |                    |                           |                      |                 |                     |   |
| Total      |                   |                  |                             |                                                                                                                                                                                                                                                                                                                                       |                    | 137                       | 94                   | 37              | 0                   | 6 |
| Percentage |                   |                  |                             |                                                                                                                                                                                                                                                                                                                                       |                    | 100                       | 69                   | 27              | 0                   | 4 |

## Annex II

## Status of implementation of recommendations up to the financial year ended 31 December 2022 on the Umoja system

| No. | Audit report year | Report reference                    | Recommendation of the Board                                                                                                                                                                        | Administration's response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Board's assessment                                                                                                                                                                                     | Status after verification |                      |                 |                     |
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| 1   | 2018              | <a href="#">A/74/153</a> , para. 83 | The Board recommends that the Administration review the master data for banking details to identify and correct cases, where necessary, of multiple vendors associated with the same bank account. | <p>The recommendation was implemented. The Administration has now established a standard process with the necessary controls, procedures and governance mechanisms to identify, review and address cases of shared bank accounts in Umoja, where necessary, on a continuous basis. This process integrates data from relevant Umoja sources to provide a comprehensive and controlled view of shared bank account relationships. As part of the analysis, system and business rule criteria are applied to exclude records that are inactive, restricted, archived or otherwise not operationally relevant, as well as cases where the sharing of bank accounts is valid based on legitimate institutional, operational or other recognized relationships. The remaining cases are subject to structured review by the responsible functional teams to assess the legitimacy of the shared banking arrangements. Where no valid justification is identified, appropriate corrective actions are taken, including by updating or restricting the relevant business partner or bank account records, in accordance with established governance procedures.</p> <p>The process has been operationalized and embedded into ongoing master data governance activities, ensuring that shared bank account relationships are continuously monitored and addressed in a timely manner. This approach strengthens internal controls over vendor and banking master data, enhances data integrity and mitigates the risk of inappropriate or unauthorized payment arrangements.</p> | Given that the Administration has now established a standard process to identify, review and address cases of shared bank accounts in Umoja, the Board considers the recommendation to be implemented. | X                         |                      |                 |                     |

| No.               | Audit report year | Report reference    | Recommendation of the Board                                                                                                                                                                                                                                               | Administration's response                                                                                                                                                                                                                                                                                                                                                                    | Board's assessment                                                                                                                                                                           | Status after verification |                      |                 |                     |
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|                   |                   |                     |                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                              | Implemented               | Under implementation | Not implemented | Overtaken by events |
| 2                 | 2019              | A/75/159, para. 120 | The Board recommends that the Administration put in place a strong internal control mechanism to ensure the deprovisioning of user roles in Umoja at the time of separation of staff and appropriate updating of the user roles in Umoja when they leave their functions. | The recommendation was implemented. The Administration confirms that the technical solution developed to address this recommendation is ready for deployment to the production environment. The solution ensures the effective deprovisioning of user roles in Umoja at the time of separation of staff and appropriate updating of the user roles in Umoja when they leave their functions. | Given that the technical solution developed to address this recommendation is ready for deployment to the production environment, the Board considers this recommendation to be implemented. | X                         |                      |                 |                     |
| <b>Total</b>      |                   |                     |                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                              | <b>2</b>                  | <b>2</b>             | <b>0</b>        | <b>0</b>            |
| <b>Percentage</b> |                   |                     |                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                              | <b>100</b>                | <b>100</b>           | <b>0</b>        | <b>0</b>            |

## **Chapter III**

### **Certification of the financial statements**

#### **Letter dated 31 March 2026 from the Assistant Secretary-General, Controller, addressed to the Chair of the Board of Auditors**

The financial statements of the United Nations for the year ended 31 December 2025 have been prepared in accordance with regulation 6.1 of the Financial Regulations and Rules of the United Nations. The statements cover all funds except peacekeeping operations and the International Residual Mechanism for Criminal Tribunals, which are the subject of separate financial statements.

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. The notes provide additional information on and clarification of the financial activities undertaken by the Organization during the period covered by these statements for which the Secretary-General has administrative responsibility.

I certify that the appended financial statements of the United Nations, numbered I to V, are correct in all material respects.

*(Signed)* Chandramouli **Ramanathan**  
Assistant Secretary-General, Controller

## Chapter IV

### Financial report for the year ended 31 December 2025

#### A. Introduction

1. The Secretary-General has the honour to submit the financial report on the volume I set of accounts of the United Nations for the year ended 31 December 2025.
2. The financial situation of the Organization is presented in five statements and the accompanying notes that provide financial information relating to the United Nations General Fund and related funds, trust funds, the Tax Equalization Fund, capital assets and construction-in-progress funds, end-of-service/post-employment benefits funds, insurance/workers' compensation funds and other funds.
3. The financial statements presented herein as the volume I set of accounts do not include peacekeeping operations and the International Residual Mechanism for Criminal Tribunals, which are reported on separately. Two active peacekeeping missions, namely, the United Nations Military Observer Group in India and Pakistan and the United Nations Truce Supervision Organization, funded through the regular budget, are consolidated as part of these financial statements. Separate financial statements are also issued for the International Trade Centre (ITC), the United Nations University, the United Nations Institute for Training and Research, the United Nations Office on Drugs and Crime (UNODC), the United Nations Environment Programme (UNEP) and the United Nations Human Settlements Programme (UN-Habitat).
4. The present financial report is designed to be read in conjunction with the financial statements in chapter V. It presents an overview of the consolidated position and performance of the Organization's operations, highlighting trends and significant movements.

#### B. Governance

5. The operations of the United Nations Secretariat are governed by the General Assembly in its role as lead organ for the financial and administrative aspects of the United Nations. The core operations of the Secretariat are funded through the regular budget, which has a unique scale of assessments and is subject to a budgetary process mandated by the Assembly, by trust funds established by the Assembly or the Secretary-General, which supplement the activities of the regular budget, or by special accounts or funds established to facilitate mandate implementation by the Secretary-General in his role as Chief Administrative Officer of the United Nations.
6. The General Assembly plays a key role in the financing of the regular budget operations, which accounts for approximately half of the total expenses as reported in the volume I set of accounts. The Assembly approves budget appropriations, which are apportioned on all Member States on the basis of the scale of assessments for the regular budget. The Assembly, through its Administrative and Budgetary Committee (Fifth Committee), approves and oversees the regular budget. This includes how the parts and sections of the regular budget are funded on the basis of the proposed programme budget submitted by the Secretary-General.
7. The Secretary-General appoints the heads of departments, offices away from Headquarters, regional economic commissions, special political missions and other offices or entities.

## C. Liquidity

### *Liquidity in the regular budget*

8. The year began with a cash deficit of \$135 million and contribution arrears at \$760 million.

9. Against the backdrop of large arrears, depleted liquidity reserves, unpredictable inflows, a large intra-year liquidity gap between cash inflows and outflows and the imperative to conserve cash to avert a bigger crisis in 2026, the Secretary-General was constrained to impose restrictions with a view to reducing spending by about \$400 million, unless collections picked up significantly and early enough to ease such restrictions. Soon thereafter, the spending reduction target of \$400 million had to be revised to \$600 million in the light of additional information about likely collections.

10. Strict cash conservation measures were put in place, and cash flows were closely monitored throughout the year to mitigate the risk of defaulting on legal payment obligations. Notwithstanding those measures, regular budget cash was depleted by August, thereby necessitating borrowing of the available \$249 million from the Working Capital Fund. A further \$238 million was borrowed from the Special Account. Only 76.7 per cent of assessed contributions were collected during the year. Year-end arrears reached an all-time high of \$1,568 million, and the year ended with a cash deficit of \$398 million, notwithstanding temporary deferral of some intra-fund payments and payments to some United Nations system entities.

11. Due to spending restrictions, the year ended with an unspent balance of \$383.1 million against the 2025 approved assessed budget. Under the current financial framework, this unencumbered balance, together with income-related returns of \$24.7 million and cancellations of prior-period commitments totalling \$11.8 million, will require the return of \$419.6 million against the 2027 assessment for Member States that have no arrears and against their arrears for the others.

12. The requirement to return credits exacerbates an already precarious financial situation by obliging the Organization to refund cash that has not been received. It is therefore imperative that all Member States honour their obligations to pay in full and on time, and/or that the existing financial regulations be fundamentally reformed.

13. Table IV.1 reflects the ability of the United Nations Secretariat to meet its short-term financial obligations by using its available liquid resources for the relevant fund groups.

14. The current ratio of 1.0 for the regular budget and related funds group includes assessed contributions receivable of \$1,305.2 million, which is approximately 90 per cent of the value of total current assets. Accordingly, this ratio may not accurately reflect the Organization's ability to immediately settle its short-term liabilities. This is exemplified by the cash assets to current liabilities ratio, which declined to 0.1 for 2025 (2024: 0.4), reflecting chronically low cash liquidity.

Table IV.1

**Liquidity ratio by fund group**

(Millions of United States dollars)

| Fund group                                  | As at 31 December 2025   |                      |                     |                                    |               | As at 31 December 2024             |               |
|---------------------------------------------|--------------------------|----------------------|---------------------|------------------------------------|---------------|------------------------------------|---------------|
|                                             | Cash assets <sup>a</sup> | Total current assets | Current liabilities | Cash assets to current liabilities | Current ratio | Cash assets to current liabilities | Current ratio |
|                                             | A                        | B                    | C                   | A/C                                | B/C           |                                    |               |
| Regular budget and related funds            | 103.6                    | 1 464.1              | 1 463.3             | 0.1                                | 1.0           | 0.4                                | 1.0           |
| Trust funds                                 | 3 249.2                  | 3 511.5              | 319.7               | 10.2                               | 11.0          | 11.1                               | 12.4          |
| Capital assets and construction in progress | 54.5                     | 98.8                 | 30.6                | 1.8                                | 3.2           | 3.9                                | 3.0           |
| Common support services                     | 804.8                    | 672.1                | 70.5                | 11.4                               | 9.5           | 15.6                               | 13.0          |
| Long-term employee benefits                 | 684.5                    | 508.0                | 218.4               | 3.1                                | 2.3           | 3.2                                | 2.4           |
| Insurance/workers' compensation             | 1 038.5                  | 632.2                | 180.7               | 5.7                                | 3.5           | 5.1                                | 3.4           |
| Other                                       | 354.0                    | 318.8                | 277.8               | 1.3                                | 1.1           | 1.2                                | 0.9           |
| <b>Consolidated total<sup>b</sup></b>       | <b>6 289.1</b>           | <b>7 205.5</b>       | <b>2 561.0</b>      | <b>2.5</b>                         | <b>2.8</b>    | <b>3.4</b>                         | <b>3.5</b>    |

<sup>a</sup> Cash assets consist of cash, cash equivalents and investments including those held in cash pools, which comprise cash, cash equivalents and short-term and long-term investments.

<sup>b</sup> Consolidated figures reflect gross amounts, before inter-fund eliminations.

**D. Overview of assets and liabilities***Assets*

15. Total assets increased by \$1,047.3 million (8.8 per cent) during 2025, from \$11,896.8 million to \$12,944.1 million, driven largely by an increase in assessed contributions receivable of \$799.3 million, by an increase in property, plant and equipment of \$237.5 million, owing mainly to the capitalization of leased assets, and by an increase in other assets of \$52.2 million, offset mainly by a decrease in cash and investments of \$41.0 million. The changes in categories of assets are shown in table IV.2.

Table IV.2

**Changes in assets**

(Millions of United States dollars)

|                                    | 2025            | 2024            | Change         | Percentage change |
|------------------------------------|-----------------|-----------------|----------------|-------------------|
| Cash and investments               | 6 289.2         | 6 330.3         | (41.1)         | (0.6)             |
| Assessed contributions receivable  | 1 305.2         | 505.9           | 799.3          | 158.0             |
| Voluntary contributions receivable | 1 497.3         | 1 482.8         | 14.5           | 1.0               |
| Property, plant and equipment      | 3 336.4         | 3 098.9         | 237.5          | 7.7               |
| Inventories                        | 26.6            | 30.2            | (3.6)          | (11.9)            |
| Intangible assets                  | 151.5           | 163.0           | (11.5)         | (7.1)             |
| Other assets <sup>a</sup>          | 337.9           | 285.7           | 52.2           | 18.3              |
| <b>Total assets</b>                | <b>12 944.1</b> | <b>11 896.8</b> | <b>1 047.3</b> | <b>8.8</b>        |

<sup>a</sup> Includes other assets of \$167.9 million, other receivables of \$148.8 million and the share of joint ventures of \$21.2 million (2024: other assets of \$180.4 million, other receivables of \$96.7 million and the share of joint ventures of \$8.6 million).

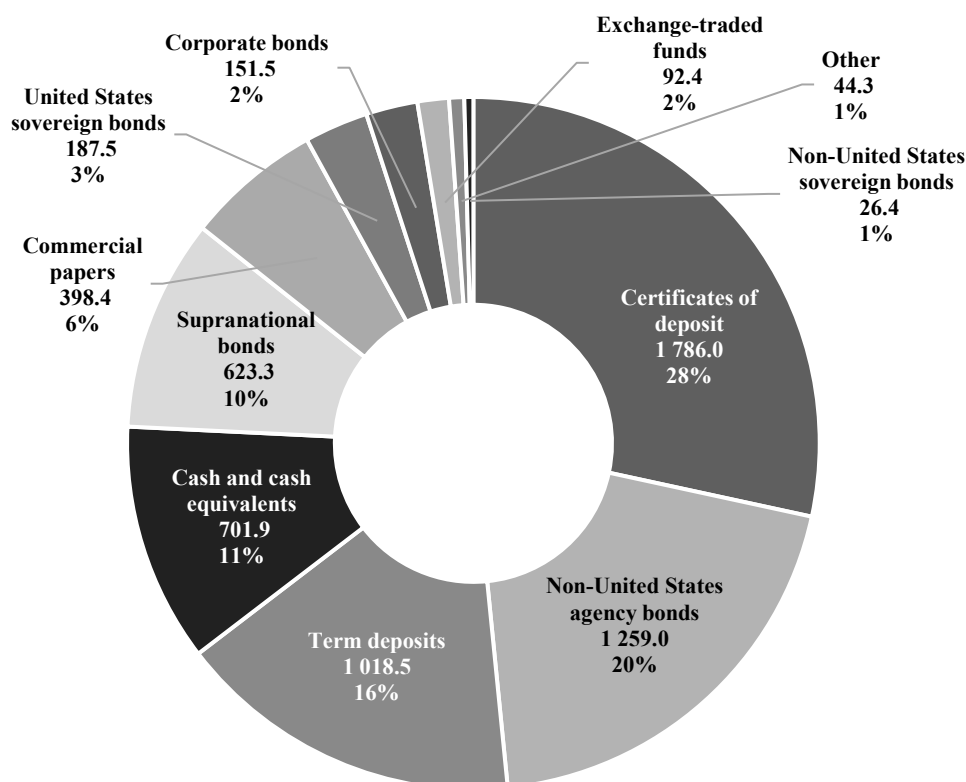
### Cash and investments

16. As at 31 December 2025, the Organization held cash and investments of \$6,289.2 million (2024: \$6,330.3 million). Cash and investments comprise the largest asset group, representing 48.5 per cent of total assets. Cash and investments consist mainly of investments in certificates of deposit, commercial papers, term deposits and bonds issued by government agencies and supranational entities (see figure IV.I).

Figure IV.I

### Cash and investments, by instrument type

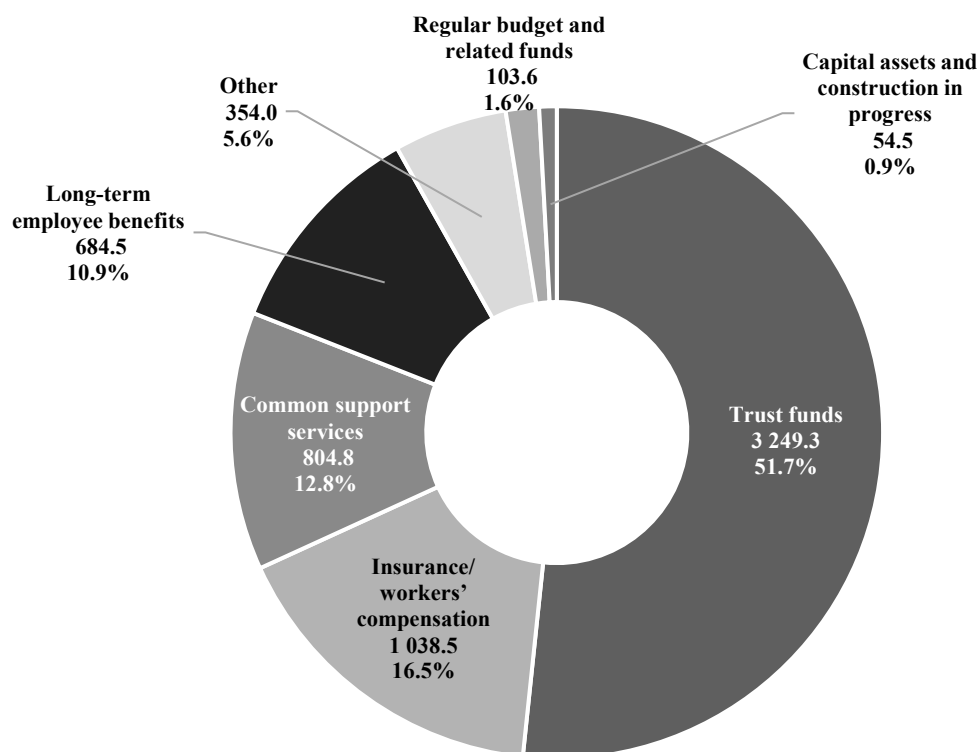
(Millions of United States dollars)



17. In 2025, the investment revenue from cash pools and United Nations Staff Mutual Insurance Society against Sickness and Accident investments was \$284.3 million (2024: \$295.4 million). The realized rate of return in the main pool was 4.40 per cent in 2025 (2024: 4.81 per cent). The portfolio continues to invest in highly rated (high credit ratings) fixed-income and money market instruments, as well as in an equity instrument for the United Nations Staff Mutual Insurance Society.

18. The trust funds group accounted for 51.7 per cent of the cash pools, while 16.5 per cent was held by insurance/workers' compensation funds (self-insurance plans) (see figure IV.II).

Figure IV.II  
**Cash and investments by fund group**  
(Millions of United States dollars)



19. Outstanding assessed contributions receivable as at 31 December 2025 were \$1,305.2 million (\$1,592.4 million net of loss allowance of \$287.2 million; 2024: \$505.9 million). Assessed contributions receivable increased from the prior year by \$799.3 million (158.0 per cent increase), owing mainly to an increase of \$827 million in assessed contributions receivable outstanding from one Member State.

Table IV.3  
**Assessed contributions: receivables from non-exchange transactions**  
(Millions of United States dollars)

|                                                     | 2025           | 2024         | Change       | Percentage change |
|-----------------------------------------------------|----------------|--------------|--------------|-------------------|
| Assessed contributions receivable                   | 1 592.4        | 784.6        | 807.8        | 103.0             |
| Loss allowance on assessed contributions receivable | (287.2)        | (278.7)      | (8.5)        | 3.0               |
| <b>Assessed contributions receivable, net</b>       | <b>1 305.2</b> | <b>505.9</b> | <b>799.3</b> | <b>158.0</b>      |

*Voluntary contributions receivable*

20. Voluntary contributions receivable as at 31 December 2025 amounted to \$1,497.3 million (2024: \$1,482.8 million), representing an increase of \$14.5 million, or 1.0 per cent, compared with the prior year. Of that amount, the non-current voluntary contributions receivable portion was \$546.2 million (2024: \$437.7 million).

21. Voluntary contributions receivable were related mainly to human rights and humanitarian affairs projects (\$811.5 million, or 54.2 per cent), which comprised mainly the receivables of the Central Emergency Response Fund (\$279.5 million) and the Office for the Coordination of Humanitarian Affairs (\$310.7 million).

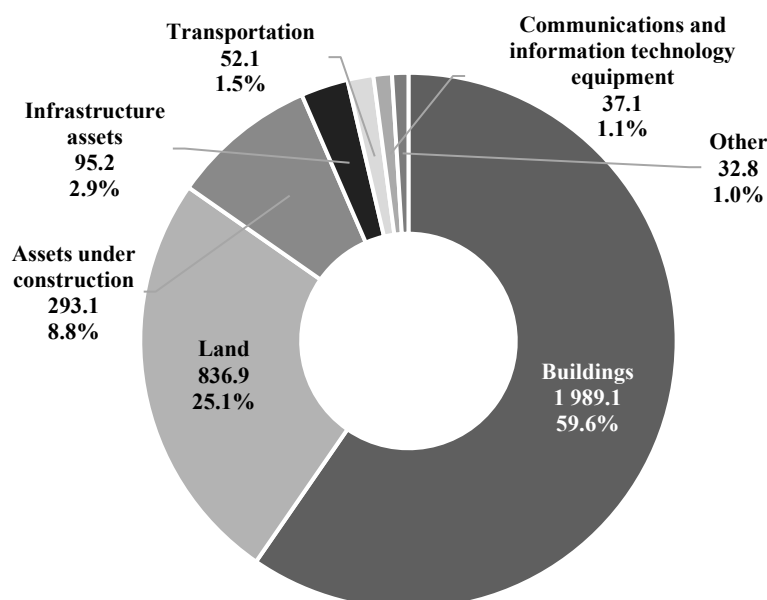
*Property, plant and equipment*

22. The carrying value of property, plant and equipment was \$3,336.4 million at the end of 2025 (2024: \$3,098.9 million), with the largest asset category (buildings) representing 59.6 per cent of total assets and the second-largest asset category (land) representing 25.1 per cent of total assets. Following the implementation of IPSAS 43: Leases, effective 1 January 2025, the carrying value of property, plant and equipment includes right-of-use assets valued at \$323.3 million. The composition of property, plant and equipment is shown in figure IV.III.

Figure IV.III

**Property, plant and equipment**

(Millions of United States dollars)



23. Buildings comprise in large part those located at United Nations Headquarters in New York, the United Nations Office at Geneva and the Economic Commission for Africa (ECA), valued at \$1,159.2 million, \$474.2 million and \$82.7 million, respectively.

24. Land is located mostly at United Nations Headquarters and the United Nations Office at Geneva, amounting to \$617.8 million and \$191.7 million, respectively. The land at ECA and at the United Nations Office at Nairobi is not recognized, given that it is not deemed to be under the control of the Organization.

25. A summary of major additions during the year and the balances as at 31 December 2025 for assets under construction is presented in table IV.4.

Table IV.4  
**Assets under construction: major additions**

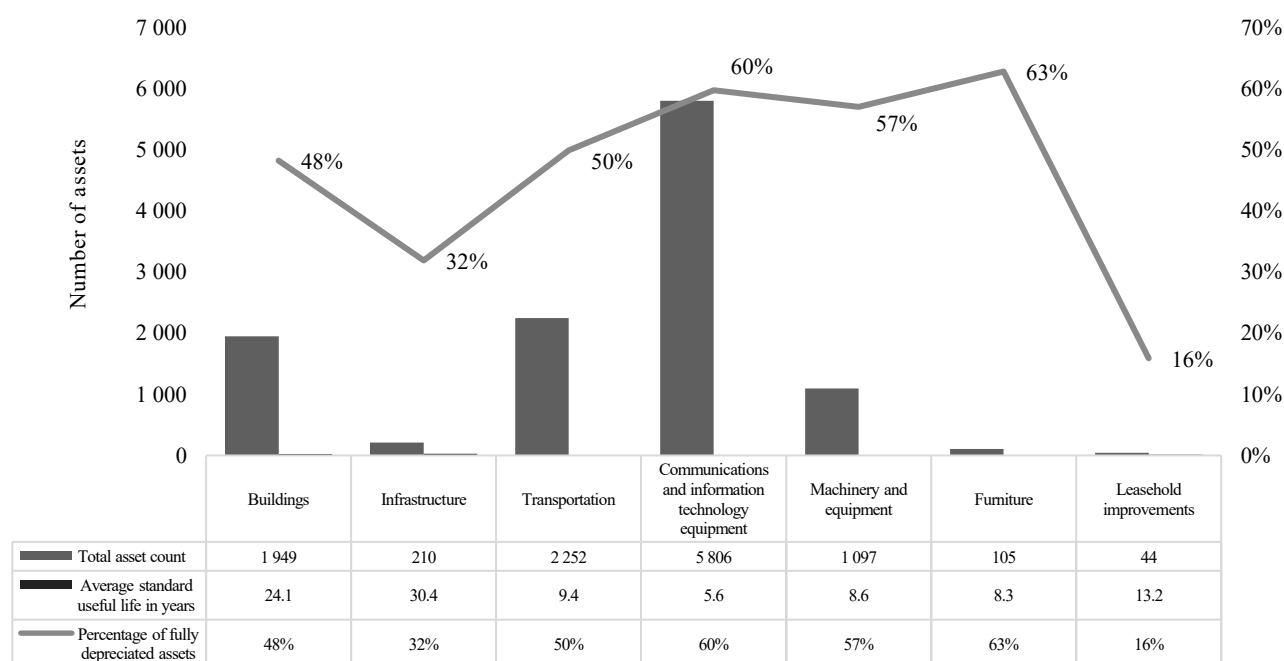
(Millions of United States dollars)

| Project                                                                                                 | Construction in progress as at |                  |
|---------------------------------------------------------------------------------------------------------|--------------------------------|------------------|
|                                                                                                         | Additions in 2025              | 31 December 2025 |
| United Nations Office at Geneva – strategic heritage plan and other works                               | 57.1                           | 202.5            |
| United Nations Office at Nairobi – buildings A–J and other works                                        | 13.7                           | 47.5             |
| Economic and Social Commission for Asia and the Pacific – seismic mitigation and other renovation works | 9.0                            | 1.5              |
| United Nations Headquarters – construction works                                                        | 4.6                            | 10.1             |

26. The percentage of fully depreciated capitalized assets by class is shown in figure IV.IV. In total, 55 per cent of all assets in use are fully depreciated, meaning that their age has exceeded their planned useful life, with the communications and information technology equipment and transportation classes holding 73 per cent of fully depreciated assets.

Figure IV.IV  
**Proportion of fully depreciated assets**

(Numbers and percentage)



### Liabilities

27. Total liabilities increased by \$1,294.4 million (16.6 per cent) during 2025, from \$7,807.1 million to \$9,101.5 million. The most notable changes were an increase in employee benefits liabilities of \$445.5 million (see para. 29), followed by an increase in provisions of \$352.0 million caused mainly by the increase in credits returnable to Member States. Lease liabilities amounted to \$328.2 million (following the adoption of IPSAS 43) and employee benefits liabilities accounted for 68.4 per cent of total liabilities. Table IV.5 shows the changes in liabilities.

Table IV.5  
**Changes in liabilities**  
(Millions of United States dollars)

|                                          | 2025           | 2024           | Change         | Percentage change |
|------------------------------------------|----------------|----------------|----------------|-------------------|
| Employee benefits liabilities            | 6 221.4        | 5 775.9        | 445.5          | 7.7               |
| Provisions                               | 863.5          | 511.5          | 352.0          | 68.8              |
| Accounts payable and accrued liabilities | 572.5          | 604.1          | (31.6)         | (5.2)             |
| Borrowings <sup>a</sup>                  | 353.9          | 294.3          | 59.6           | 20.3              |
| Lease liabilities <sup>b</sup>           | 328.2          | —              | 328.2          | —                 |
| Tax equalization fund liability          | 253.2          | 228.8          | 24.4           | 10.7              |
| Liabilities for conditional arrangements | 210.3          | 106.0          | 104.3          | 98.4              |
| Other liabilities <sup>c</sup>           | 163.6          | 155.0          | 8.6            | 5.5               |
| Advance receipts and deferred revenue    | 134.9          | 131.5          | 3.4            | 2.6               |
| <b>Total liabilities</b>                 | <b>9 101.5</b> | <b>7 807.1</b> | <b>1 294.4</b> | <b>16.6</b>       |

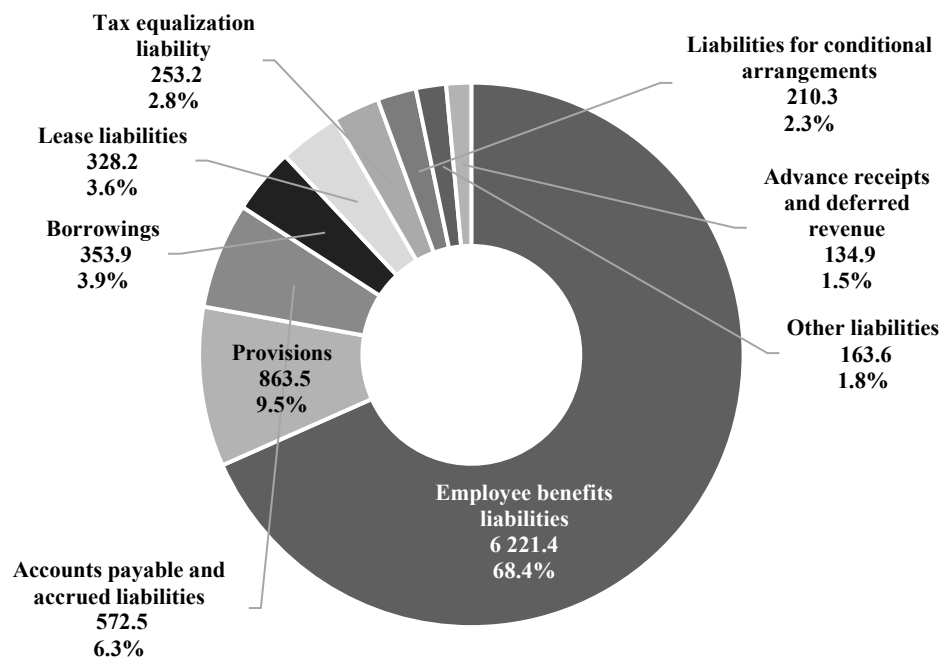
<sup>a</sup> Representing the loan (in Swiss francs) for the strategic heritage plan.

<sup>b</sup> Following the adoption of IPSAS 43, effective 1 January 2025, a lease liability is now recognized for all contracts where a right to control the use of an asset in exchange for consideration exists.

<sup>c</sup> Share of joint venture of \$76.8 million, transfers payable of \$0.2 million and other liabilities of \$86.6 million (2024: share of joint venture of \$61.9 million, transfers payable of \$1.8 million and other liabilities of \$91.3 million).

28. Figure IV.V presents the composition of the liabilities as at 31 December 2025.

Figure IV.V  
**Liabilities as at 31 December 2025**  
(Millions of United States dollars)



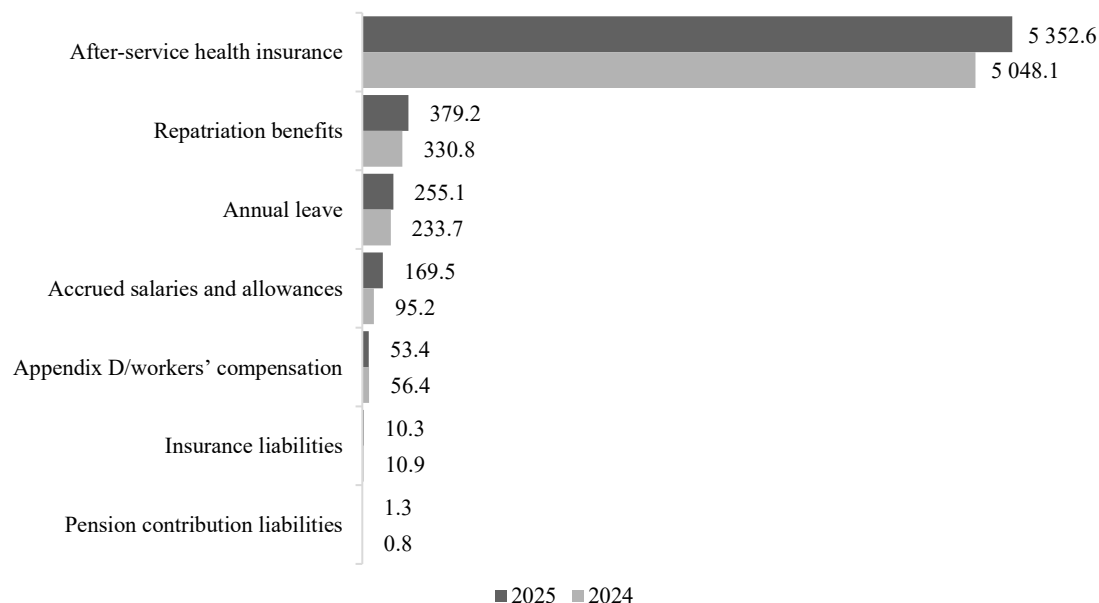
### *Employee benefits liabilities*

29. Total employee benefits liabilities increased by \$445.5 million in 2025, owing largely to an increase in actuarially valued defined end-of-service benefits liabilities of \$374.3 million. The changes in employee benefits liabilities by type are shown in figure IV.VI. The actuarial loss of \$145.0 million from the 2025 valuation of end-of-service benefits is due mainly to higher per capita claims costs and experience adjustments from updated census data since the previous full valuation, in 2023, resulting in a \$514.0 million loss, offset in part by a \$356.9 million gain from higher discount rates and changes in annuitant mortality assumptions.

30. Defined end-of-service benefits liabilities of the regular budget (\$4,657.8 million in total) remain unfunded, and the pay-as-you-go approach continues at the present time, posing a long-term risk. The costs of the after-service health insurance benefits, as shared by the Organization and staff, have increased considerably since the inception of the programme in 1967, fuelled by an expanding population of retired participants, changes in demographics, changing life expectancy and the increased cost of healthcare services worldwide. For extrabudgetary funds, effective 1 January 2025, after-service health insurance liabilities are funded at 9 per cent of employee salaries. The funding for the after-service health insurance liabilities provided up to 31 December 2025 was \$422.1 million (2024: \$321.3 million), which represented 37.8 per cent (2024: 30.3 per cent) of the liability.

31. Accrued salaries and allowances of \$169.5 million include an amount of \$64.1 million relating to early separation packages for staff that were initiated in 2025 and continued into 2026.

Figure IV.VI  
**Employee benefits liabilities**  
(Millions of United States dollars)

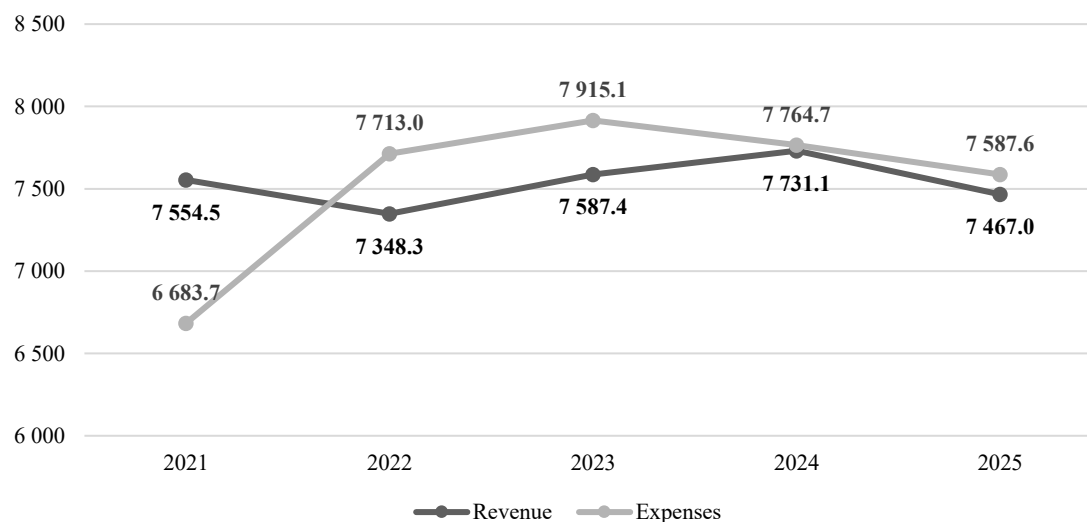


## E. Overview of financial performance

Figure IV.VII

### Total revenue and expenses, 2021–2025

(Millions of United States dollars)



#### Revenue

32. Total revenue for 2025 was \$7,467.0 million (2024: \$7,731.1 million), a decrease of \$264.1 million, or 3.4 per cent, compared with the prior year. The following increases in revenue were noted: assessed contributions by \$102.1 million; contributions for self-insurance funds by \$36.1 million; other revenue by \$157.5 million; and other transfers and allocations by \$12.6 million. Those increases were offset by decreases in voluntary contributions of \$561.8 million and in investment revenue of \$10.6 million (see table IV.6).

Table IV.6

### Changes in revenue by nature

(Millions of United States dollars)

|                                  | 2025           | 2024           | Change         | Percentage change |
|----------------------------------|----------------|----------------|----------------|-------------------|
| Assessed contributions           | 3 407.1        | 3 305.0        | 102.1          | 3.1               |
| Voluntary contributions          | 2 637.8        | 3 199.6        | (561.8)        | (17.6)            |
| Contributions for self-insurance | 556.6          | 520.5          | 36.1           | 6.9               |
| Other revenue                    | 427.3          | 269.8          | 157.5          | 58.4              |
| Investment revenue               | 292.6          | 303.2          | (10.6)         | (3.5)             |
| Other transfers and allocations  | 145.6          | 133.0          | 12.6           | 9.5               |
| <b>Total revenue</b>             | <b>7 467.0</b> | <b>7 731.1</b> | <b>(264.1)</b> | <b>(3.4)</b>      |

33. Figures IV.VIII and IV.IX provide an analysis of revenue by nature and by segment.

Figure IV.VIII  
**Revenue by nature**  
 (Millions of United States dollars)

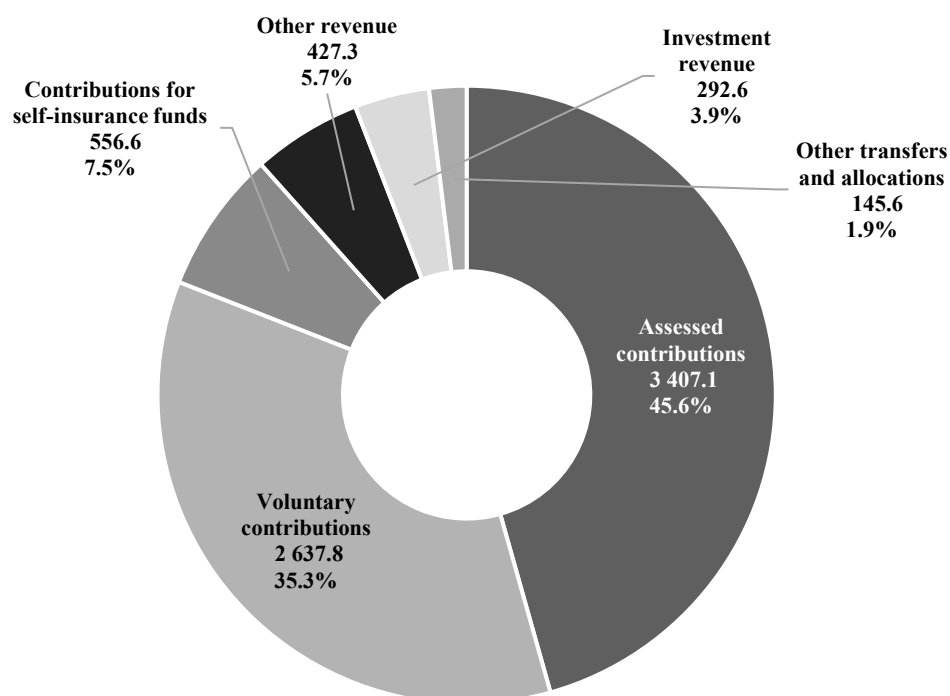
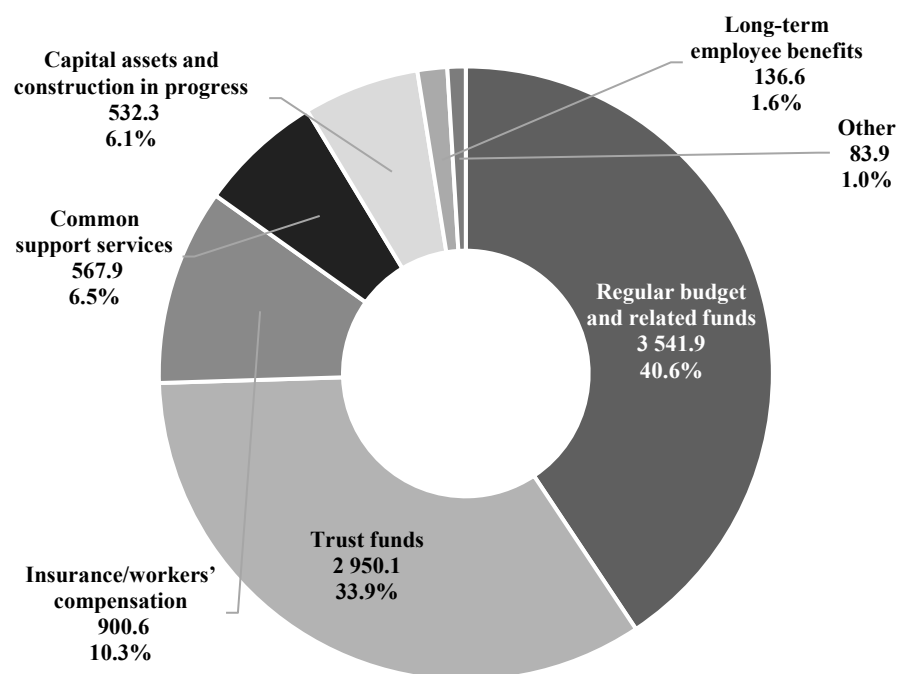


Figure IV.IX  
**Revenue by segment**  
 (Millions of United States dollars)

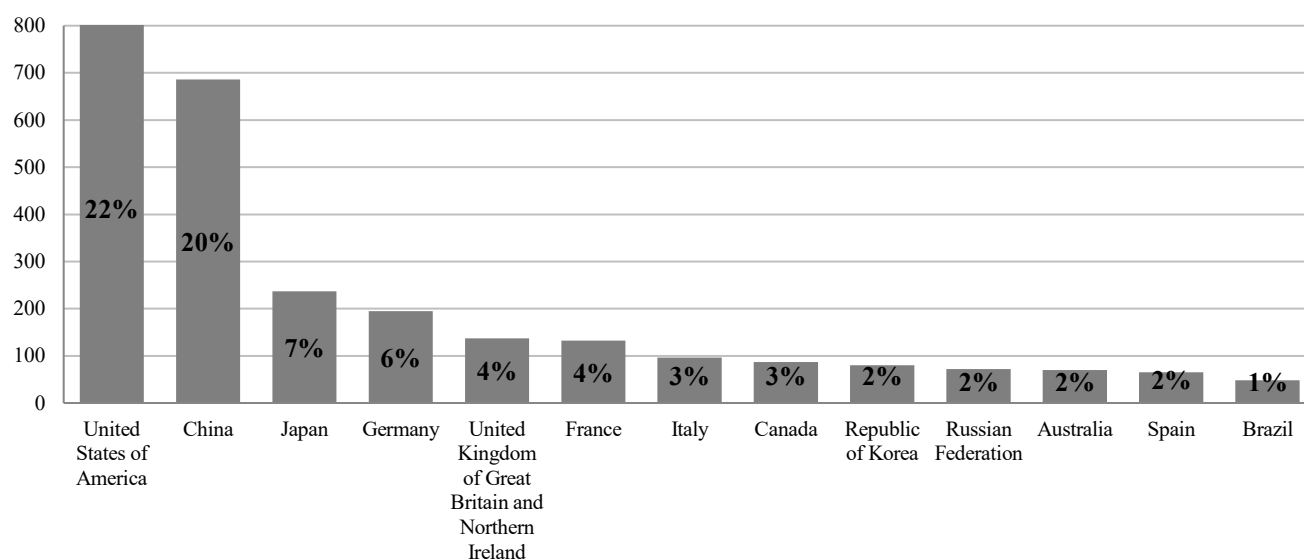


*Note:* The figure does not include inter-segment elimination revenue of \$1,246.3 million.

34. Assessed contributions revenue of \$3,407.1 million in 2025 was \$102.1 million (3.1 per cent) higher than \$3,305.0 million registered in 2024 and comprised 45.6 per cent of total revenue. The increase in gross amounts assessed to Member States was attributable mostly to additional resources of \$72 million appropriated under the human rights and humanitarian affairs and \$30 million under international cooperation for development and an amount of \$139.5 million authorized pursuant to General Assembly resolution 79/258, which pertained to special political missions (\$86.5 million) and the resident coordinator system (\$53.0 million). This was offset in part by the net impact of credits to be returned to Member States (see note 27). Assessed contributions are based on a scale of assessments approved by the General Assembly; figure IV.X indicates the Member States with the largest assessments for 2025.

Figure IV.X  
**Top contributors of assessed contributions**

(Millions of United States dollars)



35. Voluntary contributions revenue amounted to \$2,637.8 million, comprising 35.3 per cent of total revenue. Voluntary contributions revenue for 2025 was \$561.8 million (17.6 per cent) less than the \$3,199.6 million registered in 2024, owing mainly to decreases in contributions for the Central Emergency Response Fund (\$292.1 million), the trust fund for the strengthening of the Office of the Emergency Relief Coordinator (\$264.4 million), the trust fund in support of the Multinational Security Support Mission in Haiti (\$38.9 million) and the special purpose trust fund for the reinvigorated resident coordinator system (\$38.5 million). The decrease was offset by increases in contributions for the United Nations Voluntary Fund for Advisory Services and Technical Assistance in the Field of Human Rights (\$46.7 million), the trust fund in support of the Centre for Human Rights (\$35.4 million) and voluntary trust fund for assistance in mine action (\$34.3 million). Figure IV.XI shows the top 10 voluntary contributors in 2025 (60.5 per cent of total voluntary contributions), together with their contributions in 2024 (54.8 per cent of total voluntary contributions). Table IV.7 highlights voluntary contributions by programme segment. In both 2025 and 2024, voluntary contributions were directed in large part to the human rights and humanitarian affairs segment.

Figure IV.XI

**Major voluntary contributions**

(Millions of United States dollars and percentage of total voluntary contributions)

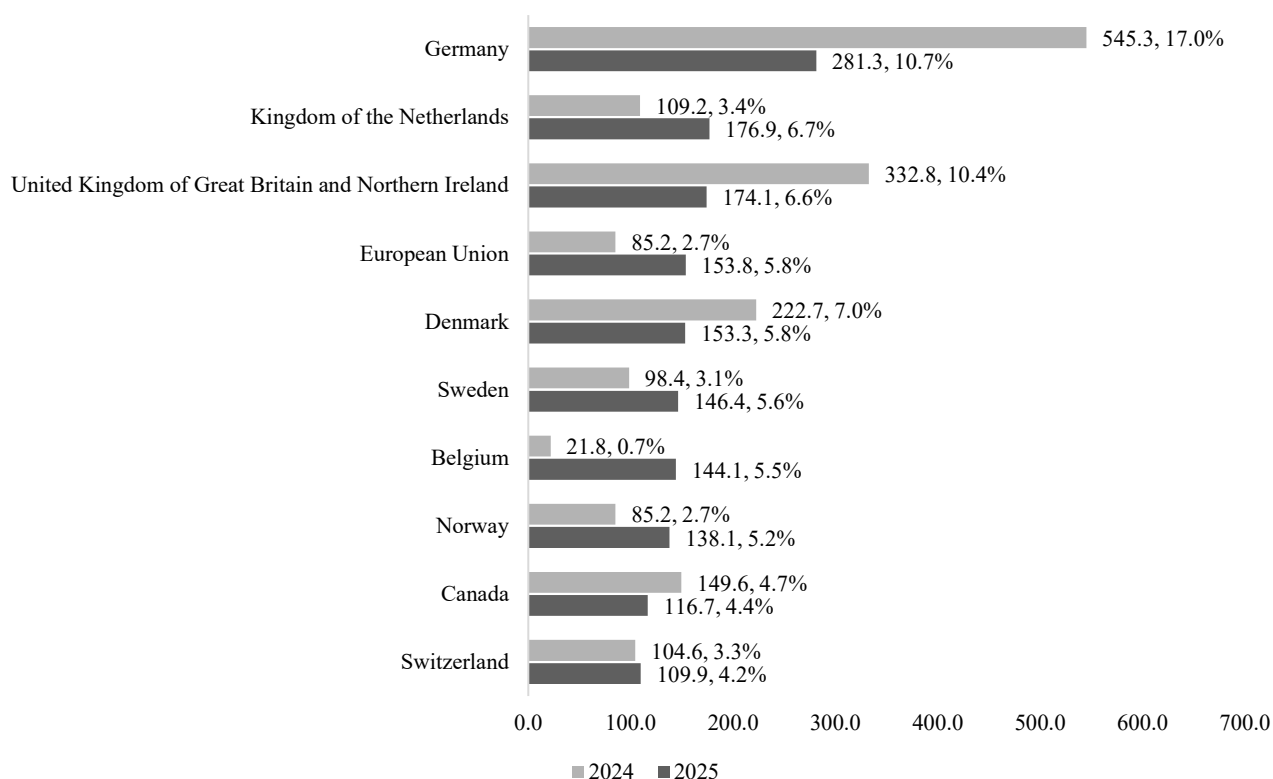


Table IV.7

**Voluntary contributions by programme segment**

(Millions of United States dollars)

|                                       | 2025           | 2024           | Change         | Percentage change |
|---------------------------------------|----------------|----------------|----------------|-------------------|
| Human rights and humanitarian affairs | 1 720.4        | 2 187.6        | (467.2)        | (21.4)            |
| Cooperation and development           | 284.8          | 366.1          | (81.3)         | (22.2)            |
| Political and peacekeeping affairs    | 320.3          | 312.6          | 7.7            | 2.5               |
| Common support services               | 185.6          | 216.5          | (30.9)         | (14.3)            |
| Crime prevention                      | 52.7           | 23.1           | 29.6           | 128.1             |
| Other                                 | 74.0           | 93.7           | (19.7)         | (21.0)            |
| <b>Total revenue</b>                  | <b>2 637.8</b> | <b>3 199.6</b> | <b>(561.8)</b> | <b>(17.6)</b>     |

*Expenses*

36. Total expenses for 2025 were \$7,587.6 million (2024: \$7,764.7 million), a decrease of \$177.1 million, or 2.3 per cent, compared with the prior year. The following increases in expenses were noted: employee salaries, allowances and benefits of \$133.4 million; depreciation and amortization of \$67.8 million; and self-insurance claims and expenses of \$8.8 million. Those increases were offset by a decrease in grants and other transfers of \$230.1 million and other expenses of \$160.6 million (see table IV.8).

37. The reduction of \$160.6 million under other expenses was due to a foreign exchange loss of \$122 million recognized in 2024, compared with a gain of \$116.7 million recognized in 2025, as referenced under other revenue in table IV.6.

Table IV.8

**Changes in expenses by nature**

(Millions of United States dollars)

|                                            | 2025           | 2024           | Change         | Percentage change |
|--------------------------------------------|----------------|----------------|----------------|-------------------|
| Employee salaries, allowances and benefits | 3 560.6        | 3 427.2        | 133.4          | 3.9               |
| Grants and other transfers                 | 1 750.0        | 1 980.1        | (230.1)        | (11.6)            |
| Self-insurance claims and expenses         | 824.7          | 815.9          | 8.8            | 1.1               |
| Non-employee compensation and allowances   | 227.0          | 223.4          | 3.6            | 1.6               |
| Depreciation and amortization              | 232.3          | 164.5          | 67.8           | 41.2              |
| Other expenses <sup>a</sup>                | 993.0          | 1 153.6        | (160.6)        | (13.9)            |
| <b>Total expenses</b>                      | <b>7 587.6</b> | <b>7 764.7</b> | <b>(177.1)</b> | <b>(2.3)</b>      |

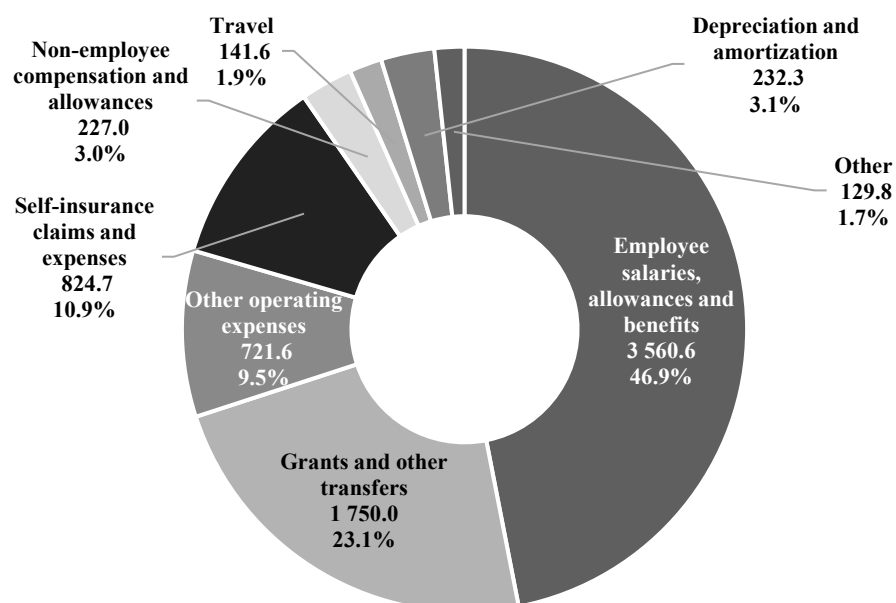
<sup>a</sup> Includes operating expenses of \$721.6 million, contributions to and share of deficit of joint ventures of \$65.6 million and other expenses of \$205.8 million (2024: operating expenses of \$846.9 million, contributions to and share of deficit of joint ventures of \$77.7 million and other expenses of \$229.0 million).

38. Figure IV.XII highlights expenses by nature. The largest category was employee salaries, allowances and benefits, totalling \$3,560.6 million (46.9 per cent) and grants and other transfers, totalling \$1,750.0 million (23.1 per cent). Other operating expenses, totalling \$721.6 million, was also a significant category (9.5 per cent) and was composed mainly of communications and information technology, of facilities, maintenance and repair, and utilities, of security, consulting, audit and legal services, and of contributions in kind.

Figure IV.XII

**Expenses by nature**

(Millions of United States dollars)

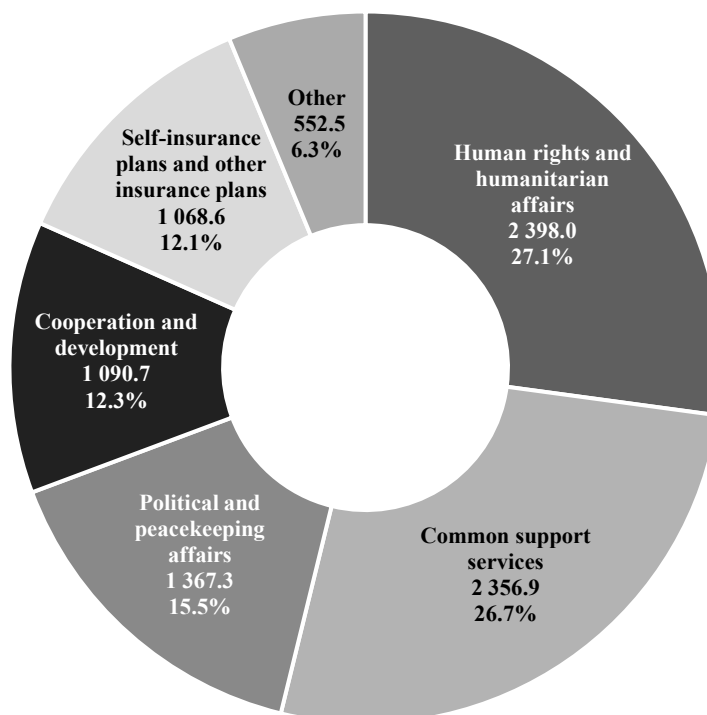


39. Figure IV.XIII highlights expenses by work pillar. Human rights and humanitarian affairs, common support services and political and peacekeeping affairs were the main pillars of expense.

Figure IV.XIII

**Expenses by work pillar**

(Millions of United States dollars:)



*Note:* Inter-segment elimination of \$1,246.3 million not included.

## F. Net assets

40. Net assets of \$3,842.6 million as at 31 December 2025 consisted of an accumulated surplus of \$3,719.9 million and reserves of \$122.7 million held by, among others, the United Nations Staff Mutual Insurance Society against Sickness and Accident.

41. The decrease in net assets in 2025 was \$247.1 million and was attributable primarily to actuarial losses on employee benefits liabilities (\$140.8 million) and the deficit for the year (\$120.6 million). This was offset in part by an increase of \$31.0 million due to the fair value gain on revaluation of investments recognized directly in net assets. Net asset changes by fund group are presented in table IV.9.

Table IV.9

**Changes in net assets**

(Millions of United States dollars)

|                                                                                 | <i>General<br/>Fund and<br/>related<br/>funds</i> | <i>Trust<br/>funds</i> | <i>Long-term<br/>employee<br/>benefits<br/>funds</i> | <i>Insurance/<br/>workers'<br/>compensation<br/>funds</i> | <i>Other<br/>funds</i> | <i>Total</i>   |
|---------------------------------------------------------------------------------|---------------------------------------------------|------------------------|------------------------------------------------------|-----------------------------------------------------------|------------------------|----------------|
| <b>Net assets/(deficit) as at 31 December 2023</b>                              | <b>376.3</b>                                      | <b>4 476.0</b>         | <b>(4 890.7)</b>                                     | <b>828.8</b>                                              | <b>3 400.4</b>         | <b>4 190.8</b> |
| <b>Changes in net assets</b>                                                    |                                                   |                        |                                                      |                                                           |                        |                |
| Actuarial gains/(losses) on employee benefits liabilities                       | 0.8                                               | –                      | (80.7)                                               | 1.6                                                       | –                      | (78.3)         |
| Share of changes recognized by joint ventures directly in net assets            | (6.0)                                             | –                      | –                                                    | –                                                         | (0.1)                  | (6.1)          |
| Fair value gain on revaluation of investments recognized directly in net assets | 1.1                                               | 5.0                    | 0.8                                                  | 8.2                                                       | 1.9                    | 17.0           |
| Surplus/(deficit) for the year                                                  | (47.5)                                            | 76.1                   | (94.4)                                               | (59.3)                                                    | 91.4                   | (33.7)         |
| <b>Total changes in net assets</b>                                              | <b>(51.6)</b>                                     | <b>81.1</b>            | <b>(174.3)</b>                                       | <b>(49.5)</b>                                             | <b>93.2</b>            | <b>(101.1)</b> |
| <b>Net assets/(deficit) as at 31 December 2024</b>                              | <b>324.7</b>                                      | <b>4 557.1</b>         | <b>(5 065.0)</b>                                     | <b>779.3</b>                                              | <b>3 493.6</b>         | <b>4 089.7</b> |
| <b>Changes in net assets</b>                                                    |                                                   |                        |                                                      |                                                           |                        |                |
| Actuarial gains/(losses) on employee benefits liabilities                       | 0.5                                               | –                      | (145.0)                                              | 3.7                                                       | –                      | (140.8)        |
| Share of changes recognized by joint ventures directly in net assets            | (16.9)                                            | –                      | –                                                    | –                                                         | 0.2                    | (16.7)         |
| Fair value gain on revaluation of investments recognized directly in net assets | 0.7                                               | 11.3                   | 2.2                                                  | 13.5                                                      | 3.3                    | 31.0           |
| Surplus/(deficit) for the year                                                  | (98.8)                                            | (19.9)                 | (100.7)                                              | 69.4                                                      | 29.4                   | (120.6)        |
| <b>Total changes in net assets</b>                                              | <b>(114.5)</b>                                    | <b>(8.6)</b>           | <b>(243.5)</b>                                       | <b>86.6</b>                                               | <b>32.9</b>            | <b>(247.1)</b> |
| <b>Net assets/(deficit) as at 31 December 2025</b>                              | <b>210.2</b>                                      | <b>4 548.5</b>         | <b>(5 308.5)</b>                                     | <b>865.9</b>                                              | <b>3 526.5</b>         | <b>3 842.6</b> |

**G. Budgetary performance of the regular budget**

42. In 2025, the final amount of the regular budget was \$3,867.8 million, which was 7.0 per cent more than the 2024 budget of \$3,615.7 million. The budget utilized during 2025 was \$3,484.7 million, which was 90.1 per cent of the final budget, compared with a utilization of 93.0 per cent in 2024, with both years being affected by liquidity constraints.

## Chapter V

### Financial statements for the year ended 31 December 2025

#### Operations of the United Nations as reported in volume I

#### I. Statement of financial position as at 31 December 2025

(Thousands of United States dollars)

|                                                                   | Reference | 31 December 2025  | 31 December 2024 <sup>a</sup> |
|-------------------------------------------------------------------|-----------|-------------------|-------------------------------|
| <b>Assets</b>                                                     |           |                   |                               |
| <b>Current assets</b>                                             |           |                   |                               |
| Cash and cash equivalents                                         | Note 6    | 701 913           | 711 719                       |
| Investments                                                       | Note 7    | 3 796 609         | 3 980 744                     |
| Assessed contributions receivable                                 | Note 8    | 1 305 245         | 505 853                       |
| Voluntary contributions receivable                                | Note 9    | 951 128           | 1 045 083                     |
| Other receivables                                                 | Note 10   | 148 847           | 96 745                        |
| Inventories                                                       | Note 11   | 26 590            | 30 163                        |
| Other assets                                                      | Note 12   | 167 934           | 180 434                       |
| <b>Total current assets</b>                                       |           | <b>7 098 266</b>  | <b>6 550 741</b>              |
| <b>Non-current assets</b>                                         |           |                   |                               |
| Investments                                                       | Note 7    | 1 790 713         | 1 637 809                     |
| Voluntary contributions receivable                                | Note 9    | 546 214           | 437 746                       |
| Property, plant and equipment                                     | Note 14   | 3 336 351         | 3 098 871                     |
| Intangible assets                                                 | Note 15   | 151 451           | 163 041                       |
| Share of joint arrangements accounted for using the equity method | Note 25   | 21 125            | 8 581                         |
| <b>Total non-current assets</b>                                   |           | <b>5 845 854</b>  | <b>5 346 048</b>              |
| <b>Total assets</b>                                               |           | <b>12 944 120</b> | <b>11 896 789</b>             |
| <b>Liabilities</b>                                                |           |                   |                               |
| <b>Current liabilities</b>                                        |           |                   |                               |
| Accounts payable and accrued liabilities                          | Note 16   | 572 521           | 604 128                       |
| Advance receipts and deferred revenue                             | Note 17   | 134 896           | 131 493                       |
| Employee benefits liabilities                                     | Note 18   | 396 800           | 281 075                       |
| Provisions                                                        | Note 19   | 863 076           | 510 867                       |
| Tax equalization liability                                        | Note 20   | 253 207           | 228 805                       |
| Liabilities for conditional arrangements                          | Note 21   | 139 934           | 85 026                        |
| Borrowings                                                        | Note 22   | 5 485             | 2 777                         |
| Lease liabilities                                                 | Note 34   | 56 528            | —                             |
| Other liabilities                                                 | Note 23   | 31 300            | 37 070                        |
| <b>Total current liabilities</b>                                  |           | <b>2 453 747</b>  | <b>1 881 241</b>              |

**Operations of the United Nations as reported in volume I****I. Statement of financial position as at 31 December 2025 (continued)**

(Thousands of United States dollars)

|                                                                   | <i>Reference</i> | <i>31 December 2025</i> | <i>31 December 2024<sup>a</sup></i> |
|-------------------------------------------------------------------|------------------|-------------------------|-------------------------------------|
| <b>Non-current liabilities</b>                                    |                  |                         |                                     |
| Transfers payable                                                 |                  | 168                     | 1 779                               |
| Employee benefits liabilities                                     | Note 18          | 5 824 572               | 5 494 753                           |
| Provisions                                                        | Note 19          | 384                     | 602                                 |
| Liabilities for conditional arrangements                          | Note 21          | 70 352                  | 20 970                              |
| Borrowings                                                        | Note 22          | 348 421                 | 291 549                             |
| Lease liabilities                                                 | Note 34          | 271 719                 | –                                   |
| Other liabilities                                                 | Note 23          | 55 336                  | 54 292                              |
| Share of joint arrangements accounted for using the equity method | Note 25          | 76 847                  | 61 931                              |
| <b>Total non-current liabilities</b>                              |                  | <b>6 647 799</b>        | <b>5 925 876</b>                    |
| <b>Total liabilities</b>                                          |                  | <b>9 101 546</b>        | <b>7 807 117</b>                    |
| <b>Net of total assets and total liabilities</b>                  |                  | <b>3 842 574</b>        | <b>4 089 672</b>                    |
| <b>Net assets</b>                                                 |                  |                         |                                     |
| Accumulated surplus                                               | Note 26          | 3 719 909               | 4 000 728                           |
| Reserves                                                          | Note 26          | 122 665                 | 88 944                              |
| <b>Total net assets</b>                                           |                  | <b>3 842 574</b>        | <b>4 089 672</b>                    |

<sup>a</sup> Restated to conform to current year presentation.

The accompanying notes to the financial statements are an integral part of these financial statements.

## Operations of the United Nations as reported in volume I

### II. Statement of financial performance for the year ended 31 December 2025

(Thousands of United States dollars)

|                                                                                                   | <i>Reference</i> | <i>2025</i>      | <i>2024</i>      |
|---------------------------------------------------------------------------------------------------|------------------|------------------|------------------|
| <b>Revenue</b>                                                                                    |                  |                  |                  |
| Assessed contributions                                                                            | Note 27          | 3 407 100        | 3 305 005        |
| Voluntary contributions                                                                           | Note 27          | 2 637 772        | 3 199 614        |
| Contributions for self-insurance funds                                                            | Note 29          | 556 641          | 520 463          |
| Other revenue                                                                                     | Note 28          | 427 285          | 269 757          |
| Other transfers and allocations                                                                   | Note 27          | 145 584          | 133 085          |
| Investment revenue                                                                                | Note 31          | 292 577          | 303 165          |
| <b>Total revenue</b>                                                                              |                  | <b>7 466 959</b> | <b>7 731 089</b> |
| <b>Expenses</b>                                                                                   |                  |                  |                  |
| Employee salaries, allowances and benefits                                                        | Note 30          | 3 560 627        | 3 427 184        |
| Grants and other transfers                                                                        | Note 30          | 1 750 019        | 1 980 087        |
| Other operating expenses                                                                          | Note 30          | 721 601          | 846 875          |
| Self-insurance claims and expenses                                                                | Note 29          | 824 734          | 815 913          |
| Non-employee compensation and allowances                                                          |                  | 226 982          | 223 421          |
| Travel                                                                                            |                  | 141 592          | 172 403          |
| Depreciation and amortization                                                                     | Notes 14, 15     | 232 286          | 164 497          |
| Contributions to and share of deficit of joint arrangements accounted for using the equity method | Note 25          | 65 593           | 77 655           |
| Supplies and consumables                                                                          |                  | 51 165           | 54 745           |
| Interest expense on lease liabilities                                                             | Note 34          | 11 379           | —                |
| Other expenses                                                                                    | Note 30          | 1 307            | 1 909            |
| Impairment                                                                                        |                  | 321              | 34               |
| <b>Total expenses</b>                                                                             |                  | <b>7 587 606</b> | <b>7 764 723</b> |
| <b>Deficit for the year</b>                                                                       |                  | <b>(120 647)</b> | <b>(33 634)</b>  |

The accompanying notes to the financial statements are an integral part of these financial statements.

## Operations of the United Nations as reported in volume I

## III. Statement of changes in net assets for the year ended 31 December 2025

(Thousands of United States dollars)

|                                                                                 | <i>Reference</i> | <i>Accumulated<br/>surplus</i> | <i>Reserves</i> | <i>Total net assets</i> |
|---------------------------------------------------------------------------------|------------------|--------------------------------|-----------------|-------------------------|
| <b>Net assets as at 1 January 2024</b>                                          | <b>Note 25</b>   | <b>4 118 732</b>               | <b>72 028</b>   | <b>4 190 760</b>        |
| <b>Changes in net assets</b>                                                    |                  |                                |                 |                         |
| Actuarial losses on employee benefits liabilities                               | Note 26          | (78 240)                       | –               | (78 240)                |
| Share of changes recognized by joint arrangements directly in net assets        | Note 25          | (6 130)                        | –               | (6 130)                 |
| Fair value gain on revaluation of investments recognized directly in net assets | Note 31          | –                              | 16 916          | 16 916                  |
| Deficit for the year                                                            |                  | (33 634)                       | –               | (33 634)                |
| <b>Total changes in net assets</b>                                              |                  | <b>(118 004)</b>               | <b>16 916</b>   | <b>(101 088)</b>        |
| <b>Net assets as at 31 December 2024</b>                                        | <b>Note 26</b>   | <b>4 000 728</b>               | <b>88 944</b>   | <b>4 089 672</b>        |
| <b>Changes in net assets</b>                                                    |                  |                                |                 |                         |
| Actuarial losses on employee benefits liabilities                               | Note 26          | (140 868)                      | –               | (140 868)               |
| Share of changes recognized by joint arrangements directly in net assets        | Note 25, 26      | (16 692)                       | –               | (16 692)                |
| Fair value gain on revaluation of investments recognized directly in net assets | Note 31          | –                              | 31 109          | 31 109                  |
| Transfers to reserves                                                           |                  | (2 612)                        | 2 612           | –                       |
| Deficit for the year                                                            |                  | (120 647)                      | –               | (120 647)               |
| <b>Total changes in net assets</b>                                              |                  | <b>(280 819)</b>               | <b>33 721</b>   | <b>(247 098)</b>        |
| <b>Net assets as at 31 December 2025</b>                                        | <b>Note 26</b>   | <b>3 719 909</b>               | <b>122 665</b>  | <b>3 842 574</b>        |

The accompanying notes to the financial statements are an integral part of these financial statements.

## Operations of the United Nations as reported in volume I

## IV. Statement of cash flows for the year ended 31 December 2025

(Thousands of United States dollars)

|                                                                                                      | Reference    | 2025             | 2024 <sup>a</sup> |
|------------------------------------------------------------------------------------------------------|--------------|------------------|-------------------|
| <b>Cash flows from operating activities</b>                                                          |              |                  |                   |
| <b>Deficit for the year</b>                                                                          |              | <b>(120 647)</b> | <b>(33 634)</b>   |
| <i>Non-cash movements</i>                                                                            |              |                  |                   |
| Depreciation and amortization                                                                        | Notes 14, 15 | 232 286          | 164 497           |
| Impairment of inventory, property, plant and equipment and intangibles                               | Notes 14, 15 | 151              | 46                |
| Transfers, donations of assets and other additions                                                   | Notes 14, 15 | 11 452           | (11 011)          |
| Net loss on disposal of property, plant and equipment and inventory                                  |              | 61 837           | 4 061             |
| Actuarial gain/(loss) on employee benefits liabilities                                               | Note 27      | (140 868)        | (78 240)          |
| Share of changes in net assets recognized by joint arrangements                                      | Note 26      | (16 692)         | (6 130)           |
| Interest expense and revaluation expense on lease liabilities                                        | Note 34      | 12 141           | –                 |
| <i>Changes in assets</i>                                                                             |              |                  |                   |
| (Increase)/decrease in assessed contributions receivable                                             | Note 8       | (799 392)        | 146 526           |
| (Increase)/decrease in voluntary contributions receivable                                            | Note 9       | (14 513)         | 342 944           |
| (Increase)/decrease in other receivables                                                             | Note 10      | (52 102)         | 39 510            |
| (Increase)/decrease in inventories                                                                   | Note 11      | 3 573            | 4 672             |
| (Increase)/decrease in other assets                                                                  | Note 12      | 12 500           | 58 934            |
| (Increase)/decrease in share of joint arrangements assets accounted for using the equity method      | Note 26      | (12 544)         | (102)             |
| <i>Changes in liabilities</i>                                                                        |              |                  |                   |
| Increase/(decrease) in accounts payable and accrued liabilities                                      | Note 16      | (31 607)         | (67 469)          |
| Increase/(decrease) in advance receipts and deferred revenue                                         | Note 17      | 3 403            | 8 881             |
| Increase/(decrease) in transfers payable                                                             |              | (1 611)          | (1 154)           |
| Increase/(decrease) in employee benefits liabilities                                                 | Note 18      | 445 544          | 282 206           |
| Increase/(decrease) in provisions                                                                    | Note 19      | 351 991          | 157 322           |
| Increase/(decrease) in Tax Equalization Fund liability                                               | Note 20      | 24 402           | (62 634)          |
| Increase/(decrease) in liabilities for conditional arrangements                                      | Note 21      | 104 290          | (20 704)          |
| Increase/(decrease) in other liabilities                                                             | Note 23      | (4 726)          | 6 159             |
| Increase/(decrease) in share of joint arrangements liabilities accounted for using the equity method | Note 25      | 14 916           | 2 809             |
| Investment revenue presented as investing activities                                                 | Note 32      | (292 577)        | (303 165)         |
| <b>Net cash flows (used in)/from operating activities</b>                                            |              | <b>(208 793)</b> | <b>634 324</b>    |

## Operations of the United Nations as reported in volume I

## IV. Statement of cash flows for the year ended 31 December 2025 (continued)

(Thousands of United States dollars)

|                                                                        | <i>Reference</i> | <i>2025</i>    | <i>2024<sup>a</sup></i> |
|------------------------------------------------------------------------|------------------|----------------|-------------------------|
| <b>Cash flows from investing activities</b>                            |                  |                |                         |
| Pro rata share of net decrease/(increase) in cash pool                 | Note 32          | 62 340         | (700 723)               |
| Investment revenue presented as investing activities                   | Note 32          | 292 577        | 303 165                 |
| Acquisitions of property, plant and equipment, excluding leased assets | Note 14          | (124 931)      | (209 550)               |
| Proceeds from disposal of plant and equipment                          |                  | 614            | 1 296                   |
| Acquisitions of intangibles                                            | Note 15          | (28 250)       | (35 441)                |
| <b>Net cash flows from/(used in) investing activities</b>              |                  | <b>202 350</b> | <b>(641 253)</b>        |
| <b>Cash flows from financing activities</b>                            |                  |                |                         |
| Proceeds from borrowings                                               | Note 23          | 59 580         | (10 640)                |
| Cash outflow for leases <sup>b</sup>                                   | Note 34          | (62 943)       | –                       |
| <b>Net cash flows from/(used in) financing activities</b>              |                  | <b>(3 363)</b> | <b>(10 640)</b>         |
| Net (decrease)/increase in cash and cash equivalents                   |                  | (9 806)        | (17 569)                |
| Cash and cash equivalents – beginning of year                          |                  | 711 719        | 729 288                 |
| <b>Cash and cash equivalents – end of year</b>                         | <b>Note 6</b>    | <b>701 913</b> | <b>711 719</b>          |

<sup>a</sup> Restated to conform to current-year presentation.<sup>b</sup> Cash payments for short-term leases and for leases of low-value assets are classified as operating activities.

The accompanying notes to the financial statements are an integral part of these financial statements.

## Operations of the United Nations as reported in volume I

### V. Statement of comparison of budget and actual amounts for the year ended 31 December 2025

(Thousands of United States dollars)

|                                                                 | Publicly available budget <sup>a</sup> |                  | Actual amount<br>(budget basis) | Difference –<br>original and<br>final budget<br>(percentage) | Difference –<br>final budget<br>and actual<br>(percentage) |
|-----------------------------------------------------------------|----------------------------------------|------------------|---------------------------------|--------------------------------------------------------------|------------------------------------------------------------|
|                                                                 | Original                               | Final            |                                 |                                                              |                                                            |
| Income                                                          |                                        |                  |                                 |                                                              |                                                            |
| Assessed contributions (net of staff assessment)                | 3 492 607                              | 3 502 760        | 3 423 255                       | 0.3                                                          | (2.3)                                                      |
| Staff assessment                                                | 329 472                                | 330 278          | 343 382                         | 0.2                                                          | 4.0                                                        |
| General income                                                  | 34 090                                 | 34 090           | 50 910                          | –                                                            | 49.3                                                       |
| Services to the public                                          | 711                                    | 711              | (4 511)                         | –                                                            | (734.5)                                                    |
| <b>Total income</b>                                             | <b>3 856 880</b>                       | <b>3 867 839</b> | <b>3 813 036</b>                | <b>0.3</b>                                                   | <b>(1.4)</b>                                               |
| Expenditure                                                     |                                        |                  |                                 |                                                              |                                                            |
| Regular budget by part                                          |                                        |                  |                                 |                                                              |                                                            |
| Overall policymaking, direction and coordination                | 552 004                                | 552 968          | 463 377                         | 0.2                                                          | (16.2)                                                     |
| Political affairs                                               | 906 170                                | 915 069          | 850 705                         | 1.0                                                          | (7.0)                                                      |
| International justice and law                                   | 104 744                                | 104 744          | 95 277                          | –                                                            | (9.0)                                                      |
| International cooperation for development                       | 320 653                                | 320 653          | 280 213                         | –                                                            | (12.6)                                                     |
| Regional cooperation for development                            | 358 053                                | 358 053          | 319 240                         | –                                                            | (10.8)                                                     |
| Human rights and humanitarian affairs                           | 413 065                                | 413 285          | 346 448                         | 0.1                                                          | (16.2)                                                     |
| Global communications                                           | 123 446                                | 123 479          | 104 931                         | –                                                            | (15.0)                                                     |
| Common support services                                         | 360 903                                | 360 910          | 321 312                         | –                                                            | (11.0)                                                     |
| Internal oversight                                              | 26 343                                 | 26 343           | 24 435                          | –                                                            | (7.2)                                                      |
| Jointly financed administrative activities and special expenses | 106 396                                | 106 396          | 108 790                         | –                                                            | 2.3                                                        |
| Capital expenditure                                             | 88 021                                 | 88 021           | 65 016                          | –                                                            | (26.1)                                                     |
| Security and safety                                             | 150 739                                | 150 769          | 144 817                         | –                                                            | (3.9)                                                      |
| Development Account                                             | 19 012                                 | 19 012           | 19 012                          | –                                                            | –                                                          |
| Staff assessment                                                | 327 331                                | 328 137          | 341 173                         | 0.2                                                          | 4.0                                                        |
| <b>Total expenditure</b>                                        | <b>3 856 880</b>                       | <b>3 867 839</b> | <b>3 484 746</b>                | <b>0.3</b>                                                   | <b>(9.9)</b>                                               |
| <b>Net total</b>                                                | –                                      | –                | <b>328 290</b>                  | –                                                            | –                                                          |

<sup>a</sup> Refers to the United Nations regular budget for 2025. See note 5.

The accompanying notes to the financial statements are an integral part of these financial statements.

## **Operations of the United Nations as reported in volume I**

### **Notes to the financial statements**

#### **Note 1**

#### **Reporting entity**

##### *The United Nations and its activities*

1. The United Nations is an international organization founded in 1945 after the Second World War. The Charter of the United Nations, which was signed on 26 June 1945 and became effective on 24 October 1945, sets out the primary objectives of the United Nations as follows:

- (a) The maintenance of international peace and security;
- (b) The promotion of international economic and social progress and development programmes;
- (c) The universal observance of human rights;
- (d) The administration of international justice and law.

2. These objectives are implemented through the principal organs of the United Nations, as follows:

- (a) The General Assembly, which focuses on a wide range of political, economic and social issues, as well as financial and administrative aspects of the Organization;
- (b) The Security Council, which is responsible for various aspects of peacekeeping and peacebuilding, including efforts to resolve conflicts, restore democracy, promote disarmament, provide electoral assistance, facilitate post-conflict peacebuilding, engage in humanitarian activities to ensure the survival of groups deprived of basic needs, and oversee the prosecution of persons responsible for serious violations of international humanitarian law;
- (c) The Economic and Social Council, which plays a specific role in economic and social development, including a major oversight role in the efforts of other organizations of the United Nations system to address international economic, social and health problems;
- (d) The International Court of Justice, which has jurisdiction over disputes between Member States brought before it for advisory opinions or binding resolutions.

3. The United Nations has its headquarters in New York. It has major offices in Geneva, Vienna and Nairobi, and peacekeeping and political missions, economic commissions, tribunals, training institutes and other centres around the world.

##### *Operations of the United Nations as reported in volume I*

4. The present financial statements relate to the operations of the United Nations as reported in volume I, a separate financial reporting entity of the United Nations for the purposes of IPSAS-compliant reporting. The operations of the United Nations, as reported in volume I, comprise the core operations of the Secretariat and are under the direction of the General Assembly in its role as lead organ for the financial and administrative aspects of the United Nations. The core operations of the Secretariat are funded by the regular budget, which has a unique scale of assessments and budgetary process, by trust funds established by the Assembly or the Secretary-General, which supplement the activities of the regular budget, or by special accounts or funds established to facilitate mandate implementation by the Secretary-General in his role as Chief Administrative Officer of the United Nations.

5. The reporting entity – the operations of the United Nations as reported in volume I – is regarded as an autonomous reporting entity that, owing to the uniqueness of the governance and budgetary process of each of the reporting entities of the United Nations, neither controls nor is controlled by any other United Nations financial reporting entity. Therefore, consolidation is not applicable to the operations of the United Nations, and its financial statements include only its activities as reported in volume I.

6. However, given the existence of a joint venture between the United Nations and the World Trade Organization for ITC and the significant influence of the United Nations over the operations of ITC, the United Nations has accounted for its investment in ITC using the equity method of accounting. The Organization participates in a number of jointly financed administrative activities with other United Nations system organizations. The Organization's share of those activities is also included in the financial statements using the equity method.

7. The United Nations regular budget includes an assessed portion of the budget of other United Nations reporting entities, comprising UNEP, UNODC, UN-Habitat, the United Nations Relief and Works Agency for Palestine Refugees in the Near East (UNRWA), the Office of the United Nations High Commissioner for Refugees (UNHCR) and the United Nations Entity for Gender Equality and the Empowerment of Women (UN-Women). Those amounts are accounted for as grants in volume I.

8. The financial statements comprise activities managed through various funds, as follows:

(a) **General Fund and related funds.** The General Fund relates to regular budget activities, and related funds consist of the Special Account and the Working Capital Fund;

(b) **Trust funds.** Trust funds are established to record the receipt of voluntary contributions to support various activities, including emergency assistance, political, economic and social development and humanitarian and human rights activities and those that relate to security issues, international justice and law, global communications and support services;

(c) **Capital funds.** Capital funds include capital assets and construction-in-progress funds at various locations worldwide. Major projects under these funds are the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva, the replacement of office blocks A–J at the United Nations Office at Nairobi, the renovation of Africa Hall at ECA in Addis Ababa and the seismic retrofitting of the secretariat building at the Economic and Social Commission for Asia and the Pacific (ESCAP) in Bangkok;

(d) **Tax Equalization Fund.** The Tax Equalization Fund was established to equalize the net pay of all staff members, whatever their national tax obligations;

(e) **End-of-service and post-retirement benefits.** Such funds were established to account for end-of-service liabilities in respect of benefits payable to staff separating from service, and comprise after-service health insurance, repatriation benefits and unused annual leave;

(f) **Other funds.** These comprise self-insurance funds; special accounts for administrative cost recoveries; common support services; conferences and conventions; special multi-year funds accounting for supplementary development activities; and other funds.

**Note 2****Basis of preparation and authorization for issue***Basis of preparation*

9. In accordance with the Financial Regulations and Rules of the United Nations, these financial statements have been prepared on an accrual basis in accordance with IPSAS. They have been prepared on a going-concern basis and the accounting policies have been applied consistently in their preparation and presentation. In accordance with the requirements of IPSAS, the financial statements, which present fairly the assets, liabilities, revenue and expenses of the Organization, consist of the following:

- (a) Statement of financial position (statement I);
- (b) Statement of financial performance (statement II);
- (c) Statement of changes in net assets (statement III);
- (d) Statement of cash flows (using the indirect method) (statement IV);
- (e) Statement of comparison of budget and actual amounts (statement V);
- (f) Notes to the financial statements comprising a summary of significant accounting policies and other explanatory notes;
- (g) Comparative information in respect of all amounts presented in the financial statements indicated in (a) to (d) above and, where relevant, comparative information for narrative and descriptive information presented in the notes to these financial statements.

*Going concern*

10. The going-concern assertion is based on the approval by the General Assembly of the regular budget appropriations for 2026 in its resolution [80/244](#) A–C, the positive historical trend of collection of assessed and voluntary contributions over the past years and the fact that the Assembly has taken no decision to cease the operations of the United Nations.

*Authorization for issue*

11. These financial statements are certified by the Controller and approved by the Secretary-General. In accordance with financial regulation 6.2, the Secretary-General transmitted the financial statements as at 31 December 2025 to the Board of Auditors by 31 March 2026. In accordance with financial regulation 7.12, the reports of the Board of Auditors are to be transmitted to the General Assembly through the Advisory Committee on Administrative and Budgetary Questions, together with the audited financial statements.

*Measurement basis*

12. These financial statements are prepared using the historical-cost convention, except for investments held in the cash pool recorded at fair value through net assets/equity and derivatives held at fair value through surplus and deficit. Effective 1 January 2025, the Organization adopted IPSAS 46: Measurement. The measurement bases introduced and clarified under IPSAS 46 are already consistent with the methodologies currently applied by the Organization.

*Functional and presentation currency*

13. The functional currency and the presentation currency of the Organization is the United States dollar. The financial statements are expressed in thousands of United States dollars unless otherwise stated.

14. Transactions in currencies other than the functional currency (foreign currencies) are translated into United States dollars at the United Nations operational rate of exchange at the date of the transaction. The United Nations operational rates of exchange approximate the spot rates prevailing at the dates of the transactions. At year end, monetary assets and liabilities denominated in foreign currencies are translated at the United Nations operational rates of exchange. Non-monetary foreign currency-denominated items that are measured at fair value are translated at the United Nations operational rate of exchange at the date on which the fair value was determined. Non-monetary items measured at historical cost in a foreign currency are not translated at year end.

15. Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are recognized in the statement of financial performance on a net basis.

*Materiality and use of judgment and estimation*

16. Materiality is central to the preparation and presentation of the Organization's financial statements, and the materiality framework provides a systematic method in guiding accounting decisions relating to presentation, disclosure, aggregation, offsetting and retrospective versus prospective application of changes in accounting policies. In general, an item is considered material if its omission or its aggregation would have an impact on the conclusions or decisions of the users of the financial statements.

17. Preparing financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions in the selection and application of accounting policies and in the reported amounts of specific assets, liabilities, revenue and expenses.

18. Accounting estimates and underlying assumptions are reviewed on an ongoing basis and revisions to estimates are recognized in the year in which the estimates are revised and in any future year affected. Significant estimates and assumptions that may result in material adjustments in future years include actuarial measurement of employee benefits; selection of useful lives and the depreciation/amortization methods for property, plant and equipment/intangible assets; impairment of assets; classification of financial instruments; valuation of inventory; inflation and discount rates used in the calculation of the present value of provisions; and classification of contingent assets/liabilities.

*Recent and future requirements of the International Public Sector Accounting Standards*

19. The progress and impact of the following significant future IPSAS Board accounting pronouncements on the Organization's financial statements continue to be monitored:

(a) The Board approved the final pronouncement, Concessionary leases and other arrangements conveying rights over assets (amendments to IPSAS 43, IPSAS 47: Revenue and IPSAS 48: Transfer expenses). The effective date for the relevant amendments is 1 January 2027;

(b) The Board also issued a pronouncement: Amendments to IPSAS as a result of the application of IPSAS 46: Measurement. It introduces amendments to IPSAS standards to add current operational value and a definition of an accounting estimate, and to enhance terminology. The pronouncement affects primarily IPSAS 3: Accounting policies, changes in accounting estimates and errors, IPSAS 12: Inventories and IPSAS 21: Impairment of non-cash-generating assets, and has an effective date of 1 January 2028;

(c) The Board approved the updates to improve IPSAS 33: First-time adoption of accrual basis IPSAS. The pronouncement does not change the scope or objective of IPSAS 33 but is aimed at making it more user-friendly and effective. Additions include new illustrative examples and implementation guidance. The pronouncement has an effective date of 1 January 2028;

(d) The Board approved the final pronouncement, Definition of material (amendments to IPSAS 1: Presentation of financial statements, IPSAS 3 and the Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities), aimed at enhancing the clarity and consistency of the definition of materiality throughout the IPSAS standards. The amendments are effective from 1 January 2027.

20. The IPSAS Board has issued the following standards:

(a) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;

(b) IPSAS 48: Transfer expenses, issued in May 2023 and effective 1 January 2026;

(c) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026;

(d) IPSAS 50: Exploration for and evaluation of mineral resources, approved in September 2024 and effective 1 January 2027;

(e) IPSAS Board sustainability reporting standard 1, issued in January 2026 and effective 1 January 2028;

(f) IPSAS 51: Tangible natural resources held for conservation, issued in January 2026 and effective 1 January 2028.

21. The impact of these standards on the Organization's financial statements and the comparative period therein has been evaluated as follows:

| <i>Standard</i> | <i>Anticipated impact in the year of adoption</i>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| IPSAS 47        | <p>IPSAS 47: Revenue, replaces the three existing revenue standards, namely, IPSAS 9: Revenue from exchange transactions, IPSAS 11: Construction contracts, and IPSAS 23: Revenue from non-exchange transactions (taxes and transfers).</p> <p>IPSAS 47 aligns with the IPSAS Board's Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models based on the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23.</p> <p>Adoption of the standard is mandatory for the financial reporting for the year ending 31 December 2026.</p> |
| IPSAS 48        | <p>IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models on the basis of the existence of a binding arrangement.</p> <p>Adoption of the standard is mandatory for the volume I financial year ending 31 December 2026.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

| <i>Standard</i>                                 | <i>Anticipated impact in the year of adoption</i>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|-------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| IPSAS 49                                        | <p>IPSAS 49: Retirement benefit plans, aligns to International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. The standard does not deal with other forms of employment benefits such as employment termination benefits or health and welfare plans.</p> <p>The standard became effective on 1 January 2026, and the preliminary assessment is that it will have no impact on financial reporting of United Nations operations as reported in volume I.</p> |
| IPSAS 50                                        | <p>IPSAS 50: Exploration for and evaluation of mineral resources, is aligned with International Financial Reporting Standard 6 and provides guidance related to the costs incurred for exploration for and evaluation of mineral resources, as well as the costs of determining the technical feasibility and commercial viability of extracting the mineral resources.</p> <p>The standard will become effective on 1 January 2027, and the preliminary assessment is that it will have no impact on financial reporting of United Nations operations as reported in volume I.</p>                                                                                                            |
| IPSAS Board sustainability reporting standard 1 | <p>IPSAS Board sustainability reporting standard 1: Climate-related disclosures, proposes requirements for public sector entities to disclose information about climate-related risks and opportunities arising from an entity's activities and operations (phase 1 of the project). The Board also plans to address climate-related public policy programmes (phase 2) in 2026 with the aim of developing a separate standard. The standard applies to an entity's general purpose financial reports for annual reporting periods beginning on or after 1 January 1 2028. The Organization is assessing the preliminary impact of this standard.</p>                                          |
| IPSAS 51                                        | <p>IPSAS 51: Tangible natural resources held for conservation, provides guidance on the recognition, measurement, presentation and disclosure of tangible natural resources held for conservation. Effective 1 January 2028, the preliminary assessment is that IPSAS 51 will have no impact on financial reporting of United Nations operations as reported in volume I.</p>                                                                                                                                                                                                                                                                                                                  |

### Note 3

#### Significant accounting policies

##### *Financial assets measurement and classification*

22. Financial assets are classified based on the purpose for which they are acquired. The Organization assigns each financial asset to one of the categories below at initial recognition and reassesses the classification at each reporting date.

| <i>Classification</i>                 | <i>Financial assets</i>                                                                                                           |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| Fair value through net assets/equity  | Investments in cash pools and the investments for the United Nations Staff Mutual Insurance Society against Sickness and Accident |
| Amortized cost                        | Cash and cash equivalents and receivables                                                                                         |
| Fair value through surplus or deficit | Derivatives                                                                                                                       |

23. Certain financial assets, such as investments in cash pools, are classified at fair value through net assets/equity based on their cash flow characteristics and the Organization's management model of collecting and selling contractual cash flows. These assets are measured at fair value at each reporting date, with related gains or losses recognized in a fair value reserve in the statement of net assets.

24. Financial assets with maturities in excess of 12 months as at the reporting date are categorized as non-current assets in the financial statements. Financial assets denominated in foreign currencies are translated into United States dollars using the United Nations operational rate of exchange at the reporting date, with the resulting exchange differences recognized in surplus or deficit in the statement of financial performance.

25. Financial assets at amortized cost are non-derivative assets with fixed or determinable payments that are not quoted in an active market. They are initially measured at fair value, plus transaction costs, and are subsequently carried at amortized cost using the effective interest method, with interest revenue recognized on a time-proportion basis.

26. Financial assets are reviewed at each reporting date for objective evidence of impairment, such as counterparty default, delinquency or a permanent decline in value. Impairment losses are recognized in the statement of financial performance in the year in which they arise.

27. Financial assets are derecognized when contractual rights to cash flows have expired or have been transferred and the Organization has transferred substantially all related risks and rewards. Financial assets and liabilities are offset when a legally enforceable right exists and the Organization intends to settle on a net basis or to realize the asset and settle the liability simultaneously.

*Financial assets: investment in cash pools*

28. The United Nations Treasury invests funds from Secretariat and participating entities into two internally managed investment cash pools. Participation entails shared investment risks and returns, as funds are commingled and each participant is exposed to the portfolio's overall risk in proportion to its invested balance.

29. The Organization's investments in the cash pools are included as part of cash and cash equivalents, short-term investments and long-term investments in the statement of financial position depending on the maturity period of the investment.

30. The investment pools undergo an expected credit loss assessment for each reporting period using Fitch Ratings. Expected credit losses are estimated by applying Fitch default rates, which are based on historical three-year data and derived from the issuer's rating and issuer type. For each investment, the applicable Fitch rating is obtained, and the corresponding default rate is taken from the relevant transition matrix (e.g. supranational, sovereign and corporate).

31. Given the Organization's conservative investment strategy, funds are placed only in highly rated instruments, most of which carry a zero-default rating and have no history of non-collection. The Organization assesses expected credit losses at each reporting date and recognizes an impairment loss only if it is material.

*Financial assets: cash and cash equivalents*

32. Cash and cash equivalents comprise cash at bank and on hand, and short-term, highly liquid investments with a maturity of three months or fewer from the date of acquisition.

*Financial assets: receivables from non-exchange transactions – contributions receivable*

33. Contributions receivable represent uncollected assessed and voluntary contributions committed through enforceable agreements with Member States, non-Member States and other donors. These non-exchange receivables are recorded at nominal value, less a loss allowance for estimated irrecoverable amounts. Voluntary contributions receivable due after 12 months are discounted using the effective interest method. Voluntary contributions receivable, trade receivables and other receivables are subject to impairment under the expected credit loss model applicable to the donor or customer type.

*Financial assets: assessed contributions receivable*

34. For assessed contributions receivable, the loss allowance is calculated using objective historical evidence of the collections of receivables (in this case, Member States).

35. Payment data are monitored for any indication of changes in payment patterns. Where data are indicative of expected credit loss, a loss allowance is recognized.

36. On the basis of historical collection patterns, no expected credit loss is recognized for assessed contributions receivable when there is no evidence of loss for Member States. However, for the specific receivables noted below, the forward-looking model requires an expected credit loss to be recorded:

(a) Assessed contributions receivable from Member States subject to Article 19 of the Charter of the United Nations on voting rights restrictions in the General Assembly because of arrears equalling or exceeding contributions due from them for the preceding two years are included in the loss allowance. These receivables carry higher credit risk due to a history of non-payment or prolonged delays;

(b) Assessed contributions receivable that are past due and have received special treatment from the General Assembly, such as unpaid assessed contributions transferred to a special account pursuant to Assembly resolutions;

(c) Assessed contributions receivable outstanding for completed projects, for closed missions and for contested balances that are at a higher risk of credit loss are included in the loss allowance, as collection is uncertain.

*Financial assets: voluntary contributions receivable*

37. Voluntary contributions receivable have distinct characteristics, compared with conventional receivables classified as financial assets. These distinctions include the following:

(a) Variability in amounts: because contributions are voluntary, receivable amounts may change based on project funding requirements and donor intentions;

(b) Flexible due date: payment dates are adjustable and depend on the progress of project implementation.

38. The variability of pledged amounts and the flexibility of due dates make it difficult to estimate loss allowances for voluntary contributions receivable. Historically, write-offs have been minimal. Accordingly, the Organization assesses these receivables individually and applies a 100 per cent loss allowance to delinquent amounts specifically identified as uncollectible.

39. The non-trust funds voluntary contributions receivable and trust funds with a partially assessed nature will be assessed for loss allowance from historical payment patterns.

*Financial assets: receivables from exchange transactions – other receivables*

40. Other receivables comprise amounts due for goods and services provided, and include receivables from other United Nations reporting entities, amounts arising from leased-out assets and balances due from staff.

41. Loss allowances for these receivables are determined using a forward-looking model based on historical credit-loss percentages, updated annually. Receivables are grouped by customer type with homogeneous characteristics, such as similar settlement patterns, and historical transition rates of outstanding balances are analysed over a period of years and reassessed at each reporting period. The resulting transition rates are applied to the exposure balance to calculate the expected loss allowance.

*Other assets*

42. Other assets include education grant advances and prepayments that are recorded as an asset until goods are delivered or services are rendered by the other party, at which point the expense is recognized.

*Inventories*

43. Inventory balances are recognized as current assets and include the categories set out below.

| <i>Categories</i>                                                                               | <i>Subcategories</i>                                                              |
|-------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Held for sale or external distribution                                                          | Books and publications, stamps                                                    |
| Raw materials and work in progress associated with items held for sale or external distribution | Construction materials/supplies and work in progress                              |
| Strategic reserves                                                                              | Fuel reserves, bottled water and rations reserves                                 |
| Consumables and supplies                                                                        | Material holdings of consumables and supplies, including spare parts and medicine |

44. Inventory cost is determined using the average cost method and includes purchase price plus other costs necessary to bring items to their current location and condition. Such costs are applied using standard overhead rates of 4 to 27 per cent, depending on office or mission location, and are used instead of actual associated costs. Donated inventory is measured at fair value on acquisition. Inventories held for sale are valued at the lower of cost and net realizable value, while inventories held for distribution at no or nominal charge, or for consumption, are valued at the lower of cost and current replacement cost.

45. The carrying amount of inventories is expensed when sold, exchanged, distributed or consumed. Net realizable value is the expected amount recoverable from sale in the normal course of operations, and current replacement cost is the estimated cost of acquiring the item.

46. Consumables and supplies for internal use are capitalized only when material and are valued using the moving average costs recorded in Umoja. These inventories are reviewed for impairment, considering differences between moving average cost and current replacement cost, as well as slow-moving or obsolete items.

47. Inventories undergo physical verification based on value and risk assessments. Inventory valuations reflect write-downs to current replacement cost or net realizable value, which are recognized in the statement of financial performance.

*Property, plant and equipment*

48. Effective 1 January 2025, the Organization adopted IPSAS 45: Property, plant and equipment, which replaces IPSAS 17: Property, plant and equipment. IPSAS 45 introduces current operational value as a measurement basis and specific provisions for heritage assets. The Organization has determined that there is no change required in measurement basis for property, plant and equipment under IPSAS 45. The policy described below is unchanged.

49. The recognition of heritage assets under IPSAS 45 is mandatory. Most heritage assets donated to the Organization are works of art that are displayed in the Organization's facilities and are not available for sale. Therefore, such heritage assets are not recognized as assets from which economic benefits or service potential are derived. Significant heritage assets are disclosed in the present notes, where applicable.

50. Property, plant and equipment are classified into different groups according to their nature, function, useful life and valuation basis, including transportation equipment, communications and information technology equipment, machinery and equipment, furniture and fixtures and real estate assets (land, buildings, leasehold improvements, infrastructure and assets under construction), and are recognized as follows:

(a) Owned property, plant and equipment are capitalized when the unit cost meets a threshold of \$20,000, or \$100,000 for leasehold improvements and self-constructed assets. A lower threshold of \$5,000 applies to vehicles, prefabricated buildings, satellite communication systems, generators and network equipment. The same threshold applies for leased property, plant and equipment for the "as new" value of the underlying asset;

(b) All owned property, plant and equipment, other than real estate assets, are measured at historical cost, less accumulated depreciation and impairment. Historical cost includes purchase price, directly attributable costs and estimated dismantling or restoration costs. Standard cost rates of 2 to 40 per cent, depending on office or mission location, are applied instead of actual indirect costs;

(c) Owing to the absence of historical cost data, buildings and infrastructure were initially measured using depreciated replacement cost valuation methodology at the time of IPSAS implementation. This involved determining unit construction cost (e.g. per square metre), deriving gross replacement cost and deducting depreciation allowance for physical, functional and economic obsolescence. Subsequent real estate additions are recorded at historical cost, except for special political missions, which began recognition at historical cost as from January 2018. The adoption of IPSAS 46 does not result in a change to the measurement basis for buildings and infrastructure where depreciated replacement cost was applied. In accordance with IPSAS 46, depreciated replacement cost is an acceptable method and is equivalent to the current operational value for assets held for service delivery purposes;

(d) With regard to property, plant and equipment acquired at nil or nominal cost, including donated assets, the fair value at the date of acquisition is deemed to be the cost of acquiring equivalent assets;

(e) Leased property, plant and equipment are measured at the net present value of all future lease payments, plus lease payments incurred before the commencement date of the lease and initial direct costs, and costs for dismantling or removing the asset, or restoring the site or underlying asset to the required condition, less accumulated depreciation.

51. Owned property, plant and equipment are depreciated on a straight-line basis over their estimated useful lives, except for land and assets under construction, which are not depreciated. Significant components of buildings are depreciated separately because they have different useful lives and replacement cycles. Depreciation begins in the month in which the Organization gains control of the asset under applicable commercial terms and is not charged in the month of retirement or disposal. Residual value is assumed to be nil unless expected to be significant. The useful lives applied to each asset class are shown below. Leased property, plant and equipment is depreciated over the shorter of the lease term or their useful lives.

52. Estimated useful lives are reviewed regularly. Revisions may arise from new information, developments or experience, such as reassessment of an asset's condition or expected future benefits. Changes in estimates are applied prospectively and recognized in surplus or deficit in the period of change and, when applicable, future periods.

53. The previous review of useful lives resulted in 13 of 25 asset subclasses being revised based on historical asset-use data, with the changes prospectively applied from 1 January 2023. In 2025, a new review of useful lives was conducted, resulting in updates for 14 asset subclasses, effective prospectively from 1 January 2026.

| <i>Class</i>                                        | <i>Subclass</i>                                 | <i>Estimated useful life</i> |
|-----------------------------------------------------|-------------------------------------------------|------------------------------|
| Communications and information technology equipment | Information technology equipment                | 4–5 years <sup>a</sup>       |
|                                                     | Communications                                  | 7–8 years <sup>a</sup>       |
|                                                     | Audiovisual equipment                           | 7–10 years <sup>a</sup>      |
| Transportation                                      | Light-wheeled vehicles                          | 6–7 years <sup>a</sup>       |
|                                                     | Marine vessels                                  | 10 years                     |
|                                                     | Specialized vehicles, trailers and attachments  | 6–12 years                   |
|                                                     | Heavy-wheeled and engineering support vehicles  | 12 years                     |
|                                                     | Aircraft                                        | 25 years                     |
|                                                     | Unmanned aerial vehicles                        | 7 years                      |
| Machinery and equipment                             | Light engineering and construction equipment    | 5–8 years <sup>a</sup>       |
|                                                     | Medical equipment                               | 5–6 years <sup>a</sup>       |
|                                                     | Security and safety equipment                   | 5–6 years <sup>a</sup>       |
|                                                     | Mine detection and clearing equipment           | 5 years                      |
|                                                     | Water treatment and fuel distribution equipment | 7–10 years <sup>a</sup>      |
|                                                     | Ground transportation equipment                 | 7–10 years <sup>a</sup>      |
|                                                     | Heavy engineering and construction equipment    | 10–12 years <sup>a</sup>     |
|                                                     | Printing and publishing equipment               | 20 years                     |
| Furniture and fixtures                              | Library reference material                      | 3 years                      |
|                                                     | Office equipment                                | 4–5 years <sup>a</sup>       |
|                                                     | Fixtures and fittings                           | 7–10 years <sup>a</sup>      |
|                                                     | Furniture                                       | 10 years                     |

| <i>Class</i>           | <i>Subclass</i>                                                                                           | <i>Estimated useful life</i>     |
|------------------------|-----------------------------------------------------------------------------------------------------------|----------------------------------|
| Buildings              | Temporary and mobile buildings                                                                            | 7–10 years <sup>a</sup>          |
|                        | Fixed buildings                                                                                           | Up to 50 years                   |
|                        | Major buildings components                                                                                | Up to 50 years                   |
| Infrastructure assets  | Telecommunications, energy, protection, transport, waste and water management, recreation and landscaping | Up to 50 years                   |
| Leasehold improvements | Fixtures, fittings and minor construction work                                                            | Shorter of lease term or 5 years |

<sup>a</sup> Revised estimated useful lives, with changes applicable to acquisitions on or after 1 January 2023.

54. In exceptional cases, assets initially recognized upon IPSAS implementation may have useful lives that differ from the standard subclass lives but still fall within the broader asset-class range. These lives were based on a detailed assessment of remaining economic life at conversion and recorded in the asset master data. Although total useful life may appear longer than standard, the remaining life from the capitalization date remains within the prescribed range. Useful lives for the Vienna International Centre buildings are based on a valuation report agreed upon by the Vienna-based organizations, with some components having lives of up to 100 years.

55. When fully depreciated assets with material cost continue to be used, accumulated depreciation is adjusted to reflect a residual value of 10 per cent of historical cost, based on an analysis of relevant asset classes and useful lives.

56. The Organization applies the cost model for measurement of property, plant and equipment. Subsequent expenditure is capitalized only when future economic benefits or service potential are probable and exceed the capitalization threshold; repairs and maintenance costs are expensed as incurred.

57. Gains or losses from the disposal or transfer of property, plant or equipment arise when proceeds differ from the carrying amount. These are recognized in the statement of financial performance under other revenue or other expenses.

58. Impairment is assessed during annual physical verification and whenever indicators suggest that an asset's carrying amount may not be recoverable. Land, buildings and infrastructure assets with a year-end net book value above \$500,000 per unit are reviewed at each reporting date, while the threshold for other property, plant and equipment (excluding assets under construction and leasehold improvements) is \$25,000.

#### *Intangible assets*

59. Intangible assets are measured at cost, less accumulated amortization and impairment. Donated assets or those acquired at nil or nominal cost are recorded at fair value on acquisition. Recognition thresholds are \$100,000 per unit for internally generated intangible assets and \$20,000 for externally acquired assets.

60. Acquired software licences are capitalized at acquisition and include costs to bring them into use. Software developed for Organizational use is capitalized when directly attributable costs, such as those relating to staff, consultants and related overhead costs, can be reliably measured. Intangible assets with finite lives are amortized on a straight-line basis from the month of acquisition or when placed in service. Estimated useful lives of major classes are shown below.

| <i>Class</i>                  | <i>Range of estimated useful life</i> |
|-------------------------------|---------------------------------------|
| Licences and rights           | 2–6 years (period of licence/right)   |
| Software acquired externally  | 3–10 years                            |
| Software developed internally | 3–10 years                            |
| Copyrights                    | 3–10 years                            |
| Assets under development      | Not amortized                         |

61. Annual impairment reviews of intangible assets are conducted where assets are under development or have an indefinite useful life. Other intangible assets are subject to impairment review only when indicators of impairment are identified.

*Financial liabilities: classification*

62. Financial liabilities are classified as “other financial liabilities” and include accounts payable, transfers payable, unspent funds held for future refunds and amounts payable to other United Nations system entities. These liabilities are initially recognized at fair value and subsequently measured at amortized cost. Those due within 12 months are recorded at nominal value. The Organization reviews liability classifications at each reporting date and derecognizes them when the related obligations are discharged, waived, cancelled or expired.

*Financial liabilities: accounts payable and accrued liabilities*

63. Accounts payable and accrued liabilities arise from goods and services received but not yet paid for at the reporting date. Current payables are measured at nominal value, while non-current payables are measured at fair value.

*Advance receipts and deferred revenue*

64. Advance receipts and deferred revenue consist of contributions or payments received in advance and other deferred revenue.

*Liabilities for conditional arrangements*

65. Liabilities for conditional arrangements are liabilities arising from funding arrangements with stipulations imposed by donors on the use of the contributions that are classified as conditions.

*Leases*

*The Organization as “lessee”*

66. Effective 1 January 2025, the Organization adopted IPSAS 43, which replaces IPSAS 13. IPSAS 43 introduces a single lessee accounting model under which the Organization recognizes, for all leases other than those qualifying for recognition exemptions, a right-of-use asset and a corresponding lease liability at the commencement date.

67. A lease is identified when a contract conveys to the Organization the right to control the use of an identified asset in exchange for consideration. Control exists when the Organization has: (a) the right to obtain substantially all the economic benefits or service potential from the use of the asset; and (b) the right to direct the use of that asset over the lease term. Contracts not meeting these requirements do not represent a lease and are expensed.

68. Lease liabilities are initially measured at the present value of future lease payments and are remeasured when future lease payments change. Lease payments included in the initial measurement comprise:

- (a) Fixed payments and variable lease payments that depend on an index or rate;
- (b) Amounts expected to be payable under a residual value guarantee;
- (c) The exercise price of purchase options or payments for optional renewal periods, if the Organization is reasonably certain to exercise them;
- (d) Penalties for early termination, unless the Organization is reasonably certain not to terminate the lease early.

69. Right-of-use assets are initially measured at cost, comprising the initial lease liability, lease payments made before or at commencement, initial direct costs and estimated costs to dismantle or restore the underlying asset or site, less lease incentives received. The assets are subsequently depreciated on a straight-line basis over the shorter of the lease term or the useful life of the underlying asset. Asset classifications and useful lives are determined on the same basis as owned property, plant and equipment.

70. The Organization elected to apply the following recognition exemptions under IPSAS 43, and leases falling into these two categories are expensed:

- (a) Short-term leases: leases with a maximum term of 12 months or less, without a purchase option;
- (b) Low-value leases: leases of new assets that are low-value, consistent with the Organization's capitalization thresholds for owned property, plant and equipment.

71. Upon transition to IPSAS 43 on 1 January 2025, the Organization applied the modified retrospective practical expedient, which includes not restating comparative information. For leases previously classified as operating leases under IPSAS 13: Leases and active on 1 January 2025:

- (a) Lease liabilities were measured at the present value of remaining lease payments, discounted using the incremental borrowing rate as at 1 January 2025, excluding initial direct costs;
- (b) Right-of-use assets were measured at an amount equal to the lease liability;
- (c) Hindsight was used when determining the lease term;
- (d) Leases with a remaining term of 12 months or less were exempt.

#### *The Organization as "lessor"*

72. The Organization often leases out assets that are reported under property, plant and equipment, and lease revenue is recognized in the statement of financial performance over the term of the lease on a straight-line basis. IPSAS 43 does not change the accounting treatment for lessors.

#### *Donated right-to-use*

73. The provisions of IPSAS 43 do not yet include donated right-of-use arrangements, and the Organization will continue to account for such arrangements as governed by IPSAS 23 and IPSAS 45 until the forthcoming amendments to IPSAS 43 relating to donated right-to-use assets become effective.

74. Land, buildings, infrastructure assets, machinery and equipment that are granted to the Organization, primarily by host Governments at nil or nominal cost, through

donated right-of-use arrangements, continue to be assessed on the basis of whether control over the underlying asset has transferred to the Organization.

75. Where no control exists, formerly referred to as “operating lease” under IPSAS 13, including where title to land is transferred under restricted deeds, an expense and corresponding non-exchange revenue equal to the annual fair rental value of the asset (or of a similar property) are recognized in the financial statements.

76. Where control exists over the underlying asset (principally with a lease term of over 35 years for premises), formerly known as “finance lease”, the fair value of the property is capitalized and depreciated over the shorter of the useful life of the property or the term of the arrangement, with a corresponding liability recognized and progressively recognized as revenue over the lease term.

77. Where title to property is transferred to the Organization without restrictions, the property is accounted for as donated property, plant and equipment and recognized at fair value at the acquisition date.

78. The threshold for the recognition of revenue and expense is a yearly rental value equivalent of \$20,000 per unit for donated right-to-use premises and \$5,000 per unit for machinery and equipment.

#### *Employee benefits*

79. Employees are staff members appointed, under Article 97 of the Charter of the United Nations, and governed by regulations issued pursuant to Article 101 thereof. Employee benefits are categorized as short-term, long-term, post-employment and termination benefits.

#### *Short-term employee benefits*

80. Short-term employee benefits, excluding termination benefits, are those payable within 12 months after the year in which services are rendered. They include first-time employee benefits (assignment grants), regular daily/weekly/monthly benefits (wages, salaries and allowances), compensated absences (paid sick leave and maternity/paternity leave) and other short-term benefits, such as death grants, education grants, tax reimbursements and home leave travel. Such benefits earned but unpaid at the reporting date are recognized as current liabilities.

#### *Post-employment benefits*

81. Post-employment benefits comprise after-service health insurance, end-of-service repatriation benefits and a pension through the United Nations Joint Staff Pension Fund.

#### *Defined benefit plans*

82. The Organization accounts for after-service health insurance, repatriation benefits (post-employment benefits) and the commutation of accumulated annual leave (other long-term benefits) as defined benefit plans. Under these plans, the Organization bears the actuarial risk and recognizes a liability equal to the present value of the defined benefit obligation. Changes in this liability, excluding actuarial gains and losses, are recognized in the statement of financial performance when they occur. Actuarial gains and losses are recognized directly in the statement of changes in net assets. As at year end, the Organization held no plan assets as defined by IPSAS 39: Employee benefits.

83. Defined benefit obligations, as described below, are measured by independent actuaries using the projected unit credit method. The present value of these

obligations is determined by discounting estimated future cash flows using high-quality corporate bond rates with maturities that approximate those of the plans.

84. **After-service health insurance.** The Organization provides worldwide medical coverage to eligible former staff and their dependants through a defined benefit health insurance plan. Staff and dependants may enrol upon separation if they meet the eligibility criteria, including 10 years of participation in a United Nations health plan for staff recruited after 1 July 2007, and 5 years for those recruited earlier. This liability represents the present value of the Organization's share of future medical costs for retirees and the portion of post-retirement benefits accrued by active staff. In determining the Organization's residual liability, contributions from retirees and a portion of contributions from active staff are deducted from the gross liability in accordance with cost-sharing ratios approved by the General Assembly.

85. **Repatriation benefits.** Eligible staff who separate from service and reside outside their country of nationality at that time are entitled to a repatriation grant and travel and removal expenses. A liability is recognized from the date the staff member joins the Organization and is based on the estimated cost of these entitlements.

86. **Annual leave.** The liability for annual leave reflects accumulated unused leave days that will be paid to staff upon separation, up to 60 days (18 days for temporary staff). The Organization recognizes the actuarial value of these accumulated balances at year end. A last-in, first-out methodology is applied, whereby current-period leave is used before accumulated balances, and accumulated leave is typically realized more than 12 months after it arises. As accumulated leave is expected to be settled primarily at end of service, it is classified as other long-term benefit, while the portion expected to be paid within 12 months is classified as a current liability.

*Pension plan: United Nations Joint Staff Pension Fund*

87. The Organization participates in the United Nations Joint Staff Pension Fund, a funded, multi-employer defined benefit plan established by the General Assembly to provide retirement, death, disability and related benefits. As specified in article 3 (b) of the Regulations of the Fund, membership is open to United Nations specialized agencies and other international organizations that participate in the common system of salaries and conditions of service.

88. The Pension Fund collectively exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. The Organization and the Fund, in line with the other participating organizations in the Fund, are not in a position to identify the Organization's proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Therefore, the Organization has treated contributions to the Fund as if they were to a defined contribution plan in line with the requirements of IPSAS 39. The Organization's contributions to the Fund during the financial period are recognized as expenses in the statement of financial performance.

*Termination benefits*

89. Termination benefits are recognized when the Organization is demonstrably committed, with no realistic possibility of withdrawal, to a formal plan to terminate employment early or to provide benefits under a voluntary separation offer. Benefits due within 12 months are measured at the expected payment amount; those due after 12 months are discounted when the effect is material.

*Other long-term employee benefits*

90. Other long-term employee benefits are those, or portions of benefits, that are not expected to be settled within 12 months after the year in which the related service is rendered. Accumulated annual leave is an example of such benefits.

91. Under Appendix D to the Staff Rules of the United Nations, compensation is provided for death, injury or illness attributable to the performance of official duties. These obligations are actuarially valued, with actuarial gains and losses recognized in the statement of changes in net assets.

*Provisions*

92. Provisions are liabilities for future expenditure of uncertain amount or timing. They are recognized when a past event creates a present legal or constructive obligation that can be reliably estimated and is probable that an outflow of resources will be required. Provisions are measured at the best estimate of the expenditure required at the reporting date and, when material, are discounted to present value.

93. Uncommitted appropriation balances at the end of the budget period, and expired balances retained from prior periods, are recorded as provisions for credits to Member States. These provisions remain until the General Assembly decides on their disposition.

*Contingent liabilities*

94. Contingent liabilities are possible obligations arising from past events whose existence will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the Organization's control. They are also disclosed when a present obligation cannot be recognized because an outflow of resources is not probable or the amount cannot be measured reliably.

95. Provisions and contingent liabilities are reassessed continually. When an outflow of resources becomes more probable, a provision is recognized. When it becomes less probable, the obligation is disclosed as a contingent liability.

96. An indicative threshold of \$10,000 is applied for recognizing provisions or disclosing contingent liabilities.

*Contingent assets*

97. Contingent assets are possible assets arising from past events whose existence will be confirmed by uncertain future events not wholly within the Organization's control. They are disclosed when it is more likely than not that economic benefits will flow to the Organization.

98. Voluntary pledges and promised donations without binding agreements – or with agreements not yet formally accepted – are treated as contingent assets when receipt is measurable and probable within the subsequent financial period.

*Commitments*

99. Commitments represent future expenses under open contracts that the Organization has little or no discretion to avoid. They include capital commitments not yet paid or accrued, undelivered goods and services under contract, non-cancellable minimum lease payments and other non-cancellable commitments.

*Non-exchange revenue*

*Assessed contributions*

100. Appropriations are financed by contributions assessed on Member States according to the scale of assessments approved by the General Assembly. Adjustments may arise from supplementary appropriations, new Member States, revenue attributable to Member States, uncommitted or expired appropriation balances, and excess credits in the Tax Equalization Fund. Regular budget appropriations are approved and assessed annually, and the corresponding assessed contributions are recognized as revenue at the start of each year.

*Voluntary contributions*

101. Voluntary contributions and transfers supported by legally enforceable agreements are recognized as revenue when the agreement becomes binding and the Organization is deemed to gain control of the asset. When funds are received with specific conditions, revenue is deferred until those conditions are met. For conditional arrangements up to \$50,000, revenue is recognized immediately.

102. Unconditional multi-year voluntary contribution agreements, pledges and promised donations are recognized as revenue in full when the arrangement becomes binding, except for the Junior Professional Officer programme and fundraising activities conducted by another party such as contributions from the United Nations Foundation to the United Nations Fund for International Partnerships. In the case of the Junior Professional Officer programme, revenue is recognized as services are rendered, and United Nations Foundation contributions are recognized upon receipt of a cash disbursement authorization. Unused funds returned to donors are netted against voluntary contributions.

103. Revenue from interorganizational arrangements represents funding allocations from other agencies for the Organization to administer projects or programmes on their behalf.

104. In-kind contributions of goods above \$20,000 per contribution (or \$5,000 for vehicles, prefabricated buildings, satellite communication systems, generators and network equipment) are recognized as assets and revenue when it is probable that future economic benefits or service potential will flow to the Organization and fair value can be measured reliably. In-kind contributions are initially measured at fair value based on observable market prices or independent appraisals. In-kind services are not recognized as revenue but are disclosed in the notes when valued above \$20,000 per contribution.

*Exchange revenue*

105. Exchange transactions occur when the Organization sells goods or services for compensation. Revenue is measured at the fair value of consideration received or receivable and is recognized when it can be reliably measured, when economic benefits are probable and when the following criteria are met:

(a) Revenue from sales of publications, books and stamps and from sales by the United Nations Gift Centre is recognized when the sale occurs and risks and rewards have been transferred;

(b) Revenue from commissions and fees for technical, procurement, training, administrative and other services is recognized when the service is performed; operationally, these may be charged in advance, shortly before service delivery;

(c) Exchange revenue also includes revenue from the rental of premises, the sale of used or surplus property, guided tours and net currency exchange gains.

106. An indirect cost recovery called a “programme support cost” is charged to trust funds as a percentage of direct costs, including commitments and other “extrabudgetary” activities to ensure that the additional costs of supporting activities financed from extrabudgetary contributions are not borne by assessed funds and/or other core resources of the Secretariat. The programme support cost is eliminated for the purposes of financial statement preparation, as disclosed in note 4. The funding for the programme support cost charge agreed upon with the donor is included as part of voluntary contributions.

#### *Investment revenue*

107. Investment revenue comprises the Organization’s share of net cash pool revenue and other interest income. Net cash pool revenue includes realized gains and losses on investment sales, measured as the difference between sale proceeds and book value. Direct transaction costs are deducted from revenue, and the net amount is allocated to cash pool participants based on their daily balances.

#### *Expenses*

108. Expenses represent decreases in economic benefits or service potential during the reporting year and are recognized on an accrual basis when goods are delivered or services rendered, regardless of payment terms.

109. Employee salaries include compensation for international, national and temporary staff, post adjustment and staff assessment. Allowances and benefits include entitlements such as pension and insurance subsidies, assignment, repatriation, hardship and other allowances. Non-employee compensation includes United Nations Volunteers’ living allowances and end-of-service benefits, as well as fees for consultants, contractors, ad hoc experts and allowances for International Court of Justice judges and costs for non-military personnel.

110. Grants and transfers include outright grants and transfers to implementing agencies, partners and other entities, including quick-impact projects. Outright grants are expensed when the Organization has a binding obligation to pay

111. Supplies and consumables relate to the cost of inventory used and expenses for supplies and consumables.

112. Other operating expenses include purchases of goods and intangible assets below capitalization thresholds, maintenance, utilities, contracted services, training, security, shared services, rent, insurance, loss allowances and foreign exchange losses. Other expenses also include in-kind contributions, hospitality and official functions, donations and asset transfers.

113. Programmatic activities, distinct from commercial or other arrangements, are implemented by the United Nations or partners to benefit target populations, such as Governments, non-governmental organizations and United Nations entities. Transfers to implementing partners are expensed when disbursed. Binding agreements not yet paid at year end (other than outright grants) are disclosed as commitments in the notes to the financial statements.

#### *Joint arrangements*

114. A joint arrangement is a binding arrangement in which two or more parties share joint control and where one or more of the parties undertake an economic activity. Under IPSAS 37: Joint arrangements, such arrangements are classified as:

(a) A joint operation whereby parties to the arrangement have rights to assets and obligations for liabilities. The Organization accounts for the assets, liabilities, revenue and expenses relating to its interest in the joint operation in accordance with the relevant IPSAS standards;

(b) A joint venture, where parties have rights to net assets or obligations for net liabilities. The Organization accounts for its interest using the equity method, initially at cost and subsequently adjusted for post-acquisition changes in the Organization's share of the net assets. Its share of surplus or deficit of the investee is recognized in the statement of financial performance. The interest is presented as a non-current asset, or as a non-current liability when in a net liability position.

#### *Multi-partner trust funds*

115. Multi-partner trust fund activities are pooled resources from multiple financial partners that are allocated to multiple implementing entities to support specific national, regional or global development priorities.

116. Such arrangements are evaluated to determine whether the Organization exercises control and serves as the principal. When control is established and the Organization is exposed to the related risks and benefits, the related programmes or activities are deemed part of the Organization's operations and are therefore fully reflected in the financial statements.

117. Where joint control exists but the Organization is not considered to be the principal, the activities are considered joint operations and accounted for as described above.

#### **Note 4**

##### **Segment reporting**

118. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity's past performance in achieving its objectives and to make decisions about the future allocation of resources. Intersegment transactions are priced at cost recovery under normal operating policies and are eliminated for the purposes of consolidated financial statements.

119. In order to provide details on how the Organization's activities are managed and financed, segment reporting information by fund group for the statement of financial position and the statement of financial performance is presented through the segments below.

| <i>Segment</i>                              | <i>Activities in segment</i>                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Regular budget and related funds            | Activities relating to the regular budget, the Working Capital Fund, the Special Account and the revenue producing funds.                                                                                                                                                                                                                                                                                                                                        |
| Trust funds                                 | Activities relating to trust funds, including emergency assistance, political, economic and social development, humanitarian and human rights activities and those that relate to security issues, international justice and law, global communications and support services.                                                                                                                                                                                    |
| Capital assets and construction in progress | Capital assets and construction-in-progress funds at various locations worldwide. Major projects under these funds are the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva, the replacement of office blocks A–J at the United Nations Office at Nairobi, the renovation of Africa Hall at ECA in Addis Ababa and the seismic retrofitting of the secretariat building at ESCAP. |

| <i>Segment</i>                  | <i>Activities in segment</i>                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Common support services         | Provision of finance, human resources, information and communications technology (ICT) and services to support United Nations operations, projects and fund activities.                                                                                                                                                                                                                                                                   |
| Long-term employee benefits     | Activities relating to end-of-service and post-employment benefits comprising of after-service health insurance coverage, repatriation benefits and commutation of unused annual leave days.                                                                                                                                                                                                                                              |
| Insurance/workers' compensation | Accounts for activities under various health, dental and life insurance plans and compensation for general liability of the United Nations.                                                                                                                                                                                                                                                                                               |
| Other                           | All other funds, including the United Nations Development Account, the Tax Equalization Fund and conventions.                                                                                                                                                                                                                                                                                                                             |
| Eliminations                    | Inter-fund allocations between various segments are eliminated upon consolidation in volume 1 (i.e. the financial reporting entity). Eliminations include programme support costs allocated to recoup administrative costs related to extrabudgetary activities. In addition, allocations from regular budget activities to subactivities in other funds are eliminated as expenses of the regular budget against revenue of other funds. |

120. Segment reporting information by fund group is supplemented by segment reporting on the performance by pillar, which is presented on the basis of the pillars below.

| <i>Segment</i>                        | <i>Activities in segment</i>                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Political and peacekeeping affairs    | Maintain international peace and security by providing assistance to resolve potentially violent disputes or conflicts peacefully, support efforts in the areas of disarmament and non-proliferation, promote the peaceful uses of outer space and support the maintenance of peace and security through the deployment of peacekeeping operations. |
| International justice and law         | Advise the principal and subsidiary organs of the United Nations and promote among Member States a better understanding of and respect for the principles and norms of international law.                                                                                                                                                           |
| Cooperation and development           | Promote and support international and regional cooperation and development in the pursuit of sustained economic growth, the eradication of poverty and hunger, the development of trade, gender equality and empowerment of women, and sustainable human settlements in an urbanizing world.                                                        |
| Human rights and humanitarian affairs | Promote and protect the effective enjoyment of all human rights by making development equitable, sustainable and responsive to the needs of people, ensure the timely, coherent and coordinated response of the international community to disasters and emergencies, and ensure the provision of international protection to refugees.             |
| Global communications                 | Provide global communications about the ideals and work of the United Nations, interact and partner with diverse audiences and build support for peace, development and human rights for all.                                                                                                                                                       |
| Security and safety                   | Provide leadership, operational support and oversight of the United Nations security management system.                                                                                                                                                                                                                                             |

| <i>Segment</i>                                 | <i>Activities in segment</i>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Crime prevention                               | Work with Member States to enhance their efforts to combat the intertwined problems of transnational crime, corruption and terrorism by helping to create and strengthen legislative, judicial and health systems in order to safeguard some of the most vulnerable persons in society.                                                                                                                                                                                                                             |
| Common support services                        | Consists of General Assembly and Economic and Social Council affairs and conference management to ensure effective and efficient decision-making processes of intergovernmental bodies and United Nations conferences. It also includes internal oversight functions encompassing the responsibilities of monitoring, internal audit, joint inspection and evaluation and investigations, as well as finance, human resources, ICT and services to support United Nations operations, projects and fund activities. |
| Other                                          | Activities not specifically mapped to other pillar segments, such as library endowments, international partnerships, environmental affairs and special projects.                                                                                                                                                                                                                                                                                                                                                    |
| Self-insurance plans and other insurance plans | Accounts for activities concerning the various health, dental and life insurance plans established as part of the social security scheme for United Nations staff and retirees, as well as compensation for general liability of the United Nations.                                                                                                                                                                                                                                                                |
| Eliminations                                   | <p>Comprises inter-fund allocations between various segments eliminated upon consolidation of funds under volume I (i.e. the financial reporting entity). Among eliminated values are programme support costs allocated to recoup administrative costs of extrabudgetary activities.</p> <p>In addition, allocations from regular budget activities to subactivities in other funds are eliminated as expenses of the regular budget against revenue of other funds.</p>                                            |

**All funds****Statement of financial position by fund group as at 31 December 2025**

(Thousands of United States dollars)

|                                                               | <i>Regular<br/>budget and<br/>related funds</i> | <i>Trust funds</i> | <i>Capital assets and<br/>construction in<br/>progress</i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>   | <i>Eliminations</i>    | <i>Total</i>      |
|---------------------------------------------------------------|-------------------------------------------------|--------------------|------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|----------------|------------------------|-------------------|
| <b>Assets</b>                                                 |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                   |
| <b>Current assets</b>                                         |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                   |
| Cash and cash equivalents                                     | 12 178                                          | 355 276            | 5 990                                                      | 87 930                                 | 74 778                                     | 127 073                                         | 38 688         | —                      | 701 913           |
| Investments                                                   | 64 948                                          | 2 056 056          | 34 496                                                     | 509 344                                | 433 205                                    | 474 520                                         | 224 040        | —                      | 3 796 609         |
| Assessed contributions receivable                             | 1 305 245                                       | —                  | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 1 305 245         |
| Voluntary contributions receivable                            | 61                                              | 945 376            | —                                                          | 23                                     | —                                          | 2                                               | 5 666          | —                      | 951 128           |
| Other receivables                                             | 10 689                                          | 61 379             | 56 891                                                     | 60 961                                 | —                                          | 17 259                                          | 48 836         | (107 168) <sup>a</sup> | 148 847           |
| Inventories                                                   | 22 635                                          | 31                 | 5                                                          | 3 919                                  | —                                          | —                                               | —              | —                      | 26 590            |
| Other assets                                                  | 48 343                                          | 93 357             | 1 439                                                      | 9 922                                  | 6                                          | 13 317                                          | 1 550          | —                      | 167 934           |
| <b>Total current assets</b>                                   | <b>1 464 099</b>                                | <b>3 511 475</b>   | <b>98 821</b>                                              | <b>672 099</b>                         | <b>507 989</b>                             | <b>632 171</b>                                  | <b>318 780</b> | <b>(107 168)</b>       | <b>7 098 266</b>  |
| <b>Non-current assets</b>                                     |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                   |
| Investments                                                   | 26 518                                          | 837 872            | 14 023                                                     | 207 558                                | 176 537                                    | 436 921                                         | 91 284         | —                      | 1 790 713         |
| Voluntary contributions receivable                            | —                                               | 546 214            | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 546 214           |
| Property, plant and equipment                                 | 528 321                                         | 40 549             | 2 732 049                                                  | 23 791                                 | —                                          | —                                               | 11 641         | —                      | 3 336 351         |
| Intangible assets                                             | 3 187                                           | 5 926              | 134 594                                                    | 4 081                                  | —                                          | 3 558                                           | 105            | —                      | 151 451           |
| Share of joint ventures accounted for using the equity method | 19 347                                          | —                  | 1 778                                                      | —                                      | —                                          | —                                               | —              | —                      | 21 125            |
| <b>Total non-current assets</b>                               | <b>577 373</b>                                  | <b>1 430 561</b>   | <b>2 882 444</b>                                           | <b>235 430</b>                         | <b>176 537</b>                             | <b>440 479</b>                                  | <b>103 030</b> | <b>—</b>               | <b>5 845 854</b>  |
| <b>Total assets</b>                                           | <b>2 041 472</b>                                | <b>4 942 036</b>   | <b>2 981 265</b>                                           | <b>907 529</b>                         | <b>684 526</b>                             | <b>1 072 650</b>                                | <b>421 810</b> | <b>(107 168)</b>       | <b>12 944 120</b> |

|                                                               | <i>Regular<br/>budget and<br/>related funds</i> | <i>Trust funds</i> | <i>Capital assets and<br/>construction in<br/>progress</i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>   | <i>Eliminations</i>    | <i>Total</i>     |
|---------------------------------------------------------------|-------------------------------------------------|--------------------|------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|----------------|------------------------|------------------|
| <b>Liabilities</b>                                            |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                  |
| <b>Current liabilities</b>                                    |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                  |
| Accounts payable and accrued liabilities                      | 497 267                                         | 106 080            | 14 873                                                     | 35 092                                 | —                                          | 17 823                                          | 7 826          | (106 440) <sup>a</sup> | 572 521          |
| Advance receipts and deferred revenue                         | 75 128                                          | 37 573             | 28                                                         | 6 675                                  | —                                          | 2                                               | 15 490         | —                      | 134 896          |
| Employee benefits liabilities                                 | 128 526                                         | 28 318             | 659                                                        | 8 192                                  | 218 368                                    | 12 543                                          | 194            | —                      | 396 800          |
| Provisions                                                    | 711 414                                         | 109                | 158                                                        | —                                      | —                                          | 150 325                                         | 1 070          | —                      | 863 076          |
| Tax equalization liability                                    | —                                               | —                  | —                                                          | —                                      | —                                          | —                                               | 253 207        | —                      | 253 207          |
| Liabilities for conditional arrangements                      | —                                               | 139 934            | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 139 934          |
| Borrowings                                                    | —                                               | 728                | 5 485                                                      | —                                      | —                                          | —                                               | —              | (728) <sup>b</sup>     | 5 485            |
| Lease liabilities                                             | 50 932                                          | 3 812              | —                                                          | 1 784                                  | —                                          | —                                               | —              | —                      | 56 528           |
| Other liabilities                                             | 23                                              | 3 123              | 9 431                                                      | 18 723                                 | —                                          | —                                               | —              | —                      | 31 300           |
| <b>Total current liabilities</b>                              | <b>1 463 290</b>                                | <b>319 677</b>     | <b>30 634</b>                                              | <b>70 466</b>                          | <b>218 368</b>                             | <b>180 693</b>                                  | <b>277 787</b> | <b>(107 168)</b>       | <b>2 453 747</b> |
| <b>Non-current liabilities</b>                                |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                        |                  |
| Transfers payable                                             | —                                               | 168                | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 168              |
| Employee benefits liabilities                                 | 23 892                                          | —                  | —                                                          | 7                                      | 5 774 633                                  | 26 040                                          | —              | —                      | 5 824 572        |
| Provisions                                                    | —                                               | 31                 | 353                                                        | —                                      | —                                          | —                                               | —              | —                      | 384              |
| Liabilities for conditional arrangements                      | —                                               | 70 352             | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 70 352           |
| Borrowings                                                    | —                                               | —                  | 348 421                                                    | —                                      | —                                          | —                                               | —              | —                      | 348 421          |
| Lease liabilities                                             | 266 995                                         | 3 101              | —                                                          | 1 623                                  | —                                          | —                                               | —              | —                      | 271 719          |
| Other liabilities                                             | 256                                             | 176                | 54 904                                                     | —                                      | —                                          | —                                               | —              | —                      | 55 336           |
| Share of joint ventures accounted for using the equity method | 76 847                                          | —                  | —                                                          | —                                      | —                                          | —                                               | —              | —                      | 76 847           |
| <b>Total non-current liabilities</b>                          | <b>367 990</b>                                  | <b>73 828</b>      | <b>403 678</b>                                             | <b>1 630</b>                           | <b>5 774 633</b>                           | <b>26 040</b>                                   | <b>—</b>       | <b>—</b>               | <b>6 647 799</b> |
| <b>Total liabilities</b>                                      | <b>1 831 280</b>                                | <b>393 505</b>     | <b>434 312</b>                                             | <b>72 096</b>                          | <b>5 993 001</b>                           | <b>206 733</b>                                  | <b>277 787</b> | <b>(107 168)</b>       | <b>9 101 546</b> |
| <b>Net of total assets and total liabilities</b>              | <b>210 192</b>                                  | <b>4 548 531</b>   | <b>2 546 953</b>                                           | <b>835 433</b>                         | <b>(5 308 475)</b>                         | <b>865 917</b>                                  | <b>144 023</b> | <b>—</b>               | <b>3 842 574</b> |

|                                    | <i>Regular<br/>budget and<br/>related funds</i> | <i>Trust funds</i> | <i>Capital assets and<br/>construction in<br/>progress</i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>   | <i>Eliminations</i> | <i>Total</i>     |
|------------------------------------|-------------------------------------------------|--------------------|------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|----------------|---------------------|------------------|
| <b>Net assets</b>                  |                                                 |                    |                                                            |                                        |                                            |                                                 |                |                     |                  |
| Accumulated surplus/(deficit)      | 209 900                                         | 4 540 986          | 2 546 862                                                  | 833 570                                | (5 310 066)                                | 754 868                                         | 143 789        | –                   | 3 719 909        |
| Reserves                           | 292                                             | 7 545              | 91                                                         | 1 863                                  | 1 591                                      | 111 049                                         | 234            | –                   | 122 665          |
| <b>Total net assets/(deficits)</b> | <b>210 192</b>                                  | <b>4 548 531</b>   | <b>2 546 953</b>                                           | <b>835 433</b>                         | <b>(5 308 475)</b>                         | <b>865 917</b>                                  | <b>144 023</b> | <b>–</b>            | <b>3 842 574</b> |

<sup>a</sup> Inter-segment other receivables of \$56.533 million (capital assets and construction in progress), \$47.802 million (other) and \$2.105 million (common support services) were eliminated against corresponding payables in the regular budget and related funds segment.

<sup>b</sup> Cross-borrowings of \$0.728 million between trust funds and common support services segment.

**All funds****Statement of financial position by fund group as at 31 December 2024 (restated)**

(Thousands of United States dollars)

|                                                               | <i>Regular<br/>budget and<br/>related funds</i> | <i>Trust funds</i> | <i>Capital assets<br/>and construction<br/>in progress <sup>a</sup></i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>   | <i>Eliminations</i>  | <i>Total<sup>a</sup></i> |
|---------------------------------------------------------------|-------------------------------------------------|--------------------|-------------------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|----------------|----------------------|--------------------------|
| <b>Assets</b>                                                 |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| <b>Current assets</b>                                         |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| Cash and cash equivalents                                     | 39 445                                          | 350 520            | 14 595                                                                  | 85 522                                 | 59 855                                     | 127 124                                         | 34 658         | —                    | 711 719                  |
| Investments                                                   | 230 329                                         | 2 102 839          | 87 610                                                                  | 513 531                                | 359 565                                    | 478 672                                         | 208 198        | —                    | 3 980 744                |
| Assessed contributions receivable                             | 505 853                                         | —                  | —                                                                       | —                                      | —                                          | —                                               | —              | —                    | 505 853                  |
| Voluntary contributions receivable                            | 28                                              | 1 044 175          | —                                                                       | 11                                     | —                                          | 1                                               | 3 074          | (2 206) <sup>b</sup> | 1 045 083                |
| Other receivables                                             | 19 587                                          | 15 059             | 398                                                                     | 41 699                                 | —                                          | 18 890                                          | 1 112          | —                    | 96 745                   |
| Inventories                                                   | 26 301                                          | 40                 | 5                                                                       | 3 817                                  | —                                          | —                                               | —              | —                    | 30 163                   |
| Other assets                                                  | 49 906                                          | 107 204            | 657                                                                     | 10 619                                 | 1                                          | 11 550                                          | 497            | —                    | 180 434                  |
| <b>Total current assets</b>                                   | <b>871 449</b>                                  | <b>3 619 837</b>   | <b>103 265</b>                                                          | <b>655 199</b>                         | <b>419 421</b>                             | <b>636 237</b>                                  | <b>247 539</b> | <b>(2 206)</b>       | <b>6 550 741</b>         |
| <b>Non-current assets</b>                                     |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| Investments                                                   | 84 241                                          | 769 099            | 32 043                                                                  | 187 820                                | 131 509                                    | 356 950                                         | 76 147         | —                    | 1 637 809                |
| Voluntary contributions receivable                            | —                                               | 437 746            | —                                                                       | —                                      | —                                          | —                                               | —              | —                    | 437 746                  |
| Property, plant and equipment                                 | 313 874                                         | 38 040             | 2 705 777                                                               | 33 756                                 | —                                          | —                                               | 7 424          | —                    | 3 098 871                |
| Intangible assets                                             | 14 694                                          | 6 721              | 134 624                                                                 | 4 159                                  | —                                          | 2 722                                           | 121            | —                    | 163 041                  |
| Share of joint ventures accounted for using the equity method | 7 026                                           | —                  | 1 555                                                                   | —                                      | —                                          | —                                               | —              | —                    | 8 581                    |
| <b>Total non-current assets</b>                               | <b>419 835</b>                                  | <b>1 251 606</b>   | <b>2 873 999</b>                                                        | <b>225 735</b>                         | <b>131 509</b>                             | <b>359 672</b>                                  | <b>83 692</b>  | <b>—</b>             | <b>5 346 048</b>         |
| <b>Total assets</b>                                           | <b>1 291 284</b>                                | <b>4 871 443</b>   | <b>2 977 264</b>                                                        | <b>880 934</b>                         | <b>550 930</b>                             | <b>995 909</b>                                  | <b>331 231</b> | <b>(2 206)</b>       | <b>11 896 789</b>        |

|                                                               | <i>Regular<br/>budget and<br/>related funds</i> | <i>Trust funds</i> | <i>Capital assets<br/>and construction<br/>in progress <sup>a</sup></i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>   | <i>Eliminations</i>  | <i>Total<sup>a</sup></i> |
|---------------------------------------------------------------|-------------------------------------------------|--------------------|-------------------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|----------------|----------------------|--------------------------|
| <b>Liabilities</b>                                            |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| <b>Current liabilities</b>                                    |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| Accounts payable and accrued liabilities                      | 382 623                                         | 140 885            | 18 723                                                                  | 28 353                                 | —                                          | 25 896                                          | 9 854          | (2 206) <sup>b</sup> | 604 128                  |
| Advance receipts and deferred revenue                         | 70 660                                          | 40 544             | 28                                                                      | 4 303                                  | —                                          | 2                                               | 15 956         | —                    | 131 493                  |
| Employee benefits liabilities                                 | 63 052                                          | 22 343             | 306                                                                     | 4 310                                  | 174 125                                    | 16 751                                          | 188            | —                    | 281 075                  |
| Provisions                                                    | 363 167                                         | 138                | 1 275                                                                   | —                                      | —                                          | 145 509                                         | 778            | —                    | 510 867                  |
| Tax equalization liability                                    | —                                               | —                  | —                                                                       | —                                      | —                                          | —                                               | 228 805        | —                    | 228 805                  |
| Liabilities for conditional arrangements                      | —                                               | 85 026             | —                                                                       | —                                      | —                                          | —                                               | —              | —                    | 85 026                   |
| Borrowings                                                    | —                                               | —                  | 2 777                                                                   | —                                      | —                                          | —                                               | —              | —                    | 2 777                    |
| Other liabilities                                             | 123                                             | 2 596              | 11 038                                                                  | 13 496                                 | —                                          | —                                               | 9 817          | —                    | 37 070                   |
| <b>Total current liabilities</b>                              | <b>879 625</b>                                  | <b>291 532</b>     | <b>34 147</b>                                                           | <b>50 462</b>                          | <b>174 125</b>                             | <b>188 158</b>                                  | <b>265 398</b> | <b>(2 206)</b>       | <b>1 881 241</b>         |
| <b>Non-current liabilities</b>                                |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| Transfers payable                                             | 23                                              | 1 589              | —                                                                       | 167                                    | —                                          | —                                               | —              | —                    | 1 779                    |
| Employee benefits liabilities                                 | 24 546                                          | —                  | —                                                                       | —                                      | 5 441 750                                  | 28 457                                          | —              | —                    | 5 494 753                |
| Provisions                                                    | 144                                             | 32                 | 426                                                                     | —                                      | —                                          | —                                               | —              | —                    | 602                      |
| Liabilities for conditional arrangements                      | —                                               | 20 970             | —                                                                       | —                                      | —                                          | —                                               | —              | —                    | 20 970                   |
| Borrowings                                                    | —                                               | —                  | 291 549                                                                 | —                                      | —                                          | —                                               | —              | —                    | 291 549                  |
| Other liabilities                                             | 281                                             | 201                | 53 808                                                                  | 2                                      | —                                          | —                                               | —              | —                    | 54 292                   |
| Share of joint ventures accounted for using the equity method | 61 931                                          | —                  | —                                                                       | —                                      | —                                          | —                                               | —              | —                    | 61 931                   |
| <b>Total non-current liabilities</b>                          | <b>86 925</b>                                   | <b>22 792</b>      | <b>345 783</b>                                                          | <b>169</b>                             | <b>5 441 750</b>                           | <b>28 457</b>                                   | <b>—</b>       | <b>—</b>             | <b>5 925 876</b>         |
| <b>Total liabilities</b>                                      | <b>966 550</b>                                  | <b>314 324</b>     | <b>379 930</b>                                                          | <b>50 631</b>                          | <b>5 615 875</b>                           | <b>216 615</b>                                  | <b>265 398</b> | <b>(2 206)</b>       | <b>7 807 117</b>         |
| <b>Net of total assets and total liabilities</b>              | <b>324 734</b>                                  | <b>4 557 119</b>   | <b>2 597 334</b>                                                        | <b>830 303</b>                         | <b>(5 064 945)</b>                         | <b>779 294</b>                                  | <b>65 833</b>  | <b>—</b>             | <b>4 089 672</b>         |
| <b>Net assets</b>                                             |                                                 |                    |                                                                         |                                        |                                            |                                                 |                |                      |                          |
| Accumulated surplus/(deficit)                                 | 325 149                                         | 4 560 862          | 2 597 479                                                               | 831 218                                | (5 064 306)                                | 684 388                                         | 65 938         | —                    | 4 000 728                |
| Reserves                                                      | (415)                                           | (3 743)            | (145)                                                                   | (915)                                  | (639)                                      | 94 906                                          | (105)          | —                    | 88 944                   |
| <b>Total net assets/(deficits)</b>                            | <b>324 734</b>                                  | <b>4 557 119</b>   | <b>2 597 334</b>                                                        | <b>830 303</b>                         | <b>(5 064 945)</b>                         | <b>779 294</b>                                  | <b>65 833</b>  | <b>—</b>             | <b>4 089 672</b>         |

<sup>a</sup> Restated to conform to current year presentation.

<sup>b</sup> Intersegment voluntary contributions receivable within insurance/workers' compensation segment of \$1.999 million against the payables of the regular budget and related funds segment. In addition, \$0.207 million in eliminations of voluntary contributions receivable against the payables of the insurance/workers' compensation segment.

# Statement of financial performance by fund group for the period ended 31 December 2025

(Thousands of United States dollars)

|                                                                            | <i>Regular budget<br/>and related<br/>funds</i> | <i>Trust funds</i> | <i>Capital assets<br/>and construction<br/>in progress</i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>  | <i>Eliminations</i>    | <i>Total</i>     |
|----------------------------------------------------------------------------|-------------------------------------------------|--------------------|------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|---------------|------------------------|------------------|
| <b>Revenue</b>                                                             |                                                 |                    |                                                            |                                        |                                            |                                                 |               |                        |                  |
| Assessed contributions                                                     | 3 407 100                                       | —                  | —                                                          | —                                      | —                                          | —                                               | —             | —                      | 3 407 100        |
| Voluntary contributions                                                    | 41 887                                          | 2 571 951          | 14 103                                                     | 2 224                                  | —                                          | —                                               | 7 607         | —                      | 2 637 772        |
| Contributions for self-insurance funds                                     | —                                               | —                  | —                                                          | —                                      | —                                          | 854 142                                         | —             | (297 501) <sup>a</sup> | 556 641          |
| Other revenue                                                              | 55 914                                          | 2 961              | 454 838                                                    | 491 095                                | 108 443                                    | 10 779                                          | 3 295         | (700 040) <sup>b</sup> | 427 285          |
| Other transfers and allocations                                            | —                                               | 225 661            | 59 457                                                     | 40 261                                 | —                                          | —                                               | 69 012        | (248 807) <sup>c</sup> | 145 584          |
| Investment revenue                                                         | 36 928                                          | 149 545            | 3 882                                                      | 34 367                                 | 28 205                                     | 35 702                                          | 3 948         | —                      | 292 577          |
| <b>Total revenue</b>                                                       | <b>3 541 829</b>                                | <b>2 950 118</b>   | <b>532 280</b>                                             | <b>567 947</b>                         | <b>136 648</b>                             | <b>900 623</b>                                  | <b>83 862</b> | <b>(1 246 348)</b>     | <b>7 466 959</b> |
| <b>Expenses</b>                                                            |                                                 |                    |                                                            |                                        |                                            |                                                 |               |                        |                  |
| Employee salaries, allowances and benefits                                 | 2 491 573                                       | 934 313            | 343                                                        | 265 357                                | 236 805                                    | 19 679                                          | 3 812         | (391 255)              | 3 560 627        |
| Grants and other transfers                                                 | 444 241                                         | 1 534 813          | —                                                          | 12 645                                 | —                                          | —                                               | 9 146         | (250 826)              | 1 750 019        |
| Other operating expenses                                                   | 380 599                                         | 257 225            | 452 885                                                    | 243 381                                | 573                                        | (11 071)                                        | (1 552)       | (600 439)              | 721 601          |
| Self-insurance claims and expenses                                         | 2 241                                           | 4                  | —                                                          | (1)                                    | —                                          | 822 490                                         | —             | —                      | 824 734          |
| Non-employee compensation/allowances                                       | 100 078                                         | 110 356            | 25                                                         | 11 706                                 | —                                          | 22                                              | 6 238         | (1 443)                | 226 982          |
| Travel                                                                     | 41 627                                          | 93 077             | 34                                                         | 3 659                                  | —                                          | 1                                               | 5 502         | (2 308)                | 141 592          |
| Depreciation and amortization                                              | 81 550                                          | 13 697             | 129 792                                                    | 7 141                                  | —                                          | 91                                              | 15            | —                      | 232 286          |
| Contributions to and share of deficit of joint ventures on an equity basis | 65 614                                          | —                  | (21)                                                       | —                                      | —                                          | —                                               | —             | —                      | 65 593           |
| Supplies and consumables                                                   | 21 313                                          | 25 616             | 45                                                         | 4 261                                  | —                                          | 2                                               | 5             | (77)                   | 51 165           |
| Interest expense on lease liabilities                                      | 10 797                                          | 328                | —                                                          | 254                                    | —                                          | —                                               | —             | —                      | 11 379           |
| Other expenses                                                             | 867                                             | 414                | —                                                          | 9                                      | —                                          | 2                                               | 15            | —                      | 1 307            |
| Impairment                                                                 | 161                                             | 155                | —                                                          | 5                                      | —                                          | —                                               | —             | —                      | 321              |
| <b>Total expenses</b>                                                      | <b>3 640 661</b>                                | <b>2 969 998</b>   | <b>583 103</b>                                             | <b>548 417</b>                         | <b>237 378</b>                             | <b>831 216</b>                                  | <b>23 181</b> | <b>(1 246 348)</b>     | <b>7 587 606</b> |
| <b>Surplus/(deficit) for the year</b>                                      | <b>(98 832)</b>                                 | <b>(19 880)</b>    | <b>(50 823)</b>                                            | <b>19 530</b>                          | <b>(100 730)</b>                           | <b>69 407</b>                                   | <b>60 681</b> | <b>—</b>               | <b>(120 647)</b> |
| <b>Capital expenditure</b>                                                 | <b>12 105</b>                                   | <b>5 610</b>       | <b>95 565</b>                                              | <b>7 431</b>                           | <b>—</b>                                   | <b>—</b>                                        | <b>4 218</b>  | <b>—</b>               | <b>124 929</b>   |

(Footnotes on following page)

## (Footnotes to table)

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<sup>a</sup> Contributions for health insurance of \$297.501 million from the health insurance/workers' compensation segment against employee salaries of \$296.947 million and non-employee compensation of \$0.554 million.

<sup>b</sup> Internal cost recovery of \$472.018 million from the internal transfer of property, plant and equipment (\$454.782 million from the capital assets and construction in progress segment, \$15.344 million from the regular budget and related funds segment, \$1.572 million from the common support services segment and \$0.320 million from the trust funds segment), common support services of \$250.747 million, funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$93.044 million and travel fee allocation of \$1.119 million, offset by \$116.888 million from the reclassification of foreign exchange gain. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

<sup>c</sup> Internal cross-funding of \$248.807 million consists of \$108.095 million from trust funds, \$69.011 million from other, \$59.457 million from capital assets and construction in progress and \$12.244 million from common support services.

# Statement of financial performance by fund group for the period ended 31 December 2024

(Thousands of United States dollars)

|                                                                            | <i>Regular budget<br/>and related<br/>funds</i> | <i>Trust funds</i> | <i>Capital assets<br/>and<br/>construction<br/>in progress</i> | <i>Common<br/>support<br/>services</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Insurance/<br/>workers'<br/>compensation</i> | <i>Other</i>  | <i>Eliminations</i>    | <i>Total</i>     |
|----------------------------------------------------------------------------|-------------------------------------------------|--------------------|----------------------------------------------------------------|----------------------------------------|--------------------------------------------|-------------------------------------------------|---------------|------------------------|------------------|
| <b>Revenue</b>                                                             |                                                 |                    |                                                                |                                        |                                            |                                                 |               |                        |                  |
| Assessed contributions                                                     | 3 305 005                                       | —                  | —                                                              | —                                      | —                                          | —                                               | —             | —                      | 3 305 005        |
| Voluntary contributions                                                    | 43 038                                          | 3 129 808          | 19 202                                                         | 2 072                                  | —                                          | —                                               | 5 494         | —                      | 3 199 614        |
| Contributions for self-insurance funds                                     | —                                               | —                  | —                                                              | —                                      | —                                          | 779 413                                         | —             | (258 950) <sup>a</sup> | 520 463          |
| Other revenue                                                              | 90 581                                          | 5 691              | 74 658                                                         | 471 404                                | 77 159                                     | 11 198                                          | 2 252         | (463 186) <sup>b</sup> | 269 757          |
| Other transfers and allocations                                            | —                                               | 152 009            | 79 396                                                         | 32 331                                 | —                                          | —                                               | 18 503        | (149 154) <sup>c</sup> | 133 085          |
| Investment revenue                                                         | 43 969                                          | 149 304            | 6 413                                                          | 36 956                                 | 24 901                                     | 37 621                                          | 4 001         | —                      | 303 165          |
| <b>Total revenue</b>                                                       | <b>3 482 593</b>                                | <b>3 436 812</b>   | <b>179 669</b>                                                 | <b>542 763</b>                         | <b>102 060</b>                             | <b>828 232</b>                                  | <b>30 250</b> | <b>(871 290)</b>       | <b>7 731 089</b> |
| <b>Expenses</b>                                                            |                                                 |                    |                                                                |                                        |                                            |                                                 |               |                        |                  |
| Employee salaries, allowances and benefits                                 | 2 390 266                                       | 892 069            | 518                                                            | 245 060                                | 196 816                                    | 25 240                                          | 3 254         | (326 039)              | 3 427 184        |
| Grants and other transfers                                                 | 344 646                                         | 1 770 588          | —                                                              | 13 532                                 | —                                          | —                                               | 2 387         | (151 066)              | 1 980 087        |
| Other operating expenses                                                   | 496 204                                         | 456 953            | 17 964                                                         | 214 368                                | (389)                                      | 48 854                                          | 2 848         | (389 927)              | 846 875          |
| Self-insurance claims and expenses                                         | 2 657                                           | 7                  | —                                                              | (11)                                   | —                                          | 813 260                                         | —             | —                      | 815 913          |
| Non-employee compensation/allowances                                       | 102 862                                         | 103 598            | 140                                                            | 12 355                                 | —                                          | 23                                              | 5 716         | (1 273)                | 223 421          |
| Travel                                                                     | 58 376                                          | 104 313            | 49                                                             | 6 762                                  | —                                          | 6                                               | 5 700         | (2 803)                | 172 403          |
| Depreciation and amortization                                              | 30 772                                          | 10 578             | 118 335                                                        | 4 664                                  | —                                          | 133                                             | 15            | —                      | 164 497          |
| Contributions to and share of deficit of joint ventures on an equity basis | 77 782                                          | —                  | (127)                                                          | —                                      | —                                          | —                                               | —             | —                      | 77 655           |
| Supplies and consumables                                                   | 26 178                                          | 20 963             | 138                                                            | 7 645                                  | —                                          | 2                                               | 1             | (182)                  | 54 745           |
| Other expenses                                                             | 326                                             | 1 580              | —                                                              | 3                                      | —                                          | —                                               | —             | —                      | 1 909            |
| Impairment                                                                 | 4                                               | 30                 | —                                                              | —                                      | —                                          | —                                               | —             | —                      | 34               |
| <b>Total expenses</b>                                                      | <b>3 530 073</b>                                | <b>3 360 679</b>   | <b>137 017</b>                                                 | <b>504 378</b>                         | <b>196 427</b>                             | <b>887 518</b>                                  | <b>19 921</b> | <b>(871 290)</b>       | <b>7 764 723</b> |
| <b>Surplus/(deficit) for the year</b>                                      | <b>(47 480)</b>                                 | <b>76 133</b>      | <b>42 652</b>                                                  | <b>38 385</b>                          | <b>(94 367)</b>                            | <b>(59 286)</b>                                 | <b>10 329</b> | <b>—</b>               | <b>(33 634)</b>  |
| <b>Capital expenditure</b>                                                 | <b>50 448</b>                                   | <b>14 062</b>      | <b>136 842</b>                                                 | <b>36 473</b>                          | <b>—</b>                                   | <b>1 029</b>                                    | <b>6 138</b>  | <b>—</b>               | <b>244 992</b>   |

(Footnotes on following page)

## (Footnotes to table)

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<sup>a</sup> Contributions for health insurance of \$258.950 million from the insurance/workers' compensation segment against employee salaries of \$258.395 million and non-employee compensation of \$0.555 million.

<sup>b</sup> Internal cost recovery of \$272.731 million from the common support services segment, funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$65.966 million, internal transfer of property, plant and equipment of \$123.069 million (\$74.228 million from the capital assets and construction-in-progress segment, \$44.663 million from the regular budget and related funds segment, \$4.033 million from the trust funds segment and \$0.145 million from the common support services segment) and travel fee allocation of \$1.420 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

<sup>c</sup> Internal cross-funding of \$149.154 million, consisting of \$79.396 million from capital assets and construction in progress, \$42.775 million from trust funds, \$18.503 million from other and \$8.480 million from common support services.

# Statement of financial performance by pillar for the period ended 31 December 2025

(Thousands of United States dollars)

|                                                                            | <i>Political and<br/>peacekeeping<br/>affairs</i> | <i>International<br/>justice and<br/>law</i> | <i>Cooperation<br/>and<br/>development</i> | <i>Human rights<br/>and<br/>humanitarian<br/>affairs</i> | <i>Global<br/>communications</i> | <i>Security<br/>and safety</i> | <i>Crime<br/>prevention</i> | <i>Common<br/>support<br/>services</i> | <i>Other</i>   | <i>Self-insurance<br/>plans and other<br/>insurance plans</i> | <i>Eliminations</i>    | <i>Total</i>     |
|----------------------------------------------------------------------------|---------------------------------------------------|----------------------------------------------|--------------------------------------------|----------------------------------------------------------|----------------------------------|--------------------------------|-----------------------------|----------------------------------------|----------------|---------------------------------------------------------------|------------------------|------------------|
| <b>Revenue</b>                                                             |                                                   |                                              |                                            |                                                          |                                  |                                |                             |                                        |                |                                                               |                        |                  |
| Assessed contributions                                                     | 985 648                                           | 101 642                                      | 720 314                                    | 346 747                                                  | 113 082                          | 150 620                        | 33 340                      | 955 707                                | —              | —                                                             | —                      | 3 407 100        |
| Voluntary contributions                                                    | 320 339                                           | 16 742                                       | 284 840                                    | 1 720 306                                                | 4 895                            | —                              | 52 686                      | 185 640                                | 52 324         | —                                                             | —                      | 2 637 772        |
| Contributions for self-insurance funds                                     | —                                                 | —                                            | —                                          | —                                                        | —                                | —                              | —                           | —                                      | —              | 854 142                                                       | (297 501) <sup>a</sup> | 556 641          |
| Other revenue                                                              | 22 733                                            | 1 273                                        | 30 951                                     | 82 475                                                   | 1 092                            | 4                              | 5                           | 869 569                                | 2              | 119 221                                                       | (700 040) <sup>b</sup> | 427 285          |
| Other transfers and allocations                                            | 10 107                                            | 720                                          | 44 021                                     | 42 621                                                   | 254                              | —                              | 4 751                       | 237 117                                | 54 800         | —                                                             | (248 807) <sup>c</sup> | 145 584          |
| Investment revenue                                                         | 19 962                                            | 1 487                                        | 51 945                                     | 96 896                                                   | 604                              | —                              | 1 609                       | 52 362                                 | 3 805          | 63 907                                                        | —                      | 292 577          |
| <b>Total revenue</b>                                                       | <b>1 358 789</b>                                  | <b>121 864</b>                               | <b>1 132 071</b>                           | <b>2 289 045</b>                                         | <b>119 927</b>                   | <b>150 624</b>                 | <b>92 391</b>               | <b>2 300 395</b>                       | <b>110 931</b> | <b>1 037 270</b>                                              | <b>(1 246 348)</b>     | <b>7 466 959</b> |
| <b>Expenses</b>                                                            |                                                   |                                              |                                            |                                                          |                                  |                                |                             |                                        |                |                                                               |                        |                  |
| Employee salaries, allowances and benefits                                 | 748 337                                           | 90 854                                       | 781 165                                    | 760 207                                                  | 113 567                          | 125 804                        | 20 459                      | 1 039 120                              | 15 886         | 256 483                                                       | (391 255)              | 3 560 627        |
| Grants and other transfers                                                 | 188 755                                           | 5 014                                        | 115 748                                    | 1 421 524                                                | (59)                             | 4 760                          | 44 090                      | 190 043                                | 30 970         | —                                                             | (250 826)              | 1 750 019        |
| Other operating expenses                                                   | 237 192                                           | 14 033                                       | 58 382                                     | 139 552                                                  | 14 205                           | 3 670                          | 7 731                       | 852 040                                | 5 733          | (10 498)                                                      | (600 439)              | 721 601          |
| Self-insurance claims and expenses                                         | —                                                 | 3                                            | 2 236                                      | 3                                                        | —                                | —                              | —                           | —                                      | 2              | 822 490                                                       | —                      | 824 734          |
| Non-employee compensation/allowances                                       | 101 959                                           | 10 433                                       | 60 420                                     | 25 188                                                   | 836                              | 49                             | 1 117                       | 26 861                                 | 1 540          | 22                                                            | (1 443)                | 226 982          |
| Travel                                                                     | 21 862                                            | 4 234                                        | 45 766                                     | 37 530                                                   | 667                              | 1 664                          | 2 334                       | 27 752                                 | 2 090          | 1                                                             | (2 308)                | 141 592          |
| Depreciation and amortization                                              | 32 731                                            | 772                                          | 4 090                                      | 10 478                                                   | 1 950                            | 315                            | 1 113                       | 180 202                                | 544            | 91                                                            | —                      | 232 286          |
| Contributions to and share of deficit of joint ventures on an equity basis | 114                                               | 1                                            | 20 399                                     | —                                                        | —                                | 23 903                         | —                           | 21 176                                 | —              | —                                                             | —                      | 65 593           |
| Supplies and consumables                                                   | 35 477                                            | 8                                            | 2 082                                      | 2 880                                                    | 63                               | 1 380                          | 14                          | 9 213                                  | 123            | 2                                                             | (77)                   | 51 165           |
| Interest expense on lease liabilities                                      | 531                                               | 7                                            | 120                                        | 383                                                      | 178                              | —                              | —                           | 10 160                                 | —              | —                                                             | —                      | 11 379           |

|                                       | <i>Political and<br/>peacekeeping<br/>affairs</i> | <i>International<br/>justice and<br/>law</i> | <i>Cooperation<br/>and<br/>development</i> | <i>Human rights<br/>and<br/>humanitarian<br/>affairs</i> | <i>Global<br/>communications</i> | <i>Security<br/>and safety</i> | <i>Crime<br/>prevention</i> | <i>Common<br/>support<br/>services</i> | <i>Other</i>  | <i>Self-insurance<br/>plans and other<br/>insurance plans</i> | <i>Eliminations</i> | <i>Total</i>     |
|---------------------------------------|---------------------------------------------------|----------------------------------------------|--------------------------------------------|----------------------------------------------------------|----------------------------------|--------------------------------|-----------------------------|----------------------------------------|---------------|---------------------------------------------------------------|---------------------|------------------|
| Other expenses                        | 261                                               | 10                                           | 252                                        | 129                                                      | 341                              | 2                              | –                           | 293                                    | 17            | 2                                                             | –                   | 1 307            |
| Impairment                            | 109                                               | –                                            | –                                          | 151                                                      | –                                | 4                              | –                           | 53                                     | 4             | –                                                             | –                   | 321              |
| <b>Total expenses</b>                 | <b>1 367 328</b>                                  | <b>125 369</b>                               | <b>1 090 660</b>                           | <b>2 398 025</b>                                         | <b>131 748</b>                   | <b>161 551</b>                 | <b>76 858</b>               | <b>2 356 913</b>                       | <b>56 909</b> | <b>1 068 593</b>                                              | <b>(1 246 348)</b>  | <b>7 587 606</b> |
| <b>Surplus/(deficit) for the year</b> | <b>(8 539)</b>                                    | <b>(3 505)</b>                               | <b>41 411</b>                              | <b>(108 980)</b>                                         | <b>(11 821)</b>                  | <b>(10 927)</b>                | <b>15 533</b>               | <b>(56 518)</b>                        | <b>54 022</b> | <b>(31 323)</b>                                               | <b>–</b>            | <b>(120 647)</b> |
| <b>Capital expenditure</b>            | <b>3 871</b>                                      | <b>12</b>                                    | <b>907</b>                                 | <b>3 107</b>                                             | <b>10</b>                        | <b>27</b>                      | <b>–</b>                    | <b>114 555</b>                         | <b>2 440</b>  | <b>–</b>                                                      | <b>–</b>            | <b>124 929</b>   |

<sup>a</sup> Contributions for health insurance of \$297.501 million from the health insurance/workers' compensation segment against employee salaries of \$296.947 million and non-employee compensation of \$0.554 million.

<sup>b</sup> Internal cost recovery of \$472.018 million from the internal transfer of property, plant and equipment (\$471.402 million from the common support services segment, \$0.311 million from the human rights and humanitarian affairs segment, \$0.164 million from the other segment, \$0.095 million from the political and peacekeeping affairs segment, \$0.041 million from the cooperation and development segment and \$0.005 million from the crime prevention segment), common support services of \$250.747 million, funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$93.044 million and travel fee allocation of \$1.119 million, offset by \$116.888 million from the reclassification of foreign exchange gain. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

<sup>c</sup> Internal cross-funding of \$248.807 million consists of \$140.969 million from common support services, \$53.960 million from other, \$25.900 million from cooperation and development, \$14.361 million from human rights and humanitarian affairs, \$8.691 million from political and peacekeeping affairs, \$4.751 million from crime prevention, and \$0.175 million from public information and communications.

# Statement of financial performance by pillar for the period ended 31 December 2024

(Thousands of United States dollars)

|                                                                                  | <i>Political and<br/>peacekeeping<br/>affairs</i> | <i>International<br/>justice and<br/>law</i> | <i>Cooperation<br/>and<br/>development</i> | <i>Human rights<br/>and<br/>humanitarian<br/>affairs</i> | <i>Global<br/>communications</i> | <i>Security and<br/>safety</i> | <i>Crime<br/>prevention</i> | <i>Common<br/>support<br/>services</i> | <i>Other</i>  | <i>Self-insurance<br/>plans and other<br/>insurance plans</i> | <i>Eliminations</i>    | <i>Total</i>     |
|----------------------------------------------------------------------------------|---------------------------------------------------|----------------------------------------------|--------------------------------------------|----------------------------------------------------------|----------------------------------|--------------------------------|-----------------------------|----------------------------------------|---------------|---------------------------------------------------------------|------------------------|------------------|
| <b>Revenue</b>                                                                   |                                                   |                                              |                                            |                                                          |                                  |                                |                             |                                        |               |                                                               |                        |                  |
| Assessed contributions                                                           | 898 595                                           | 102 946                                      | 773 261                                    | 312 915                                                  | 110 748                          | 143 599                        | 34 834                      | 928 107                                | —             | —                                                             | —                      | 3 305 005        |
| Voluntary contributions                                                          | 312 600                                           | 15 525                                       | 366 134                                    | 2 187 630                                                | 12 985                           | —                              | 23 065                      | 216 543                                | 65 132        | —                                                             | —                      | 3 199 614        |
| Contributions for<br>self-insurance funds                                        | —                                                 | —                                            | —                                          | —                                                        | —                                | —                              | —                           | —                                      | —             | 779 413                                                       | (258 950) <sup>a</sup> | 520 463          |
| Other revenue                                                                    | 54 478                                            | 1 541                                        | 38 647                                     | 91 504                                                   | 535                              | 111                            | 1                           | 457 763                                | 7             | 88 356                                                        | (463 186) <sup>b</sup> | 269 757          |
| Other transfers and allocations                                                  | 8 312                                             | 186                                          | 32 597                                     | 41 501                                                   | 490                              | —                              | 1 552                       | 194 785                                | 2 816         | —                                                             | (149 154) <sup>c</sup> | 133 085          |
| Investment revenue                                                               | 20 888                                            | 1 607                                        | 59 086                                     | 95 394                                                   | 798                              | —                              | 1 894                       | 57 902                                 | 3 075         | 62 521                                                        | —                      | 303 165          |
| <b>Total revenue</b>                                                             | <b>1 294 873</b>                                  | <b>121 805</b>                               | <b>1 269 725</b>                           | <b>2 728 944</b>                                         | <b>125 556</b>                   | <b>143 710</b>                 | <b>61 346</b>               | <b>1 855 100</b>                       | <b>71 030</b> | <b>930 290</b>                                                | <b>(871 290)</b>       | <b>7 731 089</b> |
| <b>Expenses</b>                                                                  |                                                   |                                              |                                            |                                                          |                                  |                                |                             |                                        |               |                                                               |                        |                  |
| Employee salaries, allowances<br>and benefits                                    | 736 949                                           | 88 449                                       | 742 452                                    | 712 275                                                  | 109 465                          | 115 500                        | 20 728                      | 988 085                                | 17 264        | 222 056                                                       | (326 039)              | 3 427 184        |
| Grants and other transfers                                                       | 143 507                                           | 6 030                                        | 109 356                                    | 1 660 178                                                | 583                              | 5 181                          | 48 425                      | 130 829                                | 27 064        | —                                                             | (151 066)              | 1 980 087        |
| Other operating expenses                                                         | 256 132                                           | 16 888                                       | 141 932                                    | 292 135                                                  | 11 859                           | 2 887                          | 6 986                       | 452 048                                | 7 472         | 48 463                                                        | (389 927)              | 846 875          |
| Self-insurance claims and<br>expenses                                            | (1)                                               | 2                                            | 2 658                                      | 12                                                       | —                                | (3)                            | —                           | (15)                                   | —             | 813 260                                                       | —                      | 815 913          |
| Non-employee compensation/<br>allowances                                         | 89 197                                            | 11 034                                       | 63 527                                     | 29 691                                                   | 1 530                            | 109                            | 1 646                       | 26 366                                 | 1 571         | 23                                                            | (1 273)                | 223 421          |
| Travel                                                                           | 27 589                                            | 5 478                                        | 50 174                                     | 59 300                                                   | 721                              | 2 098                          | 2 534                       | 25 485                                 | 1 821         | 6                                                             | (2 803)                | 172 403          |
| Depreciation and amortization                                                    | 16 238                                            | 1 238                                        | 3 069                                      | 6 324                                                    | 629                              | 340                            | 1 172                       | 134 813                                | 541           | 133                                                           | —                      | 164 497          |
| Contributions to and share of<br>deficit of joint ventures on an<br>equity basis | 131                                               | 1                                            | 27 553                                     | —                                                        | —                                | 25 339                         | —                           | 24 631                                 | —             | —                                                             | —                      | 77 655           |
| Supplies and consumables                                                         | 34 128                                            | 57                                           | 2 592                                      | 3 992                                                    | 95                               | 1 079                          | 61                          | 12 820                                 | 101           | 2                                                             | (182)                  | 54 745           |

|                                           | <i>Political and<br/>peacekeeping<br/>affairs</i> | <i>International<br/>justice and<br/>law</i> | <i>Cooperation<br/>and<br/>development</i> | <i>Human rights<br/>and<br/>humanitarian<br/>affairs</i> | <i>Global<br/>communications</i> | <i>Security and<br/>safety</i> | <i>Crime<br/>prevention</i> | <i>Common<br/>support<br/>services</i> | <i>Other</i>  | <i>Self-insurance<br/>plans and other<br/>insurance plans</i> | <i>Eliminations</i> | <i>Total</i>     |
|-------------------------------------------|---------------------------------------------------|----------------------------------------------|--------------------------------------------|----------------------------------------------------------|----------------------------------|--------------------------------|-----------------------------|----------------------------------------|---------------|---------------------------------------------------------------|---------------------|------------------|
| Other expenses                            | 130                                               | 13                                           | 97                                         | 1 359                                                    | 2                                | –                              | 2                           | 292                                    | 14            | –                                                             | –                   | 1 909            |
| Impairment                                | 33                                                | –                                            | –                                          | 32                                                       | –                                | 8                              | –                           | (37)                                   | (2)           | –                                                             | –                   | 34               |
| <b>Total expenses</b>                     | <b>1 304 033</b>                                  | <b>129 190</b>                               | <b>1 143 410</b>                           | <b>2 765 298</b>                                         | <b>124 884</b>                   | <b>152 538</b>                 | <b>81 554</b>               | <b>1 795 317</b>                       | <b>55 846</b> | <b>1 083 943</b>                                              | <b>(871 290)</b>    | <b>7 764 723</b> |
| <b>Surplus/(deficit) for the<br/>year</b> | <b>(9 160)</b>                                    | <b>(7 385)</b>                               | <b>126 315</b>                             | <b>(36 354)</b>                                          | <b>672</b>                       | <b>(8 828)</b>                 | <b>(20 208)</b>             | <b>59 783</b>                          | <b>15 184</b> | <b>(153 653)</b>                                              | <b>–</b>            | <b>(33 634)</b>  |
| <b>Capital expenditure</b>                | <b>17 759</b>                                     | <b>–</b>                                     | <b>2 808</b>                               | <b>10 936</b>                                            | <b>–</b>                         | <b>254</b>                     | <b>–</b>                    | <b>209 958</b>                         | <b>2 248</b>  | <b>1 029</b>                                                  | <b>–</b>            | <b>244 992</b>   |

<sup>a</sup> Contributions for health insurance of \$258.950 million from the self-insurance plans and other insurance plans segment against employee salaries of \$258.395 million and non-employee compensation of \$0.555 million.

<sup>b</sup> Internal cost recovery of \$272.731 million from the common support services segment, internal transfer of property, plant and equipment of \$123.069 million (\$86.472 million from the common support services segment, \$31.270 million from the political and peacekeeping affairs segment, \$5.135 million from the human rights and humanitarian affairs segment, \$0.191 million from the cooperation and development segment, and \$0.001 million from the crime prevention segment), funding of long-term employee benefits (after-service health insurance and repatriation grant) of \$65.966 million and travel fee allocation of \$1.420 million. Corresponding expenses were employee salaries, allowances and benefits, non-employee compensation and allowances, grants and other transfers, supplies and consumables, travel expenses and other operating expenses.

<sup>c</sup> Internal cross-funding of \$149.154 million, consisting of \$103.578 million from common support services, \$23.774 million from cooperation and development, \$11.309 million from human rights and humanitarian affairs, \$7.277 million from political and peacekeeping affairs, \$1.555 million from crime prevention, \$1.292 million from other and \$0.369 million from global communications.

**Note 5****Comparison to budget**

121. The statement of comparison of budget and actual amounts (statement V) presents the difference between budget amounts, which are prepared on a modified cash basis, and actual income and expenditure on a comparable basis.

122. For IPSAS reporting purposes, approved budgets are the appropriations, commitment authorities with assessment, and income estimates authorized by resolutions of the General Assembly.

123. The original budget for 2025 is the budget approved by the General Assembly for 2025 in its resolution [79/259](#) A–C. Actual income and expenditure amounts include commitments and actuals incurred in the period on the budget basis.

124. Explanations for material differences between the original and final budget amounts, as well as material differences between the final budget amounts and actual income and expenditure on a modified cash basis, which are deemed to be those greater than 5 per cent, are considered below.

*Budget part**Material differences greater than 5 per cent***Income:**

## General income

**Actual income 49.3 per cent more than the final budget**

The variance is attributable mainly to higher-than-budgeted income relating to: (a) higher-than-planned interest income earned; (b) refunds of prior year's expenditure, including unused repatriation grant provisions older than two years, in line with the Financial Regulations and Rules of the United Nations; and (c) higher-than-planned reimbursements for services provided to specialized agencies by special political missions.

## Services to the public

**Actual income 734.5 per cent less than the final budget**

The variance is attributable mainly to lower-than-budgeted net revenue relating to: (a) lower revenue from United Nations publications, owing to delays in purchase contract negotiations leading to insufficient inventory of higher-priced merchandise during peak sales period, and the non-release of major publications, due to their biennial publication cycle; (b) lower revenue from United Nations Postal Administration due to declining philatelic markets; (c) lower catering revenue, due to reduced activities at Headquarters; and (d) lower revenue from services to visitors, due to the impact of the liquidity situation and the delayed issuance of allotment on securing the required capacity/personnel to undertake guided tours, resulting in lost advance bookings and reduced tour capacity.

**Expenditure:**Overall policymaking,  
direction and coordination**Actual expenditure 16.2 per cent less than the final budget**

The variance is attributable primarily to the lower availability of funding, which triggered cash conservation measures, such as maintaining higher-than-budgeted vacancy rates and the curtailment of non-post expenditure in both section 1, Overall policymaking, direction and coordination, and section 2, General Assembly and Economic and Social Council affairs and conference management. Underexpenditure under section 2 was driven by the significant lower-than-budgeted other staff costs as a result of the optimized use of the core staff capacity and less dependency on short-term language staff employed.

## Political affairs

**Actual expenditure 7.0 per cent less than the final budget**

The variance falls mainly under special political missions under section 3, Political affairs, and is attributable primarily to the liquidity situation, which imposed hiring restrictions and limited non-post spending across special political missions, particularly in the United Nations Assistance Mission in Afghanistan (UNAMA), the United Nations Transitional Assistance Mission in Somalia (UNTMIS), the United Nations Verification Mission in Colombia, the United Nations Mission to Support the Hudaydah Agreement and the United Nations Support Mission in Libya. In UNAMA, cost-avoidance measures resulted mostly in a revised security posture, lower fuel consumption, the non-replacement of fixed-wing aircraft and reduced acquisition of equipment and supplies. In UNTMIS, the austerity measures resulted mostly in reduced security enhancement projects, contractual costs, telecommunications and network services, planned public information outreach activities, and the acquisition of equipment and supplies. In the United Nations Support Mission in Libya, under-expenditure is attributable mainly to lower actual rental costs and maintenance services, deferred security enhancement projects and reduced operation of fixed-wing aircraft. In the United Nations Verification Mission in Colombia, to address liquidity constraints, the Mission closed 10 office locations, thereby reducing rent and security costs, and postponed or cancelled non-essential meeting facilitation events, and the non-operation of one rotary-wing aircraft. In the United Nations Mission to Support the Hudaydah Agreement, the reduced expenditure is attributable primarily to cancelled planned refurbishment and security enhancements projects and reduced maintenance works, reduced rental costs from the consolidation of accommodation spaces and a lower-than-budgeted contractual rate for medical services.

Underexpenditure in special political missions was offset in part by higher expenditure incurred under section 5, Peacekeeping operations, mainly for the United Nations Truce Supervision Organization, relating to adjustments for foreign exchange variations.

## International justice and law

**Actual expenditure 9.0 per cent less than the final budget**

The variance falls mainly under section 8, Legal affairs, and is due primarily to spending restrictions imposed as a result of the liquidity situation.

Underexpenditure for posts and other staff costs is attributable mainly to the maintenance of higher-than-budgeted vacancy rates. Non-post expenditure was reduced, mainly under travel of representatives, travel of staff, contractual services, and consultants and experts, as was the acquisition of furniture and equipment.

Underexpenditure in section 8 was offset in part by higher expenditure incurred in respect of the commitment authorities approved pursuant to resolution [79/258](#) (sects. II and III), for the Residual Special Court for Sierra Leone and the Extraordinary Chambers in the Courts of Cambodia, for which no appropriations were approved.

*Budget part**Material differences greater than 5 per cent***International cooperation  
for development****Actual expenditure 12.6 per cent less than the final budget**

The variance falls mainly under section 9, Economic and social affairs, section 12, Trade and development, and section 16, International drug control, crime and terrorism prevention and criminal justice, which were affected by hiring restrictions and spending ceilings imposed to address the liquidity situation. Regarding section 9, the hiring restrictions and spending ceiling resulted in higher-than-planned vacancy rates for staff and underexpenditure under post and other staff costs. Within these restrictions and spending ceiling, apart from ensuring salary payments to existing staff, the priority for non-post expenditure was given to: (a) travel of representatives of Economic and Social Council subsidiary bodies; and (b) ICT expenses for staff and hosting of the Department's websites and databases that are critical to its operations. Furthermore, the austerity measures limited ability of the Department of Economic and Social Affairs to fund other planned activities, reflected by underexpenditure for consultants and experts.

The variance related to section 12 is attributable mainly to spending restrictions imposed to address the liquidity situation, which was compounded by the strengthening of the Swiss franc against the United States dollar, which resulted in reduced non-post expenditures mainly under other staff costs, consultants, experts, travel of representatives, travel of staff, general operating expenses, supplies, and furniture and equipment. The variance related to section 16 is attributable mainly to imposed spending restrictions, which limited spending under posts, other staff costs, consultants, travel of representatives, travel of staff, contractual services, general operating expenses, and furniture and equipment.

**Regional cooperation for  
development****Actual expenditure 10.8 per cent less than the final budget**

The variance results from individual variances in all budget sections under part V, Regional cooperation for development. The largest variance amounts fall under section 18, Economic and social development in Africa, and section, 21, Economic and social development in Latin America and the Caribbean. For section 18, the liquidity situation hindered the ability of ECA to implement its programme, thereby disrupting key operations and events. In addition, several strategic initiatives remained unimplemented or underimplemented. For section 21, the variances are attributed mainly to austerity measures, which limited implementation of planned activities. Underexpenditures resulted from the maintenance of higher-than-planned vacancy rates and hiring restrictions. In addition, non-post expenditure was curtailed across several budget classes, including consultants, staff travel, contractual services, in-person meetings and technical cooperation activities.

**Human rights and  
humanitarian affairs****Actual expenditure 16.2 per cent less than the final budget**

The variance falls mainly under section 24, Human rights, section 26, Palestine refugees, and section 27, Humanitarian assistance.

Under section 24, underexpenditures result from austerity measures imposed to address the liquidity situation, which resulted in: (a) lower-than-budgeted post expenditure owing to higher-than-budgeted vacancy rates; (b) lower-than-budgeted other staff costs; and (c) curtailment of non-post expenditure, travel of representatives, staff travel, general operating expenses, and grants and contributions, including, for example, deferred capacity-building workshops and side meetings.

Underexpenditures in section 27 fall mainly under posts and is attributable to efforts to curtail expenditure owing to the challenging liquidity situation. This includes the maintenance of higher-than-budgeted vacancy rates. Non-post expenditure was also reduced, mainly under staff travel, contractual services, supplies and materials, and grants and contributions.

## Global communications

**Actual expenditure 15.0 per cent less than the final budget**

The variance is attributable mainly to austerity measures imposed to address the liquidity situation. This included hiring restrictions, which resulted in lower expenditure under posts and other staff costs (e.g. 20 temporary positions approved for 2024 under section 28, Global communications, for which recruitment did not occur). In addition, expenditure under contractual services and general operating expenses was curtailed. A number of trips were cancelled, and the scope of the fellowship programme was reduced, all of which contributed to lower-than-budgeted expenditure under non-post costs.

## Common support services

**Actual expenditure 11.0 per cent less than the final budget**

There was underexpenditure in all budget sections under part VIII, Common support services, reflecting austerity measures imposed to address the liquidity situation. Available liquidity allotted to the Department of Management Strategy, Policy and Compliance was prioritized to cover fixed costs (predominantly remuneration for existing staff, but also ICT infrastructure, communications, and software licences and fees, among other things). As a result, discretionary activities, including mainly nearly \$7 million for central learning budgeted entirely under contractual services class, were deprioritized, leading to significant underexpenditure.

The Department of Operational Support continued to implement austerity measures, such as delaying or cancelling the maintenance of critical United Nations Headquarters infrastructure components and planned minor alteration projects, the purchase of equipment and supplies essential for maintaining the ageing infrastructure, and reduced complex-wide cleaning services.

In Geneva, the United Nations Office at Geneva imposed: reduced operating hours across the campus; lower energy consumption, including reduced heating and cooling; postponement of purchases, projects and non-critical maintenance; reduced cleaning and limited maintenance of buildings, infrastructure, grounds and equipment; restrictions on travel, training, equipment purchases, and language and library services; non-replacement of equipment and extended use of information technology components beyond their normal life cycle; and a freeze on recruitment, withdrawal of funding for temporary replacements and limits on overtime.

## Internal oversight

**Actual expenditure 7.2 per cent less than the final budget**

The variance under section 30, Internal oversight, is attributable primarily to the lower availability of funding and austerity measures, such as limited expenditure for general temporary assistance, staff travel and contractual services.

## Capital expenditure

**Actual expenditure 26.1 per cent less than the final budget**

The variance is attributable mainly to austerity measures in response to the liquidity situation, with funding released only for the most critical projects affecting the safety and security of staff and premises, and for unavoidable contractual payments. In addition, the replacement of a security booth at the delegates' entrance at United Nations Headquarters was affected by a delay in obtaining a construction permit from the host city and owing to the necessary procurement and legal proceedings.

*Reconciliation between actual amounts on a comparable basis and the statement of cash flows*

125. The two tables below provide a reconciliation between the actual amounts calculated on a comparable basis in statement V and the amounts presented in statement IV. The actual amount is first adjusted to a net position and then reconciled to statement IV.

(Thousands of United States dollars)

|                                                                  | <i>Operating</i> | <i>Investing</i> | <i>Financing</i> | <i>Total</i>   |
|------------------------------------------------------------------|------------------|------------------|------------------|----------------|
| Available resources                                              | 3 813 036        | —                | —                | 3 813 036      |
| Actual amounts on a comparable basis as presented in statement V | 3 484 746        | —                | —                | 3 484 746      |
| <b>Net position</b>                                              | <b>328 290</b>   | <b>—</b>         | <b>—</b>         | <b>328 290</b> |

**Reconciliation of actual amounts on a comparable basis to statement of cash flows**

(Thousands of United States dollars)

|                                                                 | <i>Operating</i> | <i>Investing</i> | <i>Financing</i> | <i>Total</i>   |
|-----------------------------------------------------------------|------------------|------------------|------------------|----------------|
| <b>Actual amounts on a comparable basis (statement V)</b>       | <b>328 290</b>   | <b>—</b>         | <b>—</b>         | <b>328 290</b> |
| Basis differences                                               | (224 763)        | (152 567)        | —                | (377 330)      |
| Entity differences                                              | (3 966 243)      |                  | (3 363)          | (3 969 606)    |
| Presentation differences                                        | 3 653 923        | 354 917          | —                | 4 008 840      |
| <b>Actual amounts in statement of cash flows (statement IV)</b> | <b>(208 793)</b> | <b>202 350</b>   | <b>(3 363)</b>   | <b>(9 806)</b> |

126. Basis differences capture the differences resulting from preparing the budget on a modified cash basis. To reconcile the budgetary results to the statement of cash flows, the modified-cash elements, such as unliquidated commitments against the budget, which do not represent a cash flow, must be eliminated. Similarly, IPSAS-specific differences, such as payments against prior-year commitments and investing cash flows relating to acquisition of property, plant and equipment or intangibles, are included as basis differences to reconcile to the statement of cash flows.

127. Entity differences arise when the actual amounts on the budget basis omit programmes or fund groups that are part of the Organization, as reported in the statement of cash flows, or vice versa. Those differences represent cash flows to or from fund groups other than the regular budget that are reported in the financial statements. The financial statements include results for all the Organization's fund groups.

128. Presentation differences are differences in the format and classification schemes in the statement of cash flows and the statement of comparison of budget and actual amounts, which include the latter not presenting revenue and the net changes in cash pool balances. Other presentation differences are that the amounts included in the statement of comparison of budget and actual amounts are not segregated into operating, investing and financing activities.

## Note 6

### Cash and cash equivalents

(Thousands of United States dollars)

|                                                                                                   | 31 December 2025 | 31 December 2024 |
|---------------------------------------------------------------------------------------------------|------------------|------------------|
| Main pool (notes 31 and 32)                                                                       | 648 773          | 656 141          |
| Euro pool (notes 31 and 32)                                                                       | 6 999            | 10 127           |
| United Nations Staff Mutual Insurance Society against Sickness and Accident investments (note 31) | 30 401           | 37 091           |
| Other cash and cash equivalents (note 31)                                                         | 15 740           | 8 360            |
| <b>Total</b>                                                                                      | <b>701 913</b>   | <b>711 719</b>   |

129. Cash and cash equivalents include \$355.3 million (2024: \$350.5 million) held for the specific purposes of the relevant trust funds. Similarly, \$127.1 million (2024: \$127.1 million) in insurance funds and \$74.8 million in long-term employee benefits funds (2024: \$59.8 million) are restricted to specific purposes. Other cash and cash equivalents comprise cash at bank, petty cash and imprest cash.

## Note 7

### Investments

#### 31 December 2025

(Thousands of United States dollars)

|                                                                                                   | Trust fund investments | Insurance/ workers' compensation funds | Long-term employee benefits | Other investments | Total as at 31 December 2025 |
|---------------------------------------------------------------------------------------------------|------------------------|----------------------------------------|-----------------------------|-------------------|------------------------------|
| <b>Current</b>                                                                                    |                        |                                        |                             |                   |                              |
| Main pool (notes 31 and 32)                                                                       | 2 056 056              | 436 371                                | 433 205                     | 832 828           | 3 758 460                    |
| Euro pool (note 31)                                                                               | —                      | 7 602                                  | —                           | —                 | 7 602                        |
| United Nations Staff Mutual Insurance Society against Sickness and Accident investments (note 31) | —                      | 30 547                                 | —                           | —                 | 30 547                       |
| <b>Subtotal</b>                                                                                   | <b>2 056 056</b>       | <b>474 520</b>                         | <b>433 205</b>              | <b>832 828</b>    | <b>3 796 609</b>             |
| <b>Non-current</b>                                                                                |                        |                                        |                             |                   |                              |
| Main pool (notes 31 and 32)                                                                       | 837 872                | 177 828                                | 176 537                     | 339 383           | 1 531 620                    |
| Euro pool (note 31)                                                                               | —                      | 3 770                                  | —                           | —                 | 3 770                        |
| United Nations Staff Mutual Insurance Society against Sickness and Accident investments (note 31) | —                      | 255 323                                | —                           | —                 | 255 323                      |
| <b>Subtotal</b>                                                                                   | <b>837 872</b>         | <b>436 921</b>                         | <b>176 537</b>              | <b>339 383</b>    | <b>1 790 713</b>             |
| <b>Total</b>                                                                                      | <b>2 893 928</b>       | <b>911 441</b>                         | <b>609 742</b>              | <b>1 172 211</b>  | <b>5 587 322</b>             |

**31 December 2024**

(Thousands of United States dollars)

|                                                                                                         | <i>Trust fund<br/>investments</i> | <i>Insurance/<br/>workers'<br/>compensation<br/>funds</i> | <i>Long-term<br/>employee<br/>benefits</i> | <i>Other<br/>investments</i> | <i>Total as at<br/>31 December<br/>2024</i> |
|---------------------------------------------------------------------------------------------------------|-----------------------------------|-----------------------------------------------------------|--------------------------------------------|------------------------------|---------------------------------------------|
| <b>Current</b>                                                                                          |                                   |                                                           |                                            |                              |                                             |
| Main pool (notes 31 and 32)                                                                             | 2 102 839                         | 439 539                                                   | 359 565                                    | 1 039 668                    | 3 941 611                                   |
| Euro pool (note 31)                                                                                     | —                                 | 4 257                                                     | —                                          | —                            | 4 257                                       |
| United Nations Staff Mutual Insurance<br>Society against Sickness and Accident<br>investments (note 31) | —                                 | 34 876                                                    | —                                          | —                            | 34 876                                      |
| <b>Subtotal</b>                                                                                         | <b>2 102 839</b>                  | <b>478 672</b>                                            | <b>359 565</b>                             | <b>1 039 668</b>             | <b>3 980 744</b>                            |
| <b>Non-current</b>                                                                                      |                                   |                                                           |                                            |                              |                                             |
| Main pool (notes 31 and 32)                                                                             | 769 099                           | 160 758                                                   | 131 509                                    | 380 251                      | 1 441 617                                   |
| Euro pool (note 31)                                                                                     | —                                 | 1 014                                                     | —                                          | —                            | 1 014                                       |
| United Nations Staff Mutual Insurance<br>Society against Sickness and Accident<br>investments (note 31) | —                                 | 195 178                                                   | —                                          | —                            | 195 178                                     |
| <b>Subtotal</b>                                                                                         | <b>769 099</b>                    | <b>356 950</b>                                            | <b>131 509</b>                             | <b>380 251</b>               | <b>1 637 809</b>                            |
| <b>Total</b>                                                                                            | <b>2 871 938</b>                  | <b>835 622</b>                                            | <b>491 074</b>                             | <b>1 419 919</b>             | <b>5 618 553</b>                            |

130. The principal amounts of \$3.2 million (2024: \$3.2 million) for two trust funds (United Nations Library Endowment Fund and Sasakawa-UNDRO Disaster Prevention Award Endowment Fund) remain restricted and are unavailable for use in the operations of those trust funds. The investment revenue from the funds is used for the operations of the funds. The principal portion of the investment is kept separate until further advised by the donor.

**Note 8****Assessed contributions: receivables from non-exchange transactions**

(Thousands of United States dollars)

|                                                     | <i>31 December 2025</i> | <i>31 December 2024</i> |
|-----------------------------------------------------|-------------------------|-------------------------|
| Member States <sup>a</sup>                          | 1 591 594               | 783 766                 |
| Non-member States                                   | 819                     | 859                     |
| Loss allowance on assessed contributions receivable | (287 168)               | (278 772)               |
| <b>Assessed contributions receivable, net</b>       | <b>1 305 245</b>        | <b>505 853</b>          |

<sup>a</sup> This amount includes outstanding regular budget assessments due from current Member States of \$1,568.074 million as at 31 December 2025 and \$760.319 million as at 31 December 2024.

**Note 9****Voluntary contributions: receivables from non-exchange transactions**

(Thousands of United States dollars)

|                                                      | <i>Current</i> | <i>Non-current</i> | <i>Total as at<br/>31 December 2025</i> |
|------------------------------------------------------|----------------|--------------------|-----------------------------------------|
| Voluntary contributions                              | 972 179        | 546 214            | 1 518 393                               |
| Loss allowance on voluntary contributions receivable | (21 051)       | –                  | (21 051)                                |
| <b>Voluntary contributions receivable, net</b>       | <b>951 128</b> | <b>546 214</b>     | <b>1 497 342</b>                        |

(Thousands of United States dollars)

|                                                      | <i>Current</i>   | <i>Non-current</i> | <i>Total as at<br/>31 December 2024</i> |
|------------------------------------------------------|------------------|--------------------|-----------------------------------------|
| Voluntary contributions                              | 1 064 996        | 437 746            | 1 502 742                               |
| Loss allowance on voluntary contributions receivable | (19 913)         | –                  | (19 913)                                |
| <b>Voluntary contributions receivable, net</b>       | <b>1 045 083</b> | <b>437 746</b>     | <b>1 482 829</b>                        |

131. The non-current voluntary contributions receivable of \$546.2 million (2024: \$437.7 million) represent the discounted value of future year receivables. The current voluntary contributions receivable include \$66.6 million (2024: \$40.2 million) and non-current voluntary contributions receivable include \$44.3 million (2024: \$31.6 million) from the consolidation of the United Nations Development Programme (UNDP) multi-partner trust funds.

**Note 10****Other receivable: receivables from exchange transactions and loans**

(Thousands of United States dollars)

|                                                                                    | <i>31 December 2025</i> | <i>31 December 2024</i> |
|------------------------------------------------------------------------------------|-------------------------|-------------------------|
| Loans receivable – loans provided by the Central Emergency Response Fund (note 33) | 20 000                  | –                       |
| Receivables due from peacekeeping operations (note 33)                             | 47 376                  | 47 376                  |
| Receivables from other United Nations entities                                     | 80 823                  | 76 034                  |
| Other accounts receivable                                                          | 53 429                  | 26 405                  |
| <b>Subtotal</b>                                                                    | <b>201 628</b>          | <b>149 815</b>          |
| Loss allowance for receivables due from peacekeeping operations (note 33)          | (47 376)                | (47 376)                |
| Loss allowance for receivables due from other United Nations entities              | (1 984)                 | (2 534)                 |
| Loss allowance for other receivables                                               | (3 421)                 | (3 160)                 |
| <b>Subtotal</b>                                                                    | <b>(52 781)</b>         | <b>(53 070)</b>         |
| <b>Total other receivables, net</b>                                                | <b>148 847</b>          | <b>96 745</b>           |

## Note 11

### Inventories

132. Inventory balances as at 31 December 2025 fell by 12 per cent compared with the previous year. Both new inventory receipts and stock consumption declined, by 41 and 34 per cent, respectively, with consumption exceeding receipts by 45 per cent. The biggest inventory reductions occurred in UNTMIS (\$1.4 million), the United Nations Assistance Mission for Iraq (UNAMI) (\$1.2 million) and UNAMA (\$0.8 million), owing mainly to the closure of UNAMI and decreased procurement in other missions.

133. In 2025, \$0.8 million (2024: \$1.6 million) in impairments and write-offs was reported.

(Thousands of United States dollars)

|                                               | <i>Held for sale</i> | <i>Raw materials</i> | <i>Strategic reserves</i> | <i>Consumables and supplies</i> | <i>Total</i>  |
|-----------------------------------------------|----------------------|----------------------|---------------------------|---------------------------------|---------------|
| <b>Opening inventory as at 1 January 2024</b> | <b>2 862</b>         | <b>150</b>           | <b>1 281</b>              | <b>30 542</b>                   | <b>34 835</b> |
| Purchase                                      | 1 659                | 41                   | 73 <sup>a</sup>           | 8 654                           | 10 427        |
| Consumption                                   | (1 270)              | (47)                 | (615) <sup>a</sup>        | (11 575)                        | (13 507)      |
| Impairment and write-offs                     | (1)                  | 178                  | 189                       | (1 958)                         | (1 592)       |
| <b>Total inventory as at 31 December 2024</b> | <b>3 250</b>         | <b>322</b>           | <b>928</b>                | <b>25 663</b>                   | <b>30 163</b> |
| Purchase                                      | 1 536                | 39                   | 72                        | 4 524                           | 6 171         |
| Consumption                                   | (1 152)              | (33)                 | (340)                     | (7 438)                         | (8 963)       |
| Impairment and write-offs                     | 15                   | 2                    | (50)                      | (748)                           | (781)         |
| <b>Total inventory as at 31 December 2025</b> | <b>3 649</b>         | <b>330</b>           | <b>610</b>                | <b>22 001</b>                   | <b>26 590</b> |

<sup>a</sup> Restated to exclude non-strategic fuel purchase and consumption to conform to current year presentation.

## Note 12

### Other assets

(Thousands of United States dollars)

|                                                                 | <i>31 December 2025</i> | <i>31 December 2024</i> |
|-----------------------------------------------------------------|-------------------------|-------------------------|
| Advances to UNDP and other United Nations agencies <sup>a</sup> | 26 486                  | 27 253                  |
| Advances to vendors                                             | 674                     | 1 886                   |
| Advances to staff                                               | 30 986                  | 33 360                  |
| Advances to military and other personnel                        | 5 399                   | 5 075                   |
| Deferred charges                                                | 42 659                  | 36 577                  |
| UNDP multi-partner trust fund advances <sup>b</sup>             | 37 450                  | 59 909                  |
| Other                                                           | 24 280                  | 16 374                  |
| <b>Total other assets</b>                                       | <b>167 934</b>          | <b>180 434</b>          |

<sup>a</sup> Includes amount advanced to UNDP for resident coordinator system.

<sup>b</sup> See note 24 for the multi-partner trust funds administered by UNDP.

**Note 13****Heritage assets**

134. Specific assets are categorized as heritage assets because of their cultural, educational or historical significance. Heritage assets owned by the Organization comprise works of art, statues, monuments, historical buildings and books and maps and were acquired over many years by various means, including donation and bequest. Heritage assets held by the United Nations are not given with the intention that the Organization will dispose of them for economic benefit. These items do not provide service potential to the Organization in support of its mandated activities. Consequently, they do not meet the IPSAS definition of an asset and are not recognized in the statement of financial position.

**Note 14****Property, plant and equipment**

135. Effective 1 January 2025, the Organization adopted IPSAS 43, thereby replacing IPSAS 13. The new standard introduces a single lessee model that recognizes right-of-use assets and corresponding liabilities. This note should be read in conjunction with note 34, on leases.

136. The net book value of property, plant and equipment as at 31 December 2025 was \$3,336.4 million (2024: \$3,098.9 million), which includes \$323.3 million for leased assets capitalized as required by IPSAS 43. The total cost of acquisitions during the year was \$504.0 million: \$124.9 million for the acquisition of owned property, plant and equipment (2024: \$209.6 million) and \$379.1 million for the recognition of leased assets.

137. During the year, the Organization disposed of assets with a total net book value of \$62.5 million (2024: \$4.8 million). This disposal amount includes both items written off and those reassigned to other United Nations entities outside volume I.

138. Write-offs included buildings, infrastructure and leasehold improvements of \$55.5 million (2024: \$0.9 million) owing mainly to the ongoing liquidation of UNAMI (\$44.8 million) and the relocation of the Jalalabad office of UNAMA to the United Nations Children's Fund compound (\$8 million). In addition, equipment with a net book value of \$2.9 million (2024: \$2.6 million) was written off owing to: (a) a surplus of \$0.2 million (2024: nil); (b) damages, normal wear and tear and other losses of \$2.5 million (2024: \$0.6 million); and (c) hostile action and theft of \$0.2 million (2024: \$2.0 million).

139. Disposals through reassignment to other United Nations entities included assets with a net book value of \$4.1 million.

140. An impairment review was conducted, and no other significant impairment was identified.

*Assets under construction*

141. During the year, additions of \$105.1 million (2024: \$167.8 million) were capitalized as assets under construction, relating mainly to the refurbishment and renovation of the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva (\$57.1 million), the replacement of office blocks A–J at the United Nations Office at Nairobi (\$13.7 million) and leasehold improvements in the ESCAP building in Bangkok (\$9.0 million).

142. The strategic heritage plan of the United Nations Office at Geneva has a total projected cost of 924.2 million Swiss francs (equivalent to \$1,171.4 million). Construction work is expected to continue until mid-2028, and the project is

co-financed by the United Nations and an interest-free refundable loan from the Government of Switzerland for the maximum amount of 400 million Swiss francs (see note 22).

143. Assets under construction amounting to \$410.6 million (2024: \$34.3 million) were completed and became operational, relating mainly to the completion or partial completion of the following construction projects: projects at the Palais des Nations under the strategic heritage plan of the United Nations Office at Geneva (\$279.2 million), the renovation of Africa Hall at ECA (\$48.5 million), seismic mitigation at ESCAP (\$41.5 million), construction works at the Economic Commission for Latin America and the Caribbean (\$18.8 million) and at United Nations Headquarters (\$11.3 million), and façade restoration at the Economic and Social Commission for Western Asia (\$5.4 million).

144. Assets under construction at year end in the amount of \$293.1 million (2024: \$601.0 million) comprise primarily the refurbishment and renovation of the Palais des Nations at the United Nations Office at Geneva (\$202.5 million), the replacement of office blocks A–J at the United Nations Office at Nairobi (\$47.5 million), construction works at United Nations Headquarters (\$10.1 million), the renovation of Africa Hall at ECA (\$2.7 million) and leasehold improvements at ESCAP (\$1.5 million).

*Donated right-of-use assets (previously recognized as finance leases)*

145. As at 31 December 2025, the cost of donated right-of-use assets, previously recognized as finance leases, amounted to \$137.7 million at cost (\$40.7 million net book value). The donated right to use represents mainly the cost of the Vienna International Centre (\$135.0 million at cost, \$40.0 million at net book value).

146. The Vienna International Centre leases were established in 1979 for 99 years for four United Nations system entities (United Nations Office at Vienna, International Atomic Energy Agency, United Nations Industrial Development Organization and Preparatory Commission for the Comprehensive Nuclear-Test-Ban Treaty Organization). As at 1 January 2015 (IPSAS adoption), the cost and net book value of the Centre were valued at 489.2 million euros (\$596.6 million) and 288.0 million euros (\$351.2 million), respectively. An annual review of the buildings management services ratio resulted in no change in the cost sharing ratio, which remains at 23.20 per cent. As a result, it was not necessary to recalculate the Centre's share for United Nations financial reporting. Accordingly, no change has been made to the costs of \$135.8 million and the net book value of \$79.9 million that were recognized as at 1 January 2015.

## Property, plant and equipment: 2025

(Thousands of United States dollars)

|                                                        | Land           | Buildings        | Infrastructure | Transportation <sup>a</sup> | Communications<br>and information<br>technology<br>equipment | Machinery and<br>equipment | Furniture and<br>fixtures | Assets under<br>construction | Leasehold<br>improvements | Total            |
|--------------------------------------------------------|----------------|------------------|----------------|-----------------------------|--------------------------------------------------------------|----------------------------|---------------------------|------------------------------|---------------------------|------------------|
| <b>Cost as at 31 December 2024</b>                     | <b>835 698</b> | <b>4 074 174</b> | <b>346 921</b> | <b>182 579</b>              | <b>179 332</b>                                               | <b>59 598</b>              | <b>14 338</b>             | <b>601 049</b>               | <b>19 207</b>             | <b>6 312 896</b> |
| Additions                                              | 1 887          | 367 108          | (8)            | 19 620                      | 7 341                                                        | 2 752                      | 191                       | 105 089                      | –                         | 503 980          |
| Disposals                                              | –              | (351 987)        | (15 507)       | (44 223)                    | (24 807)                                                     | (5 817)                    | (532)                     | –                            | (6 705)                   | (449 578)        |
| Completed assets under construction                    | –              | 394 582          | 7 690          | –                           | 1 760                                                        | –                          | –                         | (410 585)                    | 6 553                     | –                |
| Transfers and others <sup>b</sup>                      | –              | (3 218)          | 664            | 4 441                       | 143                                                          | 70                         | –                         | (2 475)                      | 3 447                     | 3 072            |
| <b>Cost as at 31 December 2025</b>                     | <b>837 585</b> | <b>4 480 659</b> | <b>339 760</b> | <b>162 417</b>              | <b>163 769</b>                                               | <b>56 603</b>              | <b>13 997</b>             | <b>293 078</b>               | <b>22 502</b>             | <b>6 370 370</b> |
| <b>Accumulated depreciation as at 31 December 2024</b> | <b>–</b>       | <b>2 652 120</b> | <b>239 731</b> | <b>125 353</b>              | <b>139 027</b>                                               | <b>39 581</b>              | <b>8 589</b>              | <b>–</b>                     | <b>9 624</b>              | <b>3 214 025</b> |
| Depreciation                                           | 702            | 151 698          | 9 021          | 22 209                      | 11 479                                                       | 4 264                      | 1 463                     | –                            | 2 811                     | 203 647          |
| Disposals                                              | –              | (311 342)        | (4 462)        | (40 081)                    | (24 016)                                                     | (5 189)                    | (532)                     | –                            | (1 505)                   | (387 127)        |
| Transfers and others <sup>b</sup>                      | –              | (899)            | 317            | 2 699                       | 210                                                          | 78                         | –                         | –                            | 918                       | 3 323            |
| Impairment losses                                      | –              | –                | –              | 93                          | –                                                            | 58                         | –                         | –                            | –                         | 151              |
| <b>Accumulated depreciation as at 31 December 2025</b> | <b>702</b>     | <b>2 491 577</b> | <b>244 607</b> | <b>110 273</b>              | <b>126 700</b>                                               | <b>38 792</b>              | <b>9 520</b>              | <b>–</b>                     | <b>11 848</b>             | <b>3 034 019</b> |
| <b>Net carrying amount</b>                             |                |                  |                |                             |                                                              |                            |                           |                              |                           |                  |
| 31 December 2024                                       | 835 698        | 1 422 054        | 107 190        | 57 226                      | 40 305                                                       | 20 017                     | 5 749                     | 601 049                      | 9 583                     | 3 098 871        |
| <b>31 December 2025</b>                                | <b>836 883</b> | <b>1 989 082</b> | <b>95 153</b>  | <b>52 144</b>               | <b>37 069</b>                                                | <b>17 811</b>              | <b>4 477</b>              | <b>293 078</b>               | <b>10 654</b>             | <b>3 336 351</b> |
| <b>Comprising:</b>                                     |                |                  |                |                             |                                                              |                            |                           |                              |                           |                  |
| <i>Owned</i>                                           | <b>835 698</b> | <b>1 674 459</b> | <b>95 153</b>  | <b>46 256</b>               | <b>37 069</b>                                                | <b>16 389</b>              | <b>4 341</b>              | <b>293 078</b>               | <b>10 654</b>             | <b>3 013 097</b> |
| <i>Leased<sup>c</sup></i>                              | <b>1 185</b>   | <b>314 623</b>   | <b>–</b>       | <b>5 888</b>                | <b>–</b>                                                     | <b>1 422</b>               | <b>136</b>                | <b>–</b>                     | <b>–</b>                  | <b>323 254</b>   |

<sup>a</sup> Including vehicles and aircraft.

<sup>b</sup> Others includes in-year adjustments to property, plant and equipment.

<sup>c</sup> Right-of-use assets following IPSAS 43 implementation on 1 January 2025. See note 34 for details.

**Property, plant and equipment: 2024**

(Thousands of United States dollars)

|                                                            | <i>Land</i>    | <i>Buildings</i> | <i>Infrastructure</i> | <i>Transportation<sup>a</sup></i> | <i>Communications<br/>and information<br/>technology<br/>equipment</i> | <i>Machinery<br/>and equipment</i> | <i>Furniture<br/>and fixtures</i> | <i>Assets under<br/>construction</i> | <i>Leasehold<br/>improvements</i> | <i>Total</i>     |
|------------------------------------------------------------|----------------|------------------|-----------------------|-----------------------------------|------------------------------------------------------------------------|------------------------------------|-----------------------------------|--------------------------------------|-----------------------------------|------------------|
| <b>Cost as at 31 December 2023</b>                         | <b>835 698</b> | <b>4 054 493</b> | <b>329 961</b>        | <b>180 980</b>                    | <b>177 026</b>                                                         | <b>57 868</b>                      | <b>14 222</b>                     | <b>467 542</b>                       | <b>14 073</b>                     | <b>6 131 863</b> |
| Additions                                                  | –              | 5 075            | 8 055                 | 14 121                            | 8 357                                                                  | 5 132                              | 115                               | 167 841                              | 854                               | 209 550          |
| Disposals                                                  | –              | (3 733)          | (704)                 | (14 999)                          | (7 117)                                                                | (3 809)                            | –                                 | –                                    | –                                 | (30 362)         |
| Completed assets under construction                        | –              | 19 758           | 8 525                 | –                                 | –                                                                      | –                                  | –                                 | (34 334)                             | 6 051                             | –                |
| Transfers and others <sup>b</sup>                          | –              | (1 419)          | 1 084                 | 2 477                             | 1 066                                                                  | 407                                | 1                                 | –                                    | (1 771)                           | 1 845            |
| <b>Cost as at 31 December 2024</b>                         | <b>835 698</b> | <b>4 074 174</b> | <b>346 921</b>        | <b>182 579</b>                    | <b>179 332</b>                                                         | <b>59 598</b>                      | <b>14 338</b>                     | <b>601 049</b>                       | <b>19 207</b>                     | <b>6 312 896</b> |
| <b>Accumulated depreciation as at<br/>31 December 2023</b> | <b>–</b>       | <b>2 563 309</b> | <b>230 894</b>        | <b>122 633</b>                    | <b>131 703</b>                                                         | <b>39 563</b>                      | <b>7 247</b>                      | <b>–</b>                             | <b>7 868</b>                      | <b>3 103 217</b> |
| Depreciation                                               | –              | 94 933           | 9 450                 | 12 338                            | 13 299                                                                 | 3 149                              | 1 341                             | –                                    | 1 646                             | 136 156          |
| Disposals                                                  | –              | (2 697)          | (646)                 | (11 778)                          | (6 926)                                                                | (3 502)                            | –                                 | –                                    | –                                 | (25 549)         |
| Transfers and others <sup>b</sup>                          | –              | (3 425)          | 33                    | 2 128                             | 951                                                                    | 357                                | 1                                 | –                                    | 110                               | 155              |
| Impairment losses                                          | –              | –                | –                     | 32                                | –                                                                      | 14                                 | –                                 | –                                    | –                                 | 46               |
| <b>Accumulated depreciation as at<br/>31 December 2024</b> | <b>–</b>       | <b>2 652 120</b> | <b>239 731</b>        | <b>125 353</b>                    | <b>139 027</b>                                                         | <b>39 581</b>                      | <b>8 589</b>                      | <b>–</b>                             | <b>9 624</b>                      | <b>3 214 025</b> |
| <b>Net carrying amount</b>                                 |                |                  |                       |                                   |                                                                        |                                    |                                   |                                      |                                   |                  |
| 31 December 2023                                           | 835 698        | 1 491 185        | 99 067                | 58 347                            | 45 323                                                                 | 18 305                             | 6 974                             | 467 542                              | 6 205                             | 3 028 646        |
| <b>31 December 2024</b>                                    | <b>835 698</b> | <b>1 422 054</b> | <b>107 190</b>        | <b>57 226</b>                     | <b>40 305</b>                                                          | <b>20 017</b>                      | <b>5 749</b>                      | <b>601 049</b>                       | <b>9 583</b>                      | <b>3 098 871</b> |

<sup>a</sup> Including vehicles and aircraft.<sup>b</sup> Others includes in-year adjustments to property, plant and equipment.

**Note 15****Intangible assets**

147. The net book value of intangible assets as at 31 December 2025 was \$151.5 million (2024: \$163.0 million). The total costs of acquisitions and amortization during 2025 were \$28.2 million and \$28.6 million, respectively.

148. The total carrying value of the Organization's enterprise resource planning system (Umoja) as at year end was \$112.4 million (2024: \$113.9 million). Umoja-related development and enhancement costs are capitalized as assets under development until the relevant phase becomes operational, at which time the completed asset under development is transferred to intangible operational assets.

149. During the year, assets under development amounting to \$23.7 million were completed and became operational. Additions of \$19.5 million (2024: \$22.7 million) were capitalized to assets under development, relating to Umoja software. Additions of \$3.5 million (2024: \$8.5 million) were capitalized to other software developed internally, relating mainly to the grants management system of the Office for the Coordination of Humanitarian Affairs (\$1.7 million).

150. Other assets under development at year end amounting to \$5.0 million (2024: \$17.5 million) relate primarily to upgrades to the new health insurance information system (\$3.5 million), the petitions database of the Office of the United Nations High Commissioner for Human Rights (\$0.6 million) and improvements to the grants management system of the Office for the Coordination of Humanitarian Affairs (\$0.4 million). All enhancements relating to the Umoja project were capitalized as integration enhancements, and no parts remain under development as at 31 December 2025.

151. During the year, the Organization disposed of intangible software assets in the amount of \$0.47 million at net book value (2024: \$0.4 million), owing to obsolescence.

**Intangible assets: 2025**

(Thousands of United States dollars)

|                                                        | <i>Umoja</i>   | <i>Other software<br/>developed<br/>internally</i> | <i>Software<br/>acquired<br/>externally</i> | <i>Licences and<br/>rights</i> | <i>Assets under development</i> |               | <i>Total</i>   |
|--------------------------------------------------------|----------------|----------------------------------------------------|---------------------------------------------|--------------------------------|---------------------------------|---------------|----------------|
|                                                        |                |                                                    |                                             |                                | <i>Umoja</i>                    | <i>Other</i>  |                |
| <b>Cost as at 31 December 2024</b>                     | <b>357 353</b> | <b>51 826</b>                                      | <b>16 725</b>                               | <b>154</b>                     | –                               | <b>17 462</b> | <b>443 520</b> |
| Additions                                              | –              | 5 943                                              | –                                           | –                              | 19 534                          | 2 773         | 28 250         |
| Disposals                                              | –              | (732)                                              | (125)                                       | –                              | –                               | –             | (857)          |
| Completed assets under development                     | 20 190         | 3 515                                              | –                                           | –                              | (19 534)                        | (4 171)       | –              |
| Transfers and others                                   | –              | 436                                                | –                                           | –                              | –                               | (11 102)      | (10 666)       |
| <b>Cost as at 31 December 2025</b>                     | <b>377 543</b> | <b>60 988</b>                                      | <b>16 600</b>                               | <b>154</b>                     | –                               | <b>4 962</b>  | <b>460 247</b> |
| <b>Accumulated amortization as at 31 December 2024</b> | <b>243 471</b> | <b>25 008</b>                                      | <b>11 846</b>                               | <b>154</b>                     | –                               | –             | <b>280 479</b> |
| Amortization                                           | 21 704         | 5 712                                              | 1 223                                       | –                              | –                               | –             | 28 639         |
| Disposals                                              | –              | (262)                                              | (125)                                       | –                              | –                               | –             | (387)          |
| Transfers and others                                   | –              | 65                                                 | –                                           | –                              | –                               | –             | 65             |
| <b>Accumulated amortization as at 31 December 2025</b> | <b>265 175</b> | <b>30 523</b>                                      | <b>12 944</b>                               | <b>154</b>                     | –                               | –             | <b>308 796</b> |
| <b>Net carrying amount</b>                             |                |                                                    |                                             |                                |                                 |               |                |
| 31 December 2024                                       | 113 882        | 26 818                                             | 4 879                                       | –                              | –                               | 17 462        | 163 041        |
| <b>31 December 2025</b>                                | <b>112 368</b> | <b>30 465</b>                                      | <b>3 656</b>                                | –                              | –                               | <b>4 962</b>  | <b>151 451</b> |

**Intangible assets: 2024**

(Thousands of United States dollars)

|                                                        | <i>Umoja</i>   | <i>Other software<br/>developed<br/>internally</i> | <i>Software<br/>acquired<br/>externally</i> | <i>Licences and<br/>rights</i> | <i>Assets under development</i> |               | <i>Total</i>   |
|--------------------------------------------------------|----------------|----------------------------------------------------|---------------------------------------------|--------------------------------|---------------------------------|---------------|----------------|
|                                                        |                |                                                    |                                             |                                | <i>Umoja</i>                    | <i>Other</i>  |                |
| <b>Cost as at 31 December 2023</b>                     | <b>334 679</b> | <b>26 079</b>                                      | <b>17 039</b>                               | <b>154</b>                     | –                               | <b>21 881</b> | <b>399 832</b> |
| Additions                                              | –              | 8 695                                              | 26                                          | –                              | 22 674                          | 4 046         | 35 441         |
| Disposals                                              | –              | (734)                                              | (112)                                       | –                              | –                               | –             | (846)          |
| Completed assets under development                     | 22 674         | 8 465                                              | –                                           | –                              | (22 674)                        | (8 465)       | –              |
| Transfers and others                                   | –              | 9 321                                              | (228)                                       | –                              | –                               | –             | 9 093          |
| <b>Cost as at 31 December 2024</b>                     | <b>357 353</b> | <b>51 826</b>                                      | <b>16 725</b>                               | <b>154</b>                     | –                               | <b>17 462</b> | <b>443 520</b> |
| <b>Accumulated amortization as at 31 December 2023</b> | <b>220 957</b> | <b>21 034</b>                                      | <b>10 523</b>                               | <b>154</b>                     | –                               | –             | <b>252 668</b> |
| Amortization                                           | 22 514         | 4 247                                              | 1 580                                       | –                              | –                               | –             | 28 341         |
| Disposals                                              | –              | (421)                                              | (28)                                        | –                              | –                               | –             | (449)          |
| Transfers and others                                   | –              | 148                                                | (229)                                       | –                              | –                               | –             | (81)           |
| <b>Accumulated amortization as at 31 December 2024</b> | <b>243 471</b> | <b>25 008</b>                                      | <b>11 846</b>                               | <b>154</b>                     | –                               | –             | <b>280 479</b> |
| <b>Net carrying amount</b>                             |                |                                                    |                                             |                                |                                 |               |                |
| 31 December 2023                                       | 113 722        | 5 045                                              | 6 516                                       | –                              | –                               | 21 881        | 147 164        |
| <b>31 December 2024</b>                                | <b>113 882</b> | <b>26 818</b>                                      | <b>4 879</b>                                | –                              | –                               | <b>17 462</b> | <b>163 041</b> |

## Note 16

### Accounts payable and accrued liabilities

(Thousands of United States dollars)

|                                                            | 31 December 2025 | 31 December 2024 |
|------------------------------------------------------------|------------------|------------------|
| Payable to vendors                                         | 82 464           | 85 298           |
| Transfers payable                                          | 9 252            | 10 496           |
| Payable to other United Nations entities                   | 67 957           | 50 035           |
| Accruals for goods and services                            | 110 071          | 110 143          |
| Accounts payable – other                                   | 48 412           | 95 399           |
| <b>Subtotal</b>                                            | <b>318 156</b>   | <b>351 371</b>   |
| Payable to Member States                                   | 4 365            | 2 757            |
| Working Capital Fund payable to Member States <sup>a</sup> | 250 000          | 250 000          |
| <b>Subtotal</b>                                            | <b>254 365</b>   | <b>252 757</b>   |
| <b>Total accounts payable and accrued liabilities</b>      | <b>572 521</b>   | <b>604 128</b>   |

<sup>a</sup> The Working Capital Fund represents advances from Member States to finance budgeted or extraordinary expenses and for other purposes as authorized by the General Assembly.

## Note 17

### Advance receipts and deferred revenue

(Thousands of United States dollars)

|                                                    | 31 December 2025 | 31 December 2024 |
|----------------------------------------------------|------------------|------------------|
| Deferred revenue                                   | 134 084          | 128 159          |
| Advance receipts from Member States                | 812              | 3 334            |
| <b>Total advance receipts and deferred revenue</b> | <b>134 896</b>   | <b>131 493</b>   |

## Note 18

### Employee benefits liabilities

(Thousands of United States dollars)

|                                                                    | Current        | Non-current      | Total<br>31 December 2025 |
|--------------------------------------------------------------------|----------------|------------------|---------------------------|
| After-service health insurance                                     | 108 880        | 4 125 901        | 4 234 781                 |
| Repatriation benefits                                              | 37 936         | 218 422          | 256 358                   |
| Annual leave                                                       | 22 388         | 144 231          | 166 619                   |
| <b>Total attributable to regular budget</b>                        | <b>169 204</b> | <b>4 488 554</b> | <b>4 657 758</b>          |
| After-service health insurance                                     | 22 092         | 1 095 742        | 1 117 834                 |
| Repatriation benefits                                              | 12 957         | 109 817          | 122 774                   |
| Annual leave                                                       | 8 009          | 80 512           | 88 521                    |
| <b>Total attributable to extrabudgetary resources</b>              | <b>43 058</b>  | <b>1 286 071</b> | <b>1 329 129</b>          |
| <b>Defined end-of-service/post-employment benefits liabilities</b> | <b>212 262</b> | <b>5 774 625</b> | <b>5 986 887</b>          |

|                                            | <i>Current</i> | <i>Non-current</i> | <i>Total<br/>31 December 2025</i> |
|--------------------------------------------|----------------|--------------------|-----------------------------------|
| Appendix D/workers' compensation           | 3 504          | 49 924             | 53 428                            |
| Pension contribution liabilities           | 1 317          | –                  | 1 317                             |
| Insurance liabilities                      | 10 317         | –                  | 10 317                            |
| Accrued salaries and allowances            | 169 400        | 23                 | 169 423                           |
| <b>Total employee benefits liabilities</b> | <b>396 800</b> | <b>5 824 572</b>   | <b>6 221 372</b>                  |

(Thousands of United States dollars)

|                                                                    | <i>Current</i> | <i>Non-current</i> | <i>Total<br/>31 December 2024</i> |
|--------------------------------------------------------------------|----------------|--------------------|-----------------------------------|
| After-service health insurance                                     | 87 438         | 3 900 421          | 3 987 859                         |
| Repatriation benefits                                              | 27 772         | 196 171            | 223 943                           |
| Annual leave                                                       | 20 257         | 136 345            | 156 602                           |
| <b>Total attributable to regular budget</b>                        | <b>135 467</b> | <b>4 232 937</b>   | <b>4 368 404</b>                  |
| After-service health insurance                                     | 17 488         | 1 042 714          | 1 060 202                         |
| Repatriation benefits                                              | 9 793          | 97 128             | 106 921                           |
| Annual leave                                                       | 8 113          | 68 963             | 77 076                            |
| <b>Total attributable to extrabudgetary resources</b>              | <b>35 394</b>  | <b>1 208 805</b>   | <b>1 244 199</b>                  |
| <b>Defined end-of-service/post-employment benefits liabilities</b> | <b>170 861</b> | <b>5 441 742</b>   | <b>5 612 603</b>                  |
| Appendix D/workers' compensation                                   | 3 378          | 52 986             | 56 364                            |
| Pension contribution liabilities                                   | 774            | –                  | 774                               |
| Insurance liabilities                                              | 10 920         | –                  | 10 920                            |
| Accrued salaries and allowances                                    | 95 142         | 25                 | 95 167                            |
| <b>Total employee benefits liabilities</b>                         | <b>281 075</b> | <b>5 494 753</b>   | <b>5 775 828</b>                  |

152. The liabilities arising from end-of-service/post-employment benefits and the workers' compensation programme under Appendix D to the Staff Rules of the United Nations are measured by independent actuaries in accordance with IPSAS 39. A full actuarial valuation for after-service health insurance, annual leave and repatriation benefits is performed every two years. In years between full valuations, independent actuaries perform a roll-forward exercise using existing participation data with a partial update of actuarial assumptions. The most recent full actuarial valuation was completed as at 31 December 2025, while actuarially valued balances as at 31 December 2024 represent a roll forward of the December 2023 valuation results.

153. The after-service health insurance programme provides eligible retirees with continued health insurance coverage under the same health insurance schemes available to active United Nations staff. Premium rates established for all health plans are reviewed and, where necessary, revised annually to ensure that a sufficient level of operational reserves is available to maintain each plan.

154. The General Assembly sets contribution ratios between the Organization and active and retired staff for the United Nations health insurance plans. Currently, these are a maximum of 2 to 1 for all United States-based plans, approximately 1 to 1 for

non-United States-based plans administered by Headquarters, and between 75 per cent for single coverage and 80 per cent for family coverage for the medical insurance plan.

155. The after-service health insurance programme is funded on a pay-as-you-go basis for assessed funding sources. Rising costs, driven by demographic changes, longer life expectancy and increasing costs of healthcare services, are managed through cost-containment measures while ensuring that participants continue to have access to appropriate insurance coverage to meet their healthcare needs. The costs are managed through ongoing reviews of the structure of the plans and the benefits offered. The Organization also conducts periodic funding studies to evaluate long-term sustainability, identify options to improve efficiency and contain the Organization's health insurance obligations.

#### *Defined end-of-service/post-employment benefits liabilities*

##### *Actuarial valuation: main assumptions*

156. The principal actuarial assumptions used to determine the employee benefits obligations at 31 December 2025 and 31 December 2024 are shown below.

#### **Discount rates**

(Percentage)

| <i>Assumptions</i>              | <i>After-service health insurance</i> | <i>Repatriation benefits</i> | <i>Annual leave</i> |
|---------------------------------|---------------------------------------|------------------------------|---------------------|
| Discount rates 31 December 2025 | 4.88                                  | 5.17                         | 5.25                |
| Discount rates 31 December 2024 | 4.45                                  | 5.55                         | 5.58                |

157. The discount rates for the United States dollar, the euro and the Swiss franc are based on yield curves developed by Aon, a risk capital and human capital professional services firm, in accordance with the decision of the Task Force on Accounting Standards to harmonize actuarial assumptions across the United Nations system.

158. The above rates are based on the assumption that most cash flows occur in United States dollars except for: (a) the GKK (Wiener Gebietskrankenkasse), the supplemental medical insurance plan and the full medical insurance plan, which use the euro area yield curve; and (b) the United Nations Staff Mutual Insurance Society against Sickness and Accident plan, which uses the Swiss franc yield curve. For currencies other than the United States dollar, the euro or the Swiss franc, the United States dollar was used as a proxy for the discount rate computation. The after-service health insurance plan per capita claim costs are updated to reflect recent claims and enrolment experience. The table below presents the per capita claims cost assumption at age 65.

#### **Per capita claims cost (at age 65)**

(United States dollars)

| <i>Plan</i>                 | <i>2025</i> | <i>2024</i> |
|-----------------------------|-------------|-------------|
| <b>United States plans</b>  |             |             |
| Aetna/HIP/HMO – no Medicare | 14 852      | 13 567      |
| Aetna/HIP/HMO – Medicare    | 9 490       | 10 469      |
| Anthem – no Medicare        | 18 817      | 14 944      |
| Anthem – Medicare           | 9 276       | 8 592       |
| Cigna Dental                | 924         | 927         |

| <i>Plan</i>                        | <i>2025</i> | <i>2024</i> |
|------------------------------------|-------------|-------------|
| <b>Non-United States plans</b>     |             |             |
| UNSMIS                             | 6 898       | 6 578       |
| Cigna WWP                          | 4 050       | 3 771       |
| FMIP/GKK/SMIP                      | 6 210       | 3 771       |
| MIP administered by United Nations | 2 898       | 2 489       |
| MIP administered by UNDP           | 1 590       | 1 552       |

*Abbreviations:* FMIP, full medical insurance plan; GKK, Wiener Gebietskrankenkasse; HIP, health insurance plan of New York; HMO, health maintenance organization; MIP, medical insurance plan; SMIP, supplemental medical insurance plan; UNDP, United Nations Development Programme; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accident; WWP, worldwide plan.

159. The per capita claim costs for the after-service health insurance plans are updated to reflect recent claims and enrolment experience.

### Healthcare cost trend assumptions

(Percentage)

| <i>Cost trend assumptions</i>   | <i>2025</i>    |              |                   | <i>2024</i>    |              |                   |
|---------------------------------|----------------|--------------|-------------------|----------------|--------------|-------------------|
|                                 | <i>Initial</i> | <i>Final</i> | <i>Grade down</i> | <i>Initial</i> | <i>Final</i> | <i>Grade down</i> |
| United States non-Medicare      | 9.50           | 3.85         | 7 years           | 9.00           | 3.85         | 8 years           |
| United States Medicare          | 9.00           | 3.85         | 7 years           | 8.85           | 3.85         | 8 years           |
| United States dental            | 7.80           | 3.85         | 7 years           | 6.80           | 3.85         | 8 years           |
| Non-United States (Switzerland) | 5.00           | 1.90         | 7 years           | 6.00           | 2.15         | 8 years           |
| Non-United States (eurozone)    | 6.90           | 3.75         | 8 years           | 6.90           | 3.75         | 10 years          |

160. The healthcare cost trend rate assumption reflects the current short-term expectations of the after-service health insurance plan cost changes in future years. The healthcare cost trend rates are based on Aon long-term assumptions for various currencies as shown above.

### Mortality rates

161. For defined benefit plans, assumptions regarding future mortality are based on published statistics and mortality tables. Pre-retirement mortality, withdrawal and retirement assumptions are consistent with those used by the United Nations Joint Staff Pension Fund in its actuarial valuation. The Fund's post-retirement mortality rates have been used by Buck, a firm that provides pensions and employee benefits consulting services, to produce the weighted headcount mortality table, applied for the December 2024 and December 2025 valuations in line with the recommendations of the Task Force on Accounting Standards.

#### *Actuarial valuation: other assumptions*

162. With regard to the valuation of repatriation benefits, inflation in travel costs was assumed to be 2.20 per cent, in line with the guidance of the Task Force on Accounting Standards and on the basis of the projected consumer price index over the coming 10 years (Aon).

163. Annual leave balances were assumed to increase at the following annual rates during the staff member's projected years of service: 0–1 year, 8.1 days; 2–3 years, 4.1 days; 4–8 years, 1.9 days; 9–15 years, 1 day; and 16 or more years, 0.4 days, up to the maximum of 60 days. The attribution method is used for annual leave actuarial valuation.

164. The estimated duration of the benefit plans as at 31 December 2025 is as follows:

| <i>Benefits plan</i>           | <i>Estimated duration (years)</i> |
|--------------------------------|-----------------------------------|
| After-service health insurance | 19                                |
| Repatriation grant             | 7                                 |
| Annual leave                   | 8                                 |

165. The table below presents the currency allocation used to determine the discount rates and healthcare cost trend rates applicable to each plan. For currencies other than the United States dollar, euro or Swiss franc, the United States dollar was used as a proxy for the computation of the rates.

(Percentage)

| <i>Benefits plan</i>  | <i>United States dollar</i> | <i>Swiss franc</i> | <i>Euro</i> |
|-----------------------|-----------------------------|--------------------|-------------|
| ASHI                  |                             |                    |             |
| Cigna WWP             | 73                          | 6                  | 21          |
| MIP                   | 95                          | –                  | 5           |
| UNSMIS                | 12                          | 75                 | 13          |
| GKK                   | –                           | –                  | 100         |
| Other medical plans   | 100                         | –                  | –           |
| Repatriation grant    | 100                         | –                  | –           |
| Annual leave          | 100                         | –                  | –           |
| Workers' compensation | 100                         | –                  | –           |

*Abbreviations:* ASHI, after-service health insurance; GKK, Wiener Gebietskrankenkasse; MIP, medical insurance plan; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accident; WWP, worldwide plan.

*Movement in post-employment benefit liabilities accounted for as defined benefit plans*

(Thousands of United States dollars)

|                                                                      | <i>2025</i>      | <i>2024</i>      |
|----------------------------------------------------------------------|------------------|------------------|
| <b>Net defined benefits liability as at 1 January</b>                | <b>5 612 603</b> | <b>5 338 905</b> |
| Current service cost <sup>a</sup>                                    | 145 450          | 152 321          |
| Interest cost                                                        | 239 682          | 209 513          |
| Benefits paid                                                        | (155 878)        | (168 805)        |
| <b>Net cost recognized in the statement of financial performance</b> | <b>229 254</b>   | <b>193 029</b>   |

|                                                                                                     | 2025             | 2024             |
|-----------------------------------------------------------------------------------------------------|------------------|------------------|
| Actuarial (gains)/losses recognized directly in the statement of changes in net assets <sup>b</sup> | 145 030          | 80 669           |
| <i>Due to changes in financial assumptions</i>                                                      | (108 064)        | 67 997           |
| <i>Due to changes in demographic assumptions</i>                                                    | (65 524)         | –                |
| <i>Due to experience adjustment</i>                                                                 | 318 618          | 12 672           |
| <b>Net defined benefits liability as at 31 December</b>                                             | <b>5 986 887</b> | <b>5 612 603</b> |

<sup>a</sup> Includes past service cost of \$13.762 million (gain) related to staff enrolled in the early separation programme and not eligible for after-service health insurance.

<sup>b</sup> The net cumulative amount of actuarial (gains)/losses recognized in the statement of changes in net assets is net cumulative loss of \$61.436 million (net cumulative actuarial gain 2024: \$83.594 million).

166. The actuarial loss of \$145.0 million from valuation of the end-of-service benefits in 2025 is attributed mainly to:

- (a) An increase in discount rate (gain of \$295.6 million), offset in part by the increase in per capita claims cost (loss of \$195.4 million);
- (b) Change in annuitant mortality assumption based on the recommendations of the Task Force on Accounting Standards (gain of \$61.3 million);
- (c) Experience adjustment (loss of \$318.6 million) owing to changes in census data for retirees and active staff compared with October 2023 census (previous census cut-off date).

#### *Discount rate sensitivity analysis*

167. The changes in discount rates reflect movements in the corporate bond-based discount curve. Market volatility during the reporting period had an impact on these rates. A 0.5 percentage point change in the discount rate would have an impact on the obligations as shown below.

(Thousands of United States dollars)

| <i>31 December 2025</i>                   | <i>After-service health insurance</i> | <i>Repatriation benefits</i> | <i>Annual leave</i> |
|-------------------------------------------|---------------------------------------|------------------------------|---------------------|
| Increase of discount rate by 0.5 per cent | (458 459)                             | (12 244)                     | (9 030)             |
| As a percentage of year-end liability     | (9)                                   | (3)                          | (4)                 |
| Decrease of discount rate by 0.5 per cent | 526 817                               | 13 030                       | 9 653               |
| As a percentage of year-end liability     | 10                                    | 3                            | 4                   |
| <i>31 December 2024</i>                   | <i>After-service health insurance</i> | <i>Repatriation benefits</i> | <i>Annual leave</i> |
| Increase of discount rate by 0.5 per cent | (473 724)                             | (10 496)                     | (7 664)             |
| As a percentage of year-end liability     | (9)                                   | (3)                          | (3)                 |
| Decrease of discount rate by 0.5 per cent | 549 630                               | 11 176                       | 8 186               |
| As a percentage of year-end liability     | 11                                    | 3                            | 4                   |

*Medical costs sensitivity analysis*

168. The projected rate of future medical cost increases also has a significant impact on the after-service health insurance valuation. The sensitivity analysis assesses how a 0.5 per cent change in the medical cost trend, while holding other assumptions, such as the discount rate, constant, would affect the defined benefit obligation.

(Thousands of United States dollars and percentage)

| 2025                                                                  | <i>Increase</i> |                | <i>Decrease</i> |                  |
|-----------------------------------------------------------------------|-----------------|----------------|-----------------|------------------|
| Effect on the defined benefit obligation                              | 9.88%           | 528 843        | (8.67%)         | (464 275)        |
| Effect on the aggregate of the current service cost and interest cost | 0.65%           | 34 587         | (0.57%)         | (30 480)         |
| <b>Total effect</b>                                                   |                 | <b>563 430</b> |                 | <b>(494 755)</b> |

| 2024                                                                  | <i>Increase</i> |                | <i>Decrease</i> |                  |
|-----------------------------------------------------------------------|-----------------|----------------|-----------------|------------------|
| Effect on the defined benefit obligation                              | 11.59%          | 585 293        | (10.05%)        | (507 365)        |
| Effect on the aggregate of the current service cost and interest cost | 0.89%           | 45 048         | (0.74%)         | (37 534)         |
| <b>Total effect</b>                                                   |                 | <b>630 341</b> |                 | <b>(544 899)</b> |

*Claims cost sensitivity analysis, at 65 years of age*

| <i>Scenario</i>        | <i>After-service health insurance defined benefit liability as at 31 December 2025</i> | <i>Impact (thousands of United States dollars)</i> |
|------------------------|----------------------------------------------------------------------------------------|----------------------------------------------------|
| Central                | 5 352 615                                                                              |                                                    |
| Increase by 1 per cent | 5 404 019                                                                              | 51 404                                             |
| Decrease by 1 per cent | 5 301 211                                                                              | (51 404)                                           |

*Sensitivity analysis for changes in life expectancy*

| <i>Scenario</i>    | <i>After-service health insurance defined benefit liability as at 31 December 2025</i> | <i>Impact (thousands of United States dollars)</i> |
|--------------------|----------------------------------------------------------------------------------------|----------------------------------------------------|
| Central            | 5 352 615                                                                              |                                                    |
| Increase by 1 year | 5 613 262                                                                              | 260 647                                            |
| Decrease by 1 year | 5 150 109                                                                              | (202 506)                                          |

*Other defined benefit plan information*

169. The benefits paid represent estimated amounts that would have been paid to separating staff and retirees during the year based on the pattern of rights acquisition under each scheme: after-service health insurance; repatriation; and commutation of accrued annual leave.

**Benefits paid, net of participant contributions**

(Thousands of United States dollars)

| <i>Year ended</i> | <i>After-service<br/>health insurance</i> | <i>Repatriation<br/>benefits</i> | <i>Annual leave</i> | <i>Total</i> |
|-------------------|-------------------------------------------|----------------------------------|---------------------|--------------|
| 31 December 2025  | 89 943                                    | 37 565                           | 28 370              | 155 878      |
| 31 December 2024  | 93 857                                    | 43 868                           | 31 080              | 168 805      |

**Historical information: total liability for after-service health insurance, repatriation benefits and annual leave as at 31 December**

(Millions of United States dollars)

|                                                  | <i>2025</i> | <i>2024</i> | <i>2023</i> | <i>2022</i> | <i>2021</i> |
|--------------------------------------------------|-------------|-------------|-------------|-------------|-------------|
| Present value of the defined benefit obligations | 5 987       | 5 613       | 5 339       | 4 885       | 6 177       |

*Funding of defined benefit liabilities: extrabudgetary resources**After-service health insurance*

170. With effect from 1 January 2017, the Organization began to accrue 3 per cent on gross salary plus post adjustment in respect of staff retiring from positions funded from extrabudgetary resources. The rate was subsequently increased to 6 per cent on 1 January 2019 and to 9 per cent on 1 January 2025.

*Repatriation benefits*

171. The Organization accrues 8 per cent on gross salary less staff assessment for staff funded from extrabudgetary resources as a reserve to cover the Organization's repatriation grant obligation.

172. The following tables provide a summary of the funding status of actuarially valued liabilities related to extrabudgetary resources as at 31 December 2025 and 31 December 2024.

**2025**

(Thousands of United States dollars)

| <i>Attributable to extrabudgetary resources</i> | <i>Liability</i> | <i>Funded</i>  | <i>Unfunded</i> | <i>Percentage of<br/>liability funded</i> |
|-------------------------------------------------|------------------|----------------|-----------------|-------------------------------------------|
| After-service health insurance                  | 1 117 834        | 422 127        | 695 707         | 37.8                                      |
| Repatriation benefits                           | 122 774          | 262 374        | —               | 213.7                                     |
| Annual leave                                    | 88 521           | —              | 88 521          | —                                         |
| <b>Total</b>                                    | <b>1 329 129</b> | <b>684 501</b> | <b>784 228</b>  | <b>51.5</b>                               |

**2024**

(Thousands of United States dollars)

| <i>Attributable to extrabudgetary resources</i> | <i>Liability</i> | <i>Funded</i>  | <i>Unfunded</i> | <i>Percentage of liability funded</i> |
|-------------------------------------------------|------------------|----------------|-----------------|---------------------------------------|
| After-service health insurance                  | 1 060 202        | 321 258        | 738 944         | 30.3                                  |
| Repatriation benefits                           | 106 921          | 230 311        | –               | 215.4                                 |
| Annual leave                                    | 77 076           | –              | 77 076          | –                                     |
| <b>Total</b>                                    | <b>1 244 199</b> | <b>551 569</b> | <b>816 020</b>  | <b>44.3</b>                           |

173. Defined benefit liabilities related to the regular budget have not been funded. The pertinent budget is provided based on claims experience from prior years.

*Other employee benefit liabilities**Appendix D/workers' compensation costs actuarial valuation*

174. The appendix D/workers' compensation fund covers payment of compensation in the event of death, injury or illness occurring as a result of the performance of official duties by staff and other eligible personnel funded from extrabudgetary resources. The rules governing the compensation payments are set out in appendix D to the Staff Regulations and Rules of the United Nations. The fund derives its revenue from a charge of 1 per cent of the net base remuneration, including post adjustment for active staff funded from extrabudgetary resources, as well as from charges applied to individual consultancy and similar arrangements for other eligible personnel funded from extrabudgetary resources. It covers appendix D claims submitted by personnel, relating to monthly death and disability benefits, lump-sum payments for injury or illness, and medical expenses.

*Assumptions*

175. The workers' compensation liability is actuarially valued. The liabilities are calculated based on projected benefits, which are adjusted for the cost-of-living allowance, reduced for mortality rates, and then discounted to their present value. Based on the actuarial valuation, the obligations as at 31 December 2025 are estimated at \$53.4 million (2024: \$56.4 million)

176. The cost-of-living adjustment for 2025, as determined by Aon, is set at 2.2 per cent (2024: 2.5 per cent) and is derived from market-based inflation. As with defined benefit liabilities, the Aon yield curves were used in determining the obligation as at 31 December 2025. Appendix D/workers' compensation uses mortality assumptions that are based on statistical tables of the World Health Organization.

*Sensitivity analysis*

177. The sensitivity analysis examines the change in liability resulting from changes in the cost-of-living adjustment, as well as changes in assumed discount rates. A change in the cost-of-living adjustment and a change in the assumed discount rates of 1 per cent would have an impact on the measurement of the appendix D obligation as presented below.

**Appendix D costs: effect of 1 per cent movement in cost-of-living adjustment sensitivity to end-of-year liability**

(Thousands of United States dollars and percentage)

|                                                     | 31 December 2025 | 31 December 2024 |
|-----------------------------------------------------|------------------|------------------|
| Increase of cost-of-living adjustment by 1 per cent | 7 005            | 8 000            |
| As a percentage of year-end liability               | 13.11            | 14.19            |
| Decrease of cost-of-living adjustment by 1 per cent | (5 820)          | (6 525)          |
| As a percentage of year-end liability               | (10.9)           | (11.58)          |

**Appendix D costs: effect of 1 per cent movement in assumed discount rates sensitivity to end-of-year liability**

(Thousands of United States dollars and percentage)

|                                         | 31 December 2025 | 31 December 2024 |
|-----------------------------------------|------------------|------------------|
| Increase of discount rate by 1 per cent | (5 371)          | (6 043)          |
| As a percentage of year-end liability   | (10.05)          | (10.72)          |
| Decrease of discount rate by 1 per cent | 6 529            | 7 491            |
| As a percentage of year-end liability   | 12.22            | 13.29            |

*Funding*

178. The liabilities for workers' compensation related to the regular budget of \$25.7 million (2024: \$26.2 million) have not been funded. The pertinent budget is provided on the basis of claims experience from prior years.

179. The workers' compensation liabilities related to the extrabudgetary resources of \$27.7 million (2024: \$30.2 million) are funded from a charge of 1 per cent of the net base remuneration, including post adjustment, for eligible personnel. The net surplus of the fund is \$127.0 million as at 31 December 2025 (2024: \$115.8 million).

*Accrued salaries and allowances*

180. Accrued salaries and allowances include \$119.5 million (2024: \$34.1 million) in accrued salaries and home leave benefits of \$49.9 million (2024: \$50.2 million) Accrued salaries include \$64.1 million relating to the early separation programme that was initiated in 2025 and continued into 2026.

*United Nations Joint Staff Pension Fund*

181. It is stated in the Regulations of the Pension Fund that the Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the Fund's consulting actuary. The practice of the Pension Board has been to carry out an actuarial valuation every two years using the open group aggregate method. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities into perpetuity. The Fund's published funding policy (available on the Fund's website) sets out the methods, processes and targets that are used to monitor the funding position and associated risks. This also includes the practice of utilizing an actuarial value of assets, which smooths short-term investment gains and losses for the purpose of reporting long-term solvency.

182. The Organization's financial obligation to the Pension Fund consists of its mandated contribution, at the rate established by the General Assembly (currently

7.90 per cent for participants and 15.80 per cent for member organizations), together with any share of any actuarial deficiency payments under article 26 of the Regulations of the Fund. Such deficiency payments are payable only if and when the Assembly has invoked the provision of article 26, following a determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as at the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions that each paid during the three years preceding the valuation date. It has never been necessary to invoke article 26, and no deficiency payments have ever been requested.

183. The most recent actuarial valuation for the Pension Fund was completed as at 31 December 2023, and the valuation as at 31 December 2025 is being performed. A roll forward of the participation data as at 31 December 2023 to 31 December 2024 was used by the Fund for its 2024 financial statements.

184. The actuarial valuation as at 31 December 2023 resulted in a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (2021: 117.0 per cent) when future expected pension adjustments (cost-of-living indexation of benefits) were taken into account. The reported funded ratio was 152.0 per cent (158.2 per cent in the 2021 valuation) when the current system of pension adjustments was not taken into account and would be the measure by which actuarial sufficiency is established under article 26.

185. After assessing the actuarial sufficiency of the Pension Fund, the consulting actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26 of the Regulations of the Fund because the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of reporting, the General Assembly had not invoked the provision of article 26.

186. Should article 26 be invoked owing to an actuarial deficiency, either during the ongoing operation or due to the termination of the Pension Fund, deficiency payments required from each member organization would be based on the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Fund during the preceding three years (2022, 2023 and 2024) amounted to \$10,191.93 million, of which 18.8 per cent was contributed by the Organization.

187. During 2025, the Organization's contributions, including the staff portion, paid to the Pension Fund amounted to \$664 million (2024: \$640.6 million). The Organization expects to contribute approximately the same amount in 2026.

188. Membership in the Pension Fund may be terminated by a decision of the General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the Pension Board on the basis of an actuarial valuation of the assets and liabilities of the Fund on the date of termination; no part of the assets that are in excess of the liabilities are included in the amount.

189. The Board of Auditors carries out an annual audit of the Pension Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Fund publishes quarterly reports on its investments, and these can be viewed on the Fund's website ([www.unjspf.org](http://www.unjspf.org)).

## Note 19

### Provisions

#### 2025

(Thousands of United States dollars)

|                                          | <i>Credits to<br/>Member<br/>States</i> | <i>Litigation<br/>and claims</i> | <i>Restoration</i> | <i>Insurance claims<br/>(incurred but not<br/>reported)</i> | <i>Total</i>   |
|------------------------------------------|-----------------------------------------|----------------------------------|--------------------|-------------------------------------------------------------|----------------|
| <b>Provisions as at 31 December 2024</b> | <b>362 568</b>                          | <b>2 313</b>                     | <b>1 079</b>       | <b>145 509</b>                                              | <b>511 469</b> |
| Additional provisions made               | 408 976                                 | 2 321                            | 89                 | 10 209                                                      | 421 595        |
| Amounts reversed                         | —                                       | (1 447)                          | (445)              | —                                                           | (1 892)        |
| Amounts used                             | (61 551)                                | (694)                            | (73)               | (5 394)                                                     | (67 712)       |
| <b>Provisions as at 31 December 2025</b> | <b>709 993</b>                          | <b>2 493</b>                     | <b>650</b>         | <b>150 324</b>                                              | <b>863 460</b> |
| Current                                  | 709 993                                 | 2 493                            | 266                | 150 324                                                     | 863 076        |
| Non-current                              | —                                       | —                                | 384                | —                                                           | 384            |
| <b>Total</b>                             | <b>709 993</b>                          | <b>2 493</b>                     | <b>650</b>         | <b>150 324</b>                                              | <b>863 460</b> |

#### 2024

(Thousands of United States dollars)

|                                          | <i>Credits to<br/>Member<br/>States</i> | <i>Litigation<br/>and claims</i> | <i>Restoration</i> | <i>Insurance claims<br/>(incurred but not<br/>reported)</i> | <i>Total</i>   |
|------------------------------------------|-----------------------------------------|----------------------------------|--------------------|-------------------------------------------------------------|----------------|
| <b>Provisions as at 31 December 2023</b> | <b>201 466</b>                          | <b>19 847</b>                    | <b>1 014</b>       | <b>131 820</b>                                              | <b>354 147</b> |
| Additional provisions made               | 273 274                                 | 1 648                            | 108                | 230 665                                                     | 505 695        |
| Amounts reversed                         | —                                       | —                                | (41)               | —                                                           | (41)           |
| Amounts used                             | (112 172)                               | (19 182)                         | (2)                | (216 976)                                                   | (348 332)      |
| <b>Provisions as at 31 December 2024</b> | <b>362 568</b>                          | <b>2 313</b>                     | <b>1 079</b>       | <b>145 509</b>                                              | <b>511 469</b> |
| Current                                  | 362 568                                 | 2 313                            | 477                | 145 509                                                     | 510 867        |
| Non-current                              | —                                       | —                                | 602                | —                                                           | 602            |
| <b>Total</b>                             | <b>362 568</b>                          | <b>2 313</b>                     | <b>1 079</b>       | <b>145 509</b>                                              | <b>511 469</b> |

190. The provisions for credits to Member States are composed mainly of net adjustments to prior-period expenditure of \$37.3 million, net unencumbered balances of appropriations of \$626.6 million and a net change of \$44.9 million from staff assessment income, general income and income from services to the public. Provisions for \$2.5 million were set up for various ongoing legal claims for which it was assessed that the probability of a pay-out was greater than 50 per cent. Provisions for insurance claims (incurred but not reported) amounting to \$150.3 million represent estimated costs that may be required to settle medical and dental claims that have been incurred during the year for which claims were not yet filed.

## Note 20

### Tax Equalization Fund liability

191. The Tax Equalization Fund was established under the provisions of General Assembly resolution 973 (X) to equalize the net pay of all staff members, irrespective of their national tax obligations. The Fund operationally reports as income, staff assessment with respect to staff members financed under the regular budget, assessed

peacekeeping operations and the International Residual Mechanism for Criminal Tribunals.

192. The Tax Equalization Fund includes as expenditure credits against the assessed contributions for the regular budget, peacekeeping and the International Residual Mechanism for Criminal Tribunals to Member States that do not levy taxes on the United Nations income of their nationals. Member States that do levy income taxes on their nationals working for the Organization do not receive this credit in full. Instead, their share is utilized in the first instance to reimburse staff members financed by the regular budget, peacekeeping and the Residual Mechanism for taxes paid on their United Nations income. Such reimbursements for taxes paid are reported as expenditure by the Fund. Staff members financed by extrabudgetary funds who are required to pay income tax are reimbursed directly from the resources of those funds. Given that the Organization acts as an agent in this arrangement, net of the related revenue and expenses is reported as a payable in these financial statements.

### Operational revenue and expenses of the Tax Equalization Fund<sup>a</sup>

(Thousands of United States dollars)

|                                                         | <i>United States<br/>of America</i> | <i>Other Member<br/>States</i> | <i>31 December<br/>2025</i> | <i>31 December<br/>2024</i> |
|---------------------------------------------------------|-------------------------------------|--------------------------------|-----------------------------|-----------------------------|
| Staff assessment receipts from:                         |                                     |                                |                             |                             |
| United Nations regular budget                           | 75 544                              | 27 838                         | 343 382                     | 304 781                     |
| Peacekeeping operations                                 | 47 151                              | 133 100                        | 180 251                     | 176 220                     |
| International Residual Mechanism for Criminal Tribunals | 1 400                               | 4 415                          | 5 815                       | 6 185                       |
| Investment revenue                                      | 4 51                                | 1 472                          | 1 923                       | 3 078                       |
| <b>Total staff assessment revenue</b>                   | <b>124 546</b>                      | <b>406 825</b>                 | <b>531 371</b>              | <b>490 264</b>              |
| Staff costs and other                                   | 106 050                             | –                              | 106 050                     | 88 297                      |
| Contractual services                                    | 1 162                               | –                              | 1 162                       | 219                         |
| Credits given to other Member States for:               |                                     |                                |                             |                             |
| United Nations regular budget                           | –                                   | 258 002                        | 258 002                     | 245 485                     |
| Peacekeeping operations                                 | –                                   | 130 747                        | 130 747                     | 124 394                     |
| International Residual Mechanism for Criminal Tribunals | –                                   | 3 677                          | 3 677                       | 3 590                       |
| <b>Total expenses</b>                                   | <b>107 212</b>                      | <b>392 426</b>                 | <b>499 638</b>              | <b>461 985</b>              |
| <b>Net excess of revenue over expense</b>               | <b>17 334</b>                       | <b>14 399</b>                  | <b>31 733</b>               | <b>28 279</b>               |

<sup>a</sup> This summary information presented in a table format shows the revenue and expenses of the Tax Equalization Fund, which have been eliminated in the financial statements of the United Nations as reported in volume I. An amount of \$31.733 million, representing excess of revenue over expenses, has been added to cumulative surplus balances during 2025 and transferred to tax equalization liability.

193. The cumulative surplus in the Tax Equalization Fund as at 31 December 2025 was \$201.7 million (2024: \$170.0 million). Of this, an amount accrued to the account of the United States of America was \$151.2 million (2024: \$133.9 million). However, the related portion of assessed receivables intended to fund the Fund remains outstanding.

194. Taking into consideration the related outstanding assessments, the adjusted position in the Tax Equalization Fund for the United States reflects an approximate deficit of \$74.8 million. Accordingly, notwithstanding the surplus reported as at 31 December 2025, this balance is not considered distributable at the reporting date owing to the underlying outstanding receivable.

195. The surplus attributable to other Member States as of 31 December 2025 was \$50.5 million (2024: \$36.1 million). The overall amount payable of the Fund is \$253.2 million (2024: \$228.9 million), which includes other liabilities of \$3.3 million (2024: \$2.4 million) and an estimated tax liability of \$48.2 million relating to the 2025 and prior tax years (2024: \$56.5 million), of which approximately \$19.4 million was disbursed in January 2026 and approximately \$28.7 million was expected to be settled in April 2026.

## Note 21

### Liabilities for conditional arrangements

(Thousands of United States dollars)

|                                      | 31 December 2025 | 31 December 2024 |
|--------------------------------------|------------------|------------------|
| <b>Current</b>                       |                  |                  |
| Liabilities – cash received          | 62 848           | 41 930           |
| Liabilities – cash not received      | 77 086           | 43 096           |
| <b>Subtotal</b>                      | <b>139 934</b>   | <b>85 026</b>    |
| <b>Non-current</b>                   |                  |                  |
| Liabilities – cash not received      | 70 352           | 20 970           |
| <b>Total conditional liabilities</b> | <b>210 286</b>   | <b>105 996</b>   |

196. Liabilities for conditional arrangements include cash received from donors, identified as conditional and not yet utilized, in the amount of \$62.8 million (2024: \$41.9 million). Liabilities classified as cash not received have a contra amount reported within voluntary contributions receivable (see note 9).

## Note 22

### Borrowings

197. The General Assembly, in its resolution [70/248 A](#), approved the financing of the strategic heritage plan project in part through an interest-free loan from the host country. A loan contract was signed in April 2017 between the Organization and the Fondation des immeubles pour les organisations internationales (a public entity under the Government of Switzerland), for a maximum loan amount of 400 million Swiss francs. The Organization withdraws funds available under the loan in several tranches each year. The loan is measured at amortized cost using the interest rate of a 30-year Swiss federal government bond. As at 31 December 2025, the nominal loan amount withdrawn was \$387.9 million (equivalent to 306.1 million Swiss francs), and the nominal loan amount reimbursed was \$13.5 million (equivalent to 10.7 million Swiss francs). Its corresponding fair value at amortized cost is \$353.9 million. The loan is received at below the normal market rates and is therefore treated as a concessionary loan. Owing to the positive interest rate of a 30-year Swiss federal bond as at 31 December 2025, revenue includes notional finance income of \$0.4 million (2024: \$2.2 million) relating to the associated strategic heritage plan borrowing.

(Thousands of United States dollars)

|      | <i>Current</i> | <i>Non-current</i> | <i>Total as at 31 December</i> |
|------|----------------|--------------------|--------------------------------|
| 2025 | 5 485          | 348 421            | 353 906                        |
| 2024 | 2 777          | 291 549            | 294 326                        |

### Note 23 Other liabilities

(Thousands of United States dollars)

|                                                     | <i>Current</i> | <i>Non-current</i> | <i>Total as at 31 December 2025</i> |
|-----------------------------------------------------|----------------|--------------------|-------------------------------------|
| Liabilities under donated right-to-use arrangements | 3 310          | 43 085             | 46 395                              |
| Other liabilities                                   | 27 990         | 12 251             | 40 241                              |
| <b>Total other liabilities</b>                      | <b>31 300</b>  | <b>55 336</b>      | <b>86 636</b>                       |

(Thousands of United States dollars)

|                                                     | <i>Current</i> | <i>Non-current</i> | <i>Total as at 31 December 2024</i> |
|-----------------------------------------------------|----------------|--------------------|-------------------------------------|
| Liabilities under donated right-to-use arrangements | 3 286          | 45 598             | 48 884                              |
| Straight-lining of operating lease                  | 9 924          | —                  | 9 924                               |
| Other liabilities                                   | 23 860         | 8 694              | 32 554                              |
| <b>Total other liabilities</b>                      | <b>37 070</b>  | <b>54 292</b>      | <b>91 362</b>                       |

### Note 24 Controlled multi-partner trust funds

198. Multi-partner trust funds are pooled resources from multiple financial partners that are allocated to multiple implementing entities to support specific national, regional or global development priorities. They are administered by the UNDP Multi-Partner Trust Fund Office.

*Multi-partner trust funds in which the Organization has control and is the principal*

199. Common humanitarian funds have been established as partnerships between the United Nations agencies for humanitarian activities in a number of countries. The Office for the Coordination of Humanitarian Affairs serves as the technical unit for the funds and is responsible for managing the allocation process. The Organization therefore controls the funds and is the principal in those multi-partner trust funds. Effective 1 April 2023, the Office has commenced administering these funds. The orderly closure of the multi-partner trust fund accounts with UNDP will take place once all projects funded have been implemented and closed.

200. The Peacebuilding Fund has financed numerous projects in multiple countries by delivering fast and flexible funding for peacebuilding initiatives in post-conflict countries. In its resolution [78/257](#), the General Assembly approved assessed contributions for the Fund. Given that the Fund is controlled and managed by the Peacebuilding Support Office in the Department of Political and Peacebuilding Affairs, the Organization is the principal in the Fund.

201. The United Nations Haiti cholera response multi-partner trust fund was launched in 2016. The fund provides a rapid, flexible and accountable platform to support a coordinated response from the United Nations system and partners. The Resident and Humanitarian Coordinator in Haiti and the Director of the Sustainable Development Unit of the Executive Office of the Secretary-General act as the co-Chairs of the advisory committee of the fund. Accordingly, the Organization is considered as the principal in the fund.

202. The coronavirus disease (COVID-19) response and recovery multi-partner trust fund was established in 2020 to support countries in overcoming the health and development crisis caused by the pandemic. The fund operated under the overall leadership of the Secretary-General through his designate, who served as the Chair of the advisory committee of the fund. The Organization controlled the fund and was considered as the principal in the fund. The fund is now closed.

203. The digital cooperation fund was created in October 2023, in line with the Secretary-General's Road Map for Digital Cooperation (see [A/74/821](#)), and is intended to strengthen digital cooperation for the global common good. The fund is led by a steering committee, which is chaired by the Special Envoy of the Secretary-General for Digital and Emerging Technologies. The Organization therefore controls the fund and is considered its principal.

204. The Spotlight Initiative 2.0 Fund, established in 2024, represents the second phase of the Spotlight Initiative. The Spotlight Initiative is a high-impact initiative to end violence against women and girls, representing a global effort to invest in gender as a precondition of and driver for the achievement of the Sustainable Development Goals. The Fund works with women and girls and builds strong partnerships with Governments, regional bodies, United Nations agencies, duty-bearers, civil society, development partners and academia at the global, regional and country levels to address the root causes and drivers of violence. The Fund is a multi-donor, inter-agency initiative anchored in the Executive Office of the Secretary-General. The multi-partner trust funds in which the Organization has control and is the principal are therefore consolidated in full in the Organization's financial statements.

205. A summary of consolidated revenue, expenses and net assets of the controlled multi-partner trust funds is shown below.

(Thousands of United States dollars)

|                                          | Year ended 31 December 2025 |                     |                               |                             |                                                         |                          | Total           |
|------------------------------------------|-----------------------------|---------------------|-------------------------------|-----------------------------|---------------------------------------------------------|--------------------------|-----------------|
|                                          | Common humanitarian funds   | Peacebuilding funds | Spotlight Initiative 2.0 Fund | Haiti cholera response fund | COVID-19 response and recovery multi-partner trust fund | Digital cooperation fund |                 |
| Revenue                                  | 360                         | 147 237             | 10 442                        | -                           | 143                                                     | 520                      | 158 702         |
| Expenses                                 | (5 767)                     | (152 887)           | (22 035)                      | (1 355)                     | 283                                                     | (2 708)                  | (184 469)       |
| <b>Net surplus/(deficit)</b>             | <b>(5 407)</b>              | <b>(5 650)</b>      | <b>(11 593)</b>               | <b>(1 355)</b>              | <b>426</b>                                              | <b>(2 188)</b>           | <b>(25 767)</b> |
| Net assets as at 31 December 2024        | 6 316                       | 92 668              | 13 052                        | 1 355                       | 3 230                                                   | 4 427                    | 121 048         |
| <b>Net assets as at 31 December 2025</b> | <b>909</b>                  | <b>87 018</b>       | <b>1 459</b>                  | <b>-</b>                    | <b>3 656</b>                                            | <b>2 239</b>             | <b>95 281</b>   |

(Thousands of United States dollars)

|                                          | Year ended 31 December 2024 |                     |                               |                             |                                                         |                          | Total           |
|------------------------------------------|-----------------------------|---------------------|-------------------------------|-----------------------------|---------------------------------------------------------|--------------------------|-----------------|
|                                          | Common humanitarian funds   | Peacebuilding funds | Spotlight Initiative 2.0 Fund | Haiti cholera response fund | COVID-19 response and recovery multi-partner trust fund | Digital cooperation fund |                 |
| Revenue                                  | 7 973                       | 108 310             | 13 233                        | 49                          | 121                                                     | 6 074                    | 135 760         |
| Expenses                                 | (47 253)                    | (157 649)           | (181)                         | 65                          | 404                                                     | (3 247)                  | (207 861)       |
| <b>Net surplus/(deficit)</b>             | <b>(39 280)</b>             | <b>(49 339)</b>     | <b>13 052</b>                 | <b>114</b>                  | <b>525</b>                                              | <b>2 827</b>             | <b>(72 101)</b> |
| Net assets as at 31 December 2023        | 45 596                      | 142 007             | –                             | 1 241                       | 2 705                                                   | 1 600                    | 193 149         |
| <b>Net assets as at 31 December 2024</b> | <b>6 316</b>                | <b>92 668</b>       | <b>13 052</b>                 | <b>1 355</b>                | <b>3 230</b>                                            | <b>4 427</b>             | <b>121 048</b>  |

**Note 25****Interests in joint arrangements***Interests in joint arrangements accounted for using the equity method***Joint arrangements accounted for using the equity method, as at 31 December 2025**

(Thousands of United States dollars)

|                                                                                                                        | Statement of changes in net assets          |                                                                                           |               |                                                                    | Net assets/(liability) as at 31 December 2025 |
|------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|-------------------------------------------------------------------------------------------|---------------|--------------------------------------------------------------------|-----------------------------------------------|
|                                                                                                                        | Net assets/(liability) as at 1 January 2025 | Actuarial gains/(losses) relating to actuarial valuation of employee benefits liabilities | Other changes | Statement of financial performance: surplus/(deficit) for the year |                                               |
| <b>Interest in joint arrangements: non-current assets</b>                                                              |                                             |                                                                                           |               |                                                                    |                                               |
| United Nations System Staff College                                                                                    | 7 026                                       | 277                                                                                       | 770           | 226                                                                | 8 299                                         |
| Vienna International Centre Major Repair and Replacement Fund                                                          | 1 555                                       | –                                                                                         | 202           | 21                                                                 | 1 778                                         |
| International Trade Centre                                                                                             | (11 722)                                    | 11 726                                                                                    | 305           | 10 739                                                             | 11 048                                        |
| <b>Total non-current assets</b>                                                                                        | <b>(3 141)</b>                              | <b>12 003</b>                                                                             | <b>1 277</b>  | <b>10 986</b>                                                      | <b>21 125</b>                                 |
| <b>Interest in joint arrangements: non-current liabilities</b>                                                         |                                             |                                                                                           |               |                                                                    |                                               |
| United Nations Office at Vienna                                                                                        | (30 487)                                    | (26 251)                                                                                  | –             | (381)                                                              | (57 119)                                      |
| Other joint ventures                                                                                                   | (19 722)                                    | (3 732)                                                                                   | 11            | 3 715                                                              | (19 728)                                      |
| <b>Total non-current liabilities</b>                                                                                   | <b>(50 209)</b>                             | <b>(29 983)</b>                                                                           | <b>11</b>     | <b>3 334</b>                                                       | <b>(76 847)</b>                               |
| <b>Net interest in joint arrangements</b>                                                                              | <b>(53 350)</b>                             | <b>(17 980)</b>                                                                           | <b>1 288</b>  | <b>14 320</b>                                                      | <b>(55 722)</b>                               |
| Net contribution to joint arrangements <sup>a</sup>                                                                    |                                             |                                                                                           |               | 79 913                                                             |                                               |
| <b>Statement II: contributions to and share of deficit of joint arrangements accounted for using the equity method</b> |                                             |                                                                                           |               | <b>65 593</b>                                                      |                                               |

<sup>a</sup> Represents the 2025 regular budget contribution to the funds accounted for under the joint venture equity method, comprising \$56.487 million to joint financing arrangements, \$22.474 million to the International Trade Centre, \$0.150 million to the United Nations System Staff College and \$0.802 million to the Vienna International Centre Major Repair and Replacement Fund.

**Joint arrangements accounted for using the equity method, as at 31 December 2024**

(Thousands of United States dollars)

|                                                                                                                        | Statement of changes in net assets                                                        |                |             | Statement of financial performance: surplus/(deficit) for the year | Net assets/(liability) as at 31 December 2024 |
|------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|----------------|-------------|--------------------------------------------------------------------|-----------------------------------------------|
| Net assets/(liability) as at 1 January 2024                                                                            | Actuarial gains/(losses) relating to actuarial valuation of employee benefits liabilities | Other changes  |             |                                                                    |                                               |
| Interest in joint arrangements: non-current assets                                                                     |                                                                                           |                |             |                                                                    |                                               |
| United Nations System Staff College                                                                                    | 6 952                                                                                     | (1)            | –           | 75                                                                 | 7 026                                         |
| Vienna International Centre Major Repair and Replacement Fund                                                          | 1 527                                                                                     | –              | (99)        | 127                                                                | 1 555                                         |
| <b>Total non-current assets</b>                                                                                        | <b>8 479</b>                                                                              | <b>(1)</b>     | <b>(99)</b> | <b>202</b>                                                         | <b>8 581</b>                                  |
| Interest in joint arrangements: non-current liabilities                                                                |                                                                                           |                |             |                                                                    |                                               |
| International Trade Centre                                                                                             | (6 322)                                                                                   | (8 236)        | 150         | 2 686                                                              | (11 722)                                      |
| United Nations Office at Vienna                                                                                        | (32 487)                                                                                  | 1 817          | –           | 183                                                                | (30 487)                                      |
| Other joint ventures                                                                                                   | (20 313)                                                                                  | 243            | (4)         | 352                                                                | (19 722)                                      |
| <b>Total non-current liabilities</b>                                                                                   | <b>(59 122)</b>                                                                           | <b>(6 176)</b> | <b>146</b>  | <b>3 221</b>                                                       | <b>(61 931)</b>                               |
| <b>Net interest in joint arrangements</b>                                                                              | <b>(50 643)</b>                                                                           | <b>(6 177)</b> | <b>47</b>   | <b>3 423</b>                                                       | <b>(53 350)</b>                               |
| Net contribution to joint arrangements <sup>a</sup>                                                                    |                                                                                           |                |             | 81 078                                                             |                                               |
| <b>Statement II: contributions to and share of deficit of joint arrangements accounted for using the equity method</b> |                                                                                           |                |             | <b>77 655</b>                                                      |                                               |

<sup>a</sup> Represents the 2024 regular budget contribution to the funds accounted for under the joint venture equity method, comprising \$58.507 million to joint financing arrangements, \$21.627 million to the International Trade Centre, \$0.150 million to the United Nations System Staff College and \$0.794 million to the Vienna International Centre Major Repair and Replacement Fund.

**Joint arrangements accounted for using the equity method: non-current assets**

206. The United Nations System Staff College, created by the General Assembly to improve the effectiveness of the United Nations system, provides learning opportunities for United Nations personnel. Operating on a biennial budget approved by its Board, the core portion of the College's budget is funded through the United Nations System Chief Executives Board for Coordination (CEB) cost-sharing arrangement. For the 2025 core contribution, the Organization's share is 29.73 per cent (2024: 29.61 per cent).

207. The Major Repair and Replacement Fund is a jointly financed administrative activity, funded by organizations located at the Vienna International Centre. The Organization contributed \$0.8 million (2024: \$0.8 million), which represents 11.83 per cent of the total revenue received by the Fund in 2025 (2024: 11.83 per cent).

208. Annual contributions made to the Major Repair and Replacement Fund are used for capital improvements to the Vienna International Centre, including acquisitions or upgrades of physical assets required for improvements. The Organization had not entered into any other capital commitments in relation to its interests in joint ventures as at 31 December 2025.

**Joint arrangements accounted for using the equity method: non-current liabilities**

209. ITC is a joint venture between the Organization and the World Trade Organization. The United Nations 50.0 per cent interest, based on its regular budget contribution of \$22.5 million in 2025 (2024: \$21.6 million), is accounted for using the equity method.

210. The jointly financed administrative activities are established under binding agreements, as follows:

(a) **United Nations Office at Vienna.** Jointly financed administrative activities of the United Nations in Vienna consist of three activities, each of which has a cost-sharing agreement:

- (i) Safety and security;
- (ii) Access control programme of the Vienna International Centre shooting range;
- (iii) Conference and administrative services;

*Joint arrangements administered by United Nations Headquarters*

(b) **Safety and security.** The Department of Safety and Security is a single security management framework responsible for providing leadership, operational support and oversight of the security management system, ensuring the maximum security for staff and eligible dependants and enabling secure and efficient conduct of the programmes and activities of the United Nations system;

(c) **International Civil Service Commission.** The International Civil Service Commission is an independent expert body established by the General Assembly to regulate and coordinate the conditions of service of staff in the United Nations common system while ensuring high standards in the international civil service;

(d) **Joint Inspection Unit.** The Joint Inspection Unit is an independent external oversight body of the United Nations system established by the General Assembly to conduct evaluations, inspections and investigations system-wide;

(e) **CEB secretariat.** CEB is the longest-standing and highest-level coordination forum of the United Nations system. Established as a standing committee of the Economic and Social Council and chaired by the Secretary-General, CEB supports and reinforces the coordinating role of intergovernmental bodies of the United Nations system on social, economic and related matters.

211. These jointly financed administrative activities have the same reporting period as the Organization and are accounted for using the equity method. The Organization's interest in these activities is its share of their net liabilities, which is based on the funding apportionment percentage. These cost-sharing ratios reflect key factors, such as the number of employees and the total space occupied.

212. A summary of the financial performance and the net assets position of joint arrangements and the Organization's interest therein is presented below.

*Joint arrangements accounted for using the equity method: financial statements***Joint arrangements accounted for using the equity method: statement of financial position as at 31 December 2025**

(Thousands of United States dollars)

|                                                  | <i>International<br/>Trade Centre</i> | <i>United Nations<br/>System Staff<br/>College</i> | <i>Vienna International<br/>Centre Major<br/>Repair and<br/>Replacement Fund</i> | <i>United<br/>Nations Office<br/>at Vienna</i> | <i>Joint<br/>arrangements<br/>administered by<br/>Headquarters</i> | <i>Total</i>     |
|--------------------------------------------------|---------------------------------------|----------------------------------------------------|----------------------------------------------------------------------------------|------------------------------------------------|--------------------------------------------------------------------|------------------|
| Current assets                                   | 343 434                               | 27 582                                             | 18 164                                                                           | 3 752                                          | 37 791                                                             | 430 723          |
| Non-current assets                               | 175 164                               | 26 259                                             | –                                                                                | 294                                            | 14 494                                                             | 216 211          |
| <b>Total assets</b>                              | <b>518 598</b>                        | <b>53 841</b>                                      | <b>18 164</b>                                                                    | <b>4 046</b>                                   | <b>52 285</b>                                                      | <b>646 934</b>   |
| Current liabilities                              | (111 169)                             | (6 016)                                            | (3 131)                                                                          | (4 139)                                        | (15 895)                                                           | (140 350)        |
| Non-current liabilities                          | (385 332)                             | (19 910)                                           | –                                                                                | (94 194)                                       | (158 035)                                                          | (657 471)        |
| <b>Total liabilities</b>                         | <b>(496 501)</b>                      | <b>(25 926)</b>                                    | <b>(3 131)</b>                                                                   | <b>(98 333)</b>                                | <b>(173 930)</b>                                                   | <b>(797 821)</b> |
| <b>Net of total assets and total liabilities</b> | <b>22 097</b>                         | <b>27 915</b>                                      | <b>15 033</b>                                                                    | <b>(94 287)</b>                                | <b>(121 645)</b>                                                   | <b>(150 887)</b> |
| <b>Net assets: accumulated surplus/(deficit)</b> | <b>22 097</b>                         | <b>27 915</b>                                      | <b>15 033</b>                                                                    | <b>(94 287)</b>                                | <b>(121 645)</b>                                                   | <b>(150 887)</b> |

**Joint arrangements accounted for using the equity method: statement of financial performance as at 31 December 2025**

(Thousands of United States dollars)

|                                                                       | <i>International<br/>Trade Centre</i> | <i>United Nations<br/>System Staff<br/>College</i> | <i>Vienna International<br/>Centre Major Repair<br/>and Replacement Fund</i> | <i>United<br/>Nations Office<br/>at Vienna</i> | <i>Joint<br/>arrangements<br/>administered by<br/>Headquarters</i> | <i>Total</i>     |
|-----------------------------------------------------------------------|---------------------------------------|----------------------------------------------------|------------------------------------------------------------------------------|------------------------------------------------|--------------------------------------------------------------------|------------------|
| Revenue                                                               | 205 161                               | 21 106                                             | 7 000                                                                        | 49 767                                         | 184 093                                                            | 467 127          |
| Expenses                                                              | (183 683)                             | (20 438)                                           | (6 825)                                                                      | (50 962)                                       | (181 649)                                                          | (443 557)        |
| <b>Surplus/(deficit) for the year</b>                                 | <b>21 478</b>                         | <b>668</b>                                         | <b>175</b>                                                                   | <b>(1 195)</b>                                 | <b>2 444</b>                                                       | <b>23 570</b>    |
| <b>Net assets/(liabilities) at beginning of year</b>                  | <b>(23 444)</b>                       | <b>23 726</b>                                      | <b>13 148</b>                                                                | <b>(49 759)</b>                                | <b>(101 144)</b>                                                   | <b>(137 473)</b> |
| Surplus/(deficit) for the year                                        | 21 478                                | 668                                                | 175                                                                          | (1 195)                                        | 2 444                                                              | 23 570           |
| Actuarial gains/(losses) on employee benefits liabilities             | 23 453                                | 932                                                | –                                                                            | (43 333)                                       | (23 015)                                                           | (41 963)         |
| Other changes in net assets                                           | 610                                   | 2 589                                              | 1 710                                                                        | –                                              | 70                                                                 | 4 979            |
| <b>Net assets/(liabilities) at year end</b>                           | <b>22 097</b>                         | <b>27 915</b>                                      | <b>15 033</b>                                                                | <b>(94 287)</b>                                | <b>(121 645)</b>                                                   | <b>(150 887)</b> |
| <b>Organization's interest in the joint arrangements (percentage)</b> | <b>50.00</b>                          | <b>29.73</b>                                       | <b>11.83</b>                                                                 | <b>60.58</b>                                   | <b>16.20</b>                                                       |                  |
| Share of surplus/(deficit) for the year                               | 10 739                                | 226 <sup>a</sup>                                   | 21                                                                           | (381) <sup>b</sup>                             | 3 715 <sup>c</sup>                                                 | 14 320           |
| Share of actuarial gains/(losses) recognized directly in net assets   | 11 726                                | 277                                                | –                                                                            | (26 251)                                       | (3 732)                                                            | (17 980)         |
| Share of other changes in net assets                                  | 305                                   | 770                                                | 202                                                                          | –                                              | 11                                                                 | 1 288            |
| <b>Share of net assets/(liabilities) at year end</b>                  | <b>11 048</b>                         | <b>8 299</b>                                       | <b>1 778</b>                                                                 | <b>(57 119)</b>                                | <b>(19 728)</b>                                                    | <b>(55 722)</b>  |

<sup>a</sup> Adjusted to reflect a change in the interest of the Organization from 29.61 per cent in 2024 to 29.73 per cent in 2025.<sup>b</sup> Adjusted to reflect a change in the interest of the Organization from 61.27 per cent in 2024 to 60.58 per cent in 2025.<sup>c</sup> Adjusted to reflect a change in the interest of the Organization from 19.5 per cent in 2024 to 16.2 per cent in 2025.

### Joint arrangements accounted for using the equity method: statement of financial position as at 31 December 2024

(Thousands of United States dollars)

|                                                  | <i>International Trade Centre</i> | <i>United Nations System Staff College</i> | <i>Vienna International Centre Major Repair and Replacement Fund</i> | <i>United Nations Office at Vienna</i> | <i>Joint arrangements administered by Headquarters</i> | <i>Total</i>     |
|--------------------------------------------------|-----------------------------------|--------------------------------------------|----------------------------------------------------------------------|----------------------------------------|--------------------------------------------------------|------------------|
| Current assets                                   | 295 180                           | 25 560                                     | 14 204                                                               | 1 195                                  | 30 122                                                 | 366 261          |
| Non-current assets                               | 166 788                           | 23 491                                     | –                                                                    | 332                                    | 16 617                                                 | 207 228          |
| <b>Total assets</b>                              | <b>461 968</b>                    | <b>49 051</b>                              | <b>14 204</b>                                                        | <b>1 527</b>                           | <b>46 739</b>                                          | <b>573 489</b>   |
| Current liabilities                              | (102 866)                         | (5 798)                                    | (1 056)                                                              | (3 134)                                | (12 249)                                               | (125 103)        |
| Non-current liabilities                          | (382 546)                         | (19 527)                                   | –                                                                    | (48 152)                               | (135 634)                                              | (585 859)        |
| <b>Total liabilities</b>                         | <b>(485 412)</b>                  | <b>(25 325)</b>                            | <b>(1 056)</b>                                                       | <b>(51 286)</b>                        | <b>(147 883)</b>                                       | <b>(710 962)</b> |
| <b>Net of total assets and total liabilities</b> | <b>(23 444)</b>                   | <b>23 726</b>                              | <b>13 148</b>                                                        | <b>(49 759)</b>                        | <b>(101 144)</b>                                       | <b>(137 473)</b> |
| <b>Net assets: accumulated surplus/(deficit)</b> | <b>(23 444)</b>                   | <b>23 726</b>                              | <b>13 148</b>                                                        | <b>(49 759)</b>                        | <b>(101 144)</b>                                       | <b>(137 473)</b> |

### Joint arrangements accounted for using the equity method: statement of financial performance as at 31 December 2024

(Thousands of United States dollars)

|                                                                       | <i>International Trade Centre</i> | <i>United Nations System Staff College</i> | <i>Vienna International Centre Major Repair and Replacement Fund</i> | <i>United Nations Office at Vienna</i> | <i>Joint arrangements administered by Headquarters</i> | <i>Total</i>     |
|-----------------------------------------------------------------------|-----------------------------------|--------------------------------------------|----------------------------------------------------------------------|----------------------------------------|--------------------------------------------------------|------------------|
| Revenue                                                               | 177 673                           | 21 819                                     | 6 418                                                                | 48 302                                 | 181 913                                                | 436 125          |
| Expenses                                                              | (172 302)                         | (21 569)                                   | (5 346)                                                              | (49 378)                               | (178 703)                                              | (427 298)        |
| <b>Surplus/(deficit) for the year</b>                                 | <b>5 371</b>                      | <b>250</b>                                 | <b>1 072</b>                                                         | <b>(1 076)</b>                         | <b>3 210</b>                                           | <b>8 827</b>     |
| <b>Net assets/(liabilities) at beginning of year</b>                  | <b>(12 643)</b>                   | <b>23 478</b>                              | <b>12 911</b>                                                        | <b>(51 648)</b>                        | <b>(104 558)</b>                                       | <b>(132 460)</b> |
| Surplus/(deficit) for the year                                        | 5 371                             | 250                                        | 1 072                                                                | (1 076)                                | 2 187                                                  | 7 804            |
| Actuarial gains/(losses) on employee benefits liabilities             | (16 471)                          | (2)                                        | –                                                                    | 2 965                                  | 1 247                                                  | (12 261)         |
| Other changes in net assets                                           | 299                               | –                                          | (835)                                                                | –                                      | (20)                                                   | (556)            |
| <b>Net assets/(liabilities) at year end</b>                           | <b>(23 444)</b>                   | <b>23 726</b>                              | <b>13 148</b>                                                        | <b>(49 759)</b>                        | <b>(101 144)</b>                                       | <b>(137 473)</b> |
| <b>Organization's interest in the joint arrangements (percentage)</b> | <b>50.00</b>                      | <b>29.61</b>                               | <b>11.83</b>                                                         | <b>61.27</b>                           | <b>19.5</b>                                            |                  |
| Share of surplus/(deficit) for the year                               | 2 686                             | 75                                         | 127                                                                  | 183 <sup>a</sup>                       | 352 <sup>b</sup>                                       | 3 423            |
| Share of actuarial gains/(losses) recognized directly in net assets   | (8 236)                           | (1)                                        | –                                                                    | 1 817                                  | 243                                                    | (6 177)          |
| Share of other changes in net assets                                  | 150                               | –                                          | (99)                                                                 | –                                      | (4)                                                    | 47               |
| <b>Share of net assets/(liabilities) at year end</b>                  | <b>(11 722)</b>                   | <b>7 026</b>                               | <b>1 555</b>                                                         | <b>(30 487)</b>                        | <b>(19 722)</b>                                        | <b>(53 350)</b>  |

<sup>a</sup> Adjusted to reflect a change in the interest of the Organization from 62.9 per cent in 2023 to 61.27 per cent in 2024.<sup>b</sup> Adjusted to reflect a change in the interest of the Organization from 19.4 per cent in 2023 to 19.5 per cent in 2024

**Note 26**  
**Net assets**

**Net assets as at 31 December**

(Thousands of United States dollars)

|                                                                                 | <i>General Fund<br/>and related<br/>funds</i> | <i>Trust funds</i> | <i>Long-term<br/>employee<br/>benefits funds</i> | <i>Insurance/workers'<br/>compensation<br/>funds</i> | <i>Other funds</i> | <i>Total</i>     |
|---------------------------------------------------------------------------------|-----------------------------------------------|--------------------|--------------------------------------------------|------------------------------------------------------|--------------------|------------------|
| <b>Net assets as at 1 January 2024</b>                                          | <b>376 333</b>                                | <b>4 476 000</b>   | <b>(4 890 679)</b>                               | <b>828 768</b>                                       | <b>3 400 338</b>   | <b>4 190 760</b> |
| <b>Changes in net assets</b>                                                    |                                               |                    |                                                  |                                                      |                    |                  |
| Actuarial gains/(losses) on employee benefits liabilities (note 18)             | 824                                           | —                  | (80 669)                                         | 1 605                                                | —                  | (78 240)         |
| Share of changes recognized by joint ventures directly in net assets (note 25)  | (6 031)                                       | —                  | —                                                | —                                                    | (99)               | (6 130)          |
| Fair value gain on revaluation of investments recognized directly in net assets | 1 088                                         | 4 986              | 770                                              | 8 207                                                | 1 865              | 16 916           |
| Surplus/(deficit) for the year                                                  | (47 480)                                      | 76 133             | (94 367)                                         | (59 286)                                             | 91 366             | (33 634)         |
| <b>Total changes in net assets</b>                                              | <b>(51 599)</b>                               | <b>81 119</b>      | <b>(174 266)</b>                                 | <b>(49 474)</b>                                      | <b>93 132</b>      | <b>(101 088)</b> |
| <b>Net assets as at 31 December 2024</b>                                        | <b>324 734</b>                                | <b>4 557 119</b>   | <b>(5 064 945)</b>                               | <b>779 294</b>                                       | <b>3 493 470</b>   | <b>4 089 672</b> |
| <b>Changes in net assets</b>                                                    |                                               |                    |                                                  |                                                      |                    |                  |
| Actuarial gains/(losses) on employee benefits liabilities (note 18)             | 478                                           | —                  | (145 030)                                        | 3 684                                                | —                  | (140 868)        |
| Share of changes recognized by joint ventures directly in net assets (note 25)  | (16 894)                                      | —                  | —                                                | —                                                    | 202                | (16 692)         |
| Fair value gain on revaluation of investments recognized directly in net assets | 706                                           | 11 292             | 2 230                                            | 13 532                                               | 3 349              | 31 109           |
| Surplus/(deficit) for the year                                                  | (98 832)                                      | (19 880)           | (100 730)                                        | 69 407                                               | 29 388             | (120 647)        |
| <b>Total changes in net assets</b>                                              | <b>(114 542)</b>                              | <b>(8 588)</b>     | <b>(243 530)</b>                                 | <b>86 623</b>                                        | <b>32 939</b>      | <b>(247 098)</b> |
| <b>Net assets/(deficits) as at 31 December 2025</b>                             | <b>210 192</b>                                | <b>4 548 531</b>   | <b>(5 308 475)</b>                               | <b>865 917</b>                                       | <b>3 526 409</b>   | <b>3 842 574</b> |

**Net assets as at 31 December 2025**

(Thousands of United States dollars)

|                                       | <i>Accumulated<br/>surplus/(deficit)</i> | <i>Reserves</i> | <i>Total net assets</i> |
|---------------------------------------|------------------------------------------|-----------------|-------------------------|
| General Fund and related funds        | 209 900                                  | 292             | 210 192                 |
| Trust funds                           | 4 540 986                                | 7 545           | 4 548 531               |
| Long-term employee benefits funds     | (5 310 066)                              | 1 591           | (5 308 475)             |
| Insurance/workers' compensation funds | 754 868                                  | 111 049         | 865 917                 |
| Other funds                           | 3 524 221                                | 2 188           | 3 526 409               |
| <b>Total net assets</b>               | <b>3 719 909</b>                         | <b>122 665</b>  | <b>3 842 574</b>        |

**Net assets as at 31 December 2024**

(Thousands of United States dollars)

|                                       | <i>Accumulated<br/>surplus/(deficit)</i> | <i>Reserves</i> | <i>Total net assets</i> |
|---------------------------------------|------------------------------------------|-----------------|-------------------------|
| General Fund and related funds        | 325 149                                  | (415)           | 324 734                 |
| Trust funds                           | 4 560 862                                | (3 743)         | 4 557 119               |
| Long-term employee benefits funds     | (5 064 306)                              | (639)           | (5 064 945)             |
| Insurance/workers' compensation funds | 684 388                                  | 94 906          | 779 294                 |
| Other funds                           | 3 494 635                                | (1 165)         | 3 493 470               |
| <b>Total net assets</b>               | <b>4 000 728</b>                         | <b>88 944</b>   | <b>4 089 672</b>        |

*Accumulated surplus*

213. The accumulated surplus includes the accumulated surplus of the General Fund and related funds, trust funds, after-service employee benefits funds, self-insurance plan funds and other funds. Self-insurance plans are recorded fully in the financial statements because the Organization acts as the principal.

*Reserves*

214. Reserves comprise a premium stabilization reserve amounting to \$4.0 million (2024: \$1.4 million) for the United Nations Group Staff Life Insurance Reserve Fund, and a reserve balance of \$80.3 million (2024: \$80.3 million) held for the United Nations Staff Mutual Insurance Society against Sickness and Accident, which is required under its statute. In addition, in accordance with IPSAS 1, the reserves include gains and losses on financial assets measured at fair value through net assets/equity. As at the reporting date, the unrealized gain reported under the fair value reserve amounted to \$38.4 million (2024: \$7.2 million), representing the net cumulative impact of the year-end revaluation on investments.

*United Nations Special Account*

215. Under the provisions of General Assembly resolutions [2053 A \(XX\)](#) of 15 December 1965 and [3049 A \(XXVII\)](#) of 19 December 1972, the Special Account has received voluntary contributions from Member States and private donors in order to overcome the financial difficulties of the United Nations and to resolve the Organization's short-term deficit. The year-end balance was \$243.7 million (2024: \$232.3 million), of which \$48.7 million (2024: \$48.7 million) relates to the Special Account principal from contributions and \$195.0 million (2024: \$183.6 million) to accumulated surplus. The Special Account is reported under the General Fund and related funds.

**Note 27****Revenue from non-exchange transactions***Assessed contributions*

216. Assessed contributions of \$3,407.1 million (2024: \$3,305.0 million) have been recorded in accordance with the Financial Regulations and Rules of the United Nations, the relevant resolutions of the General Assembly and the policies of the United Nations, on the basis of the regular budget scale of assessment. A reconciliation of assessed contributions to gross amounts assessed to Member States is presented below.

**Assessed contributions**

(Thousands of United States dollars)

|                                                                     | 2025             | 2024             |
|---------------------------------------------------------------------|------------------|------------------|
| Gross amount assessed to Member States <sup>a</sup>                 | 3 754 027        | 3 465 611        |
| Additional assessment <sup>b</sup>                                  | (27 273)         | —                |
| Additional appropriation approved for the year <sup>c</sup>         | 10 959           | 27 273           |
| Net (increase)/decrease in income other than staff assessment       | 9 491            | (12 526)         |
| (Increase)/decrease in staff assessment income                      | 2 970            | 17 889           |
| Adjustments against prior-period expenditure                        | (11 846)         | (25 463)         |
| Unencumbered balances of the reporting year                         | (383 093)        | (254 506)        |
| Utilization of adjustments against prior-period expenditure         | 25 564           | 46 400           |
| Utilization of unencumbered balances of prior-period appropriations | 26 096           | 40 138           |
| Non-member States' assessments                                      | 205              | 189              |
| <b>Amount reported in statement II: assessed contributions</b>      | <b>3 407 100</b> | <b>3 305 005</b> |

<sup>a</sup> In accordance with General Assembly resolution [79/259](#) A–C and [ST/ADM/SER.B/1083](#) for 2025 and Assembly resolution [78/254](#) C and [ST/ADM/SER.B/1067](#) for 2024.

<sup>b</sup> 2025 adjustment pertains to 2024.

<sup>c</sup> In accordance with General Assembly resolution [80/244](#) A–C.

**Voluntary contributions**

(Thousands of United States dollars)

|                                      | 2025             | 2024             |
|--------------------------------------|------------------|------------------|
| Voluntary monetary contributions     | 2 589 788        | 3 159 831        |
| Voluntary in-kind contributions      | 63 680           | 68 864           |
| <b>Total voluntary contributions</b> | <b>2 653 468</b> | <b>3 228 695</b> |
| Refunds                              | (15 696)         | (29 081)         |
| <b>Net voluntary contributions</b>   | <b>2 637 772</b> | <b>3 199 614</b> |

217. All voluntary contributions under binding agreements signed during 2025 are recognized as revenue in 2025, including the future portion of multi-year agreements. Voluntary monetary contributions include \$7.6 million (2024: \$5.5 million) relating to assessments for conferences of States Parties to treaties and conventions, which are levied on the basis of agreements among the States Parties to the relevant treaty or convention, and \$141.4 million (2024: \$130.6 million) in consolidated voluntary contributions to the UNDP multi-partner trust funds.

218. During 2025, the total amount of voluntary contributions in kind recognized for right-to-use arrangements was \$64.2 million (2024: \$64.5 million) and no voluntary contributions in kind were recognized for donated assets (2024: \$4.4 million).

219. Contributions to the special purpose trust fund are made in accordance with paragraph 10 of General Assembly resolution [72/279](#) through voluntary, predictable, multi-year contributions, amounting to \$52.1 million in 2025 (2024: \$90.6 million); a 1 per cent levy on tightly earmarked third-party non-core contributions to the United Nations development related activities, amounting to \$42.0 million in 2025 (2024: \$42.0 million); and a cost-sharing arrangement among United Nations development

system entities, amounting to \$133.0 million in 2025 (2024: \$78.0 million) and reported as other transfers and allocations.

220. Major funds that received more than 75 per cent of voluntary contributions revenue recognized in 2025 are listed below.

(Thousands of United States dollars)

|                                                                                                           | 2025             | 2024             |
|-----------------------------------------------------------------------------------------------------------|------------------|------------------|
| Trust fund for strengthening the Office of the Emergency Relief Coordinator <sup>a</sup>                  | 1 012 123        | 1 276 507        |
| Central Emergency Response Fund                                                                           | 286 502          | 578 623          |
| Trust fund for the support of the Centre for Human Rights                                                 | 256 010          | 220 607          |
| Trust fund for the Peacebuilding Support Office <sup>b</sup>                                              | 131 501          | 105 118          |
| Special purpose trust fund for the reinvigorated resident coordinator system                              | 94 048           | 132 521          |
| United Nations Voluntary Fund for Advisory Services and Technical Assistance in the Field of Human Rights | 68 594           | 21 846           |
| Trust fund for United Nations Conference on Trade and Development technical cooperation projects          | 66 775           | 44 654           |
| Voluntary trust fund for assistance in mine action                                                        | 64 704           | 30 435           |
| <b>Total major funds that received voluntary contributions</b>                                            | <b>1 980 257</b> | <b>2 410 311</b> |
| Other funds                                                                                               | 673 211          | 818 384          |
| <b>Total voluntary contributions received</b>                                                             | <b>2 653 468</b> | <b>3 228 695</b> |

<sup>a</sup> Includes voluntary contributions received through the multi-partner trust funds of nil (2024: \$6.707 million).

<sup>b</sup> Includes voluntary contributions received through the multi-partner trust funds of \$130.806 million (2024: \$104.864 million).

221. Revenue for voluntary contributions recognized in 2025 is intended for the following years, as shown below.

(Thousands of United States dollars)

|                                      | <i>Voluntary contribution</i> |
|--------------------------------------|-------------------------------|
| 2025                                 | 1 816 389                     |
| 2026                                 | 551 398                       |
| 2027                                 | 156 337                       |
| 2028                                 | 103 177                       |
| 2029                                 | 21 232                        |
| Beyond 2029                          | 4 935                         |
| <b>Total voluntary contributions</b> | <b>2 653 468</b>              |

*Other transfers and allocations*

(Thousands of United States dollars)

|                                              | 2025           | 2024           |
|----------------------------------------------|----------------|----------------|
| Interorganizational arrangements             | 125 986        | 115 878        |
| Other transfers and allocations              | 19 598         | 17 207         |
| <b>Total other transfers and allocations</b> | <b>145 584</b> | <b>133 085</b> |

*Services in kind*

222. In-kind contributions of technical assistance, experts, security and other services received during the year are not recognized as revenue and therefore are not included in the in-kind contributions revenue reflected above. In-kind technical assistance/expert services and other in-kind services received by the Organization during the year amounted to \$20.2 million (2024: \$24.4 million).

**Note 28****Other revenue**

(Thousands of United States dollars)

|                                                              | 2025           | 2024           |
|--------------------------------------------------------------|----------------|----------------|
| Revenue from services rendered                               | 233 763        | 191 644        |
| Rental income                                                | 33 037         | 35 722         |
| Revenue-producing activities and other miscellaneous revenue | 43 597         | 42 391         |
| Net foreign exchange gains                                   | 116 888        | —              |
| <b>Total other revenue</b>                                   | <b>427 285</b> | <b>269 757</b> |

<sup>a</sup> See note 30 for net foreign exchange losses in 2025.

223. Revenue from services rendered comprises revenue generated from software support and maintenance, training and consultancy services provided to external parties. Revenue-producing activities include revenue from sales of publications, books and stamps. Miscellaneous revenue derives mainly from the sale of equipment and inventories and donation of fixed assets.

**Note 29****Health and dental self-insurance plans***Self-insurance funds: contributions*

(Thousands of United States dollars)

|                                          | 2025           | 2024           |
|------------------------------------------|----------------|----------------|
| Health and dental insurance <sup>a</sup> | 551 622        | 514 849        |
| Other contributions/Appendix D           | 5 019          | 5 614          |
| <b>Total contributions</b>               | <b>556 641</b> | <b>520 463</b> |

<sup>a</sup> Includes rebates and subsidies of \$31.483 million (2024: \$22.619 million).

*Self-insurance funds: claims and expenses*

(Thousands of United States dollars)

|                                          | 2025           | 2024           |
|------------------------------------------|----------------|----------------|
| Health and dental insurance              | 820 580        | 810 877        |
| Other insurance claims paid <sup>a</sup> | 4 154          | 5 036          |
| <b>Total claims and expenses</b>         | <b>824 734</b> | <b>815 913</b> |

<sup>a</sup> Includes Appendix D claims of \$3.950 million (2024: \$4.840 million).

224. Health and dental insurance plans were established as part of the social security scheme for United Nations staff and retirees. Most of the plans are self-insured, whereby the Organization and the participating subscribers assume the financial risk of providing health insurance to members

225. The Organization is responsible for administering or appointing administrators of the plans and acts as the principal for the self-insurance arrangements. External entities and agencies participate in the Organization's health and dental insurance plans contribute only premiums and have no control over the plans.

**Note 30****Expenses***Employee salaries, allowances and benefits*

226. Employee salaries include international, national and general temporary staff salaries, post adjustment and staff assessment. The allowances and benefits include other staff entitlements, including pension and insurance subsidies and staff assignment, repatriation, hardship and other allowances.

(Thousands of United States dollars)

|                                                         | 2025             | 2024             |
|---------------------------------------------------------|------------------|------------------|
| Salary and wages                                        | 2 822 886        | 2 791 155        |
| Pension and insurance benefits                          | 515 457          | 510 183          |
| After-service health insurance                          | 102 121          | 91 886           |
| Repatriation benefits                                   | 81 125           | 13 729           |
| Leave benefits                                          | 39 038           | 20 231           |
| <b>Total employee salaries, allowances and benefits</b> | <b>3 560 627</b> | <b>3 427 184</b> |

*Grants and other transfers*

227. Grants and other transfers include outright grants and transfers to implementing agencies, partners and other entities, as well as quick-impact projects. The grant and other transfers expenses incurred by the major funds utilizing the various grant-out mechanisms are listed below.

(Thousands of United States dollars)

|                                                                                          | 2025             | 2024             |
|------------------------------------------------------------------------------------------|------------------|------------------|
| Trust fund for strengthening the Office of the Emergency Relief Coordinator <sup>a</sup> | 879 623          | 949 983          |
| Central Emergency Response Fund                                                          | 345 234          | 528 503          |
| United Nations General Fund <sup>b</sup>                                                 | 242 000          | 224 917          |
| Trust fund for the Peacebuilding Support Office <sup>a</sup>                             | 127 166          | 134 691          |
| Voluntary trust fund for assistance in mine action                                       | 35 262           | 29 484           |
| <b>Total major funds that incurred expenses of grants and other transfers</b>            | <b>1 629 285</b> | <b>1 867 578</b> |
| Other funds                                                                              | 120 734          | 112 509          |
| <b>Total grants and other transfers<sup>a</sup></b>                                      | <b>1 750 019</b> | <b>1 980 087</b> |

<sup>a</sup> Includes grants and transfers to implementing partners through the multi-partner trust funds of \$153.494 million (2024: \$155.028 million).

<sup>b</sup> Includes grants provided to related party entities (note 33).

228. Expenses of outright grants are recognized when the Organization has a binding obligation to pay, primarily upon signing of the agreement by both parties. Transfers to executing agencies or implementing partners are presented as an expense when funds are disbursed by the Organization to the third parties in accordance with the current IPSAS policy, while the Organization monitors operationally the programme and financial activities of its partners to ensure that funds are used efficiently, effectively and in accordance with donors' intentions. As at 31 December 2025, the net transfers held by the implementing partners for project implementation were \$1,500.4 million (2024: \$2,669.7 million). The Organization recognizes that there are differences in the accounting treatment of transfers to executing agencies and implementing partners across the United Nations system, reflecting differences in the business models of United Nations system entities.

#### *Other operating expenses*

229. Other operating expenses include maintenance, utilities, contracted services, training, security services, shared services, rent, insurance and loss allowances for receivables.

(Thousands of United States dollars)

|                                                   | 2025    | 2024 <sup>a</sup> |
|---------------------------------------------------|---------|-------------------|
| Net foreign exchange losses <sup>b</sup>          | —       | 122 293           |
| Facilities, maintenance and repair, and utilities | 106 608 | 106 660           |
| Rent – offices and premises                       | 45 620  | 100 833           |
| Communications and information technology         | 119 020 | 115 580           |
| Contributions in kind                             | 60 881  | 61 118            |
| Acquisitions of goods and intangible assets       | 56 235  | 42 780            |
| Security, consulting, audit and legal services    | 73 267  | 78 414            |
| Air and ground transport                          | 32 508  | 40 438            |
| Bad debt write-off/loss allowance expenses        | 14 618  | 55 354            |

|                                       | 2025           | 2024 <sup>a</sup> |
|---------------------------------------|----------------|-------------------|
| Write-off fixed assets <sup>a</sup>   | 58 797         | 1 048             |
| Other <sup>c</sup>                    | 154 047        | 122 357           |
| <b>Total other operating expenses</b> | <b>721 601</b> | <b>846 875</b>    |

<sup>a</sup> Restated to conform to current year presentation.

<sup>b</sup> See note 28 for net foreign exchange gains in 2025.

<sup>c</sup> Includes administrative services, meeting facilitation services, medical, training, insurance, public information, language, freight and other expenses.

### *Other expenses*

230. Other expenses relate to ex gratia and compensation claims and other miscellaneous expenses.

(Thousands of United States dollars)

|                                   | 2025         | 2024         |
|-----------------------------------|--------------|--------------|
| Ex gratia and compensation claims | 880          | 1 525        |
| Other/miscellaneous expenses      | 427          | 384          |
| <b>Total other expenses</b>       | <b>1 307</b> | <b>1 909</b> |

## **Note 31**

### **Financial instruments and financial risk management**

#### **Summary of financial instruments**

(Thousands of United States dollars)

|                                                                                                                  | Reference      | 31 December 2025 | 31 December 2024 <sup>a</sup><br>(restated) |
|------------------------------------------------------------------------------------------------------------------|----------------|------------------|---------------------------------------------|
| <b>Financial assets</b>                                                                                          |                |                  |                                             |
| <b>Fair value through net asset/equity</b>                                                                       |                |                  |                                             |
| Short-term investments: main pool <sup>b</sup>                                                                   | Notes 7 and 32 | 3 758 460        | 3 941 611                                   |
| Short-term investments: euro pool <sup>b</sup>                                                                   | Notes 7 and 32 | 7 602            | 4 257                                       |
| Short-term investments: United Nations Staff Mutual Insurance Society against Sickness and Accident <sup>b</sup> | Note 7         | 30 547           | 34 876                                      |
| <b>Total short-term investments</b>                                                                              |                | <b>3 796 609</b> | <b>3 980 744</b>                            |
| Long-term investments: main pool                                                                                 | Notes 7 and 32 | 1 531 620        | 1 441 617                                   |
| Long-term investments: euro pool                                                                                 | Notes 7 and 32 | 3 770            | 1 014                                       |
| Long-term investments: United Nations Staff Mutual Insurance Society against Sickness and Accident               | Note 7         | 255 323          | 195 178                                     |
| <b>Total long-term investments</b>                                                                               |                | <b>1 790 713</b> | <b>1 637 809</b>                            |
| <b>Total fair value of investments<sup>c</sup></b>                                                               |                | <b>5 587 322</b> | <b>5 618 553</b>                            |

|                                                                                                                                | Reference      | 31 December 2025 | 31 December 2024 <sup>a</sup><br>(restated) |
|--------------------------------------------------------------------------------------------------------------------------------|----------------|------------------|---------------------------------------------|
| <b>Cash and cash equivalents</b>                                                                                               |                |                  |                                             |
| Cash and cash equivalents: main pool                                                                                           | Notes 6 and 32 | 648 773          | 656 141                                     |
| Cash and cash equivalents: euro pool                                                                                           | Notes 6 and 32 | 6 999            | 10 127                                      |
| Cash and cash equivalents: United Nations Staff Mutual Insurance Society against Sickness and Accident                         | Note 6         | 30 401           | 37 091                                      |
| Cash and cash equivalents – other                                                                                              | Note 6         | 15 740           | 8 360                                       |
| <b>Total cash and cash equivalents</b>                                                                                         |                | <b>701 913</b>   | <b>711 719</b>                              |
| <b>Receivables from exchange and non-exchange transactions and loans</b>                                                       |                |                  |                                             |
| Assessed contributions                                                                                                         | Note 8         | 1 305 245        | 505 853                                     |
| Voluntary contributions                                                                                                        | Note 9         | 1 497 342        | 1 482 829                                   |
| Other receivables                                                                                                              | Note 10        | 148 847          | 96 745                                      |
| Other assets (excluding advances and deferred charges)                                                                         | Note 12        | 254              | 798                                         |
| <b>Total of cash and cash equivalents, receivables from exchange and non-exchange transactions and loans at amortized cost</b> |                | <b>3 653 601</b> | <b>2 797 944</b>                            |
| <b>Total carrying amount of financial assets</b>                                                                               |                | <b>9 240 923</b> | <b>8 416 497</b>                            |
| Of which relates to financial assets held in main pool                                                                         | Note 32        | 5 938 853        | 6 039 369                                   |
| Of which relates to financial assets held in euro pool                                                                         | Note 32        | 18 371           | 15 398                                      |
| Of which relates to financial assets held in United Nations Staff Mutual Insurance Society against Sickness and Accident       | Note 32        | 316 271          | 267 145                                     |
| <b>Financial liabilities at amortized cost</b>                                                                                 |                |                  |                                             |
| Accounts payable and accrued liabilities <sup>d</sup>                                                                          | Note 16        | 572 521          | 604 128                                     |
| Transfers payable                                                                                                              |                | 168              | 1 779                                       |
| Tax Equalization Fund liability                                                                                                | Note 20        | 253 207          | 228 805                                     |
| Borrowings <sup>a</sup>                                                                                                        | Note 22        | 353 906          | 294 326                                     |
| Other liabilities (excluding donated right-to-use arrangements)                                                                | Note 23        | 40 241           | 42 478                                      |
| Lease liabilities                                                                                                              | Note 34        | 328 247          | -                                           |
| <b>Total carrying amount of financial liabilities</b>                                                                          |                | <b>1 548 290</b> | <b>1 171 516</b>                            |
| <b>Summary of net revenue from financial assets</b>                                                                            |                |                  |                                             |
| Net cash pool revenue                                                                                                          |                | 278 380          | 290 808                                     |
| Net revenue – United Nations Staff Mutual Insurance Society against Sickness and Accident                                      |                | 5 965            | 4 639                                       |
| Other investment revenue                                                                                                       |                | 8 232            | 7 718                                       |
| <b>Total net revenue from financial assets</b>                                                                                 |                | <b>292 577</b>   | <b>303 165</b>                              |

<sup>a</sup> Restated to conform to current year presentation.

<sup>b</sup> Short-term investments include accrued investment revenue of \$46.282 million (2024: \$69.460 million) for the main pool, \$0.102 million (2024: \$0.014 million) for the euro pool and \$0.780 million (2024: \$0.544 million) for the United Nations Staff Mutual Insurance Society against Sickness and Accident. Also included is withholding tax refund receivable of \$0.035 million (2024: \$0.079 million) for the main pool and \$1.852 million (2024: \$2.749 million) for the United Nations Staff Mutual Insurance Society.

<sup>c</sup> Unrealized gain for \$31.109 million (2024: \$16.916 million) from cash pools mark to market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

<sup>d</sup> As at 31 December 2025, forward exchange contracts held a liability position of \$1.5 million (2024: \$39.5 million).

*Financial risk management**Overview*

231. The Organization has exposure to the following financial risks:

- (a) Credit risk;
- (b) Liquidity risk;
- (c) Market risk.

232. The present note and note 32 present information on the Organization's exposure to those risks, the objectives, policies and processes for measuring and managing risk, and the management of capital.

*Risk management framework*

233. The Organization's risk management practices are in accordance with its Financial Regulations and Rules and the United Nations Investment Management Guidelines. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Guidelines. The Organization manages its capital in the light of global economic conditions, the risk characteristics of the underlying assets and its current and future working capital requirements.

*Financial risk management: credit risk*

234. Credit risk is the risk of financial loss resulting from a counterparty to a financial instrument failing to meet its contractual obligations. Credit risk arises from cash and cash equivalents, investments, deposits and forward currency contracts with financial institutions, as well as credit exposure to outstanding receivables. The carrying value of financial assets is the maximum exposure to credit risk.

235. The investment management function is centralized at the United Nations Treasury. Other areas are not permitted, in normal circumstances, to engage in investing. An area may receive exceptional approval when conditions warrant investing locally under specified parameters that comply with the Investment Management Guidelines.

*Credit risk: cash pool investments and deposits*

236. The expected credit loss assessment was conducted using the Fitch annual global default rating by applying the default rates on the basis of the credit rating of each issuer in which the Organization holds an investment. Given that investments are limited to highly rated instruments, the impairment loss on such investment is relatively small and assessed as not material.

*Credit risk: contributions receivable and other receivables*

237. A large portion of the contributions receivable is due from sovereign Governments and supranational agencies, and other receivables are due from other United Nations entities that collectively do not have significant credit risk. The maximum exposure to credit risk of financial assets equals their carrying amount. As at the reporting date, the Organization held no collateral as security for receivables.

*Credit risk: loss allowance*

238. The Organization uses the simplified approach to evaluate the lifetime expected credit loss at each reporting date. The loss allowance is established on the basis of the

historical loss rate and the exposure balance at year end for each financial asset category. Management-approved write-offs under the Financial Regulations and Rules or reversals of previously impaired receivables are recognized directly in the statement of financial performance. The movement in the allowances account during the year is shown below.

### Movement in the loss allowance for receivables

(Thousands of United States dollars)

|                               | <i>Loss allowance for receivables</i> |                                |                          | <i>Total</i>   |
|-------------------------------|---------------------------------------|--------------------------------|--------------------------|----------------|
|                               | <i>Assessed contributions</i>         | <i>Voluntary contributions</i> | <i>Other receivables</i> |                |
| <b>As at 1 January 2024</b>   | <b>230 610</b>                        | <b>18 003</b>                  | <b>51 701</b>            | <b>300 314</b> |
| Loss allowance                | 48 162                                | 1 910                          | 1 557                    | 51 629         |
| Amounts written off           | —                                     | —                              | (188)                    | (188)          |
| <b>As at 31 December 2024</b> | <b>278 772</b>                        | <b>19 913</b>                  | <b>53 070</b>            | <b>351 755</b> |
| Loss allowance                | 8 396                                 | 1 138                          | (199)                    | 9 335          |
| Amounts written off           | —                                     | —                              | (90)                     | (90)           |
| <b>As at 31 December 2025</b> | <b>287 168</b>                        | <b>21 051</b>                  | <b>52 781</b>            | <b>361 000</b> |

### Amounts written off

(Thousands of United States dollars)

| <i>Fund/activity</i>                          | <i>2025</i> | <i>2024</i> |
|-----------------------------------------------|-------------|-------------|
| United Nations General Fund and related funds | 42          | 49          |
| Trust funds                                   | 44          | 20          |
| Other funds                                   | 4           | 119         |
| <b>Total</b>                                  | <b>90</b>   | <b>188</b>  |

### Ageing of assessed contributions receivable

239. The ageing and allowance of assessed contributions receivable are as shown below.

(Thousands of United States dollars)

|                     | <i>31 December 2025</i>            |                         |                  | <i>31 December 2024</i>            |                         |                  |
|---------------------|------------------------------------|-------------------------|------------------|------------------------------------|-------------------------|------------------|
|                     | <i>Allowance rate (percentage)</i> | <i>Gross receivable</i> | <i>Allowance</i> | <i>Allowance rate (percentage)</i> | <i>Gross receivable</i> | <i>Allowance</i> |
| Less than one year  | 1.1                                | 643 001                 | 7 306            | 1.8                                | 506 038                 | 9 241            |
| One to two years    | 1.5                                | 679 232                 | 10 090           | 64.6                               | 24 338                  | 15 726           |
| More than two years | 99.8                               | 270 180                 | 269 772          | 99.8                               | 254 249                 | 253 805          |
| <b>Total</b>        |                                    | <b>1 592 413</b>        | <b>287 168</b>   |                                    | <b>784 625</b>          | <b>278 772</b>   |

*Other receivables and loss allowance*

240. The ageing and loss allowance for receivables other than assessed contributions are as shown below. The expected loss rate in the table below is an average of loss rate for United Nations operations (as reported in volume I) loss allowance over the outstanding receivables in the relevant ageing categories.

*Voluntary contributions receivable and loss allowance*

241. No expected loss allowance rates have been established for voluntary contributions receivable relating to regular trust funds owing to the nature of these transactions; write-off instances are infrequent and immaterial. For specific delinquent receivables identified as uncollectible, these are subject to a loss allowance. Voluntary contributions receivable other than regular trust funds adhere to the loss allowance methodology for other receivables.

**Ageing of voluntary contribution and other receivables**

(Thousands of United States dollars)

| <i>31 December 2025</i>                           | <i>Neither past due<br/>nor impaired</i> | <i>Less than 1 year</i> | <i>1 to 2 years</i> | <i>2 to 3 years</i> | <i>More than<br/>3 years</i> | <i>Total</i> |
|---------------------------------------------------|------------------------------------------|-------------------------|---------------------|---------------------|------------------------------|--------------|
| Trust fund voluntary contributions receivable     | 1 303 327                                | 170 395                 | 11 660              | 5 348               | 20 903                       | 1 511 633    |
| Allowance                                         | —                                        | 820                     | 776                 | 953                 | 17 495                       | 20 044       |
| Allowance rate (percentage)                       | —                                        | 0.5                     | 6.7                 | 17.8                | 83.7                         | 1.3          |
| Non-trust fund voluntary contributions receivable | 5 294                                    | 601                     | 313                 | 58                  | 494                          | 6 760        |
| Allowance                                         | —                                        | 324                     | 149                 | 48                  | 486                          | 1 007        |
| Allowance rate (percentage)                       | —                                        | 53.9                    | 47.6                | 82.8                | 98.4                         | 14.9         |
| Other receivables                                 | 110 622                                  | 32 379                  | 3 532               | 3 878               | 51 217                       | 201 628      |
| Allowance                                         | —                                        | 557                     | 785                 | 274                 | 51 165                       | 52 781       |
| Allowance rate (percentage)                       | —                                        | 1.7                     | 22.2                | 7.1                 | 99.9                         | 26.2         |
| <i>31 December 2024</i>                           | <i>Neither past due<br/>nor impaired</i> | <i>Less than 1 year</i> | <i>1 to 2 years</i> | <i>2 to 3 years</i> | <i>More than<br/>3 years</i> | <i>Total</i> |
| Trust fund voluntary contributions receivable     | 1 427 582                                | 41 774                  | 6 165               | 5 244               | 18 191                       | 1 498 956    |
| Allowance                                         | —                                        | 793                     | 956                 | 1 725               | 15 767                       | 19 241       |
| Allowance rate (percentage)                       | —                                        | 1.9                     | 15.5                | 32.9                | 86.7                         | 1.3          |
| Non-trust fund voluntary contributions receivable | 1 970                                    | 650                     | 543                 | 115                 | 508                          | 3 786        |
| Allowance                                         | —                                        | 36                      | 111                 | 63                  | 462                          | 672          |
| Allowance rate (percentage)                       | —                                        | 5.5                     | 20.4                | 54.8                | 90.9                         | 17.7         |
| Other receivables                                 | 34 924                                   | 58 633                  | 2 345               | 2 830               | 51 083                       | 149 815      |
| Allowance                                         | —                                        | 702                     | 218                 | 1 140               | 51 010                       | 53 070       |
| Allowance rate (percentage)                       | —                                        | 1.2                     | 9.3                 | 40.3                | 99.9                         | 35.4         |

*Credit risk: cash and cash equivalents*

242. At year end, the Organization had cash and cash equivalents of \$701.9 million (2024: \$711.7 million), which is the maximum credit exposure on those assets.

*Credit risk: currency forward contracts*

243. The counterparty risk of forward contracts is limited to the profit or loss on the contract, not the notional amount. The outstanding forward contracts were performed with three banks. As at year end, the counterparties met the required credit rating criteria.

*Credit risk: investments of the United Nations Staff Mutual Insurance Society against Sickness and Accident*

244. The United Nations Treasury makes investments on behalf of the United Nations Staff Mutual Insurance Society against Sickness and Accident. A significant proportion of these investments is in fixed-income securities comprising supranational securities, government agency securities, government securities and corporate bonds. A portion of the Society investment portfolio is also invested in iShares SMI (Switzerland), an exchange-traded fund, with the aim of achieving a return on investment that reflects the return of its benchmark index, the Swiss Market Index. At year end, the Organization owned 530,220 shares of iShares SMI (Switzerland).

245. The credit ratings used to assess financial instruments are those issued by major rating agencies: S&P Global Ratings, Moody's and Fitch. At year end, investments were held in high-quality fixed-income and money-market instruments, with all holdings rated at least Aa3/AA- or P-1/A-1/F1, as applicable, by one of these agencies. As at 31 December 2025, S&P rated 96.4 per cent of bonds as A+ and above (2024: 96.3 per cent A+ and above), and 100 per cent of commercial papers, certificates of deposit and term deposits were rated A-1 and above (2024: 100 per cent A-1 and above).

*Financial risk management: liquidity risk*

246. Liquidity risk is the risk that the Organization might not have adequate funds to meet its obligations as they fall due. The Organization's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Organization's reputation.

247. Pursuant to the Financial Regulations and Rules of the United Nations, it is required that expenses be incurred after the receipt of funds from donors, thereby considerably reducing the liquidity risk with regard to contributions, which are a largely stable annual cash flow. Exceptions to incurring expenses before the receipt of funds are permitted only if specified risk management criteria are adhered to with regard to amounts receivable.

248. The Organization performs cash flow forecasting and monitors rolling forecasts of liquidity requirements to ensure that there is sufficient cash to meet operational needs. Investments are made with due consideration to the cash requirements for operating purposes based on cash flow forecasting. The Organization maintains a large portion of its investments in cash equivalents and short-term investments sufficient to cover its commitments as and when they fall due.

249. The level of Working Capital Fund of the regular budget is \$250 million. The periodic cash shortage in the regular budget persisted during 2025, with the regular budget fund having to borrow from the Working Capital Fund and Special Account. The full balance of liquidity reserve of the Working Capital Fund of \$250.0 million was borrowed in August 2025. The loan was outstanding as at 31 December 2025 (2024: \$250.0 million).

250. In addition, an amount of \$238.2 million was borrowed from the Special Account in November 2025. The loan was outstanding as at 31 December 2025 (2024:

nil). During 2025, the overall liquidity situation of the regular budget remained under pressure and further deteriorated compared with 2024.

*Liquidity risk: investments of the United Nations Staff Mutual Insurance Society against Sickness and Accident*

251. The United Nations Staff Mutual Insurance Society against Sickness and Accident is exposed to low liquidity risk because there are only limited requirements to withdraw funds at short notice and it maintains sufficient cash and marketable securities, such as the exchange-traded fund, to meet commitments as and when they fall due. As at the reporting date, the Society had invested primarily in securities with short to medium-term maturity, with the maximum being fewer than 15 years (2024: fewer than 16 years). The Society's liquidity risk is therefore considered to be low.

*Liquidity risk: financial liabilities*

252. The exposure to liquidity risk is based on the notion that the Organization may encounter difficulty in meeting its obligations associated with financial liabilities. This is highly unlikely owing to the cash and cash equivalents, receivables and investments available to the Organization and internal policies and procedures put in place to ensure that there are appropriate resources to meet its financial obligations. As at the reporting date, the Organization had pledged no collateral for any liabilities or contingent liabilities (2024: none), and during the year no accounts payable or other liabilities were forgiven by third parties. Maturities for financial liabilities based on the earliest date at which the Organization can be required to settle each financial liability are as shown below.

**Maturities for financial liabilities as at 31 December 2025**

(Undiscounted thousands of United States dollars)

|                                          | <3 months      | 3 to 12 months | >1 year        | Total            |
|------------------------------------------|----------------|----------------|----------------|------------------|
| Accounts payable and accrued liabilities | 572 521        | –              | –              | 572 521          |
| Transfers payable                        | –              | –              | 168            | 168              |
| Tax Equalization Fund liability          | 253 207        | –              | –              | 253 207          |
| Borrowings                               | 2 314          | 3 171          | 348 421        | 353 906          |
| Other liabilities                        | 27 990         | –              | 12 251         | 40 241           |
| Lease liabilities                        | 12 085         | 44 443         | 271 719        | 328 247          |
| <b>Total</b>                             | <b>868 117</b> | <b>47 614</b>  | <b>632 559</b> | <b>1 548 290</b> |

**Maturities for financial liabilities as at 31 December 2024**

(Undiscounted thousands of United States dollars)

|                                          | <3 months      | 3 to 12 months | >1 year        | Total            |
|------------------------------------------|----------------|----------------|----------------|------------------|
| Accounts payable and accrued liabilities | 604 128        | –              | –              | 604 128          |
| Transfers payable                        | –              | –              | 1 779          | 1 779            |
| Tax Equalization Fund liability          | 228 805        | –              | –              | 228 805          |
| Borrowings <sup>a</sup>                  | –              | 2 777          | 291 549        | 294 326          |
| Other liabilities <sup>a</sup>           | 33 784         | –              | 8 694          | 42 478           |
| <b>Total</b>                             | <b>866 717</b> | <b>2 777</b>   | <b>302 022</b> | <b>1 171 516</b> |

<sup>a</sup> Restated to conform to current year presentation.

*Financial risk management: market risk*

253. Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and prices of investment securities, will affect the Organization's revenue or the value of its financial assets and liabilities. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the Organization's fiscal position.

*Market risk: interest rate risk*

254. Interest rate risk is the risk of variability in financial instruments' fair values or future cash flows due to a change in interest rates. In general, as an interest rate rises, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the fixed-rate security's duration, with duration being a number expressed in years. The longer the duration, the greater the interest rate risk. The main exposure to interest rate risks relates to the cash pools and is considered in note 32. The average duration of the investments of the United Nations Staff Mutual Insurance Society against Sickness and Accident was 2.14 years (2024: 2.39 years), which, within the investment objectives of the Society, is considered to be an indicator of low interest rate risk.

*Market risk: currency risk*

255. Currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate owing to changes in foreign exchange rates. The Organization has transactions, assets and liabilities in currencies other than in its functional currency and is exposed to currency risk arising from fluctuations in exchange rates. Pursuant to management policies and the Investment Management Guidelines, the Organization is required to manage its currency risk exposure.

256. The Organization's financial assets and liabilities are denominated primarily in United States dollars. Non-United States dollar financial assets relate primarily to investments, in addition to cash and cash equivalents and receivables held to support local operating activities where transactions are made in local currencies. The Organization maintains a minimum level of assets in local currencies and, whenever possible, maintains bank accounts in United States dollars. The Organization mitigates currency risk exposure by structuring contributions from donors in foreign currency to correspond to the foreign currency needs for operational purposes.

257. The most significant exposure to currency risk relates to cash pool, cash and cash equivalents and investment balances, in addition to the investments of the United Nations Staff Mutual Insurance Society against Sickness and Accident. As at the reporting date, the non-United States dollar-denominated balances in those financial assets were primarily in euros, Swiss francs and Colombian peso, together with 69 other currencies, as shown below.

**Currency exposure as at 31 December 2025**

(Thousands of United States dollars)

|                 | <i>United States dollar</i> | <i>Euro</i>   | <i>Colombian peso</i> | <i>Swiss franc</i> | <i>Other</i> | <i>Total</i>     |
|-----------------|-----------------------------|---------------|-----------------------|--------------------|--------------|------------------|
| Main cash pool  | 5 886 760                   | 21 216        | 12 174                | 9 014              | 9 689        | 5 938 853        |
| Euro cash pool  | —                           | 18 371        | —                     | —                  | —            | 18 371           |
| <b>Subtotal</b> | <b>5 886 760</b>            | <b>39 587</b> | <b>12 174</b>         | <b>9 014</b>       | <b>9 689</b> | <b>5 957 224</b> |

|                                                                                            | <i>United<br/>States dollar</i> | <i>Euro</i>   | <i>Colombian<br/>peso</i> | <i>Swiss franc</i> | <i>Other</i> | <i>Total</i>     |
|--------------------------------------------------------------------------------------------|---------------------------------|---------------|---------------------------|--------------------|--------------|------------------|
| United Nations Staff Mutual Insurance Society<br>against Sickness and Accident investments | —                               | —             | —                         | 316 271            | —            | 316 271          |
| <b>Total</b>                                                                               | <b>5 886 760</b>                | <b>39 587</b> | <b>12 174</b>             | <b>325 285</b>     | <b>9 689</b> | <b>6 273 495</b> |

### Currency exposure as at 31 December 2024

(Thousands of United States dollars)

|                                                                                            | <i>United<br/>States dollar</i> | <i>Euro</i>   | <i>Swiss franc</i> | <i>British<br/>pound</i> | <i>Other</i> | <i>Total</i>     |
|--------------------------------------------------------------------------------------------|---------------------------------|---------------|--------------------|--------------------------|--------------|------------------|
| Main cash pool                                                                             | 5 980 312                       | 25 430        | 24 126             | 2 663                    | 6 838        | 6 039 369        |
| Euro cash pool                                                                             | —                               | 15 398        | —                  | —                        | —            | 15 398           |
| <b>Subtotal</b>                                                                            | <b>5 980 312</b>                | <b>40 828</b> | <b>24 126</b>      | <b>2 663</b>             | <b>6 838</b> | <b>6 054 767</b> |
| United Nations Staff Mutual Insurance Society<br>against Sickness and Accident investments | —                               | —             | 267 145            | —                        | —            | 267 145          |
| <b>Total</b>                                                                               | <b>5 980 312</b>                | <b>40 828</b> | <b>291 271</b>     | <b>2 663</b>             | <b>6 838</b> | <b>6 321 912</b> |

### Currency risk: sensitivity analysis

258. A strengthening or weakening of the euro and Swiss franc United Nations operational rates of exchange as at the reporting date would have affected the measurement of investments denominated in a foreign currency and increased or decreased the net assets and surplus or deficit by the amounts shown below. This analysis is based on foreign currency exchange rate variances considered to be reasonably possible at the reporting date. The analysis assumes that all other variables, in particular interest rates, remain constant.

### Currency exposure sensitivity analysis

(Thousands of United States dollars)

|                                       | <i>As at 31 December 2025</i>                  |                  | <i>As at 31 December 2024</i>                  |                  |
|---------------------------------------|------------------------------------------------|------------------|------------------------------------------------|------------------|
|                                       | <i>Effect on net assets/surplus or deficit</i> |                  | <i>Effect on net assets/surplus or deficit</i> |                  |
|                                       | <i>Strengthening</i>                           | <i>Weakening</i> | <i>Strengthening</i>                           | <i>Weakening</i> |
| Euro (10 per cent movement)           | 3 959                                          | (3 959)          | 4 083                                          | (4 083)          |
| Swiss franc (10 per cent movement)    | 32 529                                         | (32 529)         | 29 127                                         | (29 127)         |
| British pound (10 per cent movement)  | 386                                            | (386)            | 266                                            | (266)            |
| Colombian peso (10 per cent movement) | 1 217                                          | (1 217)          | 139                                            | (139)            |

### Currency risk: forward contracts

259. In 2025, the Organization entered into United States dollar-to-Swiss franc and euro forward contracts to hedge against currency risk in relation to the operations of various United Nations offices in Geneva, Vienna and The Hague being exposed to risks arising primarily from fluctuations in payments for staff costs in Swiss francs and euros. Net realized foreign exchange loss from those contracts amounted to \$3.3 million for the year (2024: \$1.4 million loss). The gains/losses are recorded as foreign exchange loss under other operating expenses. There were 24 (2024: 24) forward contracts outstanding as at 31 December 2025, with a notional amount of

209.7 million Swiss francs and 55.2 million euros, and with an unrealized loss of \$1.5 million (2024: \$39.5 million), maturing in 2026.

*Other market price risk*

260. The Organization is not exposed to other significant market price risk, given that it has limited exposure to price-related risk with respect to expected purchases of specific commodities used in normal operations. Therefore, a change in those prices can alter cash flows only by an immaterial amount.

*Classification and measurement*

261. Investment in the cash pool is carried at fair value through net assets/equity. Cash and cash equivalents and receivables, including non-current voluntary contributions receivable reported at amortized cost calculated using the effective interest method and accounts payable, are valued at amortized cost, which is a fair approximation of fair value as at 31 December 2025.

*Fair value hierarchy*

262. The table below presents an analysis of financial instruments carried at fair value, by the fair value hierarchy level. The levels are defined as:

- (a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- (b) Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices);
- (c) Level 3: inputs for the asset or liability that are not based on observable market data (i.e. unobservable inputs).

263. The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date and is determined by the independent custodian on the basis of the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the cash pools is the current bid price.

264. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

265. There were no level 3 financial assets or any liabilities carried at fair value or any transfers of financial assets between fair value hierarchy classifications. The fair value hierarchy for the cash pools is disclosed in note 32.

### Fair value hierarchy: United Nations Staff Mutual Insurance Society against Sickness and Accident

(Thousands of United States dollars)

|                                                                 | 31 December 2025 |               |                | 31 December 2024 |              |                |
|-----------------------------------------------------------------|------------------|---------------|----------------|------------------|--------------|----------------|
|                                                                 | Level 1          | Level 2       | Total          | Level 1          | Level 2      | Total          |
| <b>Financial assets at fair value through net assets/equity</b> |                  |               |                |                  |              |                |
| Exchange – traded fund                                          | 92 420           | —             | 92 420         | 75 844           | —            | 75 844         |
| Bonds – corporate                                               | 77 816           | —             | 77 816         | 73 762           | —            | 73 762         |
| Bonds – non-United States agencies                              | 71 473           | —             | 71 473         | 60 292           | —            | 60 292         |
| Bonds – supranational                                           | 22 517           | —             | 22 517         | 11 314           | —            | 11 314         |
| Term deposits                                                   | —                | 19 012        | 19 012         | —                | 5 549        | 5 549          |
| <b>Total<sup>a</sup></b>                                        | <b>264 226</b>   | <b>19 012</b> | <b>283 238</b> | <b>221 212</b>   | <b>5 549</b> | <b>226 761</b> |

<sup>a</sup> The total amount does not include accrued investment revenue of \$0.780 million (2024: \$0.544 million) and withholding tax refund receivable of \$1.852 million (2024: \$2.749 million).

### Note 32

#### Financial instruments: cash pools

266. In addition to directly held cash and cash equivalents and investments, the Organization participates in the United Nations Treasury cash pools. Pooling the funds has a positive effect on overall investment performance and risk because of economies of scale and the ability to spread yield curve exposures across a range of maturities. The allocation of cash pool assets (cash and cash equivalents, short-term investments and long-term investments) and revenue is based on each participating entity's principal balance.

267. The Organization participates in two United Nations Treasury-managed cash pools:

(a) The main pool, which comprises operational bank account balances in a number of currencies and investments in United States dollars;

(b) The euro pool, which comprises investments in euros from the pool participant, namely, the United Nations Staff Mutual Insurance Society against Sickness and Accident.

268. As at 31 December 2025, the cash pools held total assets of \$12,642.5 million (2024: \$12,091.5 million), of which \$5,957.2 million (2024: \$6,054.7 million) was due to the Organization, and its share of revenue from cash pools was \$278.1 million (2024: \$291.3 million).

#### Summary of assets and liabilities of the cash pools as at 31 December 2025

(Thousands of United States dollars)

|                                                   | Main pool         | Euro pool     | Total             |
|---------------------------------------------------|-------------------|---------------|-------------------|
| <b>Fair value through net assets/equity</b>       |                   |               |                   |
| Short-term investments                            | 7 900 980         | 7 500         | 7 908 480         |
| Long-term investments                             | 3 254 786         | 3 770         | 3 258 556         |
| <b>Total fair value through net assets/equity</b> | <b>11 155 766</b> | <b>11 270</b> | <b>11 167 036</b> |

|                                                                         | <i>Main pool</i>  | <i>Euro pool</i> | <i>Total</i>      |
|-------------------------------------------------------------------------|-------------------|------------------|-------------------|
| <b>Cash and cash equivalents and receivables held at amortized cost</b> |                   |                  |                   |
| Cash and cash equivalents                                               | 1 380 057         | 6 999            | 1 387 056         |
| Accrued investment revenue                                              | 88 327            | 102              | 88 429            |
| <b>Total amortized cost of financial assets</b>                         | <b>1 468 384</b>  | <b>7 101</b>     | <b>1 475 485</b>  |
| <b>Total carrying amount of financial assets</b>                        | <b>12 624 150</b> | <b>18 371</b>    | <b>12 642 521</b> |
| <b>Cash pool liabilities</b>                                            |                   |                  |                   |
| Payable to funds reported in volume I                                   | 5 938 853         | 18 371           | 5 957 224         |
| Payable to other cash pool participants                                 | 6 685 297         | –                | 6 685 297         |
| <b>Total liabilities</b>                                                | <b>12 624 150</b> | <b>18 371</b>    | <b>12 642 521</b> |
| <b>Net assets</b>                                                       | <b>–</b>          | <b>–</b>         | <b>–</b>          |

**Summary of revenue and expenses of the cash pools for the year ended 31 December 2025**

(Thousands of United States dollars)

|                                                      | <i>Main pool</i> | <i>Euro pool</i> | <i>Total</i>   |
|------------------------------------------------------|------------------|------------------|----------------|
| Investment revenue                                   | 545 247          | 403              | 545 650        |
| <b>Investment revenue from cash pools</b>            | <b>545 247</b>   | <b>403</b>       | <b>545 650</b> |
| Foreign exchange gains/(losses)                      | (4 807)          | 18               | (4 789)        |
| Bank fees                                            | (800)            | (1)              | (801)          |
| <b>Operating revenue/(expenses) of cash pools</b>    | <b>(5 607)</b>   | <b>17</b>        | <b>(5 590)</b> |
| <b>Total revenue from and expenses of cash pools</b> | <b>539 640</b>   | <b>420</b>       | <b>540 060</b> |

**Summary of assets and liabilities of the cash pools as at 31 December 2024**

(Thousands of United States dollars)

|                                                                         | <i>Main pool</i>  | <i>Euro pool</i> | <i>Total</i>      |
|-------------------------------------------------------------------------|-------------------|------------------|-------------------|
| <b>Fair value through net assets/equity</b>                             |                   |                  |                   |
| Short-term investments                                                  | 7 742 472         | 4 243            | 7 746 715         |
| Long-term investments                                                   | 2 882 612         | 1 014            | 2 883 626         |
| <b>Total fair value through net assets/equity</b>                       | <b>10 625 084</b> | <b>5 257</b>     | <b>10 630 341</b> |
| <b>Cash and cash equivalents and receivables held at amortized cost</b> |                   |                  |                   |
| Cash and cash equivalents                                               | 1 312 000         | 10 127           | 1 322 127         |
| Accrued investment revenue                                              | 139 050           | 14               | 139 064           |
| <b>Total amortized cost of financial assets</b>                         | <b>1 451 050</b>  | <b>10 141</b>    | <b>1 461 191</b>  |
| <b>Total carrying amount of financial assets</b>                        | <b>12 076 134</b> | <b>15 398</b>    | <b>12 091 532</b> |

|                                         | <i>Main pool</i>  | <i>Euro pool</i> | <i>Total</i>      |
|-----------------------------------------|-------------------|------------------|-------------------|
| <b>Cash pool liabilities</b>            |                   |                  |                   |
| Payable to funds reported in volume I   | 6 039 369         | 15 398           | 6 054 767         |
| Payable to other cash pool participants | 6 036 765         | –                | 6 036 765         |
| <b>Total liabilities</b>                | <b>12 076 134</b> | <b>15 398</b>    | <b>12 091 532</b> |
| <b>Net assets</b>                       | <b>–</b>          | <b>–</b>         | <b>–</b>          |

### Summary of revenue and expenses of the cash pools for the year ended 31 December 2024

(Thousands of United States dollars)

|                                                      | <i>Main pool</i> | <i>Euro pool</i> | <i>Total</i>   |
|------------------------------------------------------|------------------|------------------|----------------|
| Investment revenue                                   |                  |                  |                |
| <b>Investment revenue from cash pools</b>            | <b>577 165</b>   | <b>529</b>       | <b>577 694</b> |
| Foreign exchange gains/(losses)                      | 8 723            | (12)             | 8 711          |
| Bank fees                                            | (733)            | (1)              | (734)          |
| <b>Operating revenue/(expenses) of cash pools</b>    | <b>7 990</b>     | <b>(13)</b>      | <b>7 977</b>   |
| <b>Total revenue from and expenses of cash pools</b> | <b>585 155</b>   | <b>516</b>       | <b>585 671</b> |

### *Financial risk management*

269. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Investment Management Guidelines.

270. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on each investment pool. Investment quality, safety and liquidity are emphasized over the market rate-of-return component of the objectives.

271. An investment committee evaluates investment performance periodically, assesses compliance with the Investment Management Guidelines and makes recommendations for updates thereto.

### *Financial risk management: credit risk*

272. Pursuant to the Investment Management Guidelines, ongoing monitoring of issuer and counterparty credit ratings is required. Permissible cash pool investments may include, but are not restricted to, bank deposits, commercial papers, supranational securities, government agency securities and government securities with maturities of five years or fewer. The cash pools do not invest in derivative instruments such as asset-backed and mortgage-backed securities or equity products.

273. Pursuant also to the Investment Management Guidelines, it is required that investments not be made in issuers whose credit ratings are below specifications; they also provide for maximum concentrations with given issuers. These requirements were met at the time the investments were made.

274. The credit ratings used to assess financial instruments are those issued by major rating agencies: S&P Global Ratings, Moody's and Fitch. At year end, investments were held in high-quality fixed-income and money-market instruments, with all

holdings rated at least Aa3/AA- or P-1/A-1/F1, as applicable, by one of these agencies. As at 31 December 2025, for the main pool, S&P rated 97.7 per cent of bonds as A+ and above (2024: 100 per cent AA- and above), and 100 per cent of commercial papers, certificates of deposit and term deposits were rated A-1 and above (2024: 100 per cent A-1 and above). For the euro pool, S&P rated 100 per cent of bonds as A+ and above (2024: 100 per cent AA- and above), and 100 per cent of commercial papers, certificates of deposit and term deposits were rated A-1 and above (2024: 100 per cent A-1 and above).

275. The United Nations Treasury actively monitors credit ratings and, because the Organization has invested only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations.

*Financial risk management: liquidity risk*

276. The cash pools are exposed to liquidity risk associated with the requirement of participants to make withdrawals on short notice. They maintain sufficient cash and marketable securities to meet participants' commitments as and when they fall due. A major portion of cash and cash equivalents and investments is available within a day's notice to support operational requirements. The cash pool liquidity risk is therefore considered to be low.

*Financial risk management: interest rate risk*

277. The cash pools comprise the Organization's main exposure to interest rate risk, with fixed-rate cash and cash equivalents and investments being interest-bearing financial instruments. As at the reporting date, the cash pools had invested primarily in securities with shorter terms to maturity, with the maximum being fewer than five years (2024: fewer than five years) in the main pool and five years in the euro pool (2024: two years). The average duration of investments of the main pool as at 31 December 2025 was 0.86 years (2024: 0.78 years). In addition, the average duration of investments of the euro pool as at 31 December 2025 was 0.59 years (2024: 0.12 years). These are considered to be indicators of low risk.

*Cash pool interest rate risk sensitivity analysis*

278. The analysis shows how the fair value of the cash pools as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that the investments are accounted for at fair value through net assets/equity, the change in fair value represents the increase or decrease in net assets. The impact of a shift up or down of up to 200 basis points in the yield curve is shown below (100 basis points equals 1 per cent). The basis point shifts are illustrative.

**Organization's share of cash pool interest rate risk sensitivity analysis as at 31 December 2025**

| <i>Shift in yield curve (basis points)</i> | <i>-200</i>   | <i>-150</i>  | <i>-100</i>  | <i>-50</i>   | <i>0</i> | <i>50</i>      | <i>100</i>     | <i>150</i>     | <i>200</i>      |
|--------------------------------------------|---------------|--------------|--------------|--------------|----------|----------------|----------------|----------------|-----------------|
| <b>Increase/(decrease) in fair value</b>   |               |              |              |              |          |                |                |                |                 |
| (Millions of United States dollars)        |               |              |              |              |          |                |                |                |                 |
| <b>Total, main pool</b>                    | <b>100.63</b> | <b>75.46</b> | <b>50.31</b> | <b>25.15</b> | <b>–</b> | <b>(25.15)</b> | <b>(50.29)</b> | <b>(75.43)</b> | <b>(100.57)</b> |
| <b>Total, euro pool</b>                    | <b>0.18</b>   | <b>0.14</b>  | <b>0.09</b>  | <b>0.05</b>  | <b>–</b> | <b>(0.05)</b>  | <b>(0.09)</b>  | <b>(0.14)</b>  | <b>(0.18)</b>   |
| <b>Total</b>                               | <b>100.81</b> | <b>75.60</b> | <b>50.40</b> | <b>25.20</b> | <b>–</b> | <b>(25.20)</b> | <b>(50.38)</b> | <b>(75.57)</b> | <b>(100.75)</b> |

**Organization's share of cash pool interest rate risk sensitivity analysis as at 31 December 2024**

| <i>Shift in yield curve (basis points)</i>                                      | <i>-200</i>  | <i>-150</i>  | <i>-100</i>  | <i>-50</i>   | <i>0</i> | <i>50</i>      | <i>100</i>     | <i>150</i>     | <i>200</i>     |
|---------------------------------------------------------------------------------|--------------|--------------|--------------|--------------|----------|----------------|----------------|----------------|----------------|
| <b>Increase/(decrease) in fair value</b><br>(Millions of United States dollars) |              |              |              |              |          |                |                |                |                |
| <b>Total, main pool</b>                                                         | <b>90.44</b> | <b>67.83</b> | <b>45.22</b> | <b>22.61</b> | <b>–</b> | <b>(22.60)</b> | <b>(45.20)</b> | <b>(67.80)</b> | <b>(90.39)</b> |
| <b>Total, euro pool</b>                                                         | <b>0.04</b>  | <b>0.03</b>  | <b>0.02</b>  | <b>0.01</b>  | <b>–</b> | <b>(0.01)</b>  | <b>(0.02)</b>  | <b>(0.03)</b>  | <b>(0.04)</b>  |
| <b>Total</b>                                                                    | <b>90.48</b> | <b>67.86</b> | <b>45.24</b> | <b>22.62</b> | <b>–</b> | <b>(22.61)</b> | <b>(45.22)</b> | <b>(67.83)</b> | <b>(90.43)</b> |

*Other market price risk*

279. The cash pools are not exposed to significant other price risks because they do not sell short, borrow securities or purchase securities on margin, which limits the potential loss of capital.

*Accounting classifications and fair value hierarchy*

280. All investments are reported at fair value through net assets/equity. Cash and cash equivalents carried at nominal value are deemed to approximate fair value. The following fair value hierarchy presents the cash pool assets that are measured at fair value as at the reporting date. There were no level 3 financial assets or any significant transfers of financial assets between fair value hierarchy classifications.

**Fair value hierarchy for investments as at 31 December: cash pools**

(Thousands of United States dollars)

|                                                                 | <i>31 December 2025</i> |                  |                   | <i>31 December 2024</i> |                  |                   |
|-----------------------------------------------------------------|-------------------------|------------------|-------------------|-------------------------|------------------|-------------------|
|                                                                 | <i>Level 1</i>          | <i>Level 2</i>   | <i>Total</i>      | <i>Level 1</i>          | <i>Level 2</i>   | <i>Total</i>      |
| <b>Financial assets at fair value through net assets/equity</b> |                         |                  |                   |                         |                  |                   |
| <b>Main pool</b>                                                |                         |                  |                   |                         |                  |                   |
| Bonds – corporate                                               | 155 019                 | –                | 155 019           | 94 875                  | –                | 94 875            |
| Bonds – non-United States agencies                              | 2 515 850               | –                | 2 515 850         | 2 608 429               | –                | 2 608 429         |
| Bonds – supranational                                           | 1 274 270               | –                | 1 274 270         | 478 759                 | –                | 478 759           |
| Bonds – United States treasuries                                | 398 410                 | –                | 398 410           | 793 328                 | –                | 793 328           |
| Bonds – non-United States sovereigns                            | 56 038                  | –                | 56 038            | 99 527                  | –                | 99 527            |
| Commercial papers                                               | –                       | 844 309          | 844 309           | –                       | 934 677          | 934 677           |
| Certificates of deposit                                         | –                       | 3 791 870        | 3 791 870         | –                       | 3 245 489        | 3 245 489         |
| Term deposits                                                   | –                       | 2 120 000        | 2 120 000         | –                       | 2 370 000        | 2 370 000         |
| <b>Total</b>                                                    | <b>4 399 587</b>        | <b>6 756 179</b> | <b>11 155 766</b> | <b>4 074 918</b>        | <b>6 550 166</b> | <b>10 625 084</b> |

|                                    | 31 December 2025 |                  |                   | 31 December 2024 |                  |                   |
|------------------------------------|------------------|------------------|-------------------|------------------|------------------|-------------------|
|                                    | Level 1          | Level 2          | Total             | Level 1          | Level 2          | Total             |
| <b>Euro pool</b>                   |                  |                  |                   |                  |                  |                   |
| Bonds – corporate                  | 706              | –                | 706               | –                | –                | –                 |
| Bonds – non-United States agencies | 3 770            | –                | 3 770             | 2 048            | –                | 2 048             |
| Bonds – supranational              | 1 175            | –                | 1 175             | –                | –                | –                 |
| Commercial papers                  | –                | 1 168            | 1 168             | –                | 2 067            | 2 067             |
| Certificates of deposit            | –                | 2 333            | 2 333             | –                | 621              | 621               |
| Term deposits                      | –                | 2 118            | 2 118             | –                | 521              | 521               |
| <b>Subtotal, euro pool</b>         | <b>5 651</b>     | <b>5 619</b>     | <b>11 270</b>     | <b>2 048</b>     | <b>3 209</b>     | <b>5 257</b>      |
| <b>Total<sup>a</sup></b>           | <b>4 405 238</b> | <b>6 761 798</b> | <b>11 167 036</b> | <b>4 076 966</b> | <b>6 553 375</b> | <b>10 630 341</b> |

<sup>a</sup> The total amount does not include accrued investment revenue of \$98.475 million (2024: \$138.907 million) and withholding tax refund receivable of \$0.076 million (2024: \$0.157 million).

### Note 33

#### Related parties

##### *Key management personnel*

281. Key management personnel are those with the ability to exercise significant influence over the financial and operating decisions of the Organization. For the operations of the United Nations as reported in volume I, the key management personnel group is stratified into two main tiers as follows:

(a) **Executive.** This tier comprises the Secretary-General, the Deputy Secretary-General, the Chef de Cabinet, the Under-Secretaries-General for Management Strategy, Policy and Compliance, Operational Support, Economic and Social Affairs, Political and Peacebuilding Affairs and Peace Operations. It also consists of the Under-Secretaries-General for Policy, for the Office for Humanitarian Affairs, for Counter-Terrorism and for Legal Affairs. The High Commissioner for Human Rights and the Assistant-Secretary-General for Development Coordination are also part of the executive group;

(b) **Management.** This tier consists of the Controller, heads of offices away from Headquarters and heads of the regional commissions.

282. These persons have the relevant authority and responsibility for planning, directing and controlling the Organization's activities.

283. The aggregate remuneration paid to the 23 (full-time equivalent) key management personnel includes gross salaries, post adjustment and other entitlements such as grants, subsidies and employer pension and health insurance contributions.

(Thousands of United States dollars)

|                                        | 2025          | 2024          |
|----------------------------------------|---------------|---------------|
| Salary and post adjustment             | 8 382         | 8 078         |
| Other monetary entitlements            | 1 937         | 1 787         |
| Non-monetary benefits                  | 900           | 900           |
| <b>Total remuneration for the year</b> | <b>11 219</b> | <b>10 765</b> |

284. A residence, with an estimated annual rental fair value equivalent of \$0.9 million (2024: \$0.9 million), is provided to the Secretary-General free of charge. Advances made to key management personnel are those made against entitlements in accordance with the Staff Regulations and Rules of the United Nations; any such advances against entitlements are widely available to all staff of the Organization.

*Related entity transactions*

285. The Organization provided grants to related party entities as shown below.

**Grants provided to related party entities**

(Thousands of United States dollars)

|                                                                                   | 2025           | 2024           |
|-----------------------------------------------------------------------------------|----------------|----------------|
| United Nations Office on Drugs and Crime                                          | 36 166         | 37 180         |
| United Nations Environment Programme                                              | 26 645         | 24 011         |
| United Nations Human Settlements Programme (UN-Habitat)                           | 16 609         | 15 619         |
| International Trade Centre                                                        | 22 474         | 21 627         |
| United Nations Entity for Gender Equality and the Empowerment of Women (UN-Women) | 10 751         | 10 788         |
| United Nations Relief and Works Agency for Palestine Refugees in the Near East    | 76 584         | 71 621         |
| Office of the United Nations High Commissioner for Refugees                       | 50 458         | 47 141         |
| <b>Total</b>                                                                      | <b>239 687</b> | <b>227 987</b> |

286. In December 2025, the Central Emergency Response Fund issued a loan of \$20.0 million to UNRWA.

**Loans granted to related party entities as at 31 December 2025**

(Thousands of United States dollars)

|                                                                                | <i>Amount<br/>outstanding as at<br/>1 January 2025</i> | <i>Amount advanced<br/>in 2025</i> | <i>Amount reimbursed<br/>in 2025</i> | <i>Amount<br/>outstanding as at<br/>31 December 2025</i> |
|--------------------------------------------------------------------------------|--------------------------------------------------------|------------------------------------|--------------------------------------|----------------------------------------------------------|
| United Nations Relief and Works Agency for Palestine Refugees in the Near East | —                                                      | 20 000                             | —                                    | 20 000                                                   |
| <b>Total</b>                                                                   | <b>—</b>                                               | <b>20 000</b>                      | <b>—</b>                             | <b>20 000</b>                                            |

**Loans granted to related party entities as at 31 December 2024**

(Thousands of United States dollars)

|                                                                                | <i>Amount<br/>outstanding as at<br/>1 January 2024</i> | <i>Amount advanced<br/>in 2024</i> | <i>Amount reimbursed<br/>in 2024</i> | <i>Amount<br/>outstanding as at<br/>31 December 2024</i> |
|--------------------------------------------------------------------------------|--------------------------------------------------------|------------------------------------|--------------------------------------|----------------------------------------------------------|
| United Nations Relief and Works Agency for Palestine Refugees in the Near East | 10 000                                                 | —                                  | 10 000                               | —                                                        |
| United Nations Development Programme                                           | 20 000                                                 | —                                  | 20 000                               | —                                                        |
| <b>Total</b>                                                                   | <b>30 000</b>                                          | <b>—</b>                           | <b>30 000</b>                        | <b>—</b>                                                 |

*Trust fund activities relating to peacekeeping and tribunal operations*

287. All trust funds are consolidated in this set of volume I financial statements. There are specific trust funds that support peacekeeping operations. Those trust funds are precluded from the volume II financial statements according to United Nations financial rule 106.1, by which volume II is limited to peacekeeping operations with special accounts established by the Security Council.

## Trust fund activities related to peacekeeping operations

(Thousands of United States dollars)

| Trust fund                                                                                                                              | 2025                                                  |        |          |                                                                                    |                                           | 2024                                                  |          |          |                                                                                    |                                           |
|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|--------|----------|------------------------------------------------------------------------------------|-------------------------------------------|-------------------------------------------------------|----------|----------|------------------------------------------------------------------------------------|-------------------------------------------|
|                                                                                                                                         | Net assets<br>at the<br>beginning<br>of the<br>period | Income | Expenses | Fair value<br>changes in<br>investments<br>recognized<br>directly in<br>net assets | Net assets at<br>the end of<br>the period | Net assets<br>at the<br>beginning<br>of the<br>period | Income   | Expenses | Fair value<br>changes in<br>investments<br>recognized<br>directly in<br>net assets | Net assets at<br>the end of the<br>period |
| Trust fund in support of the delimitation and demarcation of the Ethiopia/<br>Eritrea border                                            | 1 561                                                 | —      | —        | —                                                                                  | 1 561                                     | 1 561                                                 | —        | —        | —                                                                                  | 1 561                                     |
| Trust fund for Somalia – unified command                                                                                                | 478                                                   | 20     | —        | —                                                                                  | 498                                       | 455                                                   | 23       | —        | —                                                                                  | 478                                       |
| Trust fund in support of the implementation of the agreement on a<br>ceasefire and separation of forces signed in Moscow on 14 May 1994 | 10                                                    | —      | —        | —                                                                                  | 10                                        | 9                                                     | 1        | —        | —                                                                                  | 10                                        |
| Trust fund for the Police Assistance Programme in Bosnia and Herzegovina                                                                | 376                                                   | 17     | —        | —                                                                                  | 393                                       | 359                                                   | 17       | —        | —                                                                                  | 376                                       |
| Trust fund in support of United Nations peacemaking and peacekeeping activities                                                         | 2 506                                                 | 107    | 1        | —                                                                                  | 2 612                                     | 2 387                                                 | 119      | —        | —                                                                                  | 2 506                                     |
| Trust fund in support of the Department of Peace Operations                                                                             | 53 965                                                | 40 039 | 28 828   | 196                                                                                | 65 372                                    | 53 373                                                | 30 401   | 29 900   | 91                                                                                 | 53 965                                    |
| Trust fund to support the peace process in the Democratic Republic of the Congo                                                         | 2 758                                                 | 1 045  | 5        | 12                                                                                 | 3 810                                     | 2 479                                                 | 273      | (2)      | 4                                                                                  | 2 758                                     |
| Trust fund to support the United Nations Interim Administration in Kosovo                                                               | 1 285                                                 | 55     | —        | —                                                                                  | 1 340                                     | 1 223                                                 | 62       | —        | —                                                                                  | 1 285                                     |
| Trust fund to support the Ituri Pacification Commission                                                                                 | 8                                                     | 1      | —        | —                                                                                  | 9                                         | 8                                                     | —        | —        | —                                                                                  | 8                                         |
| Trust fund in support of the peace process in the Sudan                                                                                 | 529                                                   | 23     | —        | —                                                                                  | 552                                       | 504                                                   | 25       | —        | —                                                                                  | 529                                       |
| Trust fund for the African Union-United Nations Joint Mediation Support Team<br>for Darfur                                              | 6 634                                                 | 299    | (6)      | 24                                                                                 | 6 963                                     | 6 304                                                 | 313      | (5)      | 12                                                                                 | 6 634                                     |
| Trust fund for the support of the activities of the United Nations Mission in<br>the Central African Republic and Chad                  | 2 050                                                 | 88     | —        | —                                                                                  | 2 138                                     | 1 952                                                 | 98       | —        | —                                                                                  | 2 050                                     |
| Subfund of the trust fund in support of the African Union Mission in Somalia                                                            | 13 117                                                | 11 535 | 23 241   | 7                                                                                  | 1 418                                     | 12 154                                                | 21 568   | 20 617   | 12                                                                                 | 13 117                                    |
| Trust fund to support lasting peace in Darfur                                                                                           | 401                                                   | (308)  | —        | 1                                                                                  | 94                                        | 381                                                   | 19       | —        | 1                                                                                  | 401                                       |
| Trust fund in support of the African-led International Support Mission in Mali                                                          | 868                                                   | 39     | —        | 3                                                                                  | 910                                       | 825                                                   | 41       | —        | 2                                                                                  | 868                                       |
| Trust fund in support of peace and security in Mali                                                                                     | —                                                     | —      | —        | —                                                                                  | —                                         | 22 386                                                | (23 867) | (1 409)  | 72                                                                                 | —                                         |
| Trust fund for the United Nations Operation in Côte d'Ivoire                                                                            | 198                                                   | 8      | —        | 1                                                                                  | 207                                       | 188                                                   | 10       | —        | —                                                                                  | 198                                       |
| Trust fund in support of the political transition in Haiti                                                                              | 280                                                   | 12     | —        | 1                                                                                  | 293                                       | 266                                                   | 13       | —        | 1                                                                                  | 280                                       |
| Trust fund in support of the African-led International Support Mission in<br>the Central African Republic                               | 238                                                   | 11     | —        | 1                                                                                  | 250                                       | 226                                                   | 12       | —        | —                                                                                  | 238                                       |
| Trust fund for the United Nations Mission in South Sudan                                                                                | 5 533                                                 | 1 214  | 1 258    | 16                                                                                 | 5 505                                     | 5 458                                                 | 1 466    | 1 396    | 5                                                                                  | 5 533                                     |
| Trust fund in support of the elimination of Syrian chemical weapons                                                                     | 278                                                   | 12     | —        | —                                                                                  | 290                                       | 340                                                   | 16       | 78       | —                                                                                  | 278                                       |
| Trust fund to support peace and security in Cyprus                                                                                      | 29                                                    | 2      | (1)      | —                                                                                  | 32                                        | 28                                                    | 1        | —        | —                                                                                  | 29                                        |

|                                                                                                                                                                                                         | 2025                                             |               |                 |                                                                            |                                            | 2024                                             |               |                 |                                                                            |                                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|---------------|-----------------|----------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------|---------------|-----------------|----------------------------------------------------------------------------|--------------------------------------------|
|                                                                                                                                                                                                         | <i>Net assets at the beginning of the period</i> | <i>Income</i> | <i>Expenses</i> | <i>Fair value changes in investments recognized directly in net assets</i> | <i>Net assets at the end of the period</i> | <i>Net assets at the beginning of the period</i> | <i>Income</i> | <i>Expenses</i> | <i>Fair value changes in investments recognized directly in net assets</i> | <i>Net assets at the end of the period</i> |
| <i>Trust fund</i>                                                                                                                                                                                       |                                                  |               |                 |                                                                            |                                            |                                                  |               |                 |                                                                            |                                            |
| Trust fund to provide assistance to human rights victims in Kosovo                                                                                                                                      | 11                                               | 1             | –               | –                                                                          | 12                                         | 11                                               | –             | –               | –                                                                          | 11                                         |
| Trust fund to support the United Nations Office to the African Union pursuant to Security Council resolutions <a href="#">2320 (2016)</a> , <a href="#">2378 (2017)</a> and <a href="#">2457 (2019)</a> | 732                                              | 1 845         | 872             | 3                                                                          | 1 708                                      | 470                                              | 917           | 656             | 1                                                                          | 732                                        |
| Trust fund for the United Nations Integrated Transition Assistance Mission in the Sudan                                                                                                                 | 54                                               | (5)           | –               | –                                                                          | 49                                         | 2 279                                            | (2 210)       | 23              | 8                                                                          | 54                                         |
| <b>Total</b>                                                                                                                                                                                            | <b>93 899</b>                                    | <b>56 060</b> | <b>54 198</b>   | <b>265</b>                                                                 | <b>96 026</b>                              | <b>115 626</b>                                   | <b>29 318</b> | <b>51 254</b>   | <b>209</b>                                                                 | <b>93 899</b>                              |

### Trust fund activities related to tribunal operations

(Thousands of United States dollars)

|                                                                                                     | 2025                                             |               |                 |                                                                            |                                            | 2024                                             |               |                 |                                                                            |                                            |
|-----------------------------------------------------------------------------------------------------|--------------------------------------------------|---------------|-----------------|----------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------|---------------|-----------------|----------------------------------------------------------------------------|--------------------------------------------|
|                                                                                                     | <i>Net assets at the beginning of the period</i> | <i>Income</i> | <i>Expenses</i> | <i>Fair value changes in investments recognized directly in net assets</i> | <i>Net assets at the end of the period</i> | <i>Net assets at the beginning of the period</i> | <i>Income</i> | <i>Expenses</i> | <i>Fair value changes in investments recognized directly in net assets</i> | <i>Net assets at the end of the period</i> |
| <i>Trust fund</i>                                                                                   |                                                  |               |                 |                                                                            |                                            |                                                  |               |                 |                                                                            |                                            |
| Trust fund to support the activities of the International Residual Mechanism for Criminal Tribunals | 992                                              | 898           | 800             | 4                                                                          | 1 094                                      | 867                                              | 1 481         | 1 358           | 2                                                                          | 992                                        |
| <b>Total</b>                                                                                        | <b>992</b>                                       | <b>898</b>    | <b>800</b>      | <b>4</b>                                                                   | <b>1 094</b>                               | <b>867</b>                                       | <b>1 481</b>  | <b>1 358</b>    | <b>2</b>                                                                   | <b>992</b>                                 |

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*The United Nations Foundation, Inc.*

288. The United Nations Foundation, Inc., a not-for-profit corporation organized under the laws of the State of New York of the United States of America, entered into an agreement with the United Nations in 1998 to assist and support the United Nations in achieving the goals and objectives of the Charter of the United Nations. The revised and restated relationship agreement signed in 2014 reaffirmed the nature of the relationship, the terms of the partnership, the independent status of the parties and the conditions for use of the name “United Nations”; the relationship agreement also sets out the role, composition and functions of the joint coordination committee, which serves as the principal forum for strong communication and coordination on strategies to support the policies, aims, activities and causes of the United Nations. The committee is co-chaired by the United Nations and the United Nations Foundation and meets twice a year. A summary of the relationship agreement can be found through the following link: <https://unfoundation.org/who-we-are/our-financials/unfoundation-un-relationship>. During 2025, the Foundation made total contributions of \$24.8 million to the United Nations Fund for International Partnerships (2024: \$23.4 million). Audited financial statements of the Foundation can be found on its website ([www.unfoundation.org](http://www.unfoundation.org)).

*Receivables due from peacekeeping operations*

289. The Organization has receivables in the amount of \$37.4 million (2024: \$37.4 million) and \$10.0 million (2024: \$10.0 million) due from the United Nations Operation in the Congo and the United Nations Emergency Force, respectively (see note 10). These missions were operational before the current financing mechanism for peacekeeping operations was established and closed on 30 June 1964 and 30 June 1967, respectively. The repayment by these United Nations peacekeeping operations is dependent upon collections of outstanding contributions from Member States. Given the age of these contributions, a full provision for loss allowance has been recorded.

**Note 34**

**Leases**

*As a lessee*

290. The Organization leases land and buildings, machinery and equipment, communications and information technology equipment, vehicles and aircraft. Land and building leases typically run from 15 to 30 years in major office locations and from 5 to 15 years elsewhere. Leases for other asset classes typically run from three to five years or less, depending on the mandate and funding situation. To provide operational flexibility, most leases contain extension and termination options. The Organization assesses at lease commencement date whether it is reasonably certain to exercise extension or termination options, and reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant change in circumstances within its control.

### Right-of-use assets<sup>a</sup>

(Thousands of United States dollars)

|                                       | <i>Land</i>  | <i>Buildings</i> | <i>Transportation<sup>b</sup></i> | <i>Machinery and equipment</i> | <i>Furniture and fixtures</i> | <i>Total</i>   |
|---------------------------------------|--------------|------------------|-----------------------------------|--------------------------------|-------------------------------|----------------|
| <b>Balance as at 1 January 2025</b>   | –            | –                | –                                 | –                              | –                             | –              |
| Additions                             | 1 886        | 361 039          | 13 990                            | 1 944                          | 190                           | 379 049        |
| Depreciation                          | (701)        | (46 416)         | (8 102)                           | (522)                          | (54)                          | (55 795)       |
| <b>Balance as at 31 December 2025</b> | <b>1 185</b> | <b>314 623</b>   | <b>5 888</b>                      | <b>1 422</b>                   | <b>136</b>                    | <b>323 254</b> |

<sup>a</sup> See note 14.

<sup>b</sup> Includes vehicles and aircraft.

### Amounts recognized in statement of financial performance

(Thousands of United States dollars)

|                                                                                          | <i>2025<sup>a</sup></i> |
|------------------------------------------------------------------------------------------|-------------------------|
| Interest expense on lease liabilities                                                    | 11 379                  |
| Common premises income from sub-leasing right-of-use assets                              | 2 778                   |
| Expenses relating to short-term leases                                                   | 8 789                   |
| Expenses relating to variable lease payments not included in lease liability measurement | 12 979                  |

<sup>a</sup> IPSAS 43 was adopted using the modified retrospective approach, and comparative information has therefore not been restated.

### Amounts recognized in statement of cash flows

(Thousands of United States dollars)

|                               | <i>2025<sup>a</sup></i> |
|-------------------------------|-------------------------|
| Total cash outflow for leases | 62 943                  |

<sup>a</sup> IPSAS 43 was adopted using the modified retrospective approach, and comparative information has therefore not been restated.

### Lease liabilities

(Thousands of United States dollars)

|                                                                  | <i>2025<sup>a</sup></i> |
|------------------------------------------------------------------|-------------------------|
| <b>Maturity analysis – contractual undiscounted cash flows</b>   |                         |
| Less than 1 year                                                 | 69 884                  |
| 1 to 5 years                                                     | 122 439                 |
| More than 5 years                                                | 234 127                 |
| <b>Total future lease payments (undiscounted)</b>                | <b>426 450</b>          |
| Less: unearned interest                                          | 98 203                  |
| <b>Present value of lease liabilities as at 31 December 2025</b> | <b>328 247</b>          |
| Current                                                          | 56 528                  |
| Non-current                                                      | 271 719                 |

<sup>a</sup> IPSAS 43 was adopted using the modified retrospective approach, and comparative information has therefore not been restated.

### *As a lessor*

291. The Organization leases out owned and leased assets to other parties through operating leases. Future minimum lease receipts for those arrangements are shown below.

#### **Operating leases receipts**

(Thousands of United States dollars)

|                                                              | <i>As at<br/>31 December 2025</i> | <i>As at<br/>31 December 2024<sup>a</sup></i> |
|--------------------------------------------------------------|-----------------------------------|-----------------------------------------------|
| Receipts due in less than 1 year                             | 15 625                            | 14 850                                        |
| Receipts due in 1 to 5 years                                 | 154                               | 585                                           |
| Receipts due after 5 years                                   | –                                 | –                                             |
| <b>Total minimum operating lease receipts (undiscounted)</b> | <b>15 779</b>                     | <b>15 435</b>                                 |

<sup>a</sup> Restated to conform to current year presentation.

### **Note 35**

#### **Contractual commitments**

292. At year end, commitments to transfer funds to implementing partners and for property, plant and equipment, intangible assets and goods and services contracted but not delivered were as shown below.

#### **Contractual commitments**

(Thousands of United States dollars)

|                                             | <i>As at 31 December 2025</i> | <i>As at 31 December 2024</i> |
|---------------------------------------------|-------------------------------|-------------------------------|
| Transfer of moneys to implementing partners | 404 212                       | 331 217                       |
| Property, plant and equipment               | 374 593                       | 322 945                       |
| Intangibles                                 | 62                            | 304                           |
| Goods and services                          | 518 787                       | 608 024                       |
| <b>Total open contractual commitments</b>   | <b>1 297 654</b>              | <b>1 262 490</b>              |

### **Note 36**

#### **Contingent liabilities and contingent assets**

##### *Contingent liabilities*

293. The Organization is subject to a variety of claims that arise from time to time in the ordinary course of its operations. These claims are segregated into three main categories: commercial claims; administration of justice claims (cases brought by current or former United Nations staff members against the Secretary-General); and any other claims.

294. Consistent with IPSAS, contingent liabilities are disclosed for pending claims in which the probability of an obligation and the potential outflow of resources cannot be measured with sufficient reliability. As at 31 December 2025, contingent liabilities were estimated at \$29.0 million (2024: \$23.8 million).

295. No contingent liabilities arose from the Organization's interest in jointly controlled entities or joint arrangements over which the Organization has significant influence.

### *Contingent assets*

296. In accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets, the Organization discloses contingent assets when an event gives rise to a probable inflow of economic benefits or service potential to the Organization and there is sufficient information to assess the probability of that inflow. As at 31 December 2025, no contingent assets (2024: none) arose from the Organization's legal actions and interests in joint ventures that were likely to result in a significant economic inflow.

297. The total estimated amount of voluntary pledges and other promised donations not formalized by acceptance or that were subject to fundraising activities as at 31 December 2025 is \$16.8 million (2024: \$27.8 million).

### **Note 37**

#### **Discontinued operation: United Nations Assistance Mission for Iraq**

298. On 31 May 2024, the Security Council adopted resolution [2732 \(2024\)](#), in which it extended the mandate of UNAMI for a final period, until 31 December 2025. Pursuant to that resolution, after that date, UNAMI would cease all activities and operations, except those required for the orderly drawdown and liquidation of the Mission, to be carried out in consultation with the Government of Iraq.

299. As at the reporting date, UNAMI operations had been discontinued and the remaining assets and liabilities were as shown below.

(Thousands of United States dollars)

| <i>Summary of assets and liabilities as at 31 December 2025</i> |  | <i>Total</i>    |
|-----------------------------------------------------------------|--|-----------------|
| <b>Assets</b>                                                   |  |                 |
| Other receivables                                               |  | 860             |
| Other assets                                                    |  | 602             |
| Inventories                                                     |  | 2 524           |
| Property, plant and equipment                                   |  | 4 231           |
| <b>Total assets</b>                                             |  | <b>8 217</b>    |
| <b>Liabilities</b>                                              |  |                 |
| Accounts payable and accrued liabilities                        |  | 21 109          |
| Employee benefits liabilities                                   |  | 3 259           |
| <b>Total liabilities</b>                                        |  | <b>24 368</b>   |
| <b>Net of total assets and total liabilities</b>                |  | <b>(16 151)</b> |

### **Note 38**

#### **Events after the reporting date**

300. There were no other material events, favourable or unfavourable, that occurred between the date of the financial statements and the date when the financial statements were authorized for issue that would have had a material impact on these statements.

